

In the opinion of Norton Rose Fulbright US LLP, Los Angeles, California, Bond Counsel, under existing statutes, regulations, rulings and court decisions, and assuming compliance with the tax covenants described herein, interest on the Bonds is excluded pursuant to section 103(a) of the Internal Revenue Code of 1986 from the gross income of the owners thereof for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax. It is also the opinion of Bond Counsel that under existing law interest on the Bonds is exempt from personal income taxes of the State of California. See "TAX MATTERS" herein..



\$31,390,000
CITY OF ALHAMBRA, CALIFORNIA
INSURED REFUNDING REVENUE BONDS
(ATHERTON BAPTIST HOMES PROJECT)
SERIES 2016
FINAL CUSIP†: 016021BK2

Dated: Date of Delivery

Due: January 1, as shown on the inside cover

The City of Alhambra, California (the "Issuer") is issuing its \$31,390,000 aggregate principal amount of Insured Refunding Revenue Bonds (Atherton Baptist Homes Project) Series 2016 (the "Bonds") pursuant to an Indenture, dated as of November 1, 2016 (the "Indenture"), between the Issuer and Wells Fargo Bank, N.A., as trustee (the "Trustee"). Except as described in this Official Statement, the Bonds will be payable solely from and secured by a pledge of payments to be made under the Loan Agreement, dated as of November 1, 2016 (the "Loan Agreement"), between the Issuer and Atherton Baptist Homes (the "Corporation"), and from certain funds held under the Indenture. The sources of payment of, and security for, the Bonds are more fully described in this Official Statement. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS" herein.

Maturities, Principal Amounts, Interest Rates, Yields, Prices and CUSIP Numbers are shown on the Inside Front Cover.

Interest on the Bonds is payable on January 1 and July 1 of each year, commencing January 1, 2017, to the maturity or redemption dates thereof. The Bonds are issuable in the form of fully registered bonds without coupons, in denominations of \$5,000 or any integral multiple thereof, and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). Beneficial Owners (as hereinafter defined) of Bonds will not receive physical certificates representing the Bonds purchased, but will receive a credit balance on the books of the nominees of such Owners. See "BOOK-ENTRY SYSTEM" in APPENDIX H hereto.

The Bonds are subject to Optional, Special and Mandatory Redemption prior to maturity, as described herein.

EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE ISSUER SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL OF THE BONDS, OR THE REDEMPTION PREMIUM OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND, EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM, NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OF OR THE REDEMPTION PREMIUM OR INTEREST ON THE BONDS. EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM, THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT.

Pursuant to the California Constitution Article XVI, Section 4, and California Health and Safety Code, Division 107, Part 6, Chapter 1, payment of the principal of and interest on the Bonds will be insured by the Office of Statewide Health Planning and Development of the State of California, and all debentures issued in payment of any claims under such insurance will be fully and unconditionally guaranteed by the State of California, all as more fully described herein. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM" herein.

An investment in the Bonds involves a certain degree of risk related to the nature of the business of the Corporation, the regulatory environment, and the provisions of the principal documents. A prospective holder of the Bonds is advised to read "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS" and "BONDHOLDERS' RISKS" herein for a description of the security for the Bonds and for a discussion of certain Bondholders' Risks that should be considered in connection with an investment in the Bonds.

This cover page contains certain information for ease of reference only. It does not constitute a summary of the Bonds or the security therefor. Potential investors must read this entire Official Statement, including the Appendices, to obtain information essential to the making of an informed investment decision.

The Bonds are offered when, as and if issued and received by the Underwriter, subject to prior sale, to withdrawal or modification of the offer without any notice, and to the approval of legality of the Bonds by Norton Rose Fulbright US LLP, Bond Counsel. Certain legal matters will be passed upon for the Issuer by its counsel, Burke, Williams & Sorensen, LLP; for the Corporation by its counsel, Hanson Bridgett LLP; and for the Underwriter by its counsel, Chapman and Cutler LLP. Certain financial matters will be passed upon for the Issuer by its financial advisor, C.M. de Crinis & Co., Inc., Glendale, California, and for the Corporation by its financial advisor, Ford & Associates, Inc. Tampa, Florida. It is expected that the Bonds in definitive form will be available for delivery to DTC in New York, New York, on or about November 4, 2016.



The date of this Official Statement is October 19, 2016.

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\$31,390,000
CITY OF ALHAMBRA, CALIFORNIA
INSURED REFUNDING REVENUE BONDS
(ATHERTON BAPTIST HOMES PROJECT)
SERIES 2016

**MATURITIES, PRINCIPAL AMOUNTS, INTEREST RATES,
YIELDS, PRICES AND CUSIP[†] NUMBERS**

MATURITY (JANUARY 1)	PRINCIPAL AMOUNT	INTEREST RATE	YIELD	PRICE	CUSIP [†]
2017	\$130,000	2.000%	0.780%	100.192%	016021AR8
2018	825,000	3.000	0.880	102.437	016021AS6
2019	850,000	3.000	1.070	104.106	016021AT4
2020	875,000	4.000	1.240	108.521	016021AU1
2021	910,000	4.000	1.360	110.636	016021AV9
2022	945,000	5.000	1.500	117.308	016021AW7
2023	995,000	5.000	1.660	119.473	016021AX5
2024	1,045,000	5.000	1.840	121.100	016021AY3
2025	1,095,000	5.000	2.020	122.308	016021AZ0
2026	1,150,000	5.000	2.150	123.574	016021BA4
2027	1,210,000	5.000	2.300	124.331	016021BB2
2028	1,270,000	5.000	2.420	123.109 ^c	016021BC0
2029	1,335,000	5.000	2.530	122.000 ^c	016021BD8
2030	1,400,000	5.000	2.650	120.805 ^c	016021BE6
2031	1,470,000	5.000	2.720	120.114 ^c	016021BF3
2032	1,545,000	3.125	3.350	97.339	016021BG1
2033	1,590,000	3.250	3.440	97.656	016021BH9

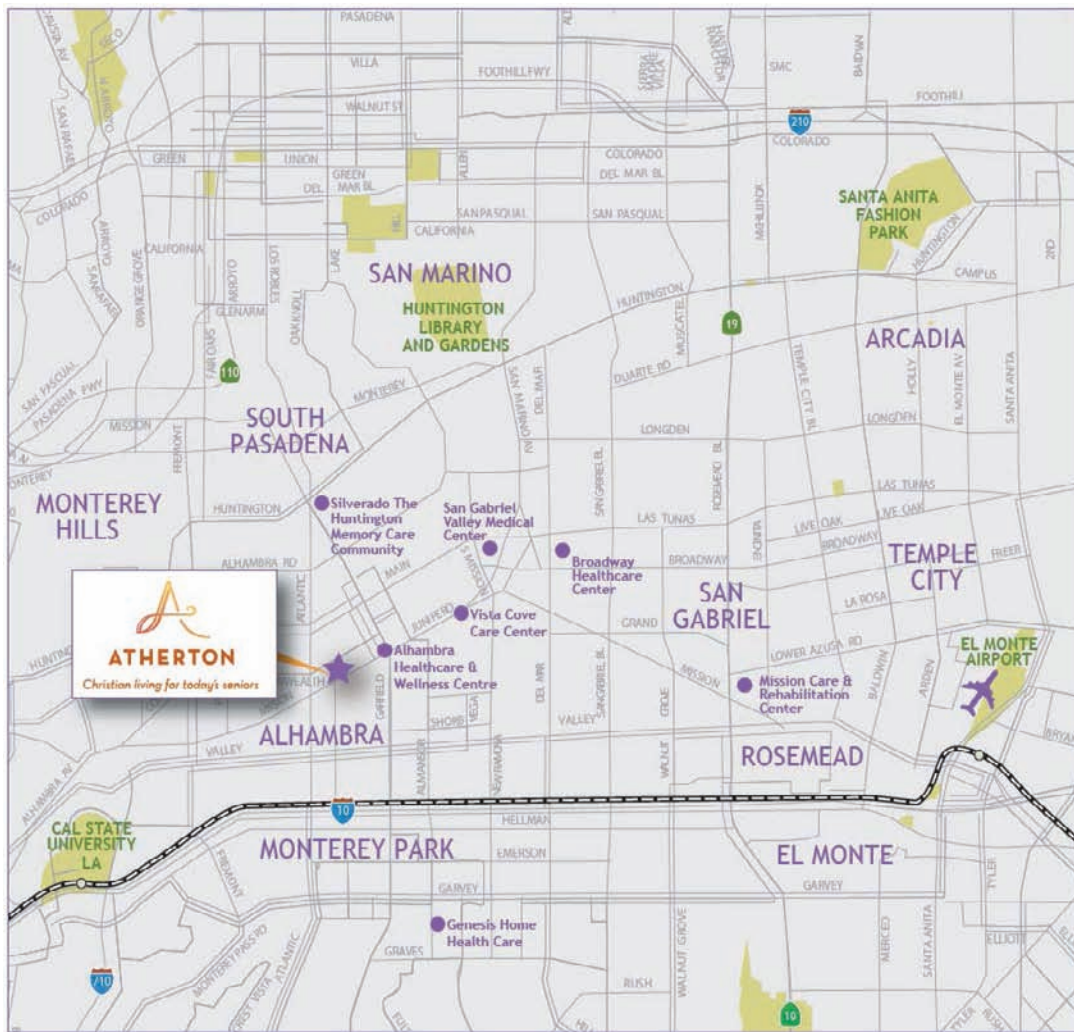
\$5,100,000—3.375% Term Bonds due January 1, 2036; Priced 97.988% to yield 3.520% CUSIP[†]: 016021BJ5
\$7,650,000—3.500% Term Bonds due January 1, 2040; Priced 98.048% to yield 3.625% CUSIP[†]: 016021BK2

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^c Priced to first call date of January 1, 2027.



ATHERTON



Entrance



Courtyard Residential Living ("RL") Exterior



Courtyard RL Interior



Classic RL Exterior



Courtyard RL Community Room



Classic RL Living Room



REGARDING USE OF THIS OFFICIAL STATEMENT

The information contained herein under the heading “THE ISSUER” and “LITIGATION—Issuer” has been furnished by the City of Alhambra, California (the “*Issuer*”). The information in APPENDIX H—“BOOK-ENTRY SYSTEM” has been obtained from The Depository Trust Company. All other information contained herein has been obtained from Atherton Baptist Homes (the “*Corporation*”) and other sources (other than the Issuer) which are believed to be reliable. Such other information is not guaranteed as to accuracy or completeness by, and is not to be relied upon as or construed as a promise or representation by, the Issuer or B.C. Ziegler and Company (the “*Underwriter*”). The Underwriter has provided the following sentence for inclusion in this Official Statement: *The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.*

No dealer, broker, salesperson or other person has been authorized by the Issuer, the Corporation or the Underwriter to give any information or to make any representations other than those contained in this Official Statement and, if given or made, such information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement shall not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be a sale of Bonds by any person, in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder shall under any circumstances create any implication that there has been no change in the affairs of the Issuer or the Corporation since the date hereof.

The Issuer has consented to the use of this Official Statement. The Issuer does not assume any responsibility for the accuracy or completeness of any information contained in this Official Statement, except such information relating specifically to the Issuer under the captions, “THE ISSUER” and “LITIGATION—Issuer.”

In making an investment decision, investors must rely upon their own examination of the terms of the offering, including the merits and risks involved.

In connection with the offering of the Bonds, the Underwriter may over-allot or effect transactions that stabilize or maintain the market price of the Bonds at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time.

The Bonds have not been registered under the Securities Act of 1933 nor has the Indenture been qualified under the Trust Indenture Act of 1939, in reliance upon exemptions contained in such acts. The registration or qualification of the Bonds in accordance with applicable provisions of securities laws of the states in which the Bonds have been registered or qualified, if any, and the exemption from registration or qualification in other states cannot be regarded as recommendations thereof. Neither these states nor any of their agencies have passed upon the merits of the Bonds or the accuracy or completeness of this Official Statement. Any

representation to the contrary may be a criminal offense. The Bonds are not anticipated to be registered or qualified for sale in the states of Washington or New Hampshire.

This Official Statement should be reviewed by each prospective purchaser and its legal, regulatory, tax, accounting, investment and other advisors. Investors whose investment authority is subject to legal restrictions should consult their own legal advisors to determine whether and to what extent the Bonds constitute a legal investment for them. In making any investment decision, investors must rely on their own examination of the Indenture, the Loan Agreement, the Deed of Trust, the Contract of Insurance, the Regulatory Agreement and related documents and the terms of the Bonds, including the risks involved.

**CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING STATEMENTS
IN THIS OFFICIAL STATEMENT**

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “estimate,” “budget” or similar words.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE CORPORATION DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THOSE FORWARD-LOOKING STATEMENTS IF OR WHEN ITS EXPECTATIONS, OR EVENTS, CONDITIONS OR CIRCUMSTANCES ON WHICH SUCH STATEMENTS ARE BASED OCCUR.

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OFFICIAL STATEMENT

relating to

\$31,390,000

**City of Alhambra, California
Insured Refunding Revenue Bonds
(Atherton Baptist Homes Project)
Series 2016**

INTRODUCTION

The description and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive, and reference is made to each document for the complete details of all terms and conditions. All statements herein are qualified in their entirety by reference to each document. See APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS" for definitions of certain words and terms used herein. The following descriptions and summaries of the Bonds, the Indenture, the Loan Agreement, the Continuing Disclosure Agreement, the Deed of Trust, the Contract of Insurance and the Regulatory Agreement in this Official Statement are qualified by reference to the complete text of the documents being described or summarized. Copies of such documents will be available for inspection at the Principal Corporate Trust Office of the Trustee. This Official Statement speaks only as of its date, and the information contained herein is subject to change.

The purpose of this Official Statement, including the cover page and the Appendices hereto, is to set forth information in connection with the offering of \$31,390,000 in aggregate principal amount of Insured Refunding Revenue Bonds (Atherton Baptist Homes Project) Series 2016 (the "*Bonds*") by the City of Alhambra, California (the "*Issuer*").

The Corporation. Atherton Baptist Homes, a California nonprofit public benefit corporation (the "*Corporation*"), owns and operates a continuing care retirement community known as Atherton Baptist Homes in Alhambra, California (the "*Community*"). The Corporation has received a ruling from the Internal Revenue Service ("*IRS*") that it is exempt from federal income tax under Section 501(a) of the Internal Revenue Code of 1986, as amended (the "*Code*"), as an organization described under Section 501(c)(3) of the Code. For more information about the Community, operation, governance and financial condition of the Corporation, see APPENDIX A—"DESCRIPTION OF ATHERTON BAPTIST HOMES" and APPENDIX B—"AUDITED FINANCIAL STATEMENTS OF ATHERTON BAPTIST HOMES AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2013, 2014 AND 2015." See also APPENDIX C—"FINANCIAL FEASIBILITY REPORT."

The Bonds. The Bonds will be issued pursuant to the provisions of an Indenture, dated as of November 1, 2016 (the "*Indenture*"), by and between the Issuer and Wells Fargo Bank, N.A., as trustee (the "*Trustee*"). The Issuer will lend the proceeds of the Bonds to the Corporation pursuant to the provisions of a Loan Agreement, dated as of November 1, 2016 (the "*Loan Agreement*"), by and between the Issuer and the Corporation. See "THE BONDS" herein.

Purpose of the Bonds. The proceeds of the Bonds will be loaned to the Corporation to (1) advance refund the outstanding City of Alhambra, California Revenue Bonds (Atherton Baptist Homes Project), Series 2010A (the “*Series 2010A Bonds*”), \$28,230,000 of which are currently outstanding; (2) fund a Debt Service Reserve Account for the benefit of the Bonds; and (3) pay certain expenses of issuing the Bonds and refunding the Series 2010A Bonds. A more detailed description of the use of the proceeds from the sale of the Bonds is included under the captions “ESTIMATED SOURCES AND USES OF FUNDS” and “PLAN OF FINANCE” herein.

Insurance of Bonds by the Office. In accordance with the California Health Facility Construction Loan Insurance Law, Chapter 1 of Part 6 of Division 107 of the California Health and Safety Code (the “*Insurance Law*”), the Issuer, the Corporation and the Office of Statewide Health Planning and Development of the State of California (the “*Office*”) will enter into the Contract of Insurance, dated as of November 1, 2016 (the “*Contract of Insurance*”), and the Regulatory Agreement, dated as of November 1, 2016 (the “*Regulatory Agreement*”), pursuant to which the Office will insure the payment of principal of and interest on the Bonds in the event that amounts received by the Trustee pursuant to the Indenture are not sufficient to pay in full, when due, principal of and interest on the Bonds. If monies are not available to pay principal of and interest on the Bonds, the Office will be obligated to continue to make payments on the Bonds or will instruct the Trustee to declare the principal of all Bonds then outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest and, upon the occurrence of certain events, shall notify the Treasurer (“*Treasurer*”) of the State of California (the “*State*”) and the Treasurer will issue debentures to the holders of the Bonds, fully and unconditionally guaranteed by the State, in an amount equal to the principal of and the accrued interest on the Bonds. For a more detailed description of the obligation of the Office to insure the payment of the principal of and interest on the Bonds, the procedures with respect to an insurance default, the obligations of the Corporation pursuant to the Regulatory Agreement and the financial condition of the Office’s insurance program and the State, see “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM,” “BONDHOLDERS’ RISKS—STATE BOND INSURANCE,” “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE,” “RATINGS,” APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—CONTRACT OF INSURANCE” AND “—REGULATORY AGREEMENT,” AND APPENDIX G—“FORM OF CONTRACT OF INSURANCE.”

Security for the Bonds. The Bonds are limited obligations of the Issuer, secured under the provisions of the Indenture and the Loan Agreement and payable from payments made by the Corporation under the Loan Agreement. The terms of the Loan Agreement will require payments by the Corporation that, together with other moneys available therefor (and interest earned thereon), will be sufficient to provide for the payment of the principal (or Redemption Price) of and interest on the Bonds when due.

As security for the payment of the Bonds, the Issuer will pledge and assign to the Trustee all right, title and interest of the Issuer in and to the Loan Agreement (other than certain rights of the Issuer that are unassigned as described in the Loan Agreement), including the right to receive payments under the Loan Agreement, and will direct the Corporation to make said payments directly to the Trustee. Under the Indenture, all of the Revenues and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (but not including the Rebate Fund) are pledged to secure the full payment of the

principal (or Redemption Price) of and interest on the Bonds in accordance with their terms and the provisions of the Indenture.

Payment of the principal of, and interest on, the Bonds will be additionally secured by moneys deposited to the credit of the Debt Service Reserve Account established under the Indenture, the security interest in Gross Revenues of the Corporation granted in the Loan Agreement and the Regulatory Agreement, subject to Permitted Encumbrances (as defined in the Regulatory Agreement), and a first mortgage lien on the Community and a security interest in the personal property of the Corporation pursuant to a Deed of Trust on the Community (described herein). See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Debt Service Reserve Account,” “– Gross Revenue Fund” and “– Deed of Trust” herein.

Financial Covenants. The Regulatory Agreement requires the Corporation to meet certain financial covenants, including a Rate Covenant, a Current Ratio Covenant and a Days Cash on Hand Covenant, on an annual basis. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Rate Covenant, Current Ratio Covenant, Days Cash on Hand Covenant” herein.

Deed of Trust. The Corporation will execute and deliver the Deed of Trust, pursuant to which the Corporation will grant to the trustee thereunder for the benefit of the Office and the Trustee (as assignee of the Issuer) a first lien on and security interest in the Collateral Property, as defined herein, securing the principal of, and interest on, the Bonds and Parity Debt. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Deed of Trust” herein.

Additional Indebtedness; Parity Debt; Additional Bonds. Subject to the satisfaction of the terms and conditions of the Regulatory Agreement, the Corporation may incur additional Long-Term Indebtedness, including Parity Debt, which would be secured equally and ratably with the obligations of the Corporation under the Loan Agreement. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.” Parity Debt may include one or more series of Additional Bonds payable from Revenues and secured by the pledge made under the Indenture equally and ratably with the Bonds, but only upon compliance by the Issuer with the provisions of the Indenture and any additional requirements set forth in the Supplemental Indenture pursuant to which the Additional Bonds are issued. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Issuance of Additional Bonds” and “—Proceedings for the Issuance of Additional Bonds.”

Continuing Disclosure. The Corporation will enter into an undertaking (the “*Continuing Disclosure Agreement*”) for the benefit of the Bondholders to provide certain information and to provide notice of certain events to the Municipal Securities Rulemaking Board (the “*MSRB*”) on its Electronic Municipal Market Access system (“*EMMA*”). Digital Assurance Certification, LLC will serve as dissemination agent with respect to the Corporation’s disclosure obligations under the Continuing Disclosure Agreement. For further information, see “CONTINUING DISCLOSURE” herein. The Issuer has not made and will not make any provision to provide any annual financial statements or other credit information of the Issuer or the Corporation to investors on a periodic basis.

Feasibility Study. Richard W. Dallas, CPA has prepared a Financial Feasibility Report, dated August 19, 2016 (the “*Feasibility Study*”), which is attached hereto as APPENDIX C—“FINANCIAL FEASIBILITY REPORT.” The Feasibility Study includes management’s financial forecast of the Corporation for the fiscal years ending December 31, 2016 through 2020. As stated in the Feasibility Study, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. THE FEASIBILITY STUDY SHOULD BE READ IN ITS ENTIRETY, INCLUDING THE FINANCIAL STATEMENT ASSUMPTIONS SET FORTH THEREIN.

Bondholders’ Risks. There are risks associated with the purchase of the Bonds, including without limitation those described under the heading “BONDHOLDERS’ RISKS” herein. A prospective owner is advised to read this Official Statement for a discussion of certain Bondholders’ Risks which should be considered in connection with an investment in the Bonds. Among other things, careful evaluation should be made of the assumptions described in the Feasibility Study, and certain factors that may adversely affect the ability of the Corporation to generate sufficient revenues to pay expenses of operation, including the principal of, premium, if any, and interest on the Bonds. Careful consideration should be given to these risks and other risks described elsewhere in this Official Statement.

THE ISSUER

The City of Alhambra, California (the “*Issuer*”) is located in the San Gabriel Valley area of Los Angeles County, approximately eight miles east of downtown Los Angeles and encompasses approximately 7.5 square miles. The Issuer’s estimated population as of January 1, 2016 was approximately 86,782.

The Issuer was incorporated on July 11, 1903 under the laws of the State of California. The Issuer is a charter city and has a Council-Manager form of municipal government. The City Council appoints the City Manager who is responsible for the day-to-day administration of City business and the coordination of all departments of the Issuer. The City Council is composed of a Mayor and four members elected bi-annually at large to four-year alternating terms. The mayoral position is held on a nine-month rotational basis established in the City Charter. The Issuer employs a staff of approximately 356 full-time employees and 247 part-time employees.

The Issuer provides its citizens with police protection, fire protection, sewer maintenance, water, trash collection, street sweeping, library services, park maintenance and building inspection. The Issuer cooperates with Los Angeles County in the provision of flood control.

EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE ISSUER IS NOT OBLIGATED TO PAY THE PRINCIPAL OR REDEMPTION PRICE OF OR INTEREST ON THE BONDS, EXCEPT FROM REVENUES AND OTHER MONEYS AND ASSETS RECEIVED BY THE TRUSTEE PURSUANT TO THE LOAN AGREEMENT. EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR ANY

POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OR REDEMPTION PRICE OF OR INTEREST ON THE BONDS. THE ISSUER IS NOT LIABLE FOR ANY COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS, OF ANY CONCEIVABLE KIND ON ANY CONCEIVABLE THEORY, UNDER OR BY REASON OF OR IN CONNECTION WITH THE LOAN AGREEMENT, THE BONDS OR THE INDENTURE, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED BY THE ISSUER FOR THE PAYMENT THEREOF FROM THE CORPORATION UNDER THE LOAN AGREEMENT.

THE BONDS

GENERAL

Certain capitalized terms used herein which are taken from the Indenture have the meanings set forth in APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.”

THE BONDS

The Bonds will be issued only in fully registered form in denominations of \$5,000 or any integral multiple thereof. The Bonds will bear interest (based on a 360-day year of twelve 30-day months) at the respective rates per annum and will mature, subject to earlier redemption, in the amounts and on the dates set forth on the inside cover page of this Official Statement. The Bonds will bear interest from their dated date, payable on January 1 and July 1 of each year, commencing January 1, 2017 (the “*Interest Payment Dates*”). The Bonds will be dated their date of delivery.

When the Bonds are issued, The Depository Trust Company (“*DTC*”) will act as securities depository. Thereafter, the Bonds will be registered in the book-entry only system (the “*Book-Entry System*”) maintained by DTC. See “BOOK-ENTRY SYSTEM” in APPENDIX H hereto. Payment of principal, premium, if any, and interest on the Bonds will be made to beneficial owners by DTC as described in APPENDIX H hereto. If the Book-Entry System is discontinued, the provisions of the following two paragraphs will apply.

The principal or Redemption Price of the Bonds will be payable in lawful money of the United States of America by check upon presentation and surrender of such Bonds at the Principal Corporate Trust Office of the Trustee. Interest payments on the Bonds (other than with respect to defaulted interest) will be payable to the registered owner thereof appearing on the registration books of the Trustee as of the close of business on the Record Date. “*Record Date*” means, with respect to each Interest Payment Date, the 15th day of the calendar month preceding such Interest Payment Date, whether or not such day is a Business Day. Interest on the Bonds shall, except as hereinafter provided, be paid by check mailed by first class mail on each Interest Payment Date to the registered owner thereof at the address as it appears on the registration books of the Trustee; or, if a written request of any Owner of Bonds in the aggregate principal amount of \$1,000,000 or more is received by the Trustee prior to the Record Date, by wire transfer to an account within the United States.

In the event of a default in the payment of interest due on an Interest Payment Date, such defaulted interest shall be payable to the person in whose name such Bond is registered at the close of business on a Special Record Date fixed by the Trustee upon notice to Owners by first class mail not less than ten days prior to such Special Record Date.

REDEMPTION OF THE BONDS

Optional Redemption. The Bonds maturing on or before January 1, 2027 are not subject to optional redemption prior to their maturity. The Bonds maturing on or after January 1, 2028, are subject to redemption prior to their stated maturity, on or after January 1, 2027, at the option of the Issuer (which option shall be exercised as directed by the Corporation), in whole or in part by lot on any date (in such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity), from any source of available moneys, at a redemption price equal to the principal amount of the Bonds called for redemption, together with accrued interest to the date fixed for redemption, without premium.

Mandatory Sinking Account Redemption. The Issuer shall pay or redeem Bonds from moneys on deposit in the Sinking Account for Outstanding Term Bonds, at a redemption price equal to the principal amount thereof plus accrued interest to the redemption date, without premium, in the amounts and at the times, as follows:

Term Bonds Maturing January 1, 2036

JANUARY 1 OF THE YEAR	MANDATORY SINKING ACCOUNT PAYMENT
2034	\$1,645,000
2035	1,700,000
2036 [†]	1,755,000

[†] Stated maturity

Term Bonds Maturing January 1, 2040

JANUARY 1 OF THE YEAR	MANDATORY SINKING ACCOUNT PAYMENT
2037	\$1,815,000
2038	1,880,000
2039	1,945,000
2040 [†]	2,010,000

[†] Stated maturity

Special Redemption. The Bonds are subject to redemption prior to their respective stated maturities at the option of the Issuer (which option shall be exercised as directed by the Corporation) in whole or in part on any date (in such amounts and of such maturities as may be specified by the Corporation, or if the Corporation fails to designate such maturities, in inverse order of maturity, and by lot within a maturity) from certain moneys derived from insurance or condemnation proceeds received with respect to the facilities of the Corporation required to be deposited in the Special Redemption Account pursuant to the Regulatory Agreement at the principal amount thereof together with interest accrued thereon to the date fixed for redemption, without premium.

General Redemption Provisions. No redemption of less than all of the Bonds at any time outstanding will be made unless the aggregate principal amount of the Bonds to be redeemed is equal to an Authorized Denomination of \$5,000 or more, and the aggregate principal amount of the Bonds outstanding after the redemption is an Authorized Denomination.

Purchase in Lieu of Redemption. In lieu of redeeming Bonds in the manner provided above under the captions “Optional Redemption,” “Special Redemption” and “Mandatory Sinking Account Redemption,” the Trustee shall, upon written direction of the Corporation with the consent of the Office, apply amounts deposited in the Optional Redemption Account, the Special Redemption Account or the Mandatory Sinking Account established under the Indenture to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to the Bonds (or, if such Bonds are not then subject to redemption, the par value of such Bonds); and *provided further* that in the case of the Optional Redemption Account in lieu of redemption at such next succeeding date of redemption, or in combination therewith, amounts in such account may be credited against Loan Repayments in order of their due date as set forth in a Request of the Corporation. All Term Bonds purchased or redeemed shall be allocated to applicable Mandatory Sinking Fund Account Payments designated in a Certificate of the Corporation (or if the Corporation fails to deliver such a certificate, in inverse order of their payment dates).

Notice of Redemption. Except as provided below, notice of redemption shall be mailed by first class mail by the Trustee, not less than thirty (30) nor more than sixty (60) days prior to the redemption date to (i) the respective Owners of any Bonds designated for redemption at their addresses appearing on the bond registration books of the Trustee, and (ii) the Issuer, the Corporation and one or more Information Services. Notice of redemption shall also be given by telecopy, certified, registered, electronic or overnight mail to the Securities Depositories. Each notice of redemption shall state the redemption date, the place or places of redemption, the maturities, the date of issue of the Bonds, the CUSIP number (if any) of the maturity or maturities and, if less than all of any such maturity, the distinctive numbers (or inclusive ranges of distinctive numbers) of the Bonds of such maturity, to be redeemed and, in the case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice shall also state that on said date there will become due and payable on each of said Bonds the Redemption Price thereof or of said specified portion of the principal amount thereof in the case of a fully registered Bond to be redeemed in part only, together with

interest accrued thereon to the redemption date, and that from and after such redemption date interest thereon shall cease to accrue, and shall require that such Bonds be then surrendered.

If any Bonds are to be redeemed pursuant to optional redemption as described above under the caption "Optional Redemption," the notice of redemption shall specify that the redemption is contingent on the deposit of moneys with the Trustee in an amount sufficient to redeem such Bonds on the anticipated redemption date, and that the optional redemption shall not occur if, by no later than the scheduled redemption date, sufficient moneys to redeem the Bonds have not been deposited with the Trustee. In the event that the Trustee does not receive sufficient funds by the scheduled optional redemption date to so redeem the Bonds to be optionally redeemed, such event shall not constitute an Event of Default, the Trustee shall send written notice to the Owners, to the Securities Depositories and to one or more of the Information Services to the effect that the redemption did not occur as anticipated, and the Bonds for which notice of optional redemption was given shall remain Outstanding.

Failure to give notice in the manner prescribed with respect to any Bond, or any defect in such notice, shall not affect the validity of the redemption of any other Bond.

Upon the happening of the conditions described above, the Bonds thus called will not, after the applicable redemption date, bear interest, be protected by the Indenture or be deemed to be Outstanding under the provisions of the Indenture.

Defeasance. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), *provided that*, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided above or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Issuer in respect of such Bond shall cease, terminate and be completely discharged, except only that thereafter the Owner thereof shall be entitled to payment of the principal of and interest on such Bond by the Issuer and the Issuer shall remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment.

PLAN OF FINANCE

The proceeds of the Bonds, together with certain other additional funds, will be loaned to the Corporation to (1) advance refund the outstanding Series 2010A Bonds; (2) fund a Debt Service Reserve Account for the benefit of the Bonds, and (3) pay certain expenses of issuing the Bonds and refunding the Series 2010A Bonds.

REFUNDING OF THE SERIES 2010A BONDS

The Corporation will cause a portion of the Bonds, together with certain available amounts, to be deposited in an irrevocable trust fund (the "*Escrow Fund*"), held by Wells Fargo Bank, N.A., as escrow agent (the "*Escrow Bank*") all as more specifically provided in that

certain Escrow Agreement, dated as of November 1, 2016 (the “*Escrow Agreement*”), among the Issuer, the Corporation and the Escrow Bank. Such amounts, together with amounts deposited in the Escrow Fund from certain funds and accounts established in connection with the Series 2010A Bonds, will be invested in escrow securities as described in the Escrow Agreement or held uninvested as cash. The escrow securities will be scheduled to mature in such amounts and at such times and bear interest at such rates as to provide funds (together with any cash deposit in the Escrow Fund) sufficient to provide sufficient moneys to pay the regularly scheduled payments of sinking fund installments and interest on the Series 2010A Bonds coming due through and including January 1, 2020, and the redemption price of the Series 2010A Bonds on January 1, 2020.

Sufficiency of the deposits in the Escrow Fund for such purposes will be verified by Causey Demgen & Moore P.C., Denver, Colorado (the “*Verification Agent*”). Assuming the accuracy of such computations, as a result of the deposit and application of funds as provided in the Escrow Agreement, the Series 2010A Bonds will be defeased in accordance with their provisions as of the date of issuance of the Bonds.

The amounts held by the Escrow Bank in the Escrow Fund are pledged solely to the refunding of the Series 2010A Bonds. Neither the moneys deposited in the Escrow Fund nor any interest on the invested moneys will be available for the payments of principal of and interest on the Bonds.

USE OF PROCEEDS OF THE SERIES 2010A BONDS

The proceeds of the Series 2010A Bonds were used, among other things, to (a) finance the costs of constructing residential units, a parking garage and other improvements at the Community; (b) fund a portion of the interest on the Series 2010A Bonds; (c) refinance certain indebtedness of the Corporation; (d) fund a debt service reserve fund for the benefit of the Series 2010A Bonds; and (e) pay a portion of the expenses incurred in connection with the original execution and delivery of the Series 2010A Bonds.

ESTIMATED SOURCES AND USES OF FUNDS

Proceeds to be received from the sale of the Bonds are estimated to be applied as set forth in the following table. (All amounts are shown rounded to the nearest thousand dollars.)

Source of Funds:

Principal Amount	\$31,390,000
Net Original Issue Premium.....	2,458,000
Corporation Equity.....	140,000
Trustee Held Funds	3,906,000
Total Sources of Funds	<u>\$37,894,000</u>

Uses of Funds:

Escrow Fund Deposit	\$34,606,000
Debt Service Reserve Account	1,042,000
Costs of Issuance ⁽¹⁾	817,000
Insurance Premium and Related Fees	1,428,000
Interest Account	1,000
Total Uses of Funds	<u>\$37,894,000</u>

⁽¹⁾ Includes Issuer fees, legal fees, underwriter's discount, printing costs, accounting fees, rating agency fees and other costs of issuance. Costs of issuance in excess of 2% of the proceeds of the Bonds will be paid from Corporation equity.

ESTIMATED ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each bond year ending January 1, the amounts required to be available for the payment of principal of (including required Mandatory Sinking Account payments) and interest on the Bonds. (All amounts are shown rounded to the nearest whole dollar.)

YEAR ENDING JANUARY 1,	BONDS		TOTAL DEBT SERVICE ON BONDS
	PRINCIPAL	INTEREST	
2017	\$130,000	\$199,473	\$329,473
2018	825,000	1,257,231	2,082,231
2019	850,000	1,232,481	2,082,481
2020	875,000	1,206,981	2,081,981
2021	910,000	1,171,981	2,081,981
2022	945,000	1,135,581	2,080,581
2023	995,000	1,088,331	2,083,331
2024	1,045,000	1,038,581	2,083,581
2025	1,095,000	986,331	2,081,331
2026	1,150,000	931,581	2,081,581
2027	1,210,000	874,081	2,084,081
2028	1,270,000	813,581	2,083,581
2029	1,335,000	750,081	2,085,081
2030	1,400,000	683,331	2,083,331
2031	1,470,000	613,331	2,083,331
2032	1,545,000	539,831	2,084,831
2033	1,590,000	491,550	2,081,550
2034	1,645,000	439,875	2,084,875
2035	1,700,000	384,356	2,084,356
2036	1,755,000	326,981	2,081,981
2037	1,815,000	267,750	2,082,750
2038	1,880,000	204,225	2,084,225
2039	1,945,000	138,425	2,083,425
2040	2,010,000	70,350	2,080,350
Total	\$31,390,000	\$16,846,300	\$48,236,300

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

GENERAL

The Bonds are limited obligations of the Issuer, payable solely from Loan Repayments received by the Trustee pursuant to the Loan Agreement, together with investment income on certain funds and accounts held by the Trustee under the Indenture. In the Loan Agreement, the Corporation will agree to make payments to the Trustee at such times and in such amounts so as to provide for payment of the principal of, premium, if any, and interest on the Bonds outstanding when due, whether upon a scheduled Interest Payment Date, at maturity or by mandatory or optional redemption, acceleration or otherwise, and certain fees and expenses (consisting generally of fees and charges of the Trustee, taxes, accountants' fees and any fees and expenses of the Issuer and the Trustee associated with the Bonds) (the "*Additional Payments*").

As security for the payment of the Bonds, the Issuer will pledge and assign to the Trustee for the benefit of the Bondholders all of the Revenues (as described below) and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture and all right, title and interest of the Issuer in and to the Loan Agreement, including the right to receive payments under the Loan Agreement (other than (i) its rights to give consent or approval under the Indenture, (ii) the right to receive Additional Payments or certain fees, costs and charges payable to third parties to the extent payable to the Issuer, and (iii) the right of the Issuer to indemnification, to receive notices, to consent to amendments and to receive certain certificates), the Deed of Trust, the Contract of Insurance and the Regulatory Agreement, as further described under this heading.

Certain investment earnings on monies held by the Trustee may be transferred to a Rebate Fund established pursuant to the Indenture and governed by the provisions of a Tax Certificate to be entered into by the Corporation. Amounts held in such Rebate Fund will not be part of the "trust estate" pledged to secure the Bonds and consequently will not be available to make payments on the Bonds. In the Loan Agreement, the Corporation will agree to make any payments required under the Tax Certificate.

EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE ISSUER SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL OF THE BONDS, OR THE REDEMPTION PREMIUM, IF ANY, OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND, EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM, NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OF OR THE REDEMPTION PREMIUM, IF ANY, OR INTEREST ON THE BONDS. EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM, THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT.

PLEDGE OF REVENUES

Under the Indenture, and subject to and for the purposes and on the terms and conditions set forth in the Indenture, all of the Revenues and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (except the Rebate Fund) are pledged to secure the payment of the principal of, Redemption Price and interest on the Bonds. “Revenues” are all amounts received by the Issuer or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture, but not including any expenses or any amounts paid to the Issuer or the Trustee pursuant to rights of indemnification or any Additional Payments. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.”

DEED OF TRUST

The Corporation will execute and deliver the Deed of Trust, pursuant to which the Corporation will grant to the trustee thereunder for the benefit of the Office and the Trustee (as assignee of the Issuer), a first lien on and security interest in the real property, rents and leases, personal property and fixtures relating to the Community (collectively, the “*Collateral Property*”), subject to Permitted Encumbrances and to the right of the Corporation (with the prior consent of the Office) to remove property from the lien of the Deed of Trust, as security for the performance of the Corporation’s obligations under the Loan Agreement, the Regulatory Agreement and the Contract of Insurance and with respect to Parity Debt. The total book value of the Collateral Property constituted approximately 100% of the book value of all property, plant and equipment of the Corporation as of August 31, 2016.

See “BONDHOLDER’S RISKS—Certain Risks Associated with the Deed of Trust.”

OFFICE DEEMED HOLDER OF BONDS AND OFFICE’S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office is deemed to be the Holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interest of the Holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS.”

SECURITY INTEREST IN GROSS REVENUES

Subject to the terms of the Loan Agreement and the Regulatory Agreement, the Gross Revenues of the Corporation are pledged to secure the payment of Loan Repayments and the performance by the Corporation of its obligations under the Contract of Insurance and the Regulatory Agreement and with respect to Parity Debt. “*Gross Revenues*” is defined in the Regulatory Agreement as all revenues, income, receipts and money received in any period by the Corporation, including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties; (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt), (2) accounts, including, but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation; (c) Entrance Fees (net of refunds or repayments of Entrance Fees); and (d) rentals received from the lease of the Corporation’s properties or space in its facilities; *provided, however*, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations, contributions and tax revenues to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those independent living units or other areas of the Corporation’s facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a Residency Agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the independent living units or other areas of the Corporation’s facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

So long as any Loan Repayments remain unpaid under the Loan Agreement, all of the Gross Revenues shall be deposited as soon as practicable upon receipt in a fund designated as the “Gross Revenue Fund,” which the Corporation shall establish and maintain pursuant to the provisions of the Loan Agreement at such banking or financial institution or institutions as the Corporation shall from time to time designate for such purpose (the “*Depository Bank(s)*”). To perfect the security interest in the Gross Revenues, the Corporation will execute a deposit account control agreement with the Depository Bank and will also file a financing statement under the Uniform Commercial Code of the State of California. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—LOAN AGREEMENT—Gross Revenue Fund.”

See “BONDHOLDER’S RISKS—Certain Matters Relating to Enforceability.”

DEBT SERVICE RESERVE ACCOUNT

A Debt Service Reserve Account for the Bonds (the “*Debt Service Reserve Account*”) will be established and funded under the terms of the Indenture. Amounts on deposit in the Debt Service Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up a deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Office, provided the Office is not in default of its obligations under the Contract of Insurance) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding. In the event the balance in the Debt Service Reserve Account shall be less than the Debt Service Reserve Account Requirement as a result of a draw thereon to make up a deficiency in the Interest Account or Principal Account, the Corporation shall replenish such account with the amount necessary to increase the balance in the Debt Service Reserve Account to an amount at least equal to the Debt Service Reserve Account Requirement. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Investment of Moneys in Funds and Accounts” and “SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Allocation of Revenues.”

On the date of delivery of the Bonds, an amount equal to the Debt Service Reserve Account Requirement will be deposited in the Debt Service Reserve Account. The Debt Service Reserve Account Requirement is defined in the Indenture to be, as of any date of calculation, an amount equal to the least of (a) fifty percent (50%) of the Maximum Annual Bond Service, (b) 125% of average annual debt service or (c) 10% of the principal amount of the Bonds outstanding as of such date.

See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—SUMMARY OF THE INDENTURE—Allocation of Revenues” and “—Funding and Application of Debt Service Reserve Account.”

RATE COVENANT, CURRENT RATIO COVENANT AND DAYS CASH ON HAND COVENANT

Under the Regulatory Agreement and the Loan Agreement, the Corporation is required to fix, charge and collect rates, fees and charges that, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year to produce a Debt Service Coverage Ratio equal to at least 1.25, measured as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2016.

The Regulatory Agreement also requires the Corporation to maintain, as of the end of each Fiscal Year (commencing with the fiscal year ending December 31, 2016) a Current Ratio (a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements for such Fiscal Year) of at least 1.5:1.0.

In addition, the Regulatory Agreement requires the Corporation to maintain, as of the end of each Fiscal Year (commencing with the Fiscal Year ending December 31, 2016) not less than 150 Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year. For purposes of this requirement, "*Days Cash on Hand*" shall mean, for any Fiscal Year, the quotient obtained by dividing (1) the Corporation's cash and cash equivalents, including board designated funds and funded depreciation, but excluding donor restricted funds and proceeds of short-term indebtedness, as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Corporation's operating expenses (including interest on indebtedness but excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

The Corporation covenants and agrees under the Regulatory Agreement that within one hundred twenty (120) days after the end of each Fiscal Year commencing with the Fiscal Year ending December 31, 2016, the Corporation shall compute the Debt Service Coverage Ratio, the Current Ratio and the Days Cash on Hand for such Fiscal Year and promptly furnish to the Issuer, the Trustee and the Office a Statement setting forth the results of such computation.

The Corporation further covenants and agrees under the Regulatory Agreement that if, at the end of such Fiscal Year, (i) the Debt Service Coverage Ratio shall have been less than as required by the provisions of the Regulatory Agreement described above in the first paragraph under this sub-heading, (ii) the Current Ratio shall have been less than as required by the provisions of the Regulatory Agreement described above in the second paragraph under this sub-heading, or (iii) the Days Cash on Hand shall have been less than as required by the provisions of the Regulatory Agreement described in the third paragraph under this sub-heading, it will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio as required by the provisions of the Regulatory Agreement described above in the first paragraph under this sub-heading in the current Fiscal Year, (y) a current ratio as required by the provisions of the Regulatory Agreement described above in the second paragraph under this sub-heading in the current Fiscal Year and (z) Days Cash on Hand as required by the provisions of the Regulatory Agreement described in the third paragraph under this sub-heading in the current Fiscal Year; *provided, however*, the Corporation need not so employ a Management Consultant if the Office consents, in writing, to a waiver of said covenant to employ a Management Consultant. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; *provided, however*, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board of Directors of the Corporation makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Office gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Office may replace existing management with new management, which shall be chosen unilaterally by the Office.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the foregoing covenants for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required by the provisions of the Regulatory Agreement described in the foregoing paragraphs; *provided*, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) Debt Service Coverage Ratio shall be at least equal to 1.0 for such Fiscal Year.

The above-described covenants contained in the Regulatory Agreement may be waived or amended by the Office without the necessity of obtaining the consent of the owners of the Bonds, the Issuer or any other party. For a further description of the rate covenant, the current ratio covenant and the Days Cash on Hand covenant, *see* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.”

PARITY DEBT; OTHER INDEBTEDNESS; ADDITIONAL BONDS

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Corporation’s obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Office or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Office. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

Parity Debt may include one or more series of Additional Bonds payable from Revenues and secured by the pledge made under the Indenture equally and ratably with the Bonds, but only upon compliance by the Issuer with the provisions of the Indenture and any additional requirements set forth in the Supplemental Indenture pursuant to which the Additional Bonds are issued. Parity Debt may also be issued through other qualified conduit issuers without the consent of the Issuer. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Issuance of Additional Bonds” and “— Proceedings for the Issuance of Additional Bonds.”

INSURANCE

The principal of and interest on the Bonds will be insured by the Office. If moneys are not available to pay the principal of or interest on the Bonds, the Office will be obligated to continue to make payments on the Bonds or shall instruct the Trustee to declare the principal of all Bonds then Outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest. Upon the occurrence of certain events, the Office shall notify the Treasurer, and the Treasurer shall issue debentures to the Holders of the Bonds fully and unconditionally guaranteed by the State in an amount equal to the principal of and

accrued interest on the Bonds. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

LIMITED LIABILITY OF THE ISSUER

EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE ISSUER SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL OF THE BONDS, OR THE REDEMPTION PREMIUM, IF ANY, OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND, EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM, NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OF OR THE REDEMPTION PREMIUM, IF ANY, OR INTEREST ON THE BONDS. EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM, THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT.

CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM

DESCRIPTION OF THE INSURANCE POLICY

General. The Corporation has received a conditional commitment from the Office for insurance of the Corporation’s payment of the principal and interest with respect to the Bonds. Insurance of the full amount of the principal and interest with respect to the Bonds (but not any premium) is evidenced by the Contract of Insurance and the Regulatory Agreement, both of which will be entered into by the Office, the Issuer and the Corporation, concurrently with the execution and delivery of the Bonds. See APPENDIX G—“FORM OF CONTRACT OF INSURANCE” for the form and terms of the insurance provided by the Office. The Regulatory Agreement contains certain financial covenants of the Corporation relating to, among other things, the maintenance of specified debt service coverage levels and the limitations on incurrence of additional indebtedness or disposition of assets by the Corporation. Prospective owners of the Bonds should note that the provisions of the Regulatory Agreement may be amended with the consent of the Office without the necessity of obtaining the consent of the owners of the Bonds or the holders of Parity Debt. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—Description of the Insurance Policy – Rights of the Office Under the Regulatory Agreement” herein and APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Insurance Law Section 129050, subsection (a) requires that a loan must be secured by a first mortgage, first deed of trust or first priority lien on an interest of the borrower in real property and any other security agreement as the Office may require. For this purpose, the Corporation will grant a security interest in the Gross Revenue Fund and all of the Gross

Revenues under the Loan Agreement and the Regulatory Agreement and the Corporation will enter into the Deed of Trust. Prospective holders of the Bonds should note that the provisions of the Deed of Trust may be amended, subordinated or terminated at any time with the consent of the Office without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt.

Incontestability and Non-Cancellability. Under Insurance Law Section 129110, the Contract of Insurance is incontestable from the date of execution thereof, except in case of fraud or misrepresentation on the part of the lender. The Insurance Law and the Contract of Insurance impose certain continuing obligations on the Corporation as a condition of insuring the Bonds but specify that the remedies for breach of these obligations shall not include withdrawal or cancellation of the insurance. The insurance provided by the Contract of Insurance will terminate under certain circumstances, including payment in full by the Office of the insurance with respect to the Bonds or defeasance of the Bonds pursuant to the Indenture, as more fully described in APPENDIX G—“FORM OF CONTRACT OF INSURANCE.” See also, APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—CONTRACT OF INSURANCE.”

Procedures upon Default. If there is an event of default as specified under the Indenture or the Loan Agreement, the Trustee must notify the Office. The Trustee also must notify the Office if 30 days prior to an Interest Payment Date or Principal Payment Date there are not sufficient available moneys held by the Trustee in the Revenue Fund (other than in the Debt Service Reserve Account) to make the next payment of principal or interest with respect to the Bonds.

Pursuant to the Regulatory Agreement and the Indenture, if there is an Event of Default under the Indenture and the Trustee has notified the Office that available moneys in the Principal and Interest Account will be insufficient to pay in full the next succeeding payment of interest and/or principal on the Bonds when due, the Office shall cause a sufficient amount to be deposited in the Principal Account and/or Interest Account at least three Business Days prior to the date on which such payment is due. The money will come from the Debt Service Reserve Account held under the Indenture or from the Health Facility Construction Loan Insurance Fund (the “HFCLIF”) that is established by the Insurance Law (Sections 129010, subsection (g) and 129200). The obligation of the Corporation to repay any money advanced from the HFCLIF is secured by the Deed of Trust.

Following an Event of Default, the Office may (i) continue to approve such transfers or make such payments described in the preceding paragraph as are necessary to provide for the timely payment of the principal of and interest with respect to the Bonds, (ii) accept title to the Facilities from the Trustee upon foreclosure pursuant to the Deed of Trust or otherwise, (iii) accept an assignment of the security interest created under the Deed of Trust and of all claims under the Indenture, or (iv) instruct the Trustee to declare the principal of the Bonds then Outstanding and the interest with respect thereto to be immediately due and payable and make such payment from the HFCLIF. If funds in the HFCLIF are not sufficient to make the required payments described above, the Office shall notify the Treasurer who is required to issue debentures in place of such Bonds. See “THE OFFICE, THE PROGRAM AND THE INSURANCE FUND—State Debentures” below.

Rights of the Office under the Regulatory Agreement. The Regulatory Agreement grants the Office extensive rights, including the right to attend and participate in all meetings of the Corporation's Board of Directors. Additionally, the Regulatory Agreement prohibits the Corporation from taking certain actions without first obtaining the consent of the Office or meeting certain requirements in the Regulatory Agreement, including affiliating with, merging into, or consolidating with any entity; transferring cash or cash equivalents to any entity, including but not limited to a subsidiary or an affiliate of the Corporation; disposing of or acquiring property; and incurring indebtedness. Additionally, upon the occurrence of an event of default under the Regulatory Agreement, the Deed of Trust or the Indenture, the Office shall have the remedies provided in Insurance Law Section 129173. See APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT."

Rate Covenant and Other Financial Covenants. Under the Regulatory Agreement and the Loan Agreement, the Corporation is required to fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, beginning with the Fiscal Year ending December 31, 2016, to produce a Debt Service Coverage Ratio of at least 1.25 for such Fiscal Year. The Regulatory Agreement also requires the Corporation to maintain, as of the end of each fiscal year, a ratio of current assets to current liabilities of at least 1.50 to 1 beginning with the fiscal year ending December 31, 2016, and at least 150 Days Cash on Hand, beginning with the Corporation's fiscal year ending December 31, 2016. The measurement of Days Cash on Hand is taken at the end of each particular fiscal year. Covenants contained in the Regulatory Agreement may be waived or amended by the Office without the necessity of obtaining the consent of the holders of the Bonds, the Issuer or any other party. For more specific information relating to these covenants, see APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT." The Bonds will continue to be insured by the Office in the manner described above even if an Event of Default were to occur under financial or other covenants made by the Corporation.

THE OFFICE, THE INSURANCE PROGRAM AND THE INSURANCE FUND

General. The California Health Facility Construction Loan Insurance Program (the "Insurance Program") is authorized by Article XVI, Section 4 of the California Constitution and is provided for in the Insurance Law. The Insurance Program is operated by the Office, which has adopted regulations implementing the Insurance Program. Under the Insurance Law, the Office is currently authorized to insure health facility construction, improvement and expansion loans, as specified in the Insurance Law. Entities which may obtain insurance for their facilities include both public agencies and nonprofit corporations, and authorized health facilities include a wide range from acute care facilities to local clinics, dependency centers and community mental health centers. The Insurance Law authorizes the Insurance Program to insure not more than \$3,000,000,000 principal amount of loans at any time. According to Cal-Mortgage Loan Insurance Division Monthly Activity reports published on the Office's website, as of June 30, 2016 the principal amount of loans insured under the Insurance Program was approximately \$1,637,990,120 comprised of 91 loans.

Finances of the Insurance Program; Financial Reports. The Insurance Program is financed by an application fee of 0.5% of the loan applied for, but not to exceed \$500 (Insurance Law section 129090), an inspection fee not in excess of 0.4% of the loan that is insured (Insurance Law section 129035), and an insurance premium due in full at closing not in excess of 3.0% of the total amount of principal and interest payable over the term of the loan (Insurance Law section 129040). The fees and premiums charged are deposited in the HFCLIF and are used to defray administrative expenses of the Insurance Program, to cure defaults on loans and to pay principal of and interest on insured bonds and certificates of participation prior to issuance of debentures by the Treasurer.

Under the Insurance Law, payments of principal and interest with respect to the Bonds or payments on the debentures would be made by the Office from the HFCLIF. As of June 30, 2016, the cash balance of the HFCLIF was approximately \$166,632,464. The monies in the HFCLIF are continuously appropriated to pay obligations insured by the Office under the Insurance Law. Insurance Law section 129215 states: “The Health Facility Construction Loan Insurance Fund, established pursuant to Section 129200, shall be a trust fund and neither the fund nor the interest or other earnings generated by the fund shall be used for any purpose other than those purposes authorized by this chapter.” The moneys in the HFCLIF are invested in the State’s Pooled Money Investment Account.

The Office is required by law to submit certain reports to the Legislature, consisting of two Annual Reports, and a State Plan. The State Plan is prepared every two years, as of January 1 of each odd-numbered year. The 2013 State Plan is available at the website of the Office. The 2015 State Plan has not yet been released but is expected to be available in 2016. The Annual Reports to the Legislature for the year ended June 30, 2014 (the “2014 Annual Reports”), are available at the website of the Office. The Office also prepares monthly reports containing limited financial data. The most recent monthly report available from the Office is for the period ended June 30, 2016.

The following table provides certain statistics for the Insurance Program as of the end of the last five fiscal years for which reports are available from the Office:

	FISCAL YEAR ENDED JUNE 30				
	2012	2013	2014	2015	2016
Number of Loans Insured	122	117	109	105	91
Principal Amount of Loans Insured (\$000)	\$ 1,708,991	\$ 1,726,980	\$ 1,671,379	\$ 1,784,501	\$ 1,637,990
Cash Balance of HFCLIF	\$172,924,033	\$168,822,959	\$174,289,633	\$174,317,510	\$166,632,464

Insurance Program Loans; Status of Borrowers. The future financial status of the Insurance Program is directly affected by the financial performance of the borrowers in the Insurance Program and their current and projected ability to repay their loans. The Office has established a rating system to implement objective criteria and continues to monitor each borrower for compliance with loan covenants assigning a risk rating (A to F) to that borrower and all its loans.

The risk ratings have a corresponding relationship to the financial status of the borrower and risk to HFCLIF:

A Rating—no material problems;

B Rating—minor problems such as one or more of the following: for more than one fiscal year, some of the borrower's covenant requirements have not been met; the borrower's financial trends indicate potential problems; the borrower is more than 6 months late in providing its financial and other reports as required by its Regulatory Agreement;

C Rating—serious problems, such as one or more of the following: the borrower's last insured loan payment was not paid within 30 days of the delinquency date defined in the borrower's Regulatory Agreement; the borrower's day's cash on hand is low; the last calculation of the insured debt service coverage ratio was below 1.0 and the project does not have a substantial cash cushion either in days cash on hand or in relation to amount of insured debt; payables and receivables indicate inappropriate lag time; economic indicators locally, regionally or statewide are impacting the borrower; management turnover and/or board oversight is in question; borrower has filed for bankruptcy protection but is making full payments on insured debt;

D Rating—very serious problems such as one or more of the following: the debt service reserve fund has been invaded and the borrower is not making substantial progress in fully replenishing its debt service reserve fund, pursuant to the loan documents; financial trends have been escalating downward with no action plan in place to correct the problem; the borrower's days cash on hand is exceedingly low, such that it does not appear that the borrower will be able to make its next payroll; payment(s) are not being made and HFCLIF may be used within the next 12 months;

E Rating—payments have been or are being made from the HFCLIF, but full recovery is expected. The Office has a work out plan with the borrower; and

F Rating—payments have been or are being made from the HFCLIF and loss of some magnitude is expected.

As of June 30, 2016, there was one borrower with two loans in the portfolio with D Ratings, two borrowers with a total of five loans with E Ratings, and no borrowers with an F Rating; the total outstanding principal balance of these D and E rated borrowers' loans was \$57,080,260.

Since the start of the Insurance Program in 1972, 20 borrowers (with 28 loans) have defaulted with all required payments coming from the HFCLIF (without cost to the State General Fund). Kern Valley Healthcare District ("*Kern Valley*") defaulted on its loan in the fiscal year ended June 30, 2011, and required payments from the HFCLIF during calendar year 2015 of approximately \$545,000. The Office anticipates that Kern Valley will require advances from the HFCLIF of approximately \$4,443,000 through August, 2021. Kern Valley is making partial

payments through a workout agreement with the Office and the shortfall is expected to be repaid with interest starting in August 2021 through August 2029. On October 17, 2012, Mendocino Coast Health Care District (“*Mendocino Coast*”) entered Chapter IX bankruptcy. The Office insured three bond issues totaling \$9,205,000 and a bank line of credit of \$1,000,000 for Mendocino Coast. Mendocino Coast continues to make bond payments. When Mendocino Coast entered bankruptcy, the bank declared the line of credit in default and the Office paid on its insurance and now asserts the claim in bankruptcy. The Office and the District have reached a settlement agreement which restructures the loan, but results in no loss to the Office.

The largest defaulted loan in the Insurance Program was a loan to Triad Healthcare Corporation in the original amount of \$182.3 million. The project is no longer in existence and the Triad loan is carried as a long-term liability of the Insurance Program. As of June 30, 2016, the remaining principal balance of the Triad loan is \$57,940,000. The payments from the HFCLIF (net of recoveries) for the Triad loan have been \$182,465,667. In December 2013, a portion of the outstanding bonds were refunded so the Insurance Program could realize interest expense savings. The HFCLIF will make payments for the Triad loan of approximately \$11.5 million each year until August 1, 2018, \$12.1 million in 2019 and 2020, and a final payment of \$8.2 million on August 1, 2021.

State Debentures. In the event the obligations of the HFCLIF to pay on an issue of defaulted bonds or certificates of participation exceeds the available balances in the HFCLIF, and upon receipt by the Office of title to subject facilities or assignment of the security interest in a deed of trust and upon surrender of the defaulted bonds or certificates of participation to the Office, the Office shall notify the Treasurer and request the Treasurer to issue debentures to the trustee for the benefit of the holders of the defaulted bonds and certificates of participation so surrendered. Pursuant to Insurance Law section 129160, subsection (a), (1) the debentures shall bear interest at a rate equal to the insured loan or bond, and shall be payable on a payment schedule identical to payments on the insured loan or bond; (2) the debentures are fully and unconditionally guaranteed as to principal and interest by the State; and (3) the amounts to be paid on the debentures will be continuously appropriated from the General Fund of the State Treasury. Insurance Law section 129160, subsection (b) provides, “In the event of a default, any debenture issued under this article shall be paid on par with general obligation bonds issued by the state.” See “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATINGS” herein.

While the Office has not requested the issuance of and the Treasurer has not issued any such debentures since the inception of the Insurance Program, and while definitive procedures for their issuance have not been established, including procedures covering matters such as compliance with the provisions of the Code and the Treasury Regulations promulgated thereunder, the Office and the Treasurer have all necessary power to establish such procedures, and it is expected that such procedures would be established in advance of any issuance of debentures. It is expected that, to the same extent as interest on the Bonds is not includable in the gross income of the holders thereof for purposes of federal income taxation, interest on the debentures would not be includable in the gross income of the holders, and that interest on debentures would be exempt under the law as in effect on the date hereof from State personal income taxes. Upon the occurrence of certain Events of Default under the Indenture, there is the

possibility that the interest on the Bonds could become subject to federal income taxation. The Indenture provides that there shall be no acceleration of the principal and interest on the Bonds upon the occurrence of an Event of Default under the Indenture without the consent of the Office. If the Bonds were declared taxable by the IRS or another appropriate authority, thereby resulting in an Event of Default under the Indenture, and if the Office did not consent to an acceleration, the holders of the Bonds (and holders of any debentures exchanged for such Bonds) would continue to receive interest payments, but those interest payments would not be excludable from gross income for federal income tax purposes. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default; Remedies on Default.”

Actuarial Study. The Office obtains an independent actuarial review of the HFCLIF every two years. At the request of the Office, Oliver Wyman Actuarial Consulting, Inc. (“*Oliver Wyman*”) completed a study in July 2016 (the “*2014 Actuarial Study*”) to evaluate, among other matters, (1) the reserve sufficiency of the HFCLIF as of June 30, 2014; and (2) the risk to the State’s General Fund from the Insurance Program. Oliver Wyman compared the HFCLIF cash balance as of June 30, 2014 of \$174.29 million against the reserve and capital requirements standards set by the California Department of Insurance for private financial guaranty insurers; the 2014 Actuarial Study indicated that the Insurance Program’s assets were at least \$74.69 million below the level which would be required by the California Department of Insurance standards for private insurers (including reserves for projects which were anticipated to default in fiscal year 2014/15). As to the second subject, the 2014 Actuarial Study indicated that the HFCLIF as of June 30, 2014 under the “expected scenario” (which scenario assumed, among other things, a 6.20% default rate) should maintain a positive balance until at least the forecast period of 2043/2044. Even under the “most pessimistic scenario” in which a 10% probability of catastrophic loss was used, the 2014 Actuarial Study indicated that there was a 70% likelihood that HFCLIF reserves as of June 30, 2014 would protect against any General Fund losses until at least 2022/23, and a 90% likelihood that HFCLIF reserves as of June 30, 2014 would protect against any General Fund losses until at least 2019/20.

The 2014 Actuarial Study is based on stated assumptions and estimates including, but not limited to, default rates, investment yields, termination rates, claim severities, catastrophic losses and payment patterns. Variation from such estimates or assumptions may cause actual results to vary from the analysis in the 2014 Actuarial Study and such variations could be material. A copy of the 2014 Actuarial Study is available on the Office’s website or upon request to: Office of Statewide Health Planning and Development, Cal-Mortgage Loan Insurance Division, 400 R Street, Suite 470, Sacramento, CA 95811, Telephone: (916) 319-8800; e-mail: cminsure@oshpd.ca.gov. The actuarial study as of June 30, 2016 (the “*2016 Actuarial Study*”) is in progress.

See “BONDHOLDERS’ RISKS - State Bond Insurance” for a discussion of the risks related to the Insurance. See “RATINGS” in this Official Statement for a discussion of the rating the Bonds are expected to receive due to the insurance by the Office of the Bonds.

For a further description of the Regulatory Agreement and the Contract of Insurance, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS” and APPENDIX G—FORM OF CONTRACT OF INSURANCE.”

CERTAIN FINANCIAL INFORMATION REGARDING THE STATE

Information about the financial condition of the State, including the State budget and State spending, is available at various State-maintained websites. Information concerning the current year State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” Analyses of the current year budget and future budget proposals are posted from time to time by the independent Office of the Legislative Analyst at www.lao.ca.gov. Reference is made to the most recent preliminary official statement or official statement issued by the State in connection with general obligation bonds, lease revenue obligations or revenue anticipation notes, which can be accessed from the website of the State Treasurer’s office, www.treasurer.ca.gov, under the headings “Public Finance Division—Current Offerings” (for preliminary official statements) or through EMMA, a facility of the Municipal Securities Rulemaking Board, at <http://emma.msrb.org> (for final official statements). All of such websites and other sources are provided for general informational purposes only and the material on such sites and from such resources is in no way incorporated into this Official Statement. Readers are cautioned that such information is not necessarily fully current and that the reported financial condition of the State may have changed since the date such information was published or posted.

BONDHOLDERS’ RISKS

Set forth below are certain risk factors that should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Corporation’s facilities. **This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Corporation’s facilities or the payment of the Bonds.**

GENERAL

As described herein under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS,” the principal of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deed of Trust, are payable solely from amounts payable by the Corporation under the Loan Agreement and from certain funds held under the Indenture. No representation or assurance is given or can be made that revenues will be realized by the Corporation in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the Corporation. The Risk Factors discussed below should be considered in evaluating the ability of the Corporation to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the Corporation will be subject to, among other factors, federal and state policies affecting the senior housing and health care industries (including changes in reimbursement rates and policies), increased competition from other senior housing and health care providers, the capability of the management of the Corporation and future

economic and other conditions that are impossible to predict. The extent of the ability of the Corporation to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Issuer has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation.

LIMITED OBLIGATIONS

EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE ISSUER SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL OF THE BONDS, OR THE REDEMPTION PREMIUM OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND, EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM, NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE ISSUER, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OF OR THE REDEMPTION PREMIUM OR INTEREST ON THE BONDS. EXCEPT AS PROVIDED THROUGH THE INSURANCE PROGRAM, THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT.

MANAGEMENT'S FORECAST

Management's financial forecast contained in the Financial Feasibility Study included in APPENDIX C hereto is based upon assumptions made by the management of the Corporation. As stated in such financial forecast, there will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material. In addition, the financial forecast is only for the five years ending December 31, 2020, and consequently does not cover the whole period during which the Bonds may be outstanding. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C hereto.

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTEE CAN BE MADE THAT MANAGEMENT'S FINANCIAL FORECAST IN THE FINANCIAL FEASIBILITY STUDY WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE RELATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE RETIREMENT LIVING AND HEALTH CARE INDUSTRIES, AND GENERAL ECONOMIC CONDITIONS.

STATE BOND INSURANCE

Because the principal and interest payments on the Bonds will be insured by the Office, if the principal and interest payments on the Bonds are not made by the Corporation, such payments would be made by the Office from the HFCLIF. The last actuarial study of HFCLIF obtained by the Office was as of June 30, 2014, and indicated that the HFCLIF could be depleted prior to the maturity date of the Bonds, assuming a 10% probability of catastrophic loss. The 2014 Actuarial Study is available at the website of the Office. *See* “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Office, the Insurance Program and the Insurance Fund.”

To the extent the HFCLIF reserves are depleted and subject to the requirements of the Insurance Law, the Office shall request the Treasurer to issue debentures which are fully and unconditionally guaranteed as to principal and interest by the State in an amount equal to the then outstanding principal amount of the Bonds. Accordingly, any decline in the State’s fiscal condition could adversely affect the State’s ability to make payment on debentures in the event of a claim on such insurance. *See* “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE.”

In addition, over certain time periods, deterioration in the State’s budget and cash situation may cause the nationally recognized rating services to reduce the State’s credit ratings. S&P Global Ratings, the rating agency for the Bonds, has indicated that it rates the Office’s insured bonds on par with the rating of the State’s general obligation bonds and that any rating action affecting the State will directly affect the rating on the Insurance Program. Therefore, any decline in the State’s fiscal condition could adversely affect the rating on the Bonds. *See* “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Office, the Insurance Program and the Insurance Fund.” *See also* “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATINGS.”

UNCERTAINTY OF REVENUES

Although the Corporation expects that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including demand for senior housing, the ability of the Corporation to provide the living environment demanded by residents and potential residents, competition, changes in prevailing rates, costs, demographic changes, legislation, governmental regulations and litigation may adversely affect revenues and, consequently, the Corporation’s ability to make payments under the Loan Agreement.

The principal and interest payments on the Bonds will be insured by the Office. The Issuer has no control, financial or otherwise, over the Office. If the Corporation were to default in making Loan Repayments under the Loan Agreement and the Office were to default on its insurance obligations under the Contract of Insurance, there could be insufficient funds available to pay the Holders of the Bonds. *See* “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM,” “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE,” and “BONDHOLDERS’ RISKS—State Bond Insurance.”

Failure to Achieve and Maintain Occupancy and Turnover. The ability of the Corporation to generate sufficient revenues depends in large part on the Corporation's ability to attract sufficient numbers of residents to its facilities in order to maintain substantial occupancy and turnover of occupancy throughout the term of the Bonds. Because occupancy and turnover at the Corporation's facilities depends upon factors outside the Corporation's control, such as residents' rights to terminate their contracts with the Corporation, the Corporation must rely on various assumptions about the Corporation's residents and the market for its services. Where such assumptions prove to be wrong, the Corporation's revenue will be affected. For example, the Corporation's receipt of additional entrance fees could be impaired by the survival of a substantial number of residents beyond assumed life expectancies, fewer permanent transfers to the Corporation's assisted living or skilled nursing facilities than anticipated, or a market-induced reduction in the amount or deferral of the entrance fees payable by new residents. Revenues would also be impaired if the Corporation is unable to remarket units as they become available. If the Corporation's operations fail to maintain occupancy levels and resell independent living units and assisted living units as they become available, or if there is a reduction in the amount of entrance fees received, the Corporation may lack sufficient funds to pay debt service on the Bonds.

Competition. Increased competition from a wide variety of potential sources, including but not limited to other assisted living and retirement communities, memory care communities, residential living communities, continuing care retirement communities, life care communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health services and others could adversely affect the utilization and/or revenue of the Corporation. Existing and potential competitors may not be subject to various restrictions applicable to the Corporation, and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the Corporation will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be constructed in the future. See APPENDIX A—"DESCRIPTION OF ATHERTON BAPTIST HOMES—THE COMMUNITY — Competition."

Real Estate Markets/Sale of Personal Residences. During the term of the Bonds, prospective residents of the Corporation's facility may have difficulty selling their current homes due to national and local economic conditions impairing the sale of residential real estate and, as a consequence, may not have sufficient assets to pay entrance fees and monthly service fees. This could cause a delay in scheduled occupancy of the Corporation's community or the remarketing of vacated units, or a reduction in the amount or deferral of the entrance fees payable, all of which would have an adverse effect on the revenue of the Corporation.

Fixed Income of the Elderly. A large percentage of the monthly income of residents and prospective residents of the Corporation's facilities is fixed income derived from pensions and Social Security. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Alternatively, any decrease in the amounts paid by a resident's fixed income sources could affect such resident's ability to meet financial obligations. The Corporation's inability to collect the full amount of residents'

payment obligations may adversely affect the ability of the Corporation to make payments with respect to the Bonds.

Reduced Demand. Several factors could, if implemented, affect demand for services of the Corporation, including: (i) efforts by insurers and governmental agencies to reduce utilization of skilled nursing and long-term care facilities by means such as preventive medicine and home health programs; (ii) increased consumer demand for services at home; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; and (v) a decline in the economic conditions of the service area of the Corporation's facility.

UNCERTAINTY OF INVESTMENT INCOME

The investment earnings of, and accumulations in, certain funds established pursuant to the Indenture have been estimated and are based on assumed interest rates. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Trustee is permitted to invest under the Indenture, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized.

PHILANTHROPY

The Corporation derives income from unrestricted gifts and donations to supplement operating revenues to finance operations and, in particular, capital needs. See APPENDIX B—“AUDITED FINANCIAL STATEMENTS OF ATHERTON BAPTIST HOMES FOR THE FISCAL YEARS ENDED DECEMBER 31, 2013, 2014 AND 2015.” Although management of the Corporation expects gifts and donations to remain at least at current levels and to increase at a moderate rate, there can be no assurance that this revenue will not decrease, adversely affecting the Corporation's ability to finance its capital needs through gifts and donations.

INCREASES IN MEDICAL COSTS

Because the Corporation is obligated to provide its continuing care contract residents with the right to move to a higher level of care, a deviation from the anticipated mortality rate or medical care requirements of the resident population or substantial unanticipated increases in the cost of such care could have a negative impact on the operations of the Corporation's community. The undertaking to provide such care is a contractual obligation of the Corporation, and no assurance can be given that the Corporation will have sufficient funds to meet its anticipated obligations. Residents are required to obtain Medicare Part A, Medicare Part B and supplemental insurance satisfactory to the Corporation; however, Medicare does not cover the cost of nursing home care except under certain limited circumstances (including up to 100 days of skilled nursing care following a 3-day qualifying hospital stay). In addition, the cost of providing health care services may increase due to increases in salaries paid to nurses and other health care personnel and due to shortages in such personnel which may require use of registries

or employment agencies. Increases in third party therapy services and other ancillary costs such as drugs and medical supplies may also increase costs.

ADDITIONAL CAPITAL REQUIREMENTS

The Corporation's operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the Corporation to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be integral to the operations of the Corporation.

LABOR COSTS AND RELATIONS

The Corporation cannot control the prevailing or required minimum wage rates in its service area and any increase in such rates will directly affect the costs of its operations. Effective January 1, 2016, California's minimum wage is \$10 per hour, among the highest in the country. Pursuant to state legislation passed in 2016, California's minimum wage will incrementally increase to \$15 per hour by 2022 for employers with 26 or more employees. See APPENDIX C—"FINANCIAL FEASIBILITY REPORT" for cost projections relating to the minimum wage increase for the periods covered by the Feasibility Study. Management has examined the effect of California's minimum wage law and does not anticipate that such minimum wage increases will have a material adverse effect on the financial condition of the Corporation.

Unionization of employees or a shortage of qualified professional personnel could cause an increase in payroll costs beyond those projected. Management is not aware of any current attempts by the Corporation's employees to unionize.

NURSING OR OTHER STAFF SHORTAGE

The health care industry has from time to time experienced a shortage of nursing and other technical staff, which has periodically resulted in increased costs and lost revenues due to the need to engage agency nursing personnel at higher rates, pay increased compensation to staff, and the inability to use otherwise available beds as a result of staffing shortages. Increased costs and lost revenues resulting from staff shortages could adversely affect the operations or financial condition of the Corporation.

EMPLOYMENT AND LABOR ISSUES

The Corporation's workforce includes professional, quasi-professional, technical, clerical, housekeeping, maintenance, dietary and other types of workers in a single operation. As with all employers, the Corporation bears a wide variety of risks in connection with these employees. These risks include strikes and other related work actions, contract disputes, difficulties in recruitment, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, and other risks

that may flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the Corporation. See also, “LABOR COSTS AND RELATIONS” above.

PROFESSIONAL LIABILITY CLAIMS AND LIABILITY INSURANCE

In recent years, the number of professional and general liability suits and the dollar amounts of damage recoveries have increased nationwide in the health care industry, resulting in substantial increases in malpractice insurance premiums, higher deductibles and generally less coverage. Professional liability and other actions alleging wrongful conduct and seeking punitive damages are often filed against health care providers. Insurance does not provide coverage for judgments for punitive damages. Insurers are mandating lower amounts of coverage, requiring greater deductibles, and charging more in premiums. Policies issued may not be renewed or renewable. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Corporation or the premiums at which such coverage can be obtained. Although the Corporation currently carries excess malpractice and general liability insurance which management of the Corporation considers adequate, the Corporation is unable to predict the availability, cost or adequacy of such insurance in the future.

PRESENT AND PROSPECTIVE FEDERAL AND STATE REGULATIONS

General. Health care providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the Corporation. Further reductions in federal and state funding of health care below levels authorized by present law can be expected.

Skilled nursing facilities, including those owned by the Corporation, are subject to numerous licensing, certifications, accreditation, and other governmental requirements. These include, but are not limited to, requirements relating to state licensing agencies, private payors and accreditation organizations. Continuing care retirement communities, residential care facilities and assisted living communities, including those owned by the Corporation, are also subject to licensing requirements. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation’s scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures or could reduce the payments received or require the repayment of the amounts previously remitted. See “STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS” below for more information.

Medicare and Medicaid Programs; Program Reimbursement Cuts. Medicare provides certain health care benefits to beneficiaries who are 65 years of age or older, blind, disabled, or qualify for the end stage renal disease program. Medicaid is a program of financial assistance,

funded jointly by the federal government and each of the various states, primarily for medical assistance to certain needy individuals and their dependents. Due to health care reform, the evolving health care delivery system, and continuing political and financial pressures, the legal and regulatory environment surrounding the Medicaid and Medicare programs has been changing and is expected to continue to change. Notably, the Centers for Medicare & Medicaid Services (“CMS”) recently issued new regulations revising the quality, safety and consumer protection standards that a long-term care facility must meet to participate in the Medicare and Medicaid programs (the “2016 LTCF Final Rule”). The 2016 LTCF Final Rule is the first major regulatory overhaul for the long-term care facility industry since 1991 and will require the Corporation to contribute significant time and financial resources to meet the revised standards, which will be phased-in from November 28, 2016 through November 28, 2019. The Corporation believes it will be able to meet the 2016 LTCF Final Rule requirements in the allotted timeframe. Future changes to Medicare and Medicaid may alter features including: (1) services eligible for payment; (2) rates of payment; (3) eligibility requirements to participate or qualify for different levels of payment/reimbursement; (4) consequences of violations; (5) rates and requirements relating to additional payments unrelated to services offered to patients; (6) guidelines relating to interactions between the participating health care providers, third party payors and the federal and state governments; and (7) payment methodologies.

The federal and state governments have in the past, and may in the future, make changes to their respective budgets due to budget shortfalls or other concerns or strategies, which budget reductions may include reductions to the Medicare or Medicaid programs. For the Corporation’s fiscal year ended December 31, 2015, approximately \$1,158,253 (or 6.16% of the Corporation’s net resident service and other revenue) was derived from payment from Medicare, up from \$1,126,342 (or 6.41%) of the total, in the prior year, and approximately \$2,571,121 (or 13.68% of the Corporation’s net resident service and other revenue) was attributable to payments from Medicaid, up from \$2,258,120 (or 12.85%) of the total in the prior year. While it is uncertain whether future federal or state budgets will result in a decrease in such revenue, any reduction thereof could have an adverse impact on the revenues of the Corporation and the ability to pay the debt service of the Bonds.

California Medicaid. State Medicaid and other state health care programs are an important payor source for many health care providers and are likely to become a proportionately larger source of revenue as federal health care reform continues to be implemented, expanding Medicaid in those states that chose to do so. In California, Medicaid is known as “Medi-Cal” and is administered and supervised by the California Department of Health Care Services. California chose to expand Medi-Cal eligibility limits in accordance with the Health Care Reform Act (defined below), bringing health care coverage to adults in California (ages 19 up to 65) who earn up to 138 percent of the federal poverty level. In addition, the *Health for All Kids Act*, which took effect in May 2016, eliminates the immigration status requirement for Medi-Cal eligibility for California residents 18 and under, thereby providing immigrant children in California with access to Medi-Cal. Medicaid expansion has raised concerns about overburdening the health care system with a flood of new patients and challenging the financial viability of the program. As discussed above under the heading “MEDICARE AND MEDICAID PROGRAMS; PROGRAM REIMBURSEMENT CUTS,” many states, including California, face budget challenges which may negatively affect the Corporation in a number of ways, including through

reductions in Medicaid reimbursement rates. See also, “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” above. It is not possible to predict what actions will be taken in future years by the State legislature, the Governor or the California Department of Health Care Services to address the Medicaid budget. Additional reductions in the levels and timing of health care provider reimbursement could have a material adverse effect on the Corporation.

Health Care Reform. The “Patient Protection and Affordable Care Act” and “The Health Care and Education Affordability Reconciliation Act of 2010” (together referred to herein as the “*Health Care Reform Act*”) have had a significant impact on the entire health care industry and will continue to impact the industry in the future. Some of the provisions of the Health Care Reform Act took effect immediately upon its passage in 2010, while others provisions will be phased in through 2023. Guidelines and regulations related to the Health Care Reform Act continue to be amended and enacted.

The Health Care Reform Act changes how consumers pay for their own and their families’ health care and how employers procure health insurance for their employees. In addition, the Health Care Reform Act requires insurers to change certain underwriting practices and benefit structures in order to cover individuals who previously would have been ineligible for health care insurance coverage. As a result, there has been a significant increase in the number of individuals eligible for health care insurance coverage.

Key provisions of the Health Care Reform Act include: (i) creating active insurance markets (referred to as exchanges) in which individuals and small employers can purchase health care insurance for themselves and their families or their employees and dependents, (ii) providing subsidies for premium costs to individuals and families based upon their income relative to federal poverty levels, (iii) mandating that individuals obtain and certain employers provide a minimum level of health care insurance, and providing for penalties or taxes on individuals and employers that do not comply with these mandates, (iv) establishing insurance reforms that expand coverage generally through such provisions as prohibitions on denials of coverage for pre-existing conditions and elimination of lifetime or annual cost caps, and (v) expanding existing public programs, including Medicaid for individuals and families.

The Health Care Reform Act also contains a significant number of provisions related to health care fraud and abuse and program integrity as well as significant amendments to existing criminal, civil and administrative anti-fraud statutes. See “FEDERAL AND STATE FRAUD AND ABUSE LAWS” below. Increased compliance and regulatory requirements, disclosure and transparency obligations, quality of care expectations and extraordinary enforcement provisions that could greatly increase potential legal exposure are all aspects of the Health Care Reform Act that could increase operating expenses to the Corporation.

The Health Care Reform Act includes a number of initiatives that impact skilled nursing facility reimbursement. Specifically, the Health Care Reform Act instructed the Secretary of the United States Department of Health and Human Services (“HHS”) to provide a report and recommendations to Congress in 2012 regarding potential payment penalties for conditions acquired during a resident’s stay at a skilled nursing facility as well as a plan to expand the value-based purchasing demonstration to a national payment model. The Skilled Nursing

Facility Value Based Purchasing Program is set to begin in fiscal year 2019. Additionally, the Health Care Reform Act implemented full market basket updates for federal fiscal years 2010 and 2011, but required a productivity adjustment factor in federal fiscal year 2012 that reduced the market basket adjustment for 2012 and subsequent years. There is no assurance that payments made by CMS as a result of reimbursement reform measures will be sufficient to cover the Corporation's costs. In addition, any future Congressional action related to value-based purchasing or adjustments to market basket updates could negatively affect the Corporation's revenue.

Portions of the Health Care Reform Act have already been limited as a result of legislative amendment or judicial interpretation and efforts to repeal the Health Care Reform Act or certain provisions thereof are from time to time pending in Congress. In June 2012, the U.S. Supreme Court upheld most provisions of the Health Care Reform Act, including the requirement that individuals maintain health insurance coverage. The Supreme Court also ruled that the federal government could not compel states to comply with the Health Care Reform Act's requirement to expand Medicaid by eliminating all federal funds a state receives for its existing Medicaid program. In June 2015, the U.S. Supreme Court held that health insurance subsidies under the Health Care Reform Act would be available in all states, including those with a federally-facilitated health insurance exchange. The Health Care Reform Act continues to be subject to judicial interpretation and attempts to repeal or amend the law. It is not possible to predict the outcome of future legislative attempts to repeal or amend the Health Care Reform Act or what affect continued judicial interpretations will have on the Health Care Reform Act. Such uncertainties regarding the implementation of the Health Care Reform Act create unpredictability for health care providers' strategic and business planning efforts, which in itself constitutes a risk.

Given the general complexity of the Health Care Reform Act, additional legislation is likely to be considered and enacted over time. The Health Care Reform Act has required and will continue to require the promulgation of substantial regulations with significant effects on the health care industry and third-party payors. In response, third-party payors as well as suppliers and vendors of goods and services to health care providers have and are expected to continue to impose new contractual terms and conditions. Thus, the health care industry will continue to be subjected to significant new statutory and regulatory requirements as well as contractual terms and conditions, and consequently to structural and operational changes and challenges, for the foreseeable future.

Management is analyzing the Health Care Reform Act and will continue to do so in order to assess the effects of the legislation and/or regulations on current and projected operations, financial performance and financial condition. However, management cannot predict with any reasonable degree of certainty or reliability any interim or ultimate effects of the legislation or promulgated regulations.

Federal and State Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the "*Federal Healthcare Fraud Laws*"). The Federal Healthcare Fraud Laws are complex, heavily enforced

and subject to frequent amendment. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. Failure to comply with those laws could have a material adverse effect on the Corporation's operations.

A number of states, including California, have passed healthcare fraud and abuse laws similar in scope to the Federal Healthcare Fraud Laws, but have expanded the prohibitions to private insurers. For example, the California Insurance Code provides that a person who submits a fraudulent claim to an insurance company (including private insurers) is subject to significant civil fines and penalties. Similar to the federal False Claims Act, actions under this California Insurance Code section may be initiated by private parties. Failure to comply with state fraud and abuse laws could have a material adverse effect on the Corporation's operations.

The Corporation has a compliance program designed to help ensure material compliance with the Federal Healthcare Fraud Laws and similar state laws. However, in light of the scarcity of case law interpreting the Federal Healthcare Fraud Laws and similar state laws, there can be no assurances that the Corporation will not be found to have violated a Federal Healthcare Fraud Law or similar state law, and if so, whether any sanction imposed would have a material adverse effect on the operations or the financial condition of the Corporation. At the present time, management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to the Corporation would have a material adverse effect on the financial condition of the Corporation.

Billing Practices. Medicare requires that extensive financial information be reported on a periodic basis and in a specific format or content. These requirements are numerous, technical and complex and may not be fully understood or implemented by billing or reporting personnel. With respect to certain types of required information, the False Claims Act may be violated by mere negligence or recklessness in the submission of information to the government even without any specific intent to defraud. New billing systems, new medical procedures and procedures for which there is not clear guidance may all result in liability. The penalties for violation include criminal or civil liability and may include, for serious or repeated violations, exclusion from participation in the Medicare program. While management believes that the Corporation's billing practices will be consistent with Medicare criteria, those criteria are often vague and subject to interpretation and there can be no assurance that aggressive anti-fraud actions will not adversely affect the business of the Corporation.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients' rights to access and amend their own health information. The Administrative Simplification Requirements of the Health Insurance Portability and Accountability Act of 1996 ("*HIPAA*") established national standards to facilitate the electronic exchange of Protected Health Information ("*PHI*") and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (e.g., health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers. The Corporation has developed policies, procedures and practices that it believes comply with the HIPAA

standards and requirements, but if it was determined that the Corporation was not in compliance there could be criminal and civil penalties imposed.

Title XIII of the American Recovery and Reinvestment Act of 2009, otherwise known as the Health Information Technology for Economic and Clinical Health Act (the “*HITECH Act*”), provides for an investment of almost \$20 billion in public monies for the development of a nationwide health information technology infrastructure (“*HITI*”). The HITI is intended to improve health care quality, reduce costs and facilitate access to certain information. The HITECH Act also expands the scope and application of the administrative simplification provisions of HIPAA, and its implementing regulation, (i) imposing a written notice obligation upon covered entities for security breaches involving “unsecured” protected health information, (ii) expanding the scope of a provider’s electronic health record disclosure tracking obligations, (iii) substantially limiting the ability of health care providers to sell protected health information without patient authorization, (iv) increasing penalties for violations, and (v) providing for enforcement of violations by state attorneys general. While the effects of the HITECH Act cannot be predicted at this time, the obligations imposed thereunder could have a material adverse effect on the financial condition of the Corporation.

In California, two medical privacy laws that became effective January 1, 2009 expanded California’s health care privacy standards and provided new oversight mechanisms and enforcement penalties. These state privacy laws, among other things, penalize unlawful access, use or disclosure of a patient’s health care information. State consumer privacy laws may also provide the basis for legal action for privacy and security breaches and, unlike HIPAA, authorize a private right of action. The state privacy laws provide additional sources of potential legal liability for the Corporation and compliance with such laws may require the Corporation to incur additional costs.

STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS

The operations of the Corporation are subject to numerous licensing, certification, accreditation and other governmental requirements that are administered by a variety of federal and state governmental agencies as well as by self-regulatory associations and commercial medical insurance reimbursement programs. These include, but are not limited to, requirements relating to Medicare and Medicaid participation and payment and requirements relating to state licensing agencies, private payors and accreditation organizations. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation’s scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures, or could reduce the payment received or require the repayment of the amounts previously remitted. The Corporation currently anticipates no difficulty in renewing or continuing currently-held licenses, certifications and accreditations. It is impossible, however, to predict the effect of future regulation on the operations or financial condition of the Corporation.

State Regulation of the Community. The Corporation operates its Community as a continuing care retirement community (“CCRC”), consisting of a residential portion licensed as a Residential Care Facility for the Elderly (“RCFE”) by the California Department of Social Services (“DSS”) and a health facility portion licensed as a skilled nursing facility (“SNF”) by the California Department of Public Health (“DPH”). If the Corporation fails to meet any of the below described state regulatory requirements with respect to CCRCs, SNFs or RCFEs, it could become unable to operate as described herein and, consequently, be unable to meet debt service requirements on the Bonds.

Generally, an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the transfer of consideration for the purpose of assuring care or related services is regarded as a “continuing care contract” subject to regulation under the California Health and Safety Code (the “*Health and Safety Code*”). Any person or organization agreeing to provide such care must first obtain: (i) where there is a skilled nursing facility on the premises, a license to operate a skilled nursing facility from the DPH pursuant to Division 2, Chapter 2 of the Health and Safety Code; (ii) a license to operate a RCFE from the DSS pursuant to Division 2, Chapter 3.2 of the Health and Safety Code; and (iii) a certificate of authority (“*Certificate of Authority*”) from DSS pursuant to Chapter 10 of Division 2 of the Health and Safety Code, to enter into continuing care contracts with residents. For information regarding the current licensing of the Community and the types of contracts offered by the Corporation at the Community, see APPENDIX A—“DESCRIPTION OF ATHERTON BAPTIST HOMES.”

RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to suspension or revocation on any ground specified in Health and Safety Code Section 1569.50 (violation by the licensee of the RCFE law; aiding, abetting, or permitting violation of the RCFE law; conduct inimical to the health, morals, welfare, or safety of either an individual in or receiving services from the facility or the people of the State of California; the conviction of a licensee, or other person for whom criminal record clearance is required, any time before or during licensure, of a crime as defined in the RCFE law; and engaging in acts of financial malfeasance concerning operation of a facility, including, but not limited to, improper use or embezzlement of client monies and property or fraudulent appropriation for personal gain of facility monies and property, or willful or negligent failure to provide services for the care of clients). DPH inspects nursing facilities approximately once a year, and facilities failing to meet the state or federal standards are subject to fines or other enforcement actions. The Continuing Care Contracts Branch of DSS reviews each CCRC in the state at least once every three years to augment the branch’s assessment of the CCRC’s financial soundness. The branch considers the condition of the CCRC, whether the CCRC is operating in compliance with applicable state law, and whether the CCRC is performing the services specified in its continuing care contracts. DPH and DSS have the ability to deny licensing if either agency is not satisfied with the Corporation’s compliance with requirements to operate as a skilled nursing facility or RCFE, respectively, in the state. In addition, DPH and DSS both have broad remedial powers to intervene in the operation of a provider who fails to comply with applicable regulatory requirements once the provider is licensed and in operation. Failure to maintain required reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC’s certificate of authority (as discussed in more detail below). Upon

certain failures to comply with regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator's powers include taking possession of the CCRC's assets and property, dealing with the property in the administrator's name, depositing and investing any of the CCRC's funds, and paying all expenses of the rehabilitation. In the event of a permanent relocation of residents from the Corporation's facilities is required due to termination or forfeiture of the Corporation's Certificate of Authority or licenses, certain procedures are required to be followed. These procedures include the establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment the Corporation's statutory obligations, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residents in certain circumstances.

A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the continuing care provider has done any of the following: (i) violated the statutes, or the rules and regulations governing continuing care (the "*Continuing Care Law*"); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificate of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificate of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or is using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law. The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of such a Certificate by a continuing care provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed.

As a provider offering a continuing care contract, the Health and Safety Code requires that the Corporation maintain at all times qualifying assets ("*Qualifying Assets*") as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code - described below (the "*Debt Service Reserve Amount*") and (b) the amount the Continuing Care Provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code - described below (the "*Operating Expense Reserve Amount*"). The Debt Service Reserve

Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the Corporation during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the Corporation; (ii) facility rental or leasehold payments, and any related payments, paid by the Corporation during the immediately preceding fiscal year; and (iii) all payments paid by the Corporation during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days' net operating expenses, which includes all expenses of the Corporation except (w) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (x) depreciation or amortization expenses, (y) an amount equal to the reimbursement paid to the Corporation during the past 12 months for services to residents other than residents holding continuing care contracts, and (z) extraordinary expenses that DSS determines may be excluded by the Corporation. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. The Corporation is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Corporation is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of December 31, 2015, the Corporation was in compliance with the liquidity reserve obligations described above.

In addition to suspending, limiting or revoking a Certificate of Authority, if a continuing care provider fails to establish or depletes the reserves or escrow account required under the Continuing Care Law, is insolvent or in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, fails to submit a plan or to obtain DSS' approval of a plan submitted, is unable fully to perform its obligations under continuing care contracts or residents are otherwise placed in serious jeopardy, DSS may petition the superior court in the county in which such community is located for an order appointing a qualified administrator to operate the community and its assets.

In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the continuing care provider is located. If at any time DSS determines that further efforts to rehabilitate the continuing care provider would not be in the best interest of the CCRC residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the continuing care provider's Certificate of Authority.

The Corporation has obtained the necessary licenses and Certificate of Authority from DSS and DPH in order to operate its Community and in the opinion of management, operates its Community in a manner consistent with the Health and Safety Code. There is no guarantee that the Corporation's Certificate of Authority and licenses to operate the Community will not be suspended, conditioned or revoked. Further, there is no assurance that future legislation in California will not have an adverse impact on the ability of the Corporation to operate the Community as now operated. To date the Corporation's existing skilled nursing facility licenses, RCFE licenses and Certificate of Authority have never been suspended, conditioned or revoked.

Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a CCRC without the approval of DSS, including the granting of any interest in the community, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a Certificate of Authority to operate as a CCRC, a provider must also record a Notice of Statutory Limitation of Transfer with respect to the real property on which the community is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the CCRC property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and certificate of authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts. The Corporation's Community is subject to the foregoing statutory limitations on transfer.

On July 25, 2016, Governor Brown signed a bill which aims to protect CCRC residents and their estates against significant delays in the repayment of residents' entrance fees when contracts condition the repayment on the resale of CCRC units (the "*Monning Bill*"). The Monning Bill requires unpaid entrance fee repayments be subject to a fixed interest rate of 4% after 180 days of the property being vacated, and a fixed interest rate of 6% after 240 days. It also requires CCRCs to disclose the average and longest length of time for entrance fee repayment. Management has examined the Monning Bill and does not anticipate that its requirements will have a material adverse effect on the financial condition of the Corporation.

State Penalties for Significant Patient Care Events. In California, DPH is authorized to issue citations to and impose administrative remedies on SNFs that experience certain significant patient care events that violate State or federal law. In accordance with Sections 1424 and 1424.5 of the California Health and Safety Code, a violation is assigned one of several citation classes based on the scope and impact of the incident on patient health and safety. Depending on the citation class, the administrative penalty for such incidents ranges from \$100 to \$100,000.

SNF Quality Assurance Fees. Certain SNFs in California are subject to “quality assurance fees” on skilled nursing services. State law, however, includes a waiver which exempts certain types of SNFs, such as SNFs that are components of CCRCs and SNFs operated by the state or another public entity, from the obligation to pay such quality assurance fees. There can be no assurance that such exemption (which, as presently in effect exempts the Corporation) will continue in whole or in part, and legislative proposals that contemplate modifying or terminating the scope of the quality assurance fee exemption have been discussed from time to time.

State Fraud and Abuse Laws. As discussed above, states including California have anti-kickback, fee-splitting, physician self-referral and false claims prohibitions similar or more broad in scope to the Federal Healthcare Fraud Laws. Violation of these state laws may result in criminal and civil penalties. See “FEDERAL AND STATE FRAUD AND ABUSE LAWS” above for more information.

RISKS RELATED TO TAX-EXEMPT STATUS

Tax-Exempt Status of the Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include, among other things, limitations on the use of bond proceeds and facilities financed with bond proceeds, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States, and a requirement that the Issuer file an information report with the IRS. The Issuer, the Corporation and the Trustee have covenanted to comply with these requirements to the extent applicable. Failure to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of the interest on the Bonds as taxable. Such adverse treatment may be retroactive to the date of issuance. See also, “TAX MATTERS.”

IRS officials have recently indicated that more resources will be invested in audits of tax-exempt bonds in the charitable organization sector. The Bonds may be, from time to time, subject to audits by the IRS. The Corporation believes that the Bonds properly comply with the tax laws. In addition, Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described under the caption “TAX MATTERS” below. The opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination on the Bonds will not adversely affect the market value of the Bonds. See “TAX MATTERS” below.

Proposed Legislation Regarding Limitations or Elimination of Tax-exempt Status of Bonds. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of interest on the Bonds under Federal or state law or otherwise prevent beneficial owners of the Bonds from realizing the full current benefit of the tax status of such interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the Bonds.

Prospective investors should consult with their tax advisors on the foregoing matters as they consider an investment in the Bonds.

Tax-Exempt Status of the Corporation. The tax-exempt status of the Bonds depends, among other things, upon maintenance by the Corporation of its status as an organization described in Section 501(c)(3) of the Code. The maintenance of such status is contingent on compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including their operation for charitable and other permissible purposes and their avoidance of transactions that may cause their earnings or assets to inure to the benefit of private individuals. As these general principles were developed primarily for public charities that do not conduct large-scale technical operations and business activities, they often do not adequately address the myriad operations and transactions entered into by a modern senior living organization. Although traditional activities of senior living providers have been the subject of interpretations by the IRS in the form of Private Letter Rulings, many activities or categories of activities have not been fully addressed in any official opinion, interpretation or policy of the IRS.

The IRS has issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3) of the Code. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes such care available through continuing arrangements with other organizations, facilities or health personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization operates so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, *provided* that those charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons.

If the IRS were to find that the Corporation has participated in activities in violation of certain regulations or rulings, the Corporation's tax-exempt status could be in jeopardy. Although the IRS has not frequently revoked the Section 501(c)(3) tax-exempt status of nonprofit senior living corporations, it could do so in the future. Loss of tax-exempt status by the Corporation potentially could result in loss of tax exemption of all or a portion of the Bonds, and defaults in covenants regarding the Bonds and other outstanding tax-exempt debt and obligations likely would be triggered. Loss of the Corporation's tax-exempt status also could result in substantial tax liabilities on the income of the Corporation.

In lieu of revocation of exempt status, the IRS may impose penalty excise taxes on certain “excess benefit transactions” involving Section 501(c)(3) organizations and “disqualified persons.” An excess benefit transaction is one in which a disqualified person receives more than fair market value from the exempt organization or pays the exempt organization less than fair market value for property or services, or shares the net revenues of the tax-exempt entity. A disqualified person is a person (or a certain kind of entity) who is in a position to exercise substantial influence over the affairs of the exempt organization during the five years preceding an excess benefit transaction. The statute imposes excise taxes on the disqualified person and any “organization manager” who knowingly participates in an excess benefit transaction. These rules do not penalize the exempt organization itself, so there would be no direct impact on the Corporation or the tax status of the Bonds if an excess benefit transaction were subject to IRS enforcement.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments, or the interpretation of existing or future laws and regulations will not materially and adversely affect the operations and revenues of the Corporation by requiring them to pay income taxes.

Intermediate Sanctions. On July 31, 1996, the Taxpayers Bill of Rights 2 (the “*Taxpayers Act*”) was signed into law. The Taxpayers Act provides the IRS with an “intermediate” tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Prior to the “intermediate sanctions law,” the IRS could punish such violations only through revocation of an entity’s tax-exempt status.

Intermediate sanctions may be imposed where there is an “Excess Benefit Transaction,” defined to include a disqualified person (*i.e.*, an insider) (1) engaging in a non-fair market value transaction with the tax-exempt organization; (2) receiving unreasonable compensation from the tax-exempt organization; or (3) receiving payment in an arrangement that violates the private inurement proscription.

A disqualified person who benefits from an excess benefit transaction will be subject to a “*first tier*” penalty excise tax equal to 25% of the amount of the excess benefit. Organizational managers who participate in an excess benefit transaction knowing it to be improper are subject to a first-tier penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$20,000. A “*second tier*” penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

AMENDMENTS TO THE DOCUMENTS

Certain amendments to the Indenture and the Loan Agreement may be made without the consent of the owners of the outstanding Bonds under the Indenture and certain amendments may be made with the consent of the owners of a majority in principal amount of the outstanding Bonds. Certain amendments to the Deed of Trust may be made with the consent of the Corporation and the Office but without the consent of the City, the Trustee or the owners of the

Bonds. Such amendments may adversely affect the security of the Bondholders. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—Indenture” and “—Loan Agreement,” and “—Regulatory Agreement.”

ADDITIONAL INDEBTEDNESS

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Corporation’s obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Office or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Office. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

BANKRUPTCY

In the event of bankruptcy of the Corporation, the rights and remedies of the holders of the Bonds are subject to various provisions of the federal Bankruptcy Code. If the Corporation were to file a petition in bankruptcy, payments made by the Corporation during the 90-day (or perhaps one-year) period immediately preceding the filing of such petition may be voidable as preferential transfers to the extent such payments allow the recipients thereof to receive more than they would have received in the event of the Corporation’s liquidation. Security interests and other liens granted to the Trustee and perfected during such preference period also may be voided as preferential transfers to the extent such security interest or other lien secures obligations that arose prior to the date of such perfection. Such a bankruptcy filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against the Corporation and its property and as an automatic stay of any act or proceeding to enforce a lien upon or to otherwise exercise control over its property as well as various other actions to enforce, maintain or enhance the rights of the Trustee. If the bankruptcy court so ordered, the property of the Corporation, including accounts receivable and proceeds thereof, could be used for the financial rehabilitation of the Corporation despite any security interest of the Trustee therein. The rights of the Trustee to enforce its security interests and other liens it may have could be delayed during the pendency of the rehabilitation proceeding.

The Corporation could file a plan for the adjustment of its debts in any such proceeding, which plan could include provisions modifying or altering the rights of creditors generally or any class of creditors, secured or unsecured. The plan, when confirmed by a court, binds all creditors who had notice or knowledge of the plan and, with certain exceptions, discharges all claims against the debtor to the extent provided for in the plan. No plan may be confirmed unless certain conditions are met, among which conditions are that the plan be feasible and that it shall have been accepted by each class of claims impaired thereunder. Each class of claims has accepted the plan if at least two thirds in dollar amount and more than one-half in number of the class cast votes in its favor. Even if the plan is not so accepted, it may be confirmed if the court finds that the plan is fair and equitable with respect to each class of non-accepting creditors impaired thereunder and does not discriminate unfairly.

Pursuant to the Indenture, the Office will have the right to vote in the place and stead of all owners of Bonds with respect to any plan of reorganization on any agreement for composition of creditors and on any assignment for the benefit of creditors.

In the event of bankruptcy of the Corporation, there is no assurance that certain covenants, including tax covenants, contained in the Loan Agreement or other documents would survive. Accordingly, a bankruptcy trustee could take action that would adversely affect the exclusion of interest on the Bonds from gross income for federal income tax purposes.

CERTAIN MATTERS RELATING TO ENFORCEABILITY

The effectiveness of the security interests in the Corporation's Gross Revenues granted in the Loan Agreement and the Regulatory Agreement may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Corporation under its contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iii) statutory liens; (iv) rights arising in favor of the United States of America or any agency thereof; (v) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vi) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the Deed of Trust or the security interest in the Gross Revenues of the Corporation which are earned by the Corporation within 90 days preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against the Corporation; (vii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee; and (viii) claims that might arise if appropriate financing or continuation statements are not filed or other documents are not executed in accordance with the California Uniform Commercial Code as from time to time in effect. Under the Uniform Commercial Code, such security interest ceases to attach to proceeds of Gross Revenues, *e.g.*, collections of accounts receivable which cannot be traced to a specific account of the Corporation other than the Gross Revenue Fund created under the Loan Agreement and the Regulatory Agreement or otherwise have ceased to be "identifiable cash proceeds."

There exists, in addition to the foregoing, common law authority and authority under California statutes pursuant to which the California courts may terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes or has taken some action which renders it unable to carry out such purposes. Such court action may arise on the court's own motion pursuant to a petition of the California Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

CERTAIN RISKS ASSOCIATED WITH THE DEED OF TRUST

Valuation. The Community is located in a region that has experienced real property market volatility throughout the past few years. There can be no assurance that, if the Corporation were to default in making the payments under the Loan Agreement, (i) any part or all of the Facilities could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds or (ii) any bid would be received for the Facilities and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds.

Priority of the Liens. The lien created under the Deed of Trust delivered by the Corporation constitutes a first lien on and security interest in the Collateral Property. The liens are subordinate to and independent of liens for general property taxes, special taxes and assessments. Additional special taxes or assessments may be imposed on the Community by other public agencies that have jurisdiction over the Collateral Property. Such future special taxes or assessments would have priority over the liens created under the Deed of Trust. Additionally, the Corporation may create Permitted Encumbrances which have priority over the liens created under the Deed of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous substances. In general, the Corporation may be required by law to remedy conditions of the Community relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as "CERCLA" or the "Superfund Act," is the most well known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Community is affected by a hazardous substance, the marketability and value of the parcel may be reduced by the cost of remedying the condition. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling the hazardous substance. Any of these circumstances could significantly affect the value of the Collateral Property that would be realized upon a delinquency and foreclosure.

Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by nonjudicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee's sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee's sale. Such notice of sale must be posted on the property and must be sent to the trustor, to each person who

has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor, or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys' and trustee's fees. In addition, the notice of sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair market value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Antideficiency Legislation and Other Limitations on Lenders. The State of California has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary's right to obtain a deficiency judgment, one being based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a nonjudicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporation. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the "one form of action" rule, requires the beneficiary to exhaust the security under a deed of trust by foreclosure before bringing a personal action against the trustor on the indebtedness. If a court were to hold that this rule were applicable to the Deed of Trust and the Issuer or the Trustee were to file suit to collect the debt under the Loan Agreement without seeking first to enforce their remedies under the Deed of Trust, they might be precluded from thereafter proceeding under the Deed of Trust to foreclose on the Collateral Property.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair market value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien of the Deed of Trust in the event of a default by the Corporation.

RIGHTS OF RESIDENTS

The Corporation enters into residency agreements with its residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Corporation's Facilities, in the event that either the Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Indenture upon the occurrence of a default, management is unable to predict the resolution that a court might make of competing claims between the Trustee, the Issuer or the holders of the Bonds and the residents of the Corporation's Community who have fully complied with all the terms and conditions of their Residency Agreements.

The Corporation may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of facility service fees or other charges without increase. Moreover, the Corporation may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Corporation will be able to satisfy such resident groups.

ENVIRONMENTAL MATTERS

Retirement communities are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations. Among the types of regulatory requirements faced by such facilities, and by their owners and operators, are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos, medical waste and polychlorinated biphenyls; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at such facilities; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. Owners and operators of such facilities may be subject to liability for investigating and remedying any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Typical operations include, to some extent and in various combinations, the handling, use, storage, transportation, disposal and discharge of infectious, toxic, flammable and other hazardous materials, wastes, pollutants or contaminants. For this reason, the operations of the Corporation is particularly susceptible to the practical financial and legal risks associated with compliance with such laws and regulations. Such risks may result in damage to individuals, property or the environment; may interrupt operations or increase their cost or both; may result in legal liability, damages, injunctions or fines; or may trigger investigations, administrative proceedings, penalties or other government agency actions. There can be no assurance that the Corporation will not encounter such risks in the future, and such risks may result in material consequences to the operations or financial condition of the Corporation.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act and under comparable California State law, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged

property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the Collateral Property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

NATURAL DISASTERS

The occurrence of natural disasters, including floods, earthquakes and volcanic activity, may damage part or all of the Facilities, interrupt utility service to part or all of the Facilities or otherwise impair the operation of part or all of the Facilities or the generation of revenues from part or all of the Facilities beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future.

SEISMIC RISK

The Community is situated in an active earthquake zone. A significant earthquake in the region could have a material adverse effect on the Corporation and could result in material damage and temporary or permanent cessation of operations at the Corporation's Community. Under the Regulatory Agreement, the Corporation will agree to keep its Facilities and all of its operations adequately insured at all times including through earthquake insurance (unless waived by the office).

POSSIBLE FUTURE CHANGES TO ACCOUNTING POLICIES AND PROCEDURES

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the Corporation. There can be no assurance that any such changes would not have a material adverse impact on the Corporation's compliance with certain covenants contained in the Regulatory Agreement.

The most significant accounting standard that may impact the Corporation is the adoption of Accounting Standards Codification 606, *Revenue from Contracts with Customers*. This standard is expected to impact the manner in which entrance fees are amortized and is effective for the Corporation for its fiscal year ending December 31, 2018. The Corporation is currently assessing the impact of this standard on its financial statements; however, since the change would impact non-cash amortization, the Corporation does not expect the adoption of this standard to have a significant impact on covenant compliance.

THE OFFICE'S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office is deemed to be the Holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by

or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interest of the Holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS.”

OTHER POSSIBLE RISK FACTORS

Potential purchasers should also consider the following factors prior to purchasing the Bonds. This list is not, and is not intended to be, all inclusive.

Energy. Changes to the cost and availability of energy could, among other things, affect the cost of utilities of the Corporation’s Facilities and thereby adversely affect the operations of the Corporation.

Changes to federal, state or local legislation or regulations. Changes to the laws and regulations affecting the Corporation’s operations such as reinstatement or establishment of mandatory governmental wage, rent or price controls, or changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to the elderly, could have an adverse effect on the future operating or financial performance of the Corporation.

Early Redemption. Purchasers of Bonds, including those who purchase Bonds at prices in excess of their principal amount or who hold Bonds trading at prices in excess of their principal amount, should consider that the Bonds are subject to redemption prior to maturity at a redemption price that may be less than the prices at which such Bonds were purchased or are trading. See “THE BONDS—Redemption of the Bonds.”

Forward-Looking Statements. Certain statements contained in this Official Statement do not reflect historical facts but instead are forecasts and “Forward-Looking Statements.” No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, the words “estimate,” “forecast,” “project,” “anticipate,” “expect,” “intend,” “believe” and other similar expressions are intended to identify forward-looking statements. All projections, forecasts, assumptions and other forward-looking statements are expressly qualified in their entirety by the cautionary statements set forth in this Official Statement.

The information and expressions of opinions herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Corporation or any other person described herein since the date thereof.

LITIGATION

THE ISSUER

There is not now pending against the Issuer any litigation restraining or enjoining the issuance or delivery of the Bonds or questioning or affecting the validity of the Bonds or the proceedings or authority under which they are to be issued. Neither the creation, organization or existence, nor the title of the current members of the City Council or other offices of the Issuer to their respective offices, is being contested or questioned. There is no litigation pending against the Issuer which in any manner questions the right of the Issuer to enter into the Loan Agreement or to secure the Bonds in the manner provided in the Loan Agreement.

THE CORPORATION

There is no litigation or proceeding pending or, to the knowledge of the Corporation, threatened against the Corporation which (i) seeks to restrain or enjoin the issuance or delivery of the Bonds or the execution or the performance by the Corporation of its obligations under the Loan Agreement, (b) in any way contests or affects the issuance or the validity of the Bonds or the enforceability of the Loan Agreement, or (c) in any way contests the legal existence or powers of the Corporation. There is no litigation or proceeding pending or, to the knowledge of the Corporation, threatened against the Corporation except for (i) litigation being defended by insurance carriers on behalf of the Corporation, the claims in which are entirely within the insurance policy limits of the Corporation, (ii) litigation in which the expected maximum aggregate recovery against the Corporation could be satisfied from the insurance or the reserves maintained by the Corporation or (iii) claims for damages arising in the ordinary course of its operations, none of which is deemed to be material to the operation or condition, financial or otherwise, of the Corporation. There is no litigation pending or, to the knowledge of the Corporation, threatened that could reasonably be expected to have a material adverse effect upon the operations or financial condition of the Corporation.

LEGAL MATTERS

All legal matters incident to the authorization and validity of the Bonds are subject to the approval of Norton Rose Fulbright US LLP, Bond Counsel, whose approving opinion will be delivered with the Bonds. Certain legal matters will be passed upon for the Corporation by its counsel, Hanson Bridgett LLP; for the Underwriter by its counsel, Chapman and Cutler LLP; and for the Issuer by its counsel, Burke, Williams & Sorensen, LLP.

TAX MATTERS

TAX EXEMPTION

The Internal Revenue Code of 1986 (the "Code") imposes certain requirements that must be met subsequent to the issuance and delivery of the Bonds for interest thereon to be and remain excluded pursuant to section 103(a) of the Code from the gross income of the owners thereof for

federal income tax purposes. Noncompliance with such requirements could cause the interest on the Bonds to be included in the gross income of the owners thereof for federal income tax purposes retroactive to the date of issuance of the Bonds. Each of the City and the Corporation has covenanted to maintain the exclusion of the interest on the Bonds from the gross income of the owners thereof for federal income tax purposes.

In the opinion of Norton Rose Fulbright US LLP, Bond Counsel, under existing statutes, regulations, rulings and court decisions, interest on the Bonds is exempt from personal income taxes of the State of California and, assuming compliance with the covenants mentioned herein, interest on the Bonds is excluded pursuant to section 103(a) of the Code from the gross income of the owners thereof for federal income tax purposes. It is the further opinion of Bond Counsel, under existing statutes, regulations, rulings and court decisions, that the Bonds are not “specified private activity bonds” within the meaning of section 57(a)(5) of the Code and, therefore, that interest on the Bonds will not be treated as an item of tax preference for purposes of computing the alternative minimum tax imposed by section 55 of the Code; however, receipt or accrual of interest on Bonds owned by a corporation may affect the computation of the alternative minimum taxable income. A corporation’s alternative minimum taxable income is the basis on which the alternative minimum tax imposed by section 55 of the Code will be computed.

Pursuant to the Indenture and in the Tax Certificate as to Arbitrage and the Provisions of Sections 103 and 141-150 of the Internal Revenue Code of 1986, to be delivered by the City and the Corporation in connection with the issuance of the Bonds, each of the City and the Corporation will make representations relevant to the determination of, and will make certain covenants regarding or affecting, the exclusion of interest on the Bonds from the gross income of the owners thereof for federal income tax purposes. In reaching its opinions described in the immediately preceding paragraph, Bond Counsel will assume the accuracy of such representations and the present and future compliance by each of the City and the Corporation with its covenants. In addition, Bond Counsel will rely upon the opinion of Hanson Bridgett LLP, counsel to the Corporation regarding (i) the current qualification of the Corporation as an organization described in section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”) and (ii) the contemplated use of the facilities refinanced by the Bonds by the Corporation as other than in an “unrelated trade or business” of the Corporation within the meaning of section 513(a) of the Code. In its opinion, Bond Counsel notes that the opinion of Hanson Bridgett LLP is subject to a number of qualifications and limitations. Current or future failure of the Corporation (i) to be organized and operated in accordance with the Internal Revenue Service’s requirements for the maintenance of its status or otherwise to continue as an organization described in section 501(c)(3) of the Code or (ii) to cause the financed facilities (and ever portion thereof) to activities that, as to the exempt purposes of the Corporation, do not constitute unrelated trades or businesses of the Corporation (within the meaning of section 513(a) of the Code), may result in interest on the Bonds being included in gross income for federal income tax purposes from the date of issuance of the Bonds.

Except as stated in this section above, Bond Counsel will express no opinion as to any federal or state tax consequence of the receipt of interest on, or the ownership or disposition of, the Bonds. Furthermore, Bond Counsel will express no opinion as to any federal, state or local tax law consequence with respect to the Bonds, or the interest thereon, if any action is taken with

respect to the Bonds or the proceeds thereof predicated or permitted upon the advice or approval of other counsel. Bond Counsel has not undertaken to advise in the future whether any event after the date of issuance of the Bonds may affect the tax status of interest on the Bonds or the tax consequences of the ownership of the Bonds.

Bond Counsel's opinion is not a guarantee of a result, but represents its legal judgment based upon its review of existing statutes, regulations, published rulings and court decisions and the representations and covenants of the City and Corporation described above. No ruling has been sought from the Internal Revenue Service (the "Service") with respect to the matters addressed in the opinion of Bond Counsel, and Bond Counsel's opinion is not binding on the Service. The Service has an ongoing program of examining the tax-exempt status of the interest on municipal obligations. If an audit of the Bonds is commenced, under current procedures the Service is likely to treat the City as the "taxpayer," and the owners would have no right to participate in the audit process. In responding to or defending an audit of the tax-exempt status of the interest on the Bonds, the City may have different or conflicting interests from the owners. Public awareness of any future audit of the Bonds could adversely affect the value and liquidity of the Bonds during the pendency of the audit, regardless of its ultimate outcome.

Existing law may change to reduce or eliminate the benefit to bondholders of the exemption of interest on the Bonds from personal income taxation by the State of California or of the exclusion of the interest on the Bonds from the gross income of the owners thereof for federal income tax purposes. Any proposed legislation or administrative action, whether or not taken, could also affect the value and marketability of the Bonds. Prospective purchasers of the Bonds should consult with their own tax advisors with respect to any proposed or future change in tax law.

A copy of the form of opinion of Bond Counsel relating to the Bonds is included in Appendix E hereto.

TAX ACCOUNTING TREATMENT OF BOND PREMIUM AND ORIGINAL ISSUE DISCOUNT ON BONDS

To the extent that a purchaser of a Bond acquires that Bond at a price in excess of its "stated redemption price at maturity" (within the meaning of section 1273(a)(2) of the Code), such excess will constitute "bond premium" under the Code. Section 171 of the Code, and the Treasury Regulations promulgated thereunder, provide generally that bond premium on a tax-exempt obligation must be amortized over the remaining term of the obligation (or a shorter period in the case of certain callable obligations); the amount of premium so amortized will reduce the owner's basis in such obligation for federal income tax purposes, but such amortized premium will not be deductible for federal income tax purposes. Such reduction in basis will increase the amount of any gain (or decrease the amount of any loss) to be recognized for federal income tax purposes upon a sale or other taxable disposition of the obligation. The amount of premium that is amortizable each year by a purchaser is determined by using such purchaser's yield to maturity. The rate and timing of the amortization of the bond premium and the corresponding basis reduction may result in an owner realizing a taxable gain when its Bond is sold or disposed of for an amount equal to or in some circumstances even less than the original cost of the Bond to the owner.

The excess, if any, of the stated redemption price at maturity of Bonds of a maturity over the initial offering price to the public of the Bonds of that maturity is “original issue discount.” Original issue discount accruing on Bond is treated as interest excluded from the gross income of the owner thereof for federal income tax purposes and is exempt from California personal income tax to the same extent as would be stated interest on that Bond. Original issue discount on any Bond purchased at such initial offering price and pursuant to such initial offering will accrue on a semiannual basis over the term of the Bond on the basis of a constant yield method and, within each semiannual period, will accrue on a ratable daily basis. The amount of original issue discount on such a Bond accruing during each period is added to the adjusted basis of such Bond to determine taxable gain upon disposition (including sale, redemption or payment on maturity) of such Bond. The Code includes certain provisions relating to the accrual of original issue discount in the case of purchasers of Bonds who purchase such Bonds other than at the initial offering price and pursuant to the initial offering.

Bond Counsel is not opining on the accounting for or consequence to a Bond purchaser of bond premium or original issue discount on the Bonds. Persons considering the purchase of Bonds with original issue discount or initial bond premium should consult with their own tax advisors with respect to the determination of original issue discount or amortizable bond premium on such Bonds for federal income tax purposes and with respect to the state and local tax consequences of owning and disposing of such Bonds.

OTHER TAX CONSEQUENCES

Although interest on the Bonds may be exempt from California personal income tax and excluded from the gross income of the owners thereof for federal income tax purposes, an owner’s federal, state or local tax liability may be otherwise affected by the ownership or disposition of the Bonds. The nature and extent of these other tax consequences will depend upon the owner’s other items of income or deduction. Without limiting the generality of the foregoing, prospective purchasers of the Bonds should be aware that (i) section 265 of the Code denies a deduction for interest on indebtedness incurred or continued to purchase or carry the Bonds and the Code contains additional limitations on interest deductions applicable to financial institutions that own tax-exempt obligations (such as the Bonds), (ii) with respect to insurance companies subject to the tax imposed by section 831 of the Code, section 832(b)(5)(B)(i) reduces the deduction for loss reserves by 15% of the sum of certain items, including interest on the Bonds, (iii) interest on the Bonds earned by certain foreign corporations doing business in the United States could be subject to a branch profits tax imposed by section 884 of the Code, (iv) passive investment income, including interest on the Bonds, may be subject to federal income taxation under section 1375 of the Code for Subchapter S corporations that have Subchapter C earnings and profits at the close of the taxable year if greater than 25% of the gross receipts of such Subchapter S corporation is passive investment income, (v) section 86 of the Code requires recipients of certain Social Security and certain Railroad Retirement benefits to take into account, in determining the taxability of such benefits, receipts or accruals of interest on the Bonds and (vi) under section 32(i) of the Code, receipt of investment income, including interest on the Bonds, may disqualify the recipient thereof from obtaining the earned income credit. Bond Counsel will express no opinion regarding any such other tax consequences.

FINANCIAL STATEMENTS

The financial statements of the Corporation as of and for the fiscal years ended December 31, 2013, 2014 and 2015 included as APPENDIX B—“AUDITED FINANCIAL STATEMENTS OF ATHERTON BAPTIST HOMES FOR THE FISCAL YEARS ENDED DECEMBER 31, 2013, 2014 AND 2015” have been audited by Moss Adams LLP, independent auditors, as stated in their reports appearing therein. These financial statements are the most recent audited financial statements of the Corporation. Moss Adams LLP has not been engaged to perform and has not performed, since the date of the reports included herein, any procedures on the audited financial statements addressed in those reports.

Certain unaudited summarized financial information of the Corporation as of and for the eight-month periods ended August 31, 2015 and 2016 is included in APPENDIX A hereto. Such unaudited summarized financial information for the eight-month period ended August 31, 2016 is not necessarily indicative of the financial results of the Corporation for the fiscal year ending December 31, 2016.

FEASIBILITY STUDY

As part of the Corporation’s application to the Office for insurance, the Feasibility Study dated August 19, 2016 was prepared for the Corporation by Richard W. Dallas, CPA. The conclusions of the Feasibility Study were based on certain assumptions, as outlined in the Feasibility Study. The Issuer has not reviewed the Feasibility Study or financial information provided by the Corporation. There can be no assurance that as a result of the Feasibility Study or issuance of insurance by the Office that the Corporation will be able to meet its obligation to make Loan Repayments.

A copy of the Feasibility Study is included herein as APPENDIX C—“FINANCIAL FEASIBILITY REPORT.” PROSPECTIVE INVESTORS SHOULD REVIEW THE FEASIBILITY STUDY IN ITS ENTIRETY PRIOR TO PURCHASING THE BONDS.

UNDERWRITING

Pursuant to a Bond Purchase Contract among the Underwriter, the Issuer and the Corporation (the “*Purchase Contract*”), the Underwriter has agreed to purchase the Bonds at an aggregate purchase price of \$33,612,575.90 (representing the aggregate principal amount of the Bonds, plus net original issue premium of \$2,458,000.90 and less an Underwriter’s discount of \$235,425.00). Pursuant to the Purchase Contract, the Corporation has agreed to indemnify the Underwriter and the Issuer against certain liabilities. The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The obligation of the Underwriter to accept delivery of the Bonds is subject to the various conditions of the Purchase Contract.

In connection with this financing, the Corporation has established certain funds and accounts. Under the terms of the Indenture, the Corporation may direct the Trustee to invest

some or all of the funds within the investment parameters established in the Indenture. It is possible that the Corporation will elect to engage Ziegler Capital Management, LLC to direct the investment of these funds. As of November 30, 2013, Ziegler Capital Management, LLC (a registered investment advisor with the Securities and Exchange Commission) is no longer an affiliate of B.C. Ziegler and Company. The Corporation may engage Ziegler Capital Management, LLC as an investment advisor in the future.

FINANCIAL ADVISORS

FINANCIAL ADVISOR TO THE ISSUER

The Issuer has retained C.M. de Crinis & Co., Inc. (the “*Issuer Financial Advisor*”), as financial advisor to the Issuer’s role as a conduit issuer in the authorization, issuance, sale and delivery of the Bonds. The Issuer Financial Advisor is an independent financial advisory firm and is not engaged in the business of underwriting, trading or distributing municipal or other public securities. The Issuer Financial Advisor is not obligated to undertake, and has not undertaken to make, an independent verification or to assume responsibility for the accuracy, completeness or fairness of the information contained in the Official Statement or any of the other legal documents.

FINANCIAL ADVISOR TO THE CORPORATION

The Corporation has retained Ford & Associates, Inc., Tampa, Florida (the “*Corporation Financial Advisor*”) as financial advisor in connection with the Issuer’s financing plans and with respect to the authorization and issuance of the Bonds. The Corporation Financial Advisor is not obligated to undertake and has not undertaken to make an independent verification or to assume responsibility for the accuracy, completeness or fairness of the information contained in this Official Statement. The Corporation Financial Advisor did not participate in the underwriting of the Bonds. The Corporation Financial Advisor may receive a fee for bidding the securities on deposit in the Escrow Fund.

RATINGS

Standard & Poor’s Ratings Services, a division of The McGraw-Hill Companies, Inc., has assigned its municipal bond rating of “AA-” to the Bonds, and Fitch, Inc. has assigned its municipal bond rating of “AA-” to the Bonds, each with the understanding that, upon delivery of the Bonds, payment of the principal of and interest on the Bonds will be insured by the Office. The ratings reflect the rating agencies’ current assessment of the creditworthiness of the Office and its ability to pay claims under the Program. Fitch, Inc. has assigned its underlying rating of “BB” to the Bonds.

The ratings and an explanation of their significance may be obtained from the rating agency furnishing such rating. Such rating reflects only the view of the rating agency. The Corporation has furnished the rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base

their ratings on the information and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. Any such change in or withdrawal of such rating could have an adverse effect on the market price of the Bonds.

CONTINUING DISCLOSURE

Because the Bonds are limited obligations of the Issuer, payable solely from amounts received from the Corporation, financial or operating data concerning the Issuer is not material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Issuer is not providing any financial or operating data. The Corporation will undertake all responsibilities for any continuing disclosure to Holders of the Bonds, as described below, and the Issuer shall have no liability to the Holders of the Bonds or any other person with respect to Rule 15c2-12 ("*Rule 15c2-12*") promulgated by the Securities and Exchange Commission ("*SEC*").

The Corporation has covenanted for the benefit of Holders and Beneficial Owners of the Bonds to file, or to cause a dissemination agent to file, the following information with EMMA:

(a) Not later than 150 days after the completion of each fiscal year of the Corporation (beginning with the fiscal year ending December 31, 2016), an Annual Report, which shall contain:

(i) Audited financial statements of the Corporation for the fiscal year immediately preceding the due date of the Annual Report, prepared in accordance with generally accepted accounting principles and audited by an independent certified public accountant, including a statement of financial position as of the end of such fiscal year, a statement of changes in net assets (deficit) for such fiscal year, and a statement of operations, and a statement of cash flows for such fiscal year, showing in each case in comparative form the financial figures for the preceding fiscal year. If such audited financial statements are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements shall be included in the Annual Report.

(ii) (A) Corporation's calculations of the Corporation's Debt Service Coverage Ratio for such fiscal year, of the Corporation's Current Ratio as of the last day of such fiscal year, and of the Corporation's Days Cash on Hand as of the last day of such fiscal year, and (B) a statement from the independent certified public accountant that audited the financial statements described in subparagraph (i) above that such independent certified public accountant has no knowledge of any default under the Regulatory Agreement or the Loan Agreement, insofar as such default relates to accounting matters, or if such independent certified public accountant shall have obtained knowledge of any such default or defaults, they

shall disclose in such statement the default or defaults and the nature thereof, insofar as such default or defaults relate to accounting matters.

(iii) To the extent not otherwise provided, an update of the financial and operating data contained in APPENDIX A—"DESCRIPTION OF ATHERTON BAPTIST HOMES" to the Official Statement under the headings "THE COMMUNITY — General," "THE COMMUNITY — Entrance Fees, Monthly Fees and Daily Rates," "THE COMMUNITY — Utilization," "THE COMMUNITY — Sources of Revenue for Health Care Center," "SUMMARY FINANCIAL INFORMATION" and "OPERATING INFORMATION."

(b) Not later than 30 days after the approval by the governing board of the Corporation of the Corporation's operational budget for the ensuing fiscal year in the form required by the Regulatory Agreement, a copy of such operational budget.

(c) Not later than 45 days after the completion of each fiscal quarter of the Corporation (beginning with the quarter ending September 30, 2016), a Quarterly Report, which shall contain management-prepared financial statements, including a statement of operations and statement of cash flows of the Corporation during such period, a statement of financial position as of the end of each such fiscal quarter, a year-to-date comparison to budget, a calculation of the Days Cash on Hand for each fiscal quarter, a calculation of Debt Service Coverage Ratio for each fiscal quarter and occupancy levels of all of the facilities operated by the Corporation by level of care as of the end of each such quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Corporation, and an Officer's Certificate of the Corporation stating that the Corporation is in compliance with all of the terms, provisions and conditions of the Regulatory Agreement and the Loan Agreement or if not, specify all such defaults and the nature thereof.

(d) Promptly upon the occurrence of any of the following Listed Events as determined by the Corporation, notice of such Listed Event, which notice shall be filed within 10 Business Days after the occurrence of the Listed Event:

- (i) principal and interest payment delinquencies;
- (ii) non-payment related defaults, if material;
- (iii) unscheduled draws on debt service reserves reflecting financial difficulties;
- (iv) unscheduled draws on credit enhancements reflecting financial difficulties;
- (v) substitution of credit or liquidity providers, or their failure to perform;

(vi) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices of determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

(vii) modifications to rights of security holders, if material;

(viii) bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);

(ix) defeasances;

(x) release, substitution, or sale of property securing repayment of the Bonds, if material;

(xi) rating changes;

(xii) bankruptcy, insolvency, receivership or similar event of the Corporation;

(xiii) the consummation of a merger, consolidation, or acquisition involving the Corporation or the sale of all or substantially all of the assets of the Corporation, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

(xiv) appointment of a successor or additional trustee or the change of name of a trustee, if material.

Each submission listed above is required to be submitted to the MSRB in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB. The Corporation's obligations under the Continuing Disclosure Agreement with respect to the Bonds shall terminate upon the defeasance, prior redemption or payment in full of all the Bonds or if Rule 15c2-12 shall be revoked or rescinded by the SEC or declared invalid by a final decision of a court of competent jurisdiction. These covenants have been made in order to assist the Underwriter in complying with Rule 15c2-12. See APPENDIX F—"FORM OF CONTINUING DISCLOSURE AGREEMENT" for a form of the Continuing Disclosure Agreement of the Corporation.

In connection with the issuance of the Series 2010 Bonds, the Corporation executed a continuing disclosure undertaking (the "*Prior Continuing Disclosure Agreement*") similar to the Continuing Disclosure Agreement. During the past five years, the Corporation failed to timely file certain of its filings required pursuant to the Prior Continuing Disclosure Agreement. The Corporation filed certain of its interim financial information during fiscal years 2011 and 2012

late and failed to file its “No Default Letter from Accountant” for the fiscal year ended December 31, 2015 in a timely manner. The Corporation filed a “failure to provide” notice on August 23, 2016, and filed its “No Default Letter from Accountant” on August 18, 2016. The Corporation has implemented procedures necessary for future compliance and engaged Digital Assurance Certification, LLC (“DAC”) as its disclosure-dissemination agent.

MISCELLANEOUS

The summaries or descriptions of provisions of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement, the Contract of Insurance, the Continuing Disclosure Agreement and all references to other materials not purported to be quoted in full, are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement, the Contract of Insurance and the Continuing Disclosure Agreement for a full and complete statement of the provisions thereof. Such documents are on file at the offices of the Underwriter and following delivery of the Bonds will be on file at the offices of the Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

The Corporation has reviewed the information contained herein which relates to it and its property and operations, and has approved all such information for use within this Official Statement.

This Official Statement has been duly authorized, executed and delivered by the Issuer and the Corporation. The Issuer has not, however, prepared nor made any independent investigation of the information contained in this Official Statement except the information under the captions "THE ISSUER" and "LITIGATION — Issuer."

CITY OF ALHAMBRA, CALIFORNIA

By: /s/ Mark Yokoyama
Authorized Signatory

Approved by:

ATHERTON BAPTIST HOMES

By: /s/ Rev. J. Craig Statton
Chief Executive Officer

By: /s/ Kirk Mackie
Chairman

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APPENDIX A

**DESCRIPTION OF
ATHERTON BAPTIST HOMES**

*The information contained herein as Appendix A
to this Official Statement has been obtained from
Atherton Baptist Homes*

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APPENDIX A

DESCRIPTION OF ATHERTON BAPTIST HOMES

INTRODUCTION

GENERAL

Atherton Baptist Homes (*"Atherton"*), a California nonprofit public benefit corporation and an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended. Atherton operates a continuing care retirement community (the *"Community"*) and offers a wide range of living options to its residents. The Community, which is located on approximately 15 acres in Alhambra, California, consists of the following units: 220 residential living units, consisting of one-bedroom, two-bedroom, two-bedroom with den and three-bedroom cottages or apartments; 32 assisted living units consisting of one-bedroom and two-bedroom units; a four-room secured companion care home for early-stage cognitive impairment; and a 99-bed skilled nursing facility.

Atherton was founded in 1914 through the generous vision and gift of Hannah Atherton Baldwin. Mrs. Baldwin desired to provide a retirement home for Baptist ministers and missionaries who served in southern California. Her \$40,000 gift provided the initial working capital and a 50-unit building on a 5-acre property located in Burbank, California. In 1926, the campus was relocated to the City of Alhambra, California, with the vision of building small homes, duplexes, and triplexes for retirees.

Through the years, Atherton has continued its original mission but expanded its services to seniors who come from all walks of life. Atherton receives support from local churches affiliated with American Baptist Churches USA, Atherton's original sponsoring body, and Transformation Ministries, a successor body, as well as friends of Atherton. In recognition of these churches' support over the years, ministers, missionaries and their spouses who have served such churches are given financial assistance to live at the Community. This decision is based on financial need and is governed through the benevolence policy and procedures of Atherton. See "MISCELLANEOUS-Benevolence Policy" in this Appendix A.

BOARD OF TRUSTEES

Atherton is governed by its Board of Trustees (the *"Board"*), which is required by Atherton's bylaws to have 11 to 15 members. Atherton's bylaws require 60% of the Trustees to be members of a church affiliated with Transformation Ministries or American Baptist Churches of Los Angeles and Congregations of the Southwest and Hawaii or their successors. The Trustees serve without compensation. Individual Trustees are elected by the Board at its annual meeting. Board members serve staggered three-year terms and can be re-elected to no more than four consecutive terms. A Trustee may be re-elected to another four three-year terms following a one-year hiatus from the Board. One resident trustee is selected from candidates submitted to the Board by a resident committee. The president/chief executive officer is an ex-officio member of the Board. The Board currently consists of the following individuals:

NAME & TITLE	ROLE	OCCUPATION	DATE FIRST ELECTED
Dr. Kirk Mackie	Chair	Missionary/Pastor	1998
Mr. Warren Williams	Vice-Chair	Real Estate Attorney	1998
Mr. Tom Gardner	Secretary	Accounting and Finance	2011
Mr. Rick Wentzel	Treasurer	Auditor/CPA	2011
Rev. J. Craig Statton	Ex-Officio	Atherton President/CEO	2014
Mr. Andrew DeLancey	Member	Real Estate Developer	1992
Mr. David Estridge	Member	VP of Credit Union	2015
Mrs. Patty Frey	Resident Trustee	Retired teacher	2015
Mr. Gary Frueholz	Member	San Gabriel Valley Realtor	2013
Mrs. Lois Gomez	Member	Retired VP of a Development Firm	2016
Rev. John Hopkins	Member	Senior Pastor	2005
Mr. Dale Montgomery	Member	Partner/CPA	2003
Mr. Donald Smith	Member	Retired Skilled Nursing Administrator	2015
Dr. Sophie Wong	Member	Local Bank Founder, Educator	2008

MANAGEMENT

The Community is managed by the executive management of Atherton, the key members of which are as follows.

J. Craig Statton, President/CEO. (Age 60) Rev. Statton began his tenure at Atherton as the Director of Planned Giving in 2012. In January 2014, Rev. Statton was appointed Director of Operations and, in August 2014, he became the President and CEO. Prior to joining Atherton, Rev. Statton worked for 28 years as a Christian minister with the final 16 years as senior pastor of a multiple-staff church in Selma, California. He graduated from the University of Colorado (B.M. Ed.) and Oral Roberts University Seminary (M.Div.), and completed a Graduate Certificate in Long-Term Care from the University of South Dakota in 2014. He also holds a Residential Care Facility for the Elderly (“RCFE”) Administrator Certificate in the State of California and has completed the requisite hours of the Administrator-in-Training program for a Nursing Administrators License in the State of California.

Jackie Pascual, Chief Financial Officer. (Age 54) Ms. Pascual came to Atherton in 1997 as Assistant Controller and was appointed Chief Financial Officer in 2002. Until 2008, Ms. Pascual supervised the information technology functions for the Community. Ms. Pascual graduated from the College of the Holy Spirit, Manila, Philippines with a B.S. in Accounting in 1983, and received her CPA certificate in 1984. She pursued her M.A. in Business Administration at Regis University and graduated with honors in 2012.

Mary Monnier, SNF & RCFE Administrator. (Age 60) Ms. Monnier has been with Atherton since 2003. As the current licensed Skilled Nursing Administrator and RCFE Administrator for both the skilled nursing facility and residential living portion of the Community, her primary responsibilities are to ensure that the Community provides quality care to residents at all levels of care and is in compliance with applicable state and federal law. Following her B.S. in Psychology from University of La Verne, Ms. Monnier received an M.A. in Gerontology at California State University Fullerton in 2008.

Angela M. Lee, Director of Resident Services & Community Outreach. (Age 57) Ms. Lee joined Atherton in 1992. As the current Director of Resident Services & Community Outreach, Ms. Lee works directly with new residents, orienting them to life at the Community and serving as liaison between them and various departments and department heads. She supervises the activities, fitness and wellness programs for residents in various levels of care, and oversees special projects and other special events on campus. Ms. Lee also promotes intergenerational activities in Alhambra, such as partnering with a local elementary school with resident participation and providing para-church activities for residents. Ms. Lee holds a RCFE Administrator Certificate in the State of California.

THE COMMUNITY

GENERAL

The Community currently consists of 170 residential living units consisting of one-bedroom, two-bedroom, and two-bedroom with den cottages or apartments (referred to herein as “*Classic*”); 50 residential living units consisting of two-bedroom and three-bedroom apartments with an underground parking garage (referred to herein as the “*Courtyard*”); 32 assisted living units consisting of one-bedroom and two-bedroom units (referred to herein as “*Assisted Living*”); a 4-room secured companion care home for early-stage cognitive impairment (referred to herein as “*Companion Care*”); and a 99-bed skilled nursing facility (referred to herein as the “*Health Care Center*”). Residents of the Community share the use of common areas including a central dining room, coffee house, meeting rooms and lounge areas, chapel, library, indoor swimming pool and spa, game room, fitness center, communications center, arts and crafts room, hobby shop, patios, woodshop, ceramics shop, beauty salons, gift shop, park area and landscaped grounds. They have access to a licensed nurse 24 hours a day.

The Courtyard is the most recently completed portion of the campus. It was developed in 2010, in furtherance of a strategic plan to expand the Community’s market appeal and meet the increasing demand for senior living. Construction of the four buildings comprising the Courtyard was completed on schedule, and residents began moving in during July, 2011.

The following tables describe the various units available at the Community.

CLASSIC RESIDENTIAL LIVING UNIT MIX

TYPE OF UNIT	NO. OF UNITS	SIZE (SQ. FT.)
Studios	4	406
One Bedroom	66	700-900
Two Bedroom & Two Bedroom w/Den	80	900-1,800
Cottages/Houses	<u>20</u>	1,600-2,200
TOTAL	<u>170</u>	

COURTYARD RESIDENTIAL LIVING UNIT MIX

TYPE OF UNIT	NO. OF UNITS	SIZE (SQ. FT.)
One Bedroom, with Den	9	1,044
Two Bedrooms	24	1,156
Two Bedrooms, with Den	<u>17</u>	1,350
TOTAL	<u>50</u>	

ASSISTED LIVING UNIT/COMPANION CARE MIX

TYPE OF UNIT	NO. OF UNITS	SIZE (SQ. FT.)
One Bedroom	20	374-475
Two Bedrooms	10	494-688
Large Two Bedrooms	2	775-836
Private Rooms ⁽¹⁾	<u>4</u>	125-152
TOTAL	<u>36</u>	

(1) Secured Companion Care for early stage cognitive impairment.

HEALTH CARE CENTER UNIT MIX

TYPE OF UNIT	NO. OF BEDS
Private Rooms	31
Semi-Private Rooms	<u>68</u>
TOTAL	<u>99</u>

ADMISSION TO THE COMMUNITY

Atherton operates on a nondiscriminatory basis and affords equal treatment and access to services to eligible persons who meet certain basic requirements for residency at the Community. The Community provides a continuum of care that includes residential and assisted living, secured companion care for residents with early-stage cognitive impairment, and skilled nursing care. This model enables residents to age in place.

Successful applicants for residency must be at least 60 years of age, meet Atherton's financial criteria, and have needs consistent with Atherton's licensing requirements and underwriting criteria. Residency in the Community entitles residents to occupancy and services as specified. However, residents have no estate, leasehold, or other real property interest in the unit or the Community, no ownership or management interest in the Community, and no security interest in any land, buildings, or other property owned or managed by the Community. Each resident must agree to comply with provisions of the Residency Agreement and the Community's policies and procedures.

The residency agreement is a continuing care contract under which the Community is obligated, upon payment by the resident of an entrance fee and ongoing payments of the monthly fee to the Community, to provide certain services to the resident (a "*Residency Agreement*"). See "RESIDENCY AGREEMENTS" below for a description of the Residency Agreements.

In exchange for the monthly fee, residents in residential living (Classic or Courtyard) receive services and amenities which currently include a meal plan, heat, water, electricity, garbage disposal, local telephone, basic television cable (Courtyard only), biweekly housekeeping services, emergency call system in the unit, access to a licensed nurse 24 hours a day, laundry facilities, storage lockers, reserved open and covered parking spaces, and general enjoyment of the facilities and grounds. Atherton provides a lifetime health care non-assignable benefit of up to 30 days that can be applied in any of three settings in any combination: toward routine skilled nursing care in the Health Care Center, toward routine assisted living care in Assisted Living, or toward respite care in Companion Care. Other services such as additional housekeeping and laundry services, in-home caregiver services, additional meals in the dining room, guest meals and guest accommodations, special transportation services, and additional parking spaces, are available to residents on a fee-for-service basis. Monthly fees are billed in advance, and all fees for additional or ancillary services provided during the month are billed in the following month.

Residents are entitled to routine skilled nursing care at the Health Care Center, 24 hours per day, if Atherton determines, in consultation with the resident, his or her physician, or responsible party, that the level of care is appropriate. If admitted to the Health Care Center, residents must sign the then-current version of the Skilled Nursing Facility Admission Agreement ("*SNF Agreement*"). The services received and certain additional rights and obligations are as set forth in the SNF Agreement. The resident is charged the basic daily rate for skilled nursing services.

RESIDENCY AGREEMENTS

Residential living residents have the option to enter into a Declining Refundable Continuing Care Contract for Classic units/beds or a Repayable Continuing Care Contract in the Courtyard. Month to month residency agreements are also available for residential living units. Assisted Living residents may enter into Declining Refundable entrance fee residency agreements or month to month residency agreements.

In order to reserve a unit in residential living, a prospective resident is required to execute a Deposit Agreement and pay a deposit equal to 10% of any entrance fee applicable to the unit he or she intends to occupy. The deposit is applied as partial payment of the entrance fee upon execution of the residency agreement. Execution of the residency agreement and payment of the remaining balance of the entrance fee entitles a resident to occupy the selected unit with priority admission to higher levels of care.

All applicants are evaluated by the Chief Financial Officer to determine whether they have adequate financial resources to meet current and future obligations with final approval for residency decided upon by the President/CEO.

The resident who opts for a Declining Refundable residency agreement pays an entrance fee that is amortized over a 48-month period (or 2 1/12% for each month). For the first 48 months of occupancy, a portion of the entrance fee is refundable on a declining pro-rata basis, *provided* that the minimum charge for any termination after the cancellation period is 10% of the entrance fee. After 48 months, the entrance fee is no longer refundable. The refund is made within the 90 calendar days after notice of termination is given or within 14 calendar days after the unit is made available to the Community, whichever is later, net of any unpaid monthly fees, optional service fees, or late charges.

Under the Repayable Continuing Care Contract, the resident or resident's estate receives a repayment of 90%, 70% or 50% of the entrance fee after the unit is re-occupied by a new resident. Entrance fees are determined by the type of unit and the repayment option chosen by the resident. The repayment is made within 14 days after the unit is made available to the Community, net of any unpaid monthly fees, optional service fees, or late charges.

Atherton makes a good-faith effort to resell units subject to the Repayable Continuing Care Contracts. Repayable Continuing Care Contracts entered into on or after January 1, 2017 are subject to a law that provides (i) any entrance fee repayment that is outstanding 180 days after termination of a repayable contract will accrue simple interest at a rate of 4% until the full amount is repaid; (ii) any entrance fee repayment that is outstanding 240 days after termination of a repayable contract will accrue simple interest at a rate of 6% until the full amount owed is repaid; and (iii) any entrance fee repayment that is outstanding one year after the 240-day period will accrue compound interest annually at a rate of 6% until the full amount owed is repaid.

A resident may terminate his or her Residency Agreement after the cancellation period by giving Atherton 90 days' written notice. If a resident terminates his or her Residency Agreement within the cancellation period of 90 days of initial occupancy, the resident or his or her estate will receive a full refund of all fees paid to Atherton less the costs of care and residency, within 14 calendar days after the unit is made available to the Community.

ENTRANCE FEES AND MONTHLY FEES

Entrance fees and monthly fees for residential living units are indexed by type and location of each Classic or Courtyard residential living unit. Entrance fees and monthly fees for assisted living units are indexed by type of unit. Atherton charges daily rate by type of unit in skilled nursing and does not require entrance fees when admitted directly to skilled nursing. Types of fees are reviewed annually and are subject to change after approval by the Board and presentation of the fee increase and related financial information to the residents. Once the proposed fee increase is presented to the residents, it may take effect upon 30 days' written notice to the residents.

As of September 30, 2016, four residential living residents have month to month residency agreements. Residential living and assisted living residents with month to month contracts pay a monthly fee that is \$1,000 per month higher than monthly fees shown below for residents who chose entrance fee contracts.

The entrance fees and monthly fees as of January 1, 2016 are shown below.

SCHEDULE OF CURRENT FEES IN CLASSIC RESIDENTIAL LIVING UNITS

TYPE OF UNIT	APARTMENTS					
	IRVING MANOR WASHINGTON PLACE CASA COLBY		MALONEY MANOR IRVING TERRACE QUAD/TRI/DUPLEX		HOUSES/COTTAGES	
	DECLINING REFUNDABLE		DECLINING REFUNDABLE		DECLINING REFUNDABLE	
	ENTRANCE FEE ⁽¹⁾	MONTHLY FEE	ENTRANCE FEE ⁽¹⁾	MONTHLY FEE	ENTRANCE FEE ⁽¹⁾	MONTHLY FEE
Studio	N/A	N/A	\$ 92,000	\$1,890	N/A	N/A
1BR 1BA	\$112,000	\$2,270	132,000	2,390	\$152,000	\$2,575
2BR 1BA	120,000	2,490	153,000	2,600	173,000	2,785
2BR 1.5BA	148,000	2,730	184,000	2,850	209,000	3,025
2BR 2BA	178,000	3,000	214,000	3,100	224,000	3,295
2BR 2BA with Den	N/A	N/A	230,000	3,320	240,000	3,515
Cottages/Houses	N/A	N/A	N/A	N/A	260,000	3,815

(1) Represents Declining Refundable Continuing Care contract offered on Classic units. Declining refundable entrance fees amortize over the first 48 months of residency and are not refundable after 48 months. See "RESIDENCY AGREEMENTS" below for more information.

SECOND PERSON: Additional Entrance Fee: \$20,000
Additional Monthly Fee: \$625

SCHEDULE OF CURRENT FEES IN COURTYARD RESIDENTIAL LIVING UNITS

TYPE OF UNIT	50% REPAYABLE		70% REPAYABLE		90% REPAYABLE		MONTHLY FEE
	ENTRANCE FEE	REPAYMENT	ENTRANCE FEE	REPAYMENT	ENTRANCE FEE	REPAYMENT	
1BR 1.5BA Mission	\$310,000	\$155,000	\$378,000	\$264,600	\$480,000	\$432,000	\$3,450
2BR 2BA Gabrielino	330,000	165,000	403,000	282,100	512,000	460,800	3,850
2BR 2BA Den Alhambra	351,000	175,500	429,000	300,300	546,000	491,400	4,250

SECOND PERSON: Additional Entrance Fee: \$20,000
Additional Monthly Fee: \$625

The entrance fees and monthly fees for the Assisted Living units as of January 1, 2016 are shown below.

SCHEDULE OF CURRENT FEES IN ASSISTED LIVING UNITS

TYPE OF UNIT	ENTRANCE FEE	MONTHLY FEE
One Bedroom	\$50,000	\$3,315
Two Bedrooms	50,000	\$3,855-\$4,225
Large Two Bedrooms	50,000	\$4,825-\$5,205
Private Rooms ⁽¹⁾	50,000	\$6,000-\$6,500

(1) Secured Companion Care for early stage cognitive impairment.

SECOND PERSON: Additional Entrance Fee: \$5,000
 Additional Monthly Fee: \$370-380

The daily rates for the Health Care Center as of January 1, 2016 are shown below.

SKILLED NURSING UNIT MIX

TYPE OF UNIT	DAILY RATE CONTRACTED RESIDENTS	DAILY RATE NON-CONTRACTED RESIDENTS
Private Rooms	\$300	\$330
Semi-Private Rooms	251	276

UTILIZATION

The following table shows the historic occupancy of the Community for the three fiscal years ended December 31, 2013, 2014, and 2015 and for the eight months ended August 31, 2016.

	<u>FISCAL YEAR ENDED DECEMBER 31,</u>			<u>AS OF AUGUST 31,</u>
	2013	2014	2015	2016
RESIDENTIAL LIVING				
Available Units	220	220	220	220
Occupancy at end of period	181	190	200	206
Percent	82.3%	86.4%	90.9%	93.6%
ASSISTED LIVING/COMPANION CARE				
Available Units	38	38	38	36
Occupancy at end of period	35	30	32	25
Percent	92.1%	78.9%	84.2%	69.4%
SKILLED NURSING				
Available Units	99	99	99	99
Average occupancy	87	94	94	98
Percent	87.9%	94.9%	94.9%	98.9%

After the construction of the Courtyard residences was completed in 2011, Atherton faced occupancy challenges between fiscal years 2011 and 2013. The 2008 financial crisis and higher than normal attrition resulted in a decline in occupancy of the Classic residential living units. Those factors also resulted in slower than expected fill-up of the Courtyard residential living units. With the hiring of a marketing consultant in late 2012, separation of marketing and sales functions, and the hiring of a Director of Sales in early 2013, the Community improved its occupancy levels in residential living.

RESIDENTIAL LIVING TURNOVER

The following table summarizes new resident move-ins, turnover rates, and Entrance Fees for the Corporation's fiscal years ending December 31, 2013, 2014 and 2015, and for the eight months ended August 31, 2016.

	FISCAL YEAR ENDED DECEMBER 31,			AS OF
	2013	2014	2015	AUGUST 31
				2016
Total Move ins	41	31	32	20
Total Vacated Units	29	22	22	14
Turnover Percent	16.50%	12.07%	11.44%	7.02%
Entrance Fees Received	\$2,164,234	\$4,367,736	\$5,314,146	\$4,526,950
Entrance Fees Refunded	\$0	\$1,107,718	\$1,001,375	\$2,610,623
Net Entrance Fees	<u>\$2,164,234</u>	<u>\$3,260,018</u>	<u>\$4,312,771</u>	<u>\$1,916,327</u>

As of August 31, 2016, ten depositors had made 10% deposits on residential living units they have selected and given estimated move-in dates to Atherton. In addition, Atherton maintains a waiting list on a priority basis. As of August 31, 2016, there were 32 prospective residents on the waiting list who are waiting for a particular unit type and who had made a refundable \$10,000 deposit. Those on the waiting list are kept apprised of any vacancies meeting their particular unit type request. All applicants are also kept apprised of activities and special events at the Community.

SOURCES OF REVENUE FOR HEALTH CARE CENTER

The following table shows the sources of revenue for the Health Care Center for the three fiscal years ended December 31, 2013, 2014, and 2015.

	FISCAL YEAR ENDED DECEMBER 31,			AS OF
	2013	2014	2015	AUGUST 31
				2016
Private	44.1%	53.1%	49.6%	53.0%
Medicare Part A	13.9	9.6	9.4	13.1
Medicare Part B (Ancillary Services)	4.7	4.3	3.9	3.9
Medi-Cal & Managed Care	32.1	28.0	29.6	25.1
Hospice	0.5	2.0	3.4	1.3
HMO	<u>4.7</u>	<u>3.0</u>	<u>4.1</u>	<u>3.6</u>
TOTAL	<u>100.0%</u>	<u>100.0%</u>	<u>100.0%</u>	100.0%

PRIMARY AND SECONDARY MARKET AREAS

The primary market area ("PMA") for providers of senior living services is typically defined as the geographic area in which the majority of residents resided prior to assuming occupancy at the senior living community. Atherton has defined a PMA and a secondary market area ("SMA") by an analysis of the addresses of origin of move-ins to the Community's residential living units between January 1, 2013 and March 31, 2016.

During that time period, 41% of residential living move-ins originated from four cities within the San Gabriel Valley (Pasadena, Alhambra, Monterey Park and Montebello), which Atherton has defined as its geographic PMA. Another 43% (22% from other cities in the San Gabriel Valley and 21% from other cities in southern California) has been defined by the Community as its geographic SMA.

COMPETITION

Atherton is a fee-for-service CCRC. The Community's management has defined comparable retirement communities to be CCRCs (providing residential living, assisted living and nursing care services) or non-CCRCs (which include residential living and provide one or more levels of care), which offer similar services and amenities, and which compete for similar age and income qualified residents.

Since July 2011, three other retirement communities (one CCRC and two multi-level retirement communities) in Alhambra (Marguerite Gardens, Scripps Kensington and The Alhambra Retirement Community) have discontinued operations. Closure of these retirement communities resulted in a loss of 198 licensed residential living units, 204 traditional assisted living units, 16 memory care/assisted living units, and 90 skilled nursing beds from competitive or potentially competitive communities in Atherton's PMA. Sunny View Care Center now owns and operates the 99-bed skilled nursing facility that was formerly part of Scripps Kensington.

The following table summarizes the competitive and potentially competitive facilities to the Community. For a detailed description and analysis, please refer to pages 21 to 27 of the Feasibility Study attached as APPENDIX C to the Official Statement.

THE COMMUNITY	COMPETITIVE & POTENTIAL COMPETITIVE FACILITIES
Classic Residential Living Units	Royal Oaks, Main Building Bradbury Westminster Gardens Duarte
Courtyard Residential Living Units	Villa Gardens Pasadena Royal Oaks, Bldgs E&F Bradbury
Assisted Living	Brookdale Alhambra Alhambra Vista Cove San Gabriel
Skilled Nursing Facility	Sunny View Care Center Alhambra Vista Cove San Gabriel GEM Transitional Care Pasadena Californian Pasadena Pasadena Meadows Pasadena

SUMMARY FINANCIAL INFORMATION

The following are statements of operations and statements of financial position of Atherton for the three years ended December 31, 2013, 2014, and 2015, which were derived from Atherton's audited financial statements. These statements should be read in conjunction with the financial statements contained in APPENDIX B to this Official Statement. The statements of operations for eight months ended August 31, 2016 and 2015 and the statements of financial position as of August 31, 2016 and 2015 were prepared by management of Atherton from internal unaudited financial statements. In the opinion of Atherton, such unaudited financial statements present fairly the results of operations for the periods then ended. The unaudited financial information set forth in this APPENDIX A that was derived from such unaudited financial statements is not necessarily indicative of the results of Atherton for the fiscal year ending December 31, 2016.

See “MANAGEMENT DISCUSSION OF FINANCIAL AND OPERATING PERFORMANCE” below for management’s discussion and analysis of Atherton’s finances and results of operations.

In April 2015, the FASB issued Accounting Standards Update (ASU) 2015-03, *Interest-Imputation of Interest (Subtopic 835-30) — Simplifying the Presentation of Debt Issuance Costs*. ASU 2015-03 defined debt issuance costs as a direct deduction from the debt liability as opposed to a deferred asset that has no future economic benefit. This presentation has the effect of reducing the proceeds of borrowing, thereby increasing the effective interest rate and requires the presentation of amortization of debt issuance costs as a component of interest expense. This ASU is effective for Atherton in the fiscal period ending December 31, 2017, however, as more fully described in the fiscal year 2015 audited financial statements included in APPENDIX B, the Community elected to early adopt this ASU in the fiscal year 2015, with the fiscal year 2014 comparative information also restated. For comparative purposes, the fiscal year 2013 amount presented in the table below were also adjusted to ensure consistency with the fiscal year 2015 and 2014 presentation. In addition, amortization of deferred marketing costs totaling \$204,010 for fiscal year 2013, included within interest expense in the fiscal year 2013 audited financial statements, was classified as a component of depreciation and amortization for comparative purposes with the fiscal year 2015 and 2014 presentation.

STATEMENTS OF OPERATIONS

	(AUDITED)			(UNAUDITED)	
	FISCAL YEAR ENDED DECEMBER 31,			EIGHT MONTHS ENDED AUGUST 31,	
	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2015</u>	<u>2016</u>
REVENUES, GAINS AND OTHER SUPPORT					
Residential services	\$ 7,856,354	\$ 8,340,839	\$ 9,522,526	\$ 6,208,121	\$ 6,781,156
Nursing center revenue	8,597,120	8,070,738	8,695,948	5,797,579	6,366,095
Investment income	388,398	713,345	350,113	328,906	318,281
Gifts	1,685,942	346,904	110,651	58,306	202,610
Other income	163,806	103,606	114,291	71,086	73,162
Net assets released from restrictions used for operations	<u>10,000</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
TOTAL REVENUES, GAINS AND OTHER SUPPORT	<u>\$18,701,620</u>	<u>\$17,575,432</u>	<u>\$18,793,529</u>	<u>\$12,463,998</u>	<u>\$13,741,304</u>
OPERATING EXPENSES					
Salaries and benefits	\$ 8,946,297	\$ 8,265,873	\$ 7,033,004	\$ 4,719,355	\$ 4,755,122
Purchased goods and services	6,254,981	7,537,472	8,415,309	5,537,195	5,650,306
Interest	2,722,252	2,334,230	2,257,086	1,504,972	1,489,420
Provision for doubtful accounts	110,151	49,721	77,318	33,333	33,333
Depreciation and amortization	2,941,949	2,763,411	2,722,965	1,816,300	1,822,970
Other expenses	<u>337,142</u>	<u>25,631</u>	<u>16,021</u>	<u>10,497</u>	<u>15,670</u>
TOTAL OPERATING EXPENSES	<u>\$21,312,772</u>	<u>\$20,976,338</u>	<u>\$20,521,703</u>	<u>\$13,621,652</u>	<u>\$13,766,821</u>
OPERATING LOSS	<u>(\$ 2,611,152)</u>	<u>(\$ 3,400,906)</u>	<u>(\$ 1,728,174)</u>	<u>(\$ 1,157,654)</u>	<u>(\$ 25,517)</u>

STATEMENTS OF FINANCIAL POSITION

	(AUDITED)			(UNAUDITED)	
	FISCAL YEAR ENDED DECEMBER 31,			AS OF AUGUST 31,	
	2013	2014	2015	2015	2016
CURRENT ASSETS					
Cash and cash equivalents	\$ 6,568,414	\$ 869,520	\$ 2,922,871	\$ 1,905,384	\$ 3,225,578
Investments	1,945,766	1,851,647	1,894,049	2,006,171	1,967,161
Accounts receivable, net	768,042	880,329	770,691	909,998	849,155
Assets limited as to use, current portion	1,639,797	1,460,000	1,465,000	1,460,000	1,465,000
Prepaid expenses and other current assets	714,519	787,208	920,291	1,139,938	1,202,729
Insurance recoveries receivable	<u>1,041,745</u>	<u>920,740</u>	<u>624,527</u>	<u>920,740</u>	<u>624,527</u>
TOTAL CURRENT ASSETS	<u>\$12,678,282</u>	<u>\$ 6,769,444</u>	<u>\$ 8,597,429</u>	<u>\$ 8,342,231</u>	<u>\$ 9,334,150</u>
NONCURRENT ASSETS					
Assets limited as to use	\$ 8,049,010	\$ 7,937,074	\$ 7,623,661	\$ 6,851,979	\$ 7,338,181
Property and equipment, net	41,363,332	39,976,025	38,592,295	39,013,029	38,261,959
Deferred costs, net ¹	1,955,745	1,751,667	1,547,590	1,615,615	1,411,538
Investments	-	228,026	-	-	-
Other investments	217,700	245,490	334,120	224,903	541,539
Other assets	<u>728,057</u>	<u>300,200</u>	<u>333,304</u>	<u>396,855</u>	<u>231,353</u>
TOTAL NONCURRENT ASSETS	<u>\$52,313,844</u>	<u>\$50,438,482</u>	<u>\$48,430,970</u>	<u>\$48,102,381</u>	<u>\$47,784,570</u>
TOTAL ASSETS	<u>\$64,992,126</u>	<u>\$57,207,926</u>	<u>\$57,028,399</u>	<u>\$56,444,612</u>	<u>\$57,118,720</u>
CURRENT LIABILITIES					
Accounts payable	\$ 651,021	\$ 718,847	\$ 520,273	\$ 508,608	\$ 642,051
Accrued liabilities	1,847,782	1,860,401	2,221,084	1,757,712	1,643,623
Line of credit	173,596	-	-	-	-
Deposits on entrance fees	305,664	322,290	417,890	582,040	541,090
Current portion of long-term debt	6,361,481	372,000	393,000	372,000	393,000
Workers' compensation liability	<u>1,041,744</u>	<u>920,740</u>	<u>624,527</u>	<u>920,740</u>	<u>624,527</u>
TOTAL CURRENT LIABILITIES	<u>\$10,381,288</u>	<u>\$ 4,194,278</u>	<u>\$ 4,176,774</u>	<u>\$ 4,141,100</u>	<u>\$ 3,844,291</u>
NONCURRENT LIABILITIES					
Long-term debt, net of current portion ¹	\$27,924,099	\$27,637,595	\$27,330,061	\$27,326,629	\$27,133,647
Deferred revenue from entrance fees	9,931,055	11,121,493	12,535,016	11,626,419	13,238,222
Repayable entrance fees liability	14,141,602	14,975,015	15,727,698	15,563,063	15,348,193
Pension liability	2,317,887	2,461,283	2,985,241	2,569,790	2,965,615
Gift annuities payable	976,951	1,101,167	1,098,297	1,085,388	1,015,987
Liabilities under charitable remainder trusts and pooled income funds	<u>97,440</u>	<u>106,167</u>	<u>76,779</u>	<u>112,418</u>	<u>80,195</u>
TOTAL NONCURRENT LIABILITIES	<u>\$55,389,034</u>	<u>\$57,402,720</u>	<u>\$59,753,092</u>	<u>\$58,283,707</u>	<u>\$59,781,859</u>
TOTAL LIABILITIES	<u>\$65,770,322</u>	<u>\$61,596,998</u>	<u>\$63,929,866</u>	<u>\$62,424,807</u>	<u>\$63,626,150</u>
NET DEFICIT					
Unrestricted	(\$928,134)	(\$ 4,528,394)	(\$ 7,158,698)	(\$ 6,119,435)	(\$ 6,968,774)
Temporarily restricted	<u>149,938</u>	<u>139,322</u>	<u>257,231</u>	<u>139,240</u>	<u>461,344</u>
TOTAL NET DEFICIT	<u>(\$ 778,196)</u>	<u>(\$ 4,389,072)</u>	<u>(\$ 6,901,467)</u>	<u>(\$ 5,980,195)</u>	<u>(\$ 6,507,430)</u>
TOTAL LIABILITIES & NET DEFICIT	<u>\$64,992,126</u>	<u>\$57,207,926</u>	<u>\$57,028,399</u>	<u>\$56,444,612</u>	<u>\$57,118,720</u>

¹ Unamortized deferred financing costs totaling \$1,096,179 at December 31, 2013 were reclassified from noncurrent assets to a reduction of long-term debt in accordance with ASU 2015-03 to ensure consistency with the amounts presented in the 2014 and 2015 audited financial statements included in APPENDIX B and in the table above.

OPERATING INFORMATION

Set forth below are the historical maximum annual debt service coverage ratio for the three fiscal years ended December 31, 2013, 2014, and 2015 and for the eight months ended August 31, 2015 and 2016, the number of Days' Cash on Hand as of the end of each such period, calculated using the same methodology as set forth in the Loan Agreement, and the Current Ratio calculation. The chart also shows pro-forma maximum annual debt service coverage ratio assuming the issuance of the Series 2016 Bonds and the refunding of the Series 2010A Bonds as described in this Official Statement. The following summary of the three fiscal years ended December 31, 2013, 2014, and 2015 was derived from the Audited Financial Statements of Atherton and the following summary of the eight months ended August 31, 2015 and 2016 was prepared by management of Atherton from internal unaudited financial statements:

	DEBT SERVICE COVERAGE			EIGHT MONTHS	
	FISCAL YEAR ENDED DECEMBER 31,			ENDED AUGUST 31,	
	2013	2014	2015	2015	2016
FUNDS AVAILABLE FOR DEBT SERVICE					
Operating loss	(\$2,611,152)	(\$3,400,906)	(\$1,728,174)	(\$1,157,654)	(\$25,517)
Add:					
Entrance fees, net of refunds ¹	2,164,234	3,260,018	4,312,771	2,330,485	1,916,327
Interest expense	2,722,252	2,334,230	2,257,086	1,504,972	1,489,420
Depreciation and amortization	2,941,949	2,763,411	2,722,965	1,816,300	1,822,970
Provision for doubtful accounts	110,151	49,721	77,318	33,333	33,333
Less:					
Amortization of entrance fees	(1,750,237)	(1,715,542)	(2,235,315)	(1,394,511)	(1,490,676)
FUNDS AVAILABLE FOR DEBT SERVICE	<u>\$3,577,197</u>	<u>\$3,290,932</u>	<u>\$5,406,651</u>	<u>\$3,132,925</u>	<u>\$3,745,858</u>
MAXIMUM ANNUAL DEBT SERVICE COVERAGE RATIO					
Funds Available for Debt Service	\$3,577,197	\$3,290,932	\$5,406,651	\$3,132,925	\$3,745,858
Divide by Maximum Annual Debt Service (or prorated 8/12)	2,557,394	2,557,394	2,557,394	1,704,929	1,704,929
MAXIMUM ANNUAL DEBT SERVICE COVERAGE RATIO	1.40	1.29	2.11	1.84	2.20
PRO-FORMA MAXIMUM ANNUAL DEBT SERVICE COVERAGE RATIO					
Divide by Pro-Forma Maximum Annual Debt Service (or prorated 8/12)	\$2,085,081	\$2,085,081	\$2,085,081	\$1,390,054	\$1,390,054
Pro-Forma Maximum Annual Debt Service Coverage Ratio	1.72	1.58	2.59	2.25	2.69

¹ Figures for 2013 and 2014 differ slightly from audited financials due to the adoption of the new FASB-Accounting Standards Update relating to recognition of repayable entrance fees.

DAYS' CASH ON HAND

	FISCAL YEAR ENDED DECEMBER 31,			AS OF AND FOR THE EIGHT MONTHS ENDED AUGUST 31,	
	2013	2014	2015	2015	2016
Cash and cash equivalents	\$6,568,414	\$ 869,520	\$ 2,922,871	\$ 1,905,384	\$ 3,225,578
Investments	1,945,766	1,851,647	1,894,049	2,006,171	1,967,161
Assets limited by board as to use	4,386,539	4,910,258	4,846,361	4,879,081	5,322,712
Non-current investments	<u>-</u>	<u>228,026</u>	<u>-</u>	<u>-</u>	<u>-</u>
TOTAL UNRESTRICTED CASH AND INVESTMENTS	<u>\$12,900,719</u>	<u>\$ 7,859,451</u>	<u>\$ 9,663,281</u>	<u>\$ 8,790,636</u>	<u>\$10,515,451</u>
Total Operating Expenses	\$21,312,772	\$20,976,338	\$20,521,703	\$13,621,652	\$13,766,821
Less:					
Depreciation expense	(2,737,939)	(2,559,333)	(2,518,887)	(1,680,248)	(1,686,919)
Amortization-deferred marketing costs	(204,010)	(204,078)	(204,078)	(136,052)	(136,052)
Amortization-deferred financing costs	(85,485)	(85,485)	(85,485)	(56,990)	(56,990)
Provision for doubtful accounts	<u>(110,151)</u>	<u>(49,721)</u>	<u>(77,318)</u>	<u>(33,333)</u>	<u>(33,333)</u>
Subtotal Operating Expenses	<u>\$18,175,187</u>	<u>\$18,077,721</u>	<u>\$17,635,935</u>	<u>\$11,715,029</u>	<u>\$11,853,527</u>
Number of days	365	365	365	243	244
Daily Operating Expense					
Total Net Operating Expenses ÷ 365/243/244 days	\$ 49,795	\$ 49,528	\$ 48,318	\$ 48,210	\$ 48,580
DAYS' CASH ON HAND	<u>259</u>	<u>159</u>	<u>200</u>	<u>182</u>	<u>216</u>

CURRENT RATIO

	FISCAL YEAR ENDED DECEMBER 31,			EIGHT MONTHS ENDED AUGUST 31,	
	2013	2014	2015	2015	2016
CURRENT RATIO					
Current Assets	\$12,678,282	\$6,769,444	\$8,597,429	\$8,342,231	\$9,334,150
Divide by current liabilities	10,381,288	4,194,278	4,176,774	4,141,100	3,844,291
CURRENT RATIO	<u>1.22</u>	<u>1.61</u>	<u>2.06</u>	<u>2.01</u>	<u>2.43</u>

MANAGEMENT DISCUSSION OF FINANCIAL AND OPERATING PERFORMANCE

The following management discussion addresses material changes in financial and operating performance of Atherton for the eight months ended August 31, 2016 and 2015 and for the fiscal years ended December 31, 2015, 2014 and 2013.

EIGHT MONTHS ENDED AUGUST 31, 2016 COMPARED TO EIGHT MONTHS ENDED AUGUST 31, 2015

Revenues

For the eight months ended August 31, 2016 and 2015, Atherton reported Residential Services Revenue, net of amortization of entrance fees, totaling \$5,290,480 and \$4,813,610, respectively. The \$476,870 or 9.9% increase in Residential Services Revenue was primarily

related to the significant improvement in occupancy levels for the Classic units in residential living, from 144 to 157, a 9.02% increase in occupied units. The Classic units had 92.4% occupancy for the eight months ended August 31, 2016 compared to 84.7% occupancy for the eight months ended August 31, 2015. Atherton maintained 47 units or 94% average occupancy in the Courtyard for the eight months ended August 31, 2016 and 49 units or 98% average occupancy for the eight months ended August 31, 2015.

For the eight months ended August 31, 2016 and 2015, Nursing Center Revenue totaled \$6,366,095 and \$5,797,579, respectively. The \$568,516 or 9.8% increase was mainly due to higher occupancy in terms of Private Pay and Medicare Part A. The combined Private Pay and Medicare Part A payer types generate the most revenue in comparison to others, namely, HMO, Hospice, and Medi-Cal.

Amortization of Entrance Fees, a non-cash line item, totaled \$1,490,676 and \$1,394,511 for the eight months ended August 31, 2016 and 2015, respectively, an increase of \$96,165 or 6.9%. The amortization included outright revenue recognition of deferred entrance fee by residents who expired during the period.

Investment Income for the eight months ended August 31, 2016 and 2015 totaled \$318,281 and \$328,906, respectively, a decrease of \$10,625 or 3.2%. Interest and dividend income from investments for the eight months ended August 31, 2016 of \$171,776 decreased by \$7,307 or 4.1% compared to the eight months ended August 31, 2015 of \$179,083. Net realized gain on sale of investments for the eight months ended August 31, 2016 of \$146,505 decreased by \$3,318 or 2.2% compared to the eight months ended August 31, 2015 of \$149,823.

Net gifts for unrestricted operations for the eight months ended August 31, 2016 and 2015 totaled \$202,610 and \$58,306, respectively, an increase of \$144,304 or 247.5%. This was mainly due to the bequests received for the eight months ended August 31, 2016 compared to the eight months ended August 31, 2015. Similar to fiscal year 2015, Atherton's donor base made contributions toward Atherton's skilled nursing facility renovation project. These temporarily restricted contributions were reported within the Statements of Financial Position as of the eight months ended August 31, 2016 and 2015.

Expenses

Salaries and Benefits for the eight months ended August 31, 2016 and 2015 totaled \$4,755,122 and \$4,719,355, respectively, an increase of \$35,767 or 0.8%. This was mainly due to a decrease in workers' compensation expense.

Purchased Goods and Services for the eight months ended August 31, 2016 and 2015 totaled \$5,650,306 and \$5,537,195, respectively, an increase of \$113,111 or 2.0%. This was due to the normal inflationary increases on operational costs. Atherton also had additional sales incentives which resulted in move-ins of new residents in residential living for the eight months ended August 31, 2016.

Interest Expense for the eight months ended August 31, 2016 and 2015 totaled \$1,489,420 and \$1,504,972, a decrease of \$15,552 or 1.0%. Interest payments were based on the debt service payment schedule on Atherton's Series 2010 Bonds and debt-leased equipment.

Accounts Receivable are stated at the amount Atherton expects to collect from outstanding balances. Atherton makes a provision each year for probable uncollectible amounts based on an assessment of the current status of individual accounts. Provision for doubtful accounts for the eight months ended August 31, 2016 and 2015 stayed the same in the amount of \$33,333.

Ratios

As of the eight months ended August 31, 2016, the maximum annual debt service coverage ratio was 2.20x compared to 1.84x as of the eight months ended August 31, 2015. This was mainly due to improvement on operating loss for the eight months ended August 31, 2016 in the amount of \$25,517 compared to operating loss for the eight months ended August 31, 2015 in the amount of \$1,157,654, a decrease in operating loss of \$1,132,137 or 97.8%. This was driven by increase in occupancy levels in residential living and in skilled nursing as well as continued cost containment and cost savings. Atherton experienced 10.2% increase in revenues, gains and other support and a 1.1% increase in operating expenses for the eight months ended August 31, 2016 from the eight months ended August 31, 2015.

As of the eight months ended August 31, 2016 and 2015, Atherton had unrestricted cash and investments of \$10,515,451 and \$8,790,636, respectively, an increase of \$1,724,815 or 19.6%. This increase was mainly due to increases in unrestricted gifts and entrance fees from re-occupancy as well as a reflection of improvement on occupancy levels and cost control. Unrestricted cash and investments as of the eight months ended August 31, 2016 and 2015 was equal to 216 and 182 Days' Cash on Hand, respectively. The current ratio as of the eight months ended August 31, 2016 and 2015 was 2.43 and 2.01, respectively.

FISCAL YEAR ENDED DECEMBER 31, 2015 COMPARED TO FISCAL YEAR ENDED DECEMBER 31, 2014

Revenues

For the fiscal years ended December 31, 2015 and 2014, Atherton reported Residential Services Revenue, net of amortization of entrance fees, totaling \$7,287,211 and \$6,625,297, respectively. The \$661,914 or 10.0% increase in Residential Services Revenue was due to significant improvement in average occupancy of Classic units in residential living, from 141 to 152, a 7.8% increase in occupied units. The Classic units had an average of 85.9% occupancy or 146 units for the fiscal year ended December 31, 2015 compared to an average of 79.4% occupancy or 135 units for the fiscal year ended December 31, 2014. Atherton maintained average occupancy in the Courtyard of 48 units or 96.0% occupancy for the fiscal year ended December 31, 2015 and average occupancy of 49 units or 98% occupancy for the fiscal year ended December 31, 2014.

For the fiscal years ended December 31, 2015 and 2014, Nursing Center Revenue totaled \$8,695,948 and \$8,070,738, respectively. The \$625,210 or 7.70% increase was mainly due to occupancy levels experienced in fiscal year ended December 31, 2015. Atherton maintained an average occupancy of 93.9% for the fiscal year ended December 31, 2015 compared to an average occupancy of 92.9% for the fiscal year ended December 31, 2014.

Amortization of Entrance Fees, a non-cash line item, totaled \$2,235,315 and \$1,715,542 for the fiscal years ended December 31, 2015 and 2014, respectively, an increase of \$519,773 or 30.3%. The amortization included outright revenue recognition of deferred entrance fee by residents who expired during the fiscal year.

Investment Income for the fiscal years ended December 31, 2015 and 2014 totaled \$350,113 and \$713,345, respectively, a decrease of \$363,232 or 50.9%. Interest and dividend income from investments for the fiscal year ended December 31, 2015 of \$281,130 decreased by \$36,002 or 11.4% compared to the fiscal year ended December 31, 2014 of \$317,131. Net realized gain on sale of investments for the fiscal year ended December 31, 2015 of \$68,983 decreased by \$327,231 or 82.6% compared to the fiscal year ended December 31, 2014 of \$396,214.

Net gifts for unrestricted operations for the fiscal years ended December 31, 2015 and 2014 totaled \$110,651 and \$346,904, respectively, a decrease of \$236,253 or 68.1%. Atherton's donor base contributed largely toward Atherton's skilled nursing facility renovation project during the fiscal year 2015. These temporarily restricted contributions were reported under the Statements of Financial Position as of the fiscal year ended December 31, 2015 and 2014.

Expenses

Salaries and Benefits for the fiscal years ended December 31, 2015 and 2014 totaled \$7,033,004 and \$8,265,873, respectively, a decrease of \$1,232,869 or 14.9% due to the following three reasons. First, maintenance and grounds service departments were outsourced as contracted services. Second, combining the positions of CEO and COO eliminated top-heavy management costs. Third, Atherton's worker's compensation expense decreased.

Purchased goods and services for the fiscal years ended December 31, 2015 and 2014 totaled \$8,415,309 and \$7,537,472, an increase of \$877,837 or 11.6% primarily due to the management decision to outsource the maintenance and grounds service departments to generate further savings on workers' compensation costs and provide systems and operational efficiency.

Interest Expense for the fiscal years ended December 31, 2015 and 2014 totaled \$2,257,086 and \$2,334,230, respectively, a decrease of \$77,144 or 3.3%. Interest payments were based on the debt service payment schedule on the Series 2010 Bonds.

Provision for doubtful accounts for the fiscal years ended December 31, 2015 and 2014 totaled \$77,318 and \$49,721, respectively, an increase of \$27,597 or 55.5%. Accounts Receivable are stated at the amount the Community expects to collect from outstanding balances. Atherton makes a provision each year for probable uncollectible amounts based on an assessment of the current status of individual accounts.

Ratios

As of the fiscal year ended December 31, 2015, the maximum annual debt service coverage ratio was 2.11x compared to 1.29x as of the fiscal year ended December 31, 2014. This was primarily due to improvement on operating loss for fiscal year ended December 31, 2015 in the amount of \$1,728,174 compared to operating loss for fiscal year ended December 31, 2014 in the amount of \$3,400,906, a decrease in operating loss of \$1,672,732 or 49.2%. This was primarily due to increase in occupancy levels in residential living and achieving targeted average occupancy in skilled nursing. Atherton had a 6.9% increase in revenues, gains and other support and a 2.2% decrease in operating expenses for the fiscal year ended December 31, 2015 from the fiscal year ended December 31, 2014.

As of the fiscal years ended December 31, 2015 and 2014, Atherton had unrestricted cash and investments of \$9,663,281 and \$7,859,451, respectively, an increase of \$1,803,830 or 23.0%. The substantial increase was primarily from entrance fees received from new residents as well as containment of operational costs during the fiscal year 2015 compared to the fiscal year 2014. Unrestricted cash and investments as of the fiscal year ended December 31, 2015 and 2014 was equal to 200 and 159 Days' Cash on Hand, respectively. The Current Ratio as of the fiscal year ended December 31, 2015 and 2014 was 2.06 and 1.61, respectively.

FISCAL YEAR ENDED DECEMBER 31, 2014 COMPARED TO FISCAL YEAR ENDED DECEMBER 31, 2013

Revenues

For the fiscal years ended December 31, 2014 and 2013, Atherton reported residential services revenue, net of amortization of entrance fees, totaling \$6,625,297 and \$6,106,117, respectively. The \$519,180 or 8.5% increase in residential services revenue, net of amortization of entrance fees, was mainly due to steady improvement of occupancy of Classic units in residential living from 134 to 141 or 5.2% increase in occupied units, as well as significant improvement of occupancy in the Courtyard. The Classic units had an average of 79.4% occupancy or 135 units for the fiscal year ended December 31, 2014, a 1.5% slight decrease due to attrition compared to an average of 80.6% occupancy or 137 units for the fiscal year ended December 31, 2013. The Courtyard had an average of 98% occupancy, or 49 units, for the fiscal year ended December 31, 2014 compared to an average of 76% occupancy, or 38 units, for the fiscal year ended December 31, 2013.

For the fiscal years ended December 31, 2014 and 2013, nursing center revenue totaled \$8,070,738 and \$8,597,120, respectively. The \$526,382 or 6.1% decrease was mainly due to lower occupancy levels on the payor mix, namely, Medicare Part A and HMO, for the fiscal year ended December 31, 2014 compared to fiscal year ended December 31, 2013.

Amortization of entrance fees, a non-cash line item, totaled \$1,715,542 and \$1,750,237 for the fiscal years ended December 31, 2014 and 2013, respectively, a decrease of \$34,695 or 2.0%. The amortization included outright revenue recognition of deferred entrance fee by residents who expired during the fiscal year.

Investment income for the fiscal years ended December 31, 2014 and 2013 totaled \$713,345 and \$388,398, respectively, an increase of \$324,947 or 83.7%. Interest and dividend income from investments for the fiscal year ended December 31, 2014 of \$317,131 increased by \$11,516 or 3.8% compared to the fiscal year ended December 31, 2013 of \$305,615. Net realized gain on sale of investments for the fiscal year ended December 31, 2014 of \$396,214 increased by \$313,431 or 378.6% compared to the fiscal year ended December 31, 2013 of \$82,783. Atherton's investment manager exited Atherton's position on certain stocks to realize profits. The proceeds were invested in equities and fixed income securities based on Atherton's investment guidelines.

Net gifts received for unrestricted operations for the fiscal years ended December 31, 2014 and 2013 totaled \$346,904 and \$1,685,942, respectively, a decrease of \$1,339,038 or 79.4%. A substantial unrestricted gift of \$1,000,000 in fiscal year 2013 was received from a generous friend of Atherton. There were also significant matured gifts during the fiscal year 2013 in the total amount of approximately \$318,000.

Expenses

Salaries and Benefits for the fiscal years ended December 31, 2014 and 2013 totaled \$8,265,873 and \$8,946,297, respectively, a decrease of \$680,424 or 7.6%. Dining services as well as housekeeping and laundry service departments were outsourced as contracted services. Dr. Dennis McFadden, then President/CEO retired on July 31, 2014. Rev. J. Craig Statton was promoted as President/CEO effective August 1, 2014. Atherton reduced its cost of salaries and benefits by combining the roles of President/CEO and COO.

Purchased goods and services for the fiscal years ended December 31, 2014 and 2013 totaled \$7,537,472 and \$6,254,981, respectively, an increase of \$1,282,491 or 20.5% due to management decision to outsource dining, housekeeping and laundry service departments to generate savings on workers' compensation costs and provide systems and operational efficiency.

Interest expense for the fiscal years ended December 31, 2014 and 2013 totaled \$2,334,230 and \$2,722,252, respectively, a decrease of \$388,022 or 14.3%. Interest payments were based on the debt service payment schedule on the 2010 Series Revenue Bonds, debt-leased equipment, and revolving line of credit.

Provision for doubtful accounts for the fiscal years ended December 31, 2014 and 2013 totaled \$49,721 and \$110,151, respectively, a decrease of \$60,430 or 54.9%. Accounts receivable are stated at the amount the Community expects to collect from outstanding balances. Atherton makes a provision each year for probable uncollectible amounts based on an assessment of the current status of individual accounts.

Ratios

As of the fiscal year ended December 31, 2014, the maximum annual debt service coverage ratio was 1.29x compared to 1.40x as of the fiscal year ended December 31, 2013. This was primarily due to the operating loss of fiscal year ended December 31, 2014 in the

amount of \$3,400,906 compared to operating loss of fiscal year ended December 31, 2013 in the amount of \$2,611,152, an increase in operating loss of \$789,754 or 30.2%. This was due to the lower occupancy levels on the payor mix, Medicare Part A and HMO, in skilled nursing, decrease in gifts in fiscal year 2014 compared to fiscal year 2013 and increase in workers' compensation expense at 2.17 experience modification rate. Atherton had a 6.0% decrease in revenues and a 1.6% decrease in operating expenses for the fiscal year ended December 31, 2014 from the fiscal year ended December 31, 2013.

As of the fiscal years ended December 31, 2014 and 2013, Atherton had unrestricted cash and investments of \$7,859,451 and \$12,900,719, respectively, a decrease of \$5,041,268 or 39.1%. The significant decrease from the fiscal year ended December 31, 2013 was due to the payment made on the remaining balance of Atherton's 2010 Series B Revenue Bonds on January 1, 2014. Unrestricted cash and investments as of the fiscal year ended December 31, 2014 and 2013 was equal to 159 and 259 Days' Cash on Hand, respectively. The Current Ratio as of the fiscal year ended December 31, 2014 and 2013 was 1.61 and 1.22, respectively.

MISCELLANEOUS

INVESTMENTS

Atherton's investment activities are supervised by the Board's Investment Committee. The Investment Committee oversees the selection of the Investment Manager, who is instructed to follow the investment guidelines set by the Investment Committee. Each investment portfolio is actively managed and each fund has its own established goals and objectives. Atherton's investment portfolio is in compliance with its adopted investment policies. The Community's investment manager makes decisions on purchases and sales of portfolio holdings based on Atherton's investment guidelines. Purchases and sales may be dictated by the Board Finance Committee's directives, economic climate, interest rate cycle, and volatility in the stock market.

EMPLOYEES

Atherton had approximately 122 full-time equivalent employees (FTEs) as of August 31, 2016. Employees of Atherton are not represented by any labor unions, and management believes its relationship with its employees is good. Atherton has contracted for management of the dietary, housekeeping, laundry, maintenance and grounds functions, which represents approximately 73 FTEs. This includes planning and preparing all meals and special diets, cleaning all rooms and common areas, laundering facility linens and personal laundry as requested, as well as grounds upkeep and campus maintenance. Agency nurses, including registered nurses, licensed practical nurses and certified nurse assistants, are used rarely, as the Community has on-call, per diem in-house temporary staffing.

RETIREMENT PLANS

The Board determined that retirement benefits for participants under the Defined Benefit Plan ("DBP") would be more cost-effectively provided by an alternative form of retirement vehicle. The Board decided to cease accrual of benefits under the DBP effective December 31,

2003. There were 22 active and 91 inactive vested participants in the DBP as of December 31, 2015.

The present value of all benefits vested under the frozen DBP exceeded the value of the assets by \$2,953,205 as of December 31, 2015. The Board has authorized funding the shortfall amount with a 15-year payment schedule prepared by an actuary beginning fiscal year 2016 at \$22,507 per month or \$270,084 per year. The DBP is in compliance with ERISA, as the IRS ruled that the Plan qualifies as a church plan within the meaning of Section 414(e) of the Code.

Effective January 1, 2004, the Board adopted a Defined Contribution Plan (“DCP”), described in Section 403(b)(9) of the Internal Revenue Code, for its employees through the Ministers and Missionaries Benefit Board of the American Baptist Churches to provide a more flexible retirement vehicle for its employees, and a more stable and predictable funding requirement. Employees who have had at least one year of employment and have completed at least 1,000 hours of service during the year are eligible to participate.

Contributions to the DCP are subject to the following six-year vesting schedule:

YEARS OF SERVICE	PERCENT VESTED
1 year of service	0%
2 years of service	10
3 years of service	15
4 years of service	25
5 years of service	50
6 years of service	100

INSURANCE

Atherton maintains commercial general liability insurance with limits of \$1,000,000 per occurrence and \$3,000,000 in the aggregate and professional liability insurance with limits of \$1,000,000 per claim and \$3,000,000 in the aggregate. Atherton also maintains umbrella liability insurance with a limit of \$5,000,000 per occurrence and \$5,000,000 in the aggregate. Its blanket real property limit is \$61,483,209 and blanket business personal property/contents limit is \$6,210,448 replacement cost basis as well as business interruption and extra expense coverage with a limit of \$14,923,000 agreed value. Atherton’s officers and employees are covered by a fidelity bond for \$1,000,000. Workers’ compensation claims are unlimited on a per-claim basis with no deductible. All vehicles that Atherton owns have minimum liability coverage of \$1,000,000.

CERTIFICATION AND REGULATION

Atherton has a Certificate of Authority from the California Department of Social Services (“DSS”) to enter into continuing care contracts with residents. The residential living, assisted living, and secured companion care units of the Community are licensed by DSS as a Residential Care Facility for the Elderly (“RCFE”). The skilled nursing facility at the Community is

licensed by the California Department of Public Health (“DPH”) as a skilled nursing facility and is Medicare and Medi-Cal certified.

The Community is in substantial compliance with all applicable statutory and regulatory requirements.

Atherton’s Certificate of Authority permits Atherton to enter into continuing care contracts, defined by the State of California as an express or implied agreement between a person 60 years of age or older and the provider where, in exchange for payment of an entrance fee and/or periodic charges, the provider is obligated to provide one or more elements of care at a facility for the duration of the resident’s life or a period longer than one year. Atherton must submit annual audited financial statements, reserve reports and key indicators reports to DSS to maintain its Certificate of Authority.

BENEVOLENCE POLICY

As part of the Atherton’s continuing care commitment to its residents and its charitable status, benevolent funds have been established with donations and gifts to provide confidential assistance to current residents or prospective residents who meet the mission of Atherton and, for reasons beyond their control, are not able to fully pay the entrance fee and/or the monthly service fee. All distributions from such funds are committed to enable residents who qualify under the guidelines to continue living at Atherton. Admission to Atherton is based, in part, upon the financial information provided by residents in a confidential data application. In accordance with Atherton’s commitment as a charitable, not-for-profit organization, eligible residents will be provided assistance under policy guidelines established by the Board of Atherton.

MEMBERSHIPS

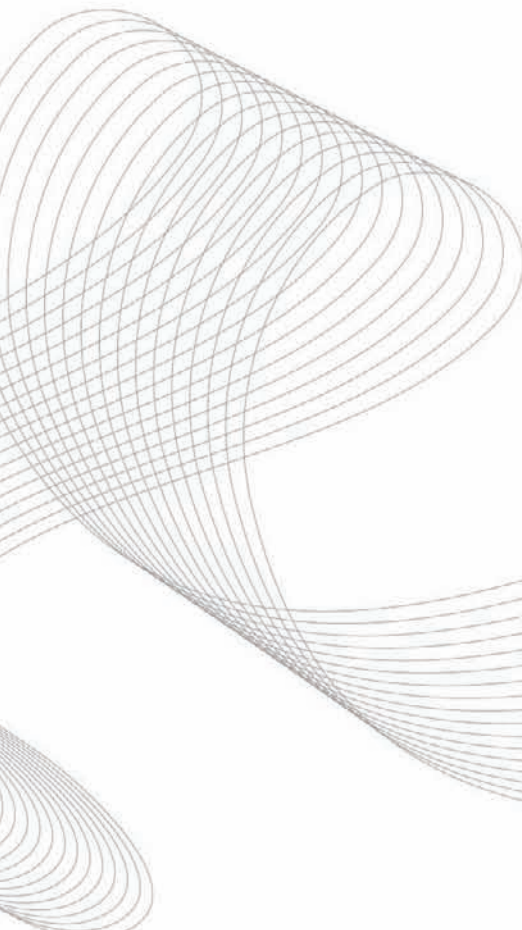
The Community is a member of Leading Age, the national trade association of nonprofit providers of senior care and housing, and Leading Age California, its state affiliate.

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APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF
ATHERTON BAPTIST HOMES
AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2013, 2014 AND 2015**

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Report of Independent Auditors
and Financial Statements for

Atherton Baptist Homes

December 31, 2014 and 2013

MOSS-ADAMS_{LLP}

Certified Public Accountants | Business Consultants

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REPORT OF INDEPENDENT AUDITORS

The Board of Trustees
Atherton Baptist Homes

Report on Financial Statements

We have audited the accompanying financial statements of Atherton Baptist Homes, which comprise the statements of financial position as of December 31, 2014 and 2013, and the related statements of operations, changes in net deficit, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence obtained is sufficient and appropriate to provide a basis for our audit opinion.



Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Atherton Baptist Homes as of December 31, 2014 and 2013, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Moss Adams LLP

Los Angeles, California
April 29, 2015

ATHERTON BAPTIST HOMES
STATEMENTS OF FINANCIAL POSITION
DECEMBER 31, 2014 AND 2013

ASSETS		
	<u>2014</u>	<u>2013</u>
Current Assets		
Cash and cash equivalents	\$ 1,355,044	\$ 6,568,414
Investments - general fund	1,624,228	1,945,766
Accounts receivable, less allowance for doubtful accounts of \$80,000 in 2014 and \$150,000 in 2013	880,329	768,042
Assets limited as to use, required for current liabilities	1,460,000	1,639,797
Prepaid expenses and other current assets	787,208	714,519
Insurance recoveries receivable	920,740	1,041,744
Total current assets	<u>7,027,549</u>	<u>12,678,282</u>
Noncurrent Assets		
Assets limited as to use	7,937,074	8,049,010
Property and equipment, net	39,976,025	41,363,332
Deferred costs, net	2,762,361	3,051,924
Other investments	215,411	217,700
Other assets	300,204	728,057
Total noncurrent assets	<u>51,191,075</u>	<u>53,410,023</u>
Total Assets	<u>\$ 58,218,624</u>	<u>\$ 66,088,305</u>
LIABILITIES AND NET DEFICIT		
Current Liabilities		
Accounts payable	\$ 718,846	\$ 651,021
Accrued liabilities	1,860,401	1,847,782
Line of credit	-	173,596
Deposits on entrance fees	322,290	305,664
Current portion of long-term debt	372,000	6,361,481
Workers' compensation liability	920,740	1,041,744
Total current liabilities	<u>4,194,277</u>	<u>10,381,288</u>
Noncurrent Liabilities		
Long-term debt, net of current portion	28,648,292	29,020,278
Deferred revenue from entrance fees	11,121,493	9,931,055
Repayable entrance fees liability	14,975,015	14,141,602
Pension liability	2,461,283	2,317,887
Gift annuities payable	1,101,169	976,951
Liabilities under charitable remainder trusts and pooled income funds	106,167	97,440
Total noncurrent liabilities	<u>58,413,419</u>	<u>56,485,213</u>
Total Liabilities	<u>62,607,696</u>	<u>66,866,501</u>
Net Deficit		
Unrestricted	(4,528,394)	(928,134)
Temporarily restricted	139,322	149,938
Total net deficit	<u>(4,389,072)</u>	<u>(778,196)</u>
Total Liabilities and Net Deficit	<u>\$ 58,218,624</u>	<u>\$ 66,088,305</u>

ATHERTON BAPTIST HOMES
STATEMENTS OF OPERATIONS
FOR THE YEARS ENDED DECEMBER 31, 2014 AND 2013

	2014	2013
Revenues, Gains, and Other Support		
Residential services, including amortization of entrance fees of \$1,715,542 in 2014 and \$1,750,237 in 2013	\$ 8,340,839	\$ 7,856,354
Nursing center revenue	8,070,738	8,597,120
Investment income	713,345	388,398
Gifts	346,904	1,685,942
Other income	103,606	163,806
Net assets released from restrictions, used for operations	-	10,000
Total revenues	<u>17,575,432</u>	<u>18,701,620</u>
Operating Expenses		
Salaries and benefits	8,265,873	8,946,297
Purchased goods and services	7,537,472	6,254,981
Interest	2,538,308	2,926,262
Depreciation	2,559,333	2,737,939
Provision for doubtful accounts	49,721	110,151
Other expenses	<u>25,631</u>	<u>337,142</u>
Total operating expenses	<u>20,976,338</u>	<u>21,312,772</u>
Operating Loss	<u>\$ (3,400,906)</u>	<u>\$ (2,611,152)</u>

ATHERTON BAPTIST HOMES
STATEMENTS OF CHANGES IN NET DEFICIT
FOR THE YEARS ENDED DECEMBER 31, 2014 AND 2013

	2014	2013
Change in Unrestricted Net Deficit		
Operating loss	\$ (3,400,906)	\$ (2,611,152)
Unrealized gains (losses) on investments, net	(206,225)	682,731
Net assets released from restrictions used for purchase of property and equipment	-	144,350
Change in minimum pension liability	6,871	190,502
	<u>(3,600,260)</u>	<u>(1,593,569)</u>
Change in unrestricted net deficit		
Temporarily Restricted Net Assets		
Investment income	4,261	18,405
Unrealized gains (losses) on investments, net	(3,539)	16,324
Change in value associated with obligations under charitable remainder trusts and pooled income funds	(11,338)	20,453
Net assets released from restrictions used for operations	-	(10,000)
Net assets released from restrictions used for purchase of property and equipment	-	(144,350)
	<u>(10,616)</u>	<u>(99,168)</u>
Change in temporarily restricted net assets		
Change in Net Deficit	(3,610,876)	(1,692,737)
Net Asset (Deficit), Beginning of Year	<u>(778,196)</u>	<u>914,541</u>
Net Deficit, End of Year	<u>\$ (4,389,072)</u>	<u>\$ (778,196)</u>

ATHERTON BAPTIST HOMES
STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2014 AND 2013

	2014	2013
Cash Flows from Operating Activities		
Cash received from residents and third-party payors	\$ 12,627,929	\$ 11,950,015
Cash received from noncontracted residents	2,209,136	2,560,920
Cash received from deferred entrance fees	2,761,465	4,060,974
Cash received from entrance fees from re-occupancy	1,632,946	-
Contributions received	346,904	1,725,942
Dividend and interest income received	713,345	388,398
Other receipts	287,543	21,943
Processing fees	4,700	67,500
Cash received for services to nonresidents	16,278	18,874
Cash paid to employees, suppliers, and others	(15,741,633)	(15,165,469)
Interest paid	(2,460,533)	(2,636,766)
Repayments of repayable entrance fees from reoccupancy	(951,165)	-
Cash paid for fundraising costs	(55,033)	(65,203)
Net cash provided by operating activities	1,391,882	2,927,128
Cash Flows from Investing Activities		
Purchases of property and equipment	(1,198,327)	(1,526,902)
Proceeds from sale of property and equipment	670	87,967
Purchases of investments, assets held by bond indenture trustee and assets limited by Board as to use	(11,401,461)	(5,497,151)
Proceeds from sale of investments, assets held by bond indenture trustee and assets limited by Board as to use	12,199,383	6,336,816
Increase (decrease) in liabilities under charitable remainder trusts, pooled income funds, and gift annuities	132,945	(280,984)
Collections of principal on notes receivable	18,303	13,522
Net cash used in investing activities	(248,487)	(866,732)
Cash Flows from Financing Activities		
Repayments on line of credit	(173,596)	(299,068)
Principal payments on long-term debt	(6,350,000)	(934)
Principal payments on capital lease	(11,470)	-
Proceeds from repayable entrance fees and deposits	684,853	3,867,013
Refunds of deposits and refundable entrance fees	(350,000)	-
Refunds of entrance fees and deposits	(156,552)	-
Net cash provided by (used in) financing activities	(6,356,765)	3,567,011
Net Change in Cash and Cash Equivalents	(5,213,370)	5,627,407
Cash and Cash Equivalents, Beginning of Year	6,568,414	941,007
Cash and Cash Equivalents, End of Year	\$ 1,355,044	\$ 6,568,414

ATHERTON BAPTIST HOMES
STATEMENTS OF CASH FLOWS (CONTINUED)
FOR THE YEARS ENDED DECEMBER 31, 2014 AND 2013

	<u>2014</u>	<u>2013</u>
Reconciliation of Change in Net Deficit to Net Cash Provided by Operating Activities		
Change in net deficit	\$ (3,610,876)	\$ (1,692,737)
Adjustments to reconcile change in net deficit to net cash provided by operating activities:		
Depreciation	2,559,333	2,737,939
Amortization of deferred costs	289,563	289,496
Change in minimum pension liability	(6,871)	(190,502)
Provision for doubtful accounts	49,721	110,151
Loss (gain) on disposal of property and equipment	25,631	(62,114)
Amortization of entrance fees	(1,715,542)	(1,750,237)
Unrealized losses (gains) on investments, net	209,762	(699,055)
Realized gains on investments, net	(392,124)	(93,165)
Changes in operating assets and liabilities:		
Accounts receivable	(162,008)	105,928
Contribution (pledge) receivable	-	40,000
Prepaid expenses and other current assets	(83,465)	49,228
Entrance fee receivable	420,326	-
Costs of acquiring initial care contracts	-	(11,832)
Accounts payable	67,825	264,685
Accrued liabilities	12,619	(85,047)
Deposits on entrance fees	16,626	(304,230)
Deferred revenue from entrance fees	2,879,314	4,060,974
Entrance fees from re-occupancy, net	681,781	-
Pension liability	150,267	157,646
Net cash provided by operating activities	<u>\$ 1,391,882</u>	<u>\$ 2,927,128</u>
Supplemental Cash Flow Information:		
Noncash investing and financing activities:		
Equipment financed through capital lease obligations	<u>\$ -</u>	<u>\$ 62,693</u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 1 – Nature of Organization

Organization and business activity – Atherton Baptist Homes ("Atherton") is a Non-profit corporation, established in 1914 and licensed by the State of California, Department of Social Services as a continuing care retirement community. Atherton's principal mission is sponsoring a Christian retirement community fostered and supported by the American Baptist Churches, its original sponsoring body, Transformation Ministries, its successor body, and other friends, offering a full range of living options and services to ministers, missionaries and their spouses, and to the lay community. Atherton offers four levels of care, namely, 220 residential living units consisting of one, two, and three bedroom cottages or apartments; 32 congregate assisted living units consisting of one and two rooms; a 6-bed memory support care facility; and a 99-bed skilled nursing facility on an approximately 15-acre campus located in Alhambra, California.

Although Atherton receives no financial assistance directly from the American Baptist Churches, the original sponsoring body, it does receive support from nearly 200 churches from that denomination and its successor body and other friends, which is used to subsidize the difference between the amount paid by residents and the actual cost of operating its facilities. In recognition of support from individual Baptist Churches over the years, ministers and missionaries who have served such churches are given financial assistance upon demonstrated need and as funds are available.

Note 2 – Summary of Significant Accounting Policies

Basis of accounting – Atherton accounts for its financial transactions using the accrual basis of accounting. The accrual basis of accounting recognizes revenues in the accounting period in which revenues are earned regardless of when cash is received and recognizes expenses in the accounting period in which expenses are incurred regardless of when cash is disbursed.

Basis of presentation – Atherton's financial statement presentation follows the recommendations prescribed in Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) Topic 958, *Financial Statements of Not-for-Profit Entities*. Under ASC Topic 958, Atherton is required to report information regarding its financial position and activities according to three classes of net assets: unrestricted net assets, temporarily restricted net assets, and permanently restricted net assets.

Cash and cash equivalents – Atherton considers all highly liquid investments with maturities of three months or less when purchased to be cash equivalents.

Accounts receivable – Accounts receivable are stated at the amount management expects to collect from outstanding balances. Management provides for probable uncollectible amounts through a provision for doubtful accounts, and an adjustment to a valuation allowance based on its assessment of the current status of individual accounts. Balances that are still outstanding after management has used reasonable collection efforts are written off through a charge to the valuation allowance and a credit to accounts receivable.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Workers' compensation – In accordance with Accounting Standards Update (ASU) No. 2010-24, *Presentation of Insurance Claims and Related Insurance Recoveries*, Atherton discloses in the statements of financial position the estimated liability outstanding for workers' compensation claims as well as the related insurance recoveries. The estimated liability and insurance recoveries for workers' compensation claims amounted to approximately \$921,000 and \$1,042,000 for the years ended December 31, 2014 and 2013, respectively.

Investments – Investments in equity securities with readily determinable fair values and all investments in debt securities are measured at fair value in the statements of financial position. Fair value is established based on quoted prices from recognized securities exchanges. Investment income (including realized gains and losses on investments, interest, and dividends) is included in operating income unless the income (loss) is restricted by donor or law.

Other-than-temporary impairments of investments – Atherton determines whether a decline in the fair value of investments below the cost basis is other-than temporary based on objective evidence as well as subjective factors including knowledge of recent events and assumptions regarding future events. If the decline in fair value is judged to be other-than temporary, the cost basis of the individual security is written down to fair value as a new cost basis and the amount of the write-down is included in operating loss.

Property and equipment – Property and equipment are stated on the basis of cost, less accumulated depreciation. Donated assets are recorded at estimated fair value at the date of donation. Depreciation is provided over the estimated useful life of each class of depreciable asset and is computed using the straight-line method with lives of 5 to 50 years. Atherton capitalizes all expenditures for property and equipment in excess of \$1,000.

Construction in progress – Construction in progress consists of costs incurred on construction projects that have not been completed. Depreciation begins when related assets are placed in service.

Accounting for the impairment of long-lived assets and long-lived assets to be disposed of – Atherton reviews long-lived assets for impairment when events or changes in business conditions indicate that their carrying value may not be recoverable. Atherton considers assets to be impaired, and writes them down to fair value if expected associated cash flows are less than the carrying amounts. Fair value is the present value of the associated cash flows. Atherton has determined that no long-lived assets were impaired at December 31, 2014 and 2013.

Deferred costs – Costs incurred in obtaining long-term financing are amortized over the respective terms of the related obligations using the interest method. Costs of acquiring initial continuing care contracts, which represent certain advertising and marketing costs incurred with acquiring initial continuing care contracts related to the construction and completion of The Courtyard at Atherton, are amortized on a straight-line basis over the average expected remaining lives of the residents under the contract.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Obligation to provide future services – Annually, Atherton calculates the present value (using a 3.0% discount rate at December 31, 2014 and 2013, respectively) of the estimated net cost of future services to be provided to current continuing care residents, and, to the extent this amount exceeds the sum of deferred revenue from entrance fees, repayable entrance fees, monthly maintenance fees and other contractually committed revenue, a liability would be recorded for the obligation to provide future services with a corresponding charge included in the statements of operations. The change in the obligation during a year would be reported as a current year change in obligation to provide future services in the statements of operations. No such liability was necessary at December 31, 2014 or 2013.

The California Health and Safety Code requires continuing care contract providers to establish and maintain statutory and refund reserves to assure financial resources will be available to fulfill contractual obligations to residents. A reserve fund escrow account is not required of Atherton. The California Health and Safety Code Section 1790 mandate a statutory reserve and a liquid asset requirement. The mandates were met for the years ended December 31, 2014 and 2013.

Net assets – Atherton's net assets comprise the following:

Unrestricted net assets – Unrestricted net assets represent the portion of expendable net assets that are neither permanently restricted nor temporarily restricted by donor-imposed restrictions. These net assets are available for support of the ordinary operations and administration of Atherton.

Temporarily restricted net assets – Temporarily restricted net assets are those whose use by Atherton has been limited by donors to a specific time or purpose. Unconditional promises to give cash and other assets are reported at fair value at the date the promise is received, which is then treated as cost. When a donor restriction expires, that is, when a stipulated time restriction and/or purpose restriction is met, temporarily restricted net assets are reclassified as unrestricted net assets and reported in the statements of operations as net assets released from restrictions. Donor-restricted contributions where restrictions are met within the same year as received, are reflected as unrestricted contributions in the statements of operations.

Permanently restricted net assets – Permanently restricted net assets are those whose use by Atherton has been restricted by the donor in perpetuity. As of December 31, 2014 and 2013, Atherton did not have any permanently restricted net assets.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Deferred giving programs – Atherton has various arrangements with donors under the following terms:

Gift annuities: As consideration for certain irrevocable gifts made to Atherton for benevolent purposes, Atherton enters into agreements to make fixed annual payments to the donors or their beneficiaries for life. A liability is established for the present value of future payments, discounted at 6.5%, under the terms of the outstanding annuity contracts, with the difference recorded as unrestricted gifts. Gift annuity assets in excess of the liabilities are available to Atherton for corporate use without approval of the California Department of Insurance. However, the Board of Trustees (the "Board") has limited the use of the excess assets until the gift matures (the death of the beneficiary).

Charitable remainder trusts: Atherton is the beneficiary of several revocable charitable remainder trust agreements. Revocable trusts may be revoked by the respective trustors at any time and, therefore, the obligations are carried at an amount equal to the fair value of the assets. Income earned on assets held under revocable trusts is recognized as adjustments to the assets and obligations. Contributions are recognized as temporarily restricted support when the agreements become irrevocable. Upon the death of the trustor, the remaining assets are transferred to unrestricted net assets.

Pooled income funds: Various donors have entered into irrevocable gift agreements whereby income earned on the funds is distributed to donor-designated beneficiaries. Under such agreements, contributions are recognized as temporarily restricted support based on the fair value of the assets contributed less the present value of the payments expected to be made to the beneficiaries. The pooled income fund obligations are reflected as liabilities discounted at 6.00%. Upon termination of the irrevocable gift agreements, the remaining assets are transferred to unrestricted net assets.

Concentration of credit risk – Atherton maintains its cash balances in several financial institutions. The balances are insured by the Federal Deposit Insurance Corporation up to \$250,000 per financial institution, with the exception of balances at Christian Community Credit Union, which are insured by American Private Insurance up to \$250,000. From time to time, cash balances may exceed these insured limits. Atherton has not experienced any losses in such accounts.

Financial instruments, which potentially subject Atherton to concentration of credit risk, consist primarily of investments and receivables. Investments are managed by professional investment managers within the guidelines established by the Board, which, as a matter of policy, limit the amounts that may be invested in anyone issuer. Concentration of credit risk with respect to receivables is limited due to the number of payors comprising Atherton's customer base. As of December 31, 2014 and 2013, Atherton had no significant concentration of credit risk.

Donated services – No amounts have been reflected in the financial statements for donated services. Atherton generally pays for services requiring specific expertise. However, many individuals volunteer their time, and perform a variety of tasks that assist Atherton with specific assistance programs.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Nursing center revenue – Nursing center revenue is reported on the accrual basis in the period in which services are provided, net of third-party contractual allowances for Medicare, Medicaid, and other programs. Contractual allowances include differences between established billing rates and amounts estimated by management as reimbursable under various cost reimbursement formulas and contracts in effect.

The administrative procedures related to the cost reimbursement programs in effect generally preclude final determination of amounts due to, or payable by Atherton until cost reports are audited or otherwise reviewed and settled upon by the applicable administrative agencies. Normal estimation differences between final settlements and amounts accrued in previous years are reported as adjustments of nursing center revenue in the current year. In the opinion of management, adequate provision has been made for adjustments, if any, which might result from subsequent review.

Atherton is reimbursed for services provided to patients under certain programs administered by governmental agencies. Laws and regulations governing the Medicare and Medicaid programs are complex and subject to interpretation. Atherton believes that it is in compliance with all applicable laws and regulations and is not aware of any pending or threatened investigations involving allegations of potential wrongdoing. While no such regulatory inquiries have been made, compliance with such laws and regulations can be subject to future government review and interpretation, as well as significant regulatory action including fines, penalties, and exclusion from the Medicare and Medicaid programs.

Entrance and monthly maintenance fees – Generally, in return for care to be provided by Atherton, residents pay an initial (most often a lump sum) entrance fee and an ongoing monthly maintenance fee. These initial entrance fees will vary in amount and type depending on where the resident resides.

Courtyard Contracts: Residents that live in Atherton's courtyard community ("Courtyard") pay an entrance fee that is either 90%, 70%, or 50% repayable to residents. The repayable entrance fees are recorded as a repayable entrance fee liability in the statements of financial position. At December 31, 2014 and 2013, repayable entrance fee liability totaled approximately \$14,975,000 and \$14,142,000, respectively.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Atherton also offers a re-occupancy benefit contract for Courtyard residents whereby residents pay an entrance fee ranging from \$298,000 for a one-bedroom unit to between \$357,000 and \$395,000 for a two-bedroom unit and an ongoing monthly maintenance fee. There is an additional entrance fee of \$25,000 for occupancy of a second person. The entrance fee is refundable if the resident should leave Atherton as follows:

1. During the first ninety days, the entrance fee paid by the resident is refunded in full.
2. If the resident's tenancy terminates subsequent to the first ninety days, Atherton offers the following re-occupancy benefit refunds to the resident (or their estate) once the unit has been re-occupied:
 - a. Re-occupancy benefit equal to 50% of the paid entrance fees.
 - b. Re-occupancy benefit equal to 70% of the paid entrance fees.
 - c. Re-occupancy benefit equal to 90% of the paid entrance fees.

Classic Contracts: Residents that live in Atherton's independent living units excluding the Courtyard ("Classic") pay a one-time entrance fee that is 100% non-refundable.

The 10%, 50% or 100% non-refundable portion of entrance fees paid by Courtyard and Classic contracted residents are recorded as deferred revenue from entrance fees in the statements of financial position and are amortized over the estimated life of the resident. Under the re-occupancy benefit contract agreements, Atherton amortizes the non-repayable portion of the paid entrance fee over the resident's expected life. The net deferred revenue from entrance fees for residents under the Classic contracts amounted to approximately \$11,121,000 and \$9,931,000 at December 31, 2014 and 2013 respectively.

Residents pay for the right to occupy Atherton's units and for access to its services, but do not obtain title to any of its real estate. Monthly maintenance fees are reported on the accrual basis in the period in which services are provided.

Advertising costs – Advertising costs (not associated with acquiring initial continuing-care contracts) are charged to operations when incurred. Total advertising expense for the years ended December 31, 2014 and 2013 were approximately \$167,000 and \$265,000, respectively.

Income taxes – Atherton is organized as a non-profit corporation under the general non-profit corporation laws of the State of California, and is exempt from federal income taxation under Internal Revenue Code section 501(c)(3). Non-profit organizations are generally not liable for taxes on income; therefore, no provision is made for such taxes in the financial statements.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Atherton considers many factors when evaluating and estimating its tax positions and tax benefits, which may require periodic adjustments and which may not accurately anticipate actual outcomes. Atherton evaluates its uncertain tax positions using the provisions with accounting principles generally accepted in the United States of America ("GAAP"). These standards require management to perform an evaluation of all tax positions taken, or expected to be taken in the course of preparing the Atherton's tax returns. Management believes the tax positions taken more likely than not will be sustained under examination by the applicable tax authorities. Examples of tax positions include tax-exempt status of Atherton, and various positions related to the potential sources of unrelated business taxable income. Since tax matters are subject to some degree of uncertainty, there can be no assurance that Atherton's tax returns will not be challenged by the taxing authorities, and that Atherton will not be subject to tax, penalties, and interest as a result of such challenge. Generally, Atherton's tax returns remain open for three years for federal income tax examination and four years for state income tax examination.

Use of estimates – Management uses estimates and assumptions in preparing financial statements. Those estimates and assumptions affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities, and the reported revenues and expenses. Actual results could differ from those estimates.

Fair value measurements – FASB ASC Topic 820, *Fair Value Measurements and Disclosures*, prescribes fair value measurements and disclosures for financial and nonfinancial assets and liabilities that are recognized or disclosed at fair value in the financial statements. FASB ASC Topic 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. FASB ASC Topic 820 also establishes a framework for measuring fair value and expands disclosures about fair value measurements.

The carrying amounts reported in the statements of financial position for cash and cash equivalents, accounts receivable, prepaid expenses and other current assets, other assets and accrued liabilities approximate fair value. The fair values of assets limited as to use and investments are disclosed in Note 4. The fair values of long-term debt are disclosed in Note 11.

Comparative financial statements – Certain amounts included in the 2013 financial statements and related notes have been reclassified for comparative purposes to conform to the presentation in the 2014 financial statements.

Subsequent events – Subsequent events are events or transactions that occur after the statements of financial position date but before financial statements are issued. Atherton recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the statements of financial position, including the estimates inherent in the process of preparing the financial statements. Atherton's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the statements of financial position but arose after the statements of financial position date and before the financial statements are issued.

ATHERTON BAPTIST HOMES
NOTES TO FINANCIAL STATEMENTS

Note 3 – Investments

Investments are classified in the accompanying statements of financial position as follows:

	2014	2013
Investments - general fund	\$ 1,624,228	\$ 1,945,766
Assets held by bond indenture trustee, required for current liabilities	1,460,000	1,639,797
Assets limited by Board as to use	4,910,258	4,386,539
Assets held by bond indenture trustee, net of current portion	3,026,816	3,662,471
Other investments (held under charitable remainder trusts and pooled income funds)	215,411	217,700
	<u>\$ 11,236,713</u>	<u>\$ 11,852,273</u>

Assets recognized under gift annuities are included in assets limited by Board as to use and total approximately \$1,989,000 and \$1,497,000 at December 31, 2014 and 2013, respectively.

The following table discloses the composition of investment return for the years ended December 31:

	2014	2013
Unrestricted net assets:		
Interest and dividend income	\$ 317,131	\$ 305,615
Realized gains, net	396,214	82,783
Unrealized gains (losses), net	(206,225)	682,731
	<u>\$ 507,120</u>	<u>\$ 1,071,129</u>
Temporarily restricted net assets:		
Interest and dividend income	\$ 8,351	\$ 8,023
Realized gains (losses), net	(4,090)	10,382
Unrealized gains (losses), net	(3,539)	16,324
	<u>\$ 722</u>	<u>\$ 34,729</u>

Atherton paid approximately \$108,000 and \$99,000 in investment consulting fees during the years ended December 31, 2014 and 2013, respectively, which is included in purchased goods and services expense on the statements of operations.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 4 – Fair Value Measurements

In accordance with FASB ASC Topic 820, Atherton classifies its investments based upon an established fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurements) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy are described below:

Level 1 – Unadjusted quoted prices in active markets that are accessible at the measurement date for identical, unrestricted assets or liabilities.

Level 2 – Quoted prices in markets that are not considered to be active or financial instruments without quoted market prices, but for which all significant inputs are observable, either directly or indirectly.

Level 3 – Prices or valuations that require inputs that are both significant to the fair value measurement and unobservable.

A financial instrument's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement.

The following table sets forth by level, within the fair value hierarchy, assets at fair value at December 31, 2014:

Investment Assets at Fair Value as of December 31, 2014				
	Level 1	Level 2	Level 3	Total
U.S. equities	\$ 5,327,681	\$ -	\$ -	\$ 5,327,681
Corporate bonds	2,038,628	-	-	2,038,628
Money market funds	1,994,922	-	-	1,994,922
Exchange traded funds	1,667,650	-	-	1,667,650
Government bonds	207,832	-	-	207,832
	<u>\$ 11,236,713</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 11,236,713</u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 4 – Fair Value Measurements (continued)

The following table sets forth by level, within the fair value hierarchy, assets at fair value at December 31, 2013:

	Investment Assets at Fair Value as of December 31, 2013			
	Level 1	Level 2	Level 3	Total
U.S. equities	\$ 7,164,940	\$ -	\$ -	\$ 7,164,940
Corporate bonds	2,279,169	-	-	2,279,169
Exchange traded funds	1,671,675	-	-	1,671,675
Government bonds	370,563	-	-	370,563
Money market funds	365,926	-	-	365,926
	<u>\$ 11,852,273</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 11,852,273</u>

The following is a description of the valuation methodologies used for investments measured at fair value on a recurring basis and recognized in the accompanying statements of financial position, as well as the general classification of other investments pursuant to the valuation hierarchy:

U.S. equities, corporate bonds, government bonds, exchange-traded funds and money market funds: valued at fair value by reference to quoted market prices in active markets for identical assets or liabilities (unadjusted) and other relevant generated market transactions that Atherton has the ability to access at the measurement date.

Split-interest agreements: Split-interest agreements include charitable remainder trusts, charitable gift annuities and pooled income funds. Split-interest agreements are valued at fair value by estimating the present value of expected future cash inflows.

The preceding methods described may produce a fair value calculation that may not be indicative of net realizable value or reflective of future fair values. Furthermore, although management believes its valuation methods are appropriate and consistent with other market participants, the use of different methodologies or assumptions to determine the fair value of certain financial instruments could result in a different fair value measurement at the reporting date. There have been no changes in the methodologies used at December 31, 2014 and 2013.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 5 – Assets Held in Trust for Residents

Residents can deposit personal-use funds into trust accounts maintained by Atherton. These funds are maintained strictly for use by the residents for their personal expenses, including monthly charges for personal and nursing care at agreed-upon rates. If a resident leaves Atherton, the balance remaining in the fund is returned. Assets held in trust for residents, included in prepaid expenses and other current assets, amounted to approximately \$217,000 and \$120,000 as of December 31, 2014 and 2013, respectively. As these funds do not represent assets of Atherton, a corresponding trust account liability is included in accrued liabilities.

Note 6 – Assets Limited as to Use

Assets limited as to use are comprised of the following at December 31:

	2014	2013
Assets limited by Board as to use	\$ 4,910,258	\$ 4,386,539
Assets held by bond indenture trustee	4,486,816	5,302,268
	<u>\$ 9,397,074</u>	<u>\$ 9,688,807</u>

Assets limited by Board as to use consisted of board-designated funds, including unrestricted gifts received by Atherton. Although such funds are not legally restricted as to use, it is the Board's current intention that these assets would remain intact and that only the interest earned on these assets would be available to subsidize operations. Atherton's Board has designated these assets for this purpose, however such designation can be changed at any time.

As part of the bond indenture (Note 11), several restricted funds were established and are maintained by the Trustee. These funds are the Debt Service Reserve Fund, Project Fund, and Bond Fund. These funds consist of cash and cash equivalents and fixed income securities. The balance in each fund as of December 31 is as follows:

	2014	2013
Debt Service Reserve Fund	\$ 2,785,622	\$ 3,883,105
Project Fund	243,185	393,179
Bond Fund	1,458,009	1,025,984
	4,486,816	5,302,268
Less: current portion	<u>1,460,000</u>	<u>1,639,797</u>
	<u>\$ 3,026,816</u>	<u>\$ 3,662,471</u>

ATHERTON BAPTIST HOMES
NOTES TO FINANCIAL STATEMENTS

Note 6 – Assets Limited as to Use (continued)

Per the bond indenture, Atherton must also maintain an Operating Reserve Fund; however, it is not required to be maintained by the Trustee. The Operating Reserve Fund, which totals approximately \$2,536,000 and \$2,454,000 as of December 31, 2014 and 2013, respectively, is included in the accompanying statements of financial position under assets limited by Board as to use.

Note 7 – Property and Equipment

Property and equipment at December 31 consists of the following:

	2014	2013
Land	\$ 3,350,093	\$ 3,350,093
Buildings and improvements	56,541,084	55,836,953
Major movable and fixed equipment	10,080,929	9,788,681
Construction in progress	936,764	1,024,150
	<u>70,908,870</u>	<u>69,999,877</u>
Less accumulated depreciation	<u>30,932,845</u>	<u>28,636,545</u>
	<u><u>\$ 39,976,025</u></u>	<u><u>\$ 41,363,332</u></u>

Depreciation expense for the years ended December 31, 2014 and 2013 amounted to approximately \$2,559,000 and \$2,738,000, respectively.

Note 8 – Deferred Costs, Net

Deferred costs, net of accumulated amortization, are comprised of the following at December 31:

	2014	2013
Deferred financing costs	\$ 1,435,365	\$ 1,435,365
Less: accumulated amortization	<u>423,816</u>	<u>339,186</u>
Deferred financing costs, net	<u>1,011,549</u>	<u>1,096,179</u>
Costs of acquiring initial continuing care contracts	2,443,110	2,443,110
Less: accumulated amortization	<u>692,298</u>	<u>487,365</u>
Costs of acquiring initial continuing care contracts, net	<u>1,750,812</u>	<u>1,955,745</u>
Deferred costs, net	<u><u>\$ 2,762,361</u></u>	<u><u>\$ 3,051,924</u></u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 8 – Deferred Costs, Net (continued)

Amortization expense for the years ended December 31, 2014 and 2013 amount to approximately \$290,000 and \$289,000, respectively and is included in interest expense in the statements of operations.

Note 9 – Accrued Workers' Compensation Claims

On November 20, 2013, Atherton entered into a guaranteed cost policy insurance program to cover workers' compensation claims. Under the current policy, Atherton is covered up to \$1,000,000 per claim with no deductible. The terms of the policy were renewed on November 20, 2014.

Prior to November 20, 2013, Atherton participated in a self-insured workers compensation program with two other retirement communities. Under this program, Atherton purchased workers' compensation policies from a commercial insurance carrier, and subsequently reinsured back a portion of their claims costs through a captive insurance company. The arrangement with the other retirement communities allowed for the sharing of the captive expenses, but not the cost of workers' compensation claims unless default occurred with the other retirement communities. Under the program, in the event that the commercial insurance company is called to satisfy any outstanding obligation of the retirement communities, the insurer has the right of indemnification from each retirement community on a joint and several basis. Atherton assumed the cost of its workers' compensation claims up to \$350,000 of each claim, plus allocated loss adjustment expense.

Atherton deposited funds in the captive insurance company on an annual basis and recorded this as an insurance premium expense. In addition, Atherton has pledged letters of credit totaling approximately \$656,000 as additional funding of this liability. Under an agreement with the captive insurance company, Atherton and the other two members of the captive group receive returns of the excess profits periodically. Returns of the excess profits received in a given calendar year are recognized as a decrease in insurance premium expense. The remaining funds are held by the captive insurance company for future potential liabilities. The captive insurance company annually estimates reserves for unpaid losses. Estimates used for reserves may or may not be sufficiently covered by deposits in any individual year or collectively, and may require additional funding. As of December 31, 2014 and 2013, management believes that the captive insurance company is adequately funded for the workers' compensation claim costs.

Note 10 – Line of Credit

Atherton has a \$500,000 unsecured revolving line of credit that is renewable annually. The line of credit bears interest at 1.5% above the prime rate published in the Wall Street Journal (with a floor rate of 4.0%) per annum. The interest rate was 4.0% as of December 31, 2014. The amount outstanding on the line of credit amounted to approximately \$0 and \$174,000 as of December 31, 2014 and 2013, respectively.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 11 – Long-Term Debt

During 2010, Atherton issued 2010 Bonds pursuant to an Indenture of Trust dated as of January 1, 2010, ("Indenture") among the City of Alhambra, California ("Issuer"), Atherton and Wells Fargo Bank ("Trustee"). The 2010 Bonds were issued to fund the construction of the Courtyard project, which consists of 50 one bedroom, 1 and 1/2 bathroom, and two bedroom, two bathroom independent living units on the southeast portion of its campus. The Courtyard project commenced in February 2010, and was completed in July 2011.

The proceeds of the 2010 Bonds, together with other available funds from Atherton, were applied to pay a portion of the costs of the Courtyard project as described above; to fund interest on the portion of the 2010 Bonds that is allocated to the Courtyard project and other expenses incidental to the Courtyard project; to fund a debt service reserve fund; and to pay the costs of issuance.

Long-term debt at December 31 consists of the following:

	<u>2014</u>	<u>2013</u>
Series 2010A bonds with semi-annual principal payments due through 2030 and 2040, at a stated interest rate of 7.5% and 7.625% per annum, respectively. Interest is payable semi-annually on January 1 and July 1.	\$ 28,970,000	\$ 29,300,000
Series 2010B bonds with semi-annual principal payments due through 2017, at a stated interest rate of 6.625% per annum. Interest is payable semi-annually on January 1 and July 1. The Series 2010B bonds were repaid in full in 2014.	-	6,020,000
Capital lease, secured by equipment, with monthly principal payments due through 2018, at a stated interest rate of 4.50% per annum. Interest is payable monthly on the 10th of each month.	<u>50,292</u>	<u>61,759</u>
	29,020,292	35,381,759
Less: current maturities	<u>372,000</u>	<u>6,361,481</u>
	<u><u>\$ 28,648,292</u></u>	<u><u>\$ 29,020,278</u></u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 11 – Long-Term Debt (continued)

As part of the indenture, Atherton granted to the Trustee the following:

1. First lien on the land and buildings owned by Atherton.
2. Security interest in substantially all assets and gross revenue of Atherton.
3. Assignment of Atherton's right in resident agreements.

Atherton is also required to comply with various restrictive and financial covenants as specified in the indenture. The financial covenants include cumulative cash used in operations, debt service coverage ratio, liquidity ratio, marketing targets, and occupancy requirements. Atherton was only required to comply with the liquidity ratio and occupancy requirements as of December 31, 2014. The other covenants will be required to be complied with upon occupancy and stabilization of the Courtyard. Atherton was in compliance with the occupancy requirement as of December 31, 2014; however, Atherton was not in compliance with the liquidity ratio. As a result, Atherton hired a financial consultant and prepared a financial forecast report as required under the indenture agreement to remedy non-compliance with this covenant. Since these actions were taken, the covenant violation does not constitute an event of default under the terms of the loan agreement.

Principal payments due are as follows:

Fiscal Year	Principal Payments
2015	\$ 372,020
2016	392,560
2017	428,137
2018	452,575
2019	470,000
Thereafter	<u>26,905,000</u>
Totals	<u><u>\$ 29,020,292</u></u>

Long-term debt is carried at amortized cost. The fair value of Atherton's long-term debt is estimated to equal its carrying value based on Level 2 inputs, such as the quoted market prices for the same or similar issues or on the current rates offered to Atherton for debt of the same remaining maturities. The following table presents Atherton's estimated fair values of the long-term debt in accordance with FASB ASC Topic 825, *Financial Instruments*, at December 31, 2014 and 2013:

	2014		2013	
	Carrying	Fair Value	Carrying	Fair Value
Series 2010A Bonds	\$ 28,970,000	\$ 31,526,722	\$ 29,300,000	\$ 29,829,983
Series 2010B Bonds	\$ -	\$ -	\$ 6,020,000	\$ 6,039,384

ATHERTON BAPTIST HOMES
NOTES TO FINANCIAL STATEMENTS

Note 12 – Pension Plans

Atherton has two noncontributory employee retirement plans; a defined contribution plan and a defined benefit plan.

The defined contribution plan covered all employees effective January 1, 2004. The Ministers and Missionaries Benefit Board of the American Baptist Churches maintain this plan. Contributions to this plan are based on a percentage of participating employees' salaries. The defined contribution plan expense for the years ended December 31, 2014 and 2013 totaled approximately \$231,000 and \$249,000, respectively.

The defined benefit plan (the "pension plan") was frozen effective December 31, 2003. However, pension plan funding was to continue until such time that the pension plan was terminated and all obligations were satisfied. The plan is expected to be fully funded by 2015.

The following tables summarize the obligations and funded status of Atherton's pension plan:

	2014	2013
Benefit obligation at December 31	\$ 3,435,465	\$ 3,404,871
Benefit payments	144,584	277,317
Fair value of plan assets at December 31	974,182	1,086,984
Net unfunded status of plan	2,461,283	2,317,887

Amounts recognized in the statements of financial position consist of:

	2014	2013
Pension liability	\$ 2,461,283	\$ 2,317,887

Amounts recognized in the statements of changes in unrestricted net assets:

	2014	2013
Actuarial losses	\$ 1,156,663	\$ 1,163,534

The projected benefit obligation, accumulated obligation, and fair value of plan assets for plans with accumulated benefit obligations in excess of plan assets were as follows:

	2014	2013
Project benefit obligation	\$ 3,435,465	\$ 3,404,871
Accumulated benefit obligation	\$ 3,435,465	\$ 3,404,871
Fair value of plan assets	\$ 974,182	\$ 1,086,984

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 12 – Pension Plans (continued)

The net periodic benefit cost recognized in the statements of changes in net assets is as follows:

	2014	2013
Net periodic pension cost	\$ 150,267	\$ 157,646

Atherton has recognized, in the accompanying statements of financial position, the minimum liability of the unfunded accumulated benefit obligation as unfunded pension liability with an offsetting adjustment to unrestricted net assets. For the year ended December 31, 2014, the minimum pension liability was increased by approximately \$143,000, bringing the total unfunded pension liability to approximately \$2,461,000 at December 31, 2014. For the year ended December 31, 2013, the minimum pension liability was increased by approximately \$33,000, bringing the total unfunded pension liability to approximately \$2,318,000 at December 31, 2013.

The actuarial loss that will be amortized from unrestricted net assets (deficit) into net periodic pension cost over the next fiscal year is approximately \$83,000.

Assumptions:

The weighted-average assumptions used to determine benefit obligations at December 31 were as follows:

	2014	2013
Discount rate	4.50%	4.50%
Rate of compensation increase	N/A	N/A

The weighted-average assumptions used to determine net periodic benefit cost for the years ended December 31 were as follows:

	2014	2013
Discount rate	4.50%	4.50%
Expected return on plan assets	8.00%	8.00%
Rate of compensation increase	N/A	N/A

The expected return on plan assets was determined based on historical and expected future returns of the various asset classes.

The primary investment objective of Atherton is to preserve and protect the assets of Atherton while earning a rate of return that is appropriate for each fund. After preservation of capital, the objectives of Atherton are (1) the growth of principal and income to offset inflation, and (2) the production of a current income.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 12 – Pension Plans (continued)

To accomplish Atherton's investment objectives, balanced portfolios of equity (common stocks and convertible securities), fixed income, and short-term reserves are utilized. As a guide to accomplishing these objectives the following maximum and minimum percentage guidelines (percentage of market value) are to be observed as long-term controls:

Asset Class	Target Allocation (Max/Min)
Equity	90%/10%
Fixed income	90%/10%
Short-term reserves	10%/5%

The fair values of Atherton's plan assets at December 31 (the measurement date), by asset category, are as follows:

Contributions – Since January 2006, Atherton has been setting aside an annual amount of \$180,000 of general fund assets to fund the pension plan; however, Atherton did not make a contribution to its pension plan during 2014. The balance of the general fund assets totaled approximately \$1,410,000 and \$1,800,000 as of December 31, 2014 and 2013, respectively.

Measurement date – The measurement date used to determine pension benefit measures for the plan is December 31.

Assets at Fair Value as of December 31, 2014				
	Level 1	Level 2	Level 3	Total
Cash	\$ 9,985	\$ -	\$ -	\$ 9,985
Equity securities	800,756	-	-	800,756
Fixed income securities	226,400	-	-	226,400
Total plan assets	1,037,141	-	-	1,037,141
Net of prepayment and payable	(62,959)	-	-	(62,959)
Net plan assets	<u>\$ 974,182</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 974,182</u>
Assets at Fair Value as of December 31, 2013				
	Level 1	Level 2	Level 3	Total
Cash	\$ 12,970	\$ -	\$ -	\$ 12,970
Equity securities	805,620	-	-	805,620
Fixed income securities	302,675	-	-	302,675
Total plan assets	1,121,265	-	-	1,121,265
Net of prepayment and payable	(34,281)	-	-	(34,281)
Net plan assets	<u>\$ 1,086,984</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 1,086,984</u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 12 – Pension Plans (continued)

As of December 31, 2014, expected future benefit payments were as follows:

<u>Years ending December 31,</u>	
2015	\$ 159,366
2016	168,323
2017	171,992
2018	175,328
2019	189,617
Thereafter	<u>1,044,206</u>
	<u><u>\$ 1,908,832</u></u>

Note 13 – Functional Expenses

Atherton provides residential and nursing center services to its residents. Expenses related to providing these services for 2014 and 2013 are as follows:

	<u>2014</u>	<u>2013</u>
Residential services	\$ 8,775,126	\$ 8,419,182
Nursing center services	8,614,875	9,118,479
General and administrative	3,448,764	3,612,104
Fundraising	<u>137,573</u>	<u>163,007</u>
	<u><u>\$ 20,976,338</u></u>	<u><u>\$ 21,312,772</u></u>

Note 14 – Contingencies

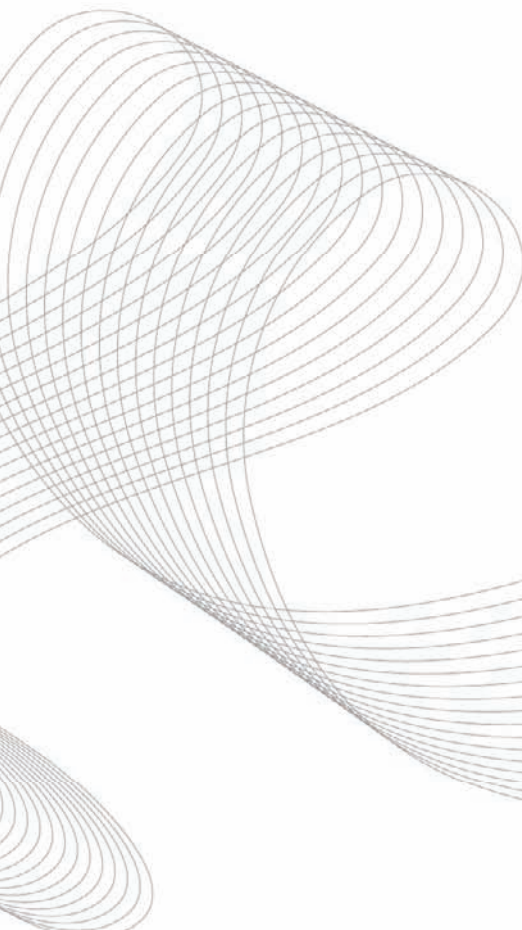
Atherton is subject to many complex federal, state, and local laws and regulations. Compliance with these laws and regulations is subject to government review and interpretation unknown or unasserted regulatory actions. Government activity, with respect to investigations and allegations regarding possible violations of these laws and regulations by health care providers, including those related to medical necessity, coding and billing for services, has increased significantly. Violations of these laws can result in large fines and penalties, sanctions on providing future services, and repayment of past patient service revenues. Management believes any actions that may result from investigations of non-compliance with laws and regulations will not have a material effect on Atherton's future financial position or results of operations.

ATHERTON BAPTIST HOMES
NOTES TO FINANCIAL STATEMENTS

Note 15 – Subsequent Events

Atherton has evaluated subsequent events through April 29, 2015, which is the date the financial statements were issued, and concluded that there were no additional events or transactions that need to be disclosed.

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Report of Independent Auditors
and Financial Statements for

Atherton Baptist Homes

December 31, 2015 and 2014

MOSS-ADAMS LLP

Certified Public Accountants | Business Consultants

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REPORT OF INDEPENDENT AUDITORS

The Board of Trustees
Atherton Baptist Homes

Report on Financial Statements

We have audited the accompanying financial statements of Atherton Baptist Homes, which comprise the statements of financial position as of December 31, 2015 and 2014, and the related statements of operations, changes in net deficit, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence obtained is sufficient and appropriate to provide a basis for our audit opinion.

MOSS ADAMS LLP

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Atherton Baptist Homes as of December 31, 2015 and 2014, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Moss Adams LLP

Los Angeles, California
April 19, 2016

ATHERTON BAPTIST HOMES
STATEMENTS OF FINANCIAL POSITION
DECEMBER 31, 2015 AND 2014

ASSETS		
	<u>2015</u>	<u>2014</u>
Current Assets		
Cash and cash equivalents	\$ 2,922,871	\$ 869,520
Investments	1,894,049	1,851,647
Accounts receivable, less allowance for doubtful accounts of \$100,000 in 2015 and \$80,000 in 2014	770,691	880,329
Assets limited as to use, required for current liabilities	1,465,000	1,460,000
Prepaid expenses and other current assets	920,291	787,208
Insurance recoveries receivable	<u>624,527</u>	<u>920,740</u>
Total Current Assets	8,597,429	6,769,444
Noncurrent Assets		
Assets limited as to use	7,623,661	7,937,074
Property and equipment, net	38,592,295	39,976,025
Deferred costs, net	1,547,590	1,751,667
Investments	-	228,026
Other investments	334,120	245,490
Other assets	<u>333,304</u>	<u>300,200</u>
Total Assets	<u><u>\$ 57,028,399</u></u>	<u><u>\$ 57,207,926</u></u>
LIABILITIES AND NET DEFICIT		
Current Liabilities		
Accounts payable	\$ 520,273	\$ 718,847
Accrued liabilities	2,221,084	1,860,401
Deposits on entrance fees	417,890	322,290
Current portion of long-term debt	393,000	372,000
Workers' compensation liability	<u>624,527</u>	<u>920,740</u>
Total Current Liabilities	4,176,774	4,194,278
Noncurrent Liabilities		
Long-term debt, net of current portion	27,330,061	27,637,595
Deferred revenue from entrance fees	12,535,016	11,121,493
Repayable entrance fees liability	15,727,698	14,975,015
Pension liability	2,985,241	2,461,283
Gift annuities payable	1,098,297	1,101,167
Liabilities under charitable remainder trusts and pooled income funds	<u>76,779</u>	<u>106,167</u>
Total Liabilities	<u>63,929,866</u>	<u>61,596,998</u>
Net Deficit		
Unrestricted	(7,158,698)	(4,528,394)
Temporarily restricted	<u>257,231</u>	<u>139,322</u>
Total Net Deficit	<u>(6,901,467)</u>	<u>(4,389,072)</u>
Total Liabilities and Net Deficit	<u><u>\$ 57,028,399</u></u>	<u><u>\$ 57,207,926</u></u>

ATHERTON BAPTIST HOMES
STATEMENTS OF OPERATIONS
FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

	<u>2015</u>	<u>2014</u>
Revenues, Gains, and Other Support		
Residential services, including amortization of entrance fees of \$2,235,315 in 2015 and \$1,715,542 in 2014	\$ 9,522,526	\$ 8,340,839
Nursing center revenue	8,695,948	8,070,738
Investment income	350,113	713,345
Gifts	110,651	346,904
Other income	<u>114,291</u>	<u>103,606</u>
Total Revenues	<u>18,793,529</u>	<u>17,575,432</u>
Operating Expenses		
Salaries and benefits	7,033,004	8,265,873
Purchased goods and services	8,415,309	7,537,472
Interest	2,257,086	2,334,230
Provision for doubtful accounts	77,318	49,721
Other expenses	<u>16,021</u>	<u>25,631</u>
Total Operating Expenses Before Depreciation and Amortization	<u>17,798,738</u>	<u>18,212,927</u>
Operating Income (Loss) Before Depreciation and Amortization	<u>994,791</u>	<u>(637,495)</u>
Depreciation	2,518,887	2,559,333
Amortization	<u>204,078</u>	<u>204,078</u>
Total Depreciation and Amortization	<u>2,722,965</u>	<u>2,763,411</u>
Operating Loss	<u><u>\$ (1,728,174)</u></u>	<u><u>\$ (3,400,906)</u></u>

ATHERTON BAPTIST HOMES
STATEMENTS OF CHANGES IN NET DEFICIT
FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

	2015	2014
Change in Unrestricted Net Deficit		
Operating loss	\$ (1,728,174)	\$ (3,400,906)
Unrealized losses on investments, net	(558,433)	(206,225)
Net assets released from restrictions used for purchase of property and equipment	17,500	-
Change in minimum pension liability	(361,197)	6,871
Change in Unrestricted Net Deficit	<u>(2,630,304)</u>	<u>(3,600,260)</u>
Temporarily Restricted Net Assets		
Investment income	3,220	4,261
Unrealized losses on investments, net	(15,776)	(3,539)
Change in value associated with obligations under charitable remainder trusts and pooled income funds	147,965	(11,338)
Net assets released from restrictions used for purchase of property and equipment	(17,500)	-
Change in Temporarily Restricted Net Assets	<u>117,909</u>	<u>(10,616)</u>
Change in Net Deficit	(2,512,395)	(3,610,876)
Net Deficit, Beginning of Year	<u>(4,389,072)</u>	<u>(778,196)</u>
Net Deficit, End of Year	<u><u>\$ (6,901,467)</u></u>	<u><u>\$ (4,389,072)</u></u>

ATHERTON BAPTIST HOMES
STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

	2015	2014
Cash Flows from Operating Activities		
Cash received from residents and third-party payors	\$ 13,590,309	\$ 12,627,929
Cash received from noncontracted residents	2,345,749	2,209,136
Cash received from deferred entrance fees	3,886,050	2,761,465
Cash received from entrance fees from re-occupancy	1,428,090	1,632,946
Contributions received	46,401	346,904
Dividend and interest income received	350,113	713,345
Other receipts	312,627	287,543
Processing fees	-	4,700
Cash received for services to nonresidents	14,781	16,278
Cash paid to employees, suppliers, and others	(15,103,399)	(15,741,633)
Interest paid	(2,185,100)	(2,460,533)
Repayments of repayable entrance fees from reoccupancy	(301,365)	(951,165)
Cash paid for fundraising costs	(45,294)	(55,033)
Net Cash Provided by Operating Activities	4,338,962	1,391,882
Cash Flows from Investing Activities		
Purchases of property and equipment	(1,155,179)	(1,198,327)
Proceeds from sale of property and equipment	4,000	670
Purchases of investments, assets held by bond indenture trustee and assets limited by Board as to use	(6,441,523)	(11,886,985)
Proceeds from sale of investments, assets held by bond indenture trustee and assets limited by Board as to use	6,401,072	12,199,383
Increase (decrease) in liabilities under charitable remainder trusts, pooled income funds, and gift annuities	(32,258)	132,945
Collections of principal on notes receivable	10,300	18,303
Net Cash Used in Investing Activities	(1,213,588)	(734,011)
Cash Flows from Financing Activities		
Repayments on line of credit	-	(173,596)
Principal payments on long-term debt	(360,000)	(6,350,000)
Principal payments on capital lease obligation	(12,019)	(11,470)
Proceeds from repayable entrance fees and deposits	-	684,853
Refunds of deposits and refundable entrance fees	-	(350,000)
Refunds of entrance fees and deposits	(700,004)	(156,552)
Net Cash Used in Financing Activities	(1,072,023)	(6,356,765)
Net Change in Cash and Cash Equivalents	2,053,351	(5,698,894)
Cash and Cash Equivalents, Beginning of Year	869,520	6,568,414
Cash and Cash Equivalents, End of Year	\$ 2,922,871	\$ 869,520

ATHERTON BAPTIST HOMES
STATEMENTS OF CASH FLOWS (CONTINUED)
FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

	2015	2014
Reconciliation of Change in Net Deficit to Net Cash Provided by Operating Activities		
Change in net deficit	\$ (2,512,395)	\$ (3,610,876)
Adjustments to reconcile change in net deficit to net cash provided by operating activities:		
Depreciation	2,518,887	2,559,333
Amortization of deferred financing costs	85,485	85,485
Amortization of deferred costs	204,078	204,078
Change in minimum pension liability	361,197	(6,871)
Provision for doubtful accounts	77,318	49,721
Loss on disposal of property and equipment	16,021	25,631
Amortization of entrance fees	(2,235,315)	(1,715,542)
Unrealized losses on investments, net	574,218	209,762
Realized gains on investments, net	(64,110)	(392,124)
Changes in operating assets and liabilities:		
Accounts receivable	32,320	(162,008)
Contribution (pledge) receivable	(64,250)	-
Prepaid expenses and other current assets	(133,083)	(83,465)
Entrance fee receivable	(43,404)	420,326
Accounts payable	(198,574)	67,825
Accrued liabilities	360,683	12,619
Deposits on entrance fees	95,600	16,626
Deferred revenue from entrance fees	3,974,800	2,879,314
Entrance fees from re-occupancy	1,428,090	1,632,946
Repayments of repayable entrance fees from re-occupancy	(301,365)	(951,165)
Pension liability	162,761	150,267
Net Cash Provided by Operating Activities	<u>\$ 4,338,962</u>	<u>\$ 1,391,882</u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 1 – Nature of Organization

Organization and business activity – Atherton Baptist Homes ("Atherton") is a not-for-profit corporation, established in 1914 and licensed by the State of California, Department of Social Services as a continuing care retirement community. Atherton's principal mission is sponsoring a Christian retirement community fostered and supported by the American Baptist Churches, its original sponsoring body, Transformation Ministries, its successor body, and other friends, offering a full range of living options and services to ministers, missionaries and their spouses, and to the lay community. Atherton offers four levels of care, namely, 220 residential living units consisting of one, two, and three bedroom cottages or apartments; 32 congregate assisted living units consisting of one and two rooms; a 6-bed memory support care facility; and a 99-bed skilled nursing facility on an approximately 15-acre campus located in Alhambra, California.

Although Atherton receives no financial assistance directly from the American Baptist Churches, the original sponsoring body, it does receive support from nearly 200 churches from that denomination and its successor body and other friends, which is used to subsidize the difference between the amount paid by residents and the actual cost of operating its facilities. In recognition of support from individual Baptist Churches over the years, ministers and missionaries who have served such churches are given financial assistance upon demonstrated need and as funds are available.

Note 2 – Summary of Significant Accounting Policies

Basis of accounting – Atherton accounts for its financial transactions using the accrual basis of accounting. The accrual basis of accounting recognizes revenues in the accounting period in which revenues are earned regardless of when cash is received and recognizes expenses in the accounting period in which expenses are incurred regardless of when cash is disbursed.

Basis of presentation – Atherton's financial statement presentation follows the recommendations prescribed in Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) Topic 958, *Financial Statements of Not-for-Profit Entities*. Under ASC Topic 958, Atherton is required to report information regarding its financial position and activities according to three classes of net assets: unrestricted net assets, temporarily restricted net assets, and permanently restricted net assets.

Cash and cash equivalents – Atherton considers all highly liquid investments with maturities of three months or less when purchased to be cash equivalents.

Accounts receivable – Accounts receivable are stated at the amount management expects to collect from outstanding balances. Management provides for probable uncollectible amounts through a provision for doubtful accounts, and an adjustment to a valuation allowance based on its assessment of the current status of individual accounts. Balances that are still outstanding after management has used reasonable collection efforts are written off through a charge to the valuation allowance and a credit to accounts receivable.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Workers' compensation – In accordance with Accounting Standards Update (ASU) No. 2010-24, *Presentation of Insurance Claims and Related Insurance Recoveries*, Atherton discloses in the statements of financial position the estimated liability outstanding for workers' compensation claims as well as the related insurance recoveries. The estimated liability and insurance recoveries for workers' compensation claims amounted to approximately \$625,000 and \$921,000 for the years ended December 31, 2015 and 2014, respectively.

Investments – Investments in equity securities with readily determinable fair values and all investments in debt securities are measured at fair value in the statements of financial position. Fair value is established based on quoted prices from recognized securities exchanges. Investment income (including realized gains and losses on investments, interest, and dividends) is included in operating income unless the income (loss) is restricted by donor or law.

Other-than-temporary impairments of investments – Atherton determines whether a decline in the fair value of investments below the cost basis is other-than temporary based on objective evidence as well as subjective factors including knowledge of recent events and assumptions regarding future events. If the decline in fair value is judged to be other-than temporary, the cost basis of the individual security is written down to fair value as a new cost basis and the amount of the write-down is included in operating loss.

Property and equipment – Property and equipment are stated on the basis of cost, less accumulated depreciation. Donated assets are recorded at estimated fair value at the date of donation. Depreciation is provided over the estimated useful life of each class of depreciable asset and is computed using the straight-line method with lives of 5 to 50 years. Atherton capitalizes all expenditures for property and equipment in excess of \$1,000.

Construction in progress – Construction in progress consists of costs incurred on construction projects that have not been completed. Depreciation begins when related assets are placed in service.

Accounting for the impairment of long-lived assets and long-lived assets to be disposed of – Atherton reviews long-lived assets for impairment when events or changes in business conditions indicate that their carrying value may not be recoverable. Atherton considers assets to be impaired, and writes them down to fair value if expected associated cash flows are less than the carrying amounts. Fair value is the present value of the associated cash flows. Atherton has determined that no long-lived assets were impaired at December 31, 2015 and 2014.

Deferred costs – Costs of acquiring initial continuing care contracts, which represent certain advertising and marketing costs incurred with acquiring initial continuing care contracts related to the construction and completion of The Courtyard at Atherton, are amortized on a straight-line basis over the average expected remaining lives of the residents under the contract.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Deferred financing costs – Costs incurred in obtaining long-term financing are amortized over the respective terms of the related obligations using the interest method.

In April 2015, the FASB issued Accounting Standards Update (ASU) 2015-03, *Interest – Imputation of Interest (Subtopic 835-30) – Simplifying the Presentation of Debt Issuance Costs*. ASU 2015-03 is intended to define debt issuance costs as a direct deduction from the debt liability as opposed to a deferred asset that has no future economic benefit. This presentation has the effect of reducing the proceeds of borrowing, thereby increasing the effective interest rate and requires the presentation of amortization of debt issuance costs as a component of interest expense. This ASU is effective for Atherton in the annual period ending December 31, 2017 and interim and annual periods thereafter, with early adoption permitted. Atherton has elected to early adopt this ASU in the current fiscal year. The impact of the adoption of this ASU resulted in a reduction of total assets and total liabilities as previously reported of approximately \$1,011,000 at December 31, 2014. Additionally, approximately \$85,000 of amortization of deferred financing costs as previously reported for the year ended December 31, 2014 was reclassified to interest expense.

Obligation to provide future services – Annually, Atherton calculates the present value (using a 3.0% discount rate at December 31, 2015 and 2014, respectively) of the estimated net cost of future services to be provided to current continuing care residents, and, to the extent this amount exceeds the sum of deferred revenue from entrance fees, repayable entrance fees, monthly maintenance fees and other contractually committed revenue, a liability would be recorded for the obligation to provide future services with a corresponding charge included in the statements of operations. The change in the obligation during a year would be reported as a current year change in obligation to provide future services in the statements of operations. No such liability was necessary at December 31, 2015 or 2014.

The California Health and Safety Code requires continuing care contract providers to establish and maintain statutory and refund reserves to assure financial resources will be available to fulfill contractual obligations to residents. A reserve fund escrow account is not required of Atherton. The California Health and Safety Code Section 1790 mandate a statutory reserve and a liquid asset requirement. The mandates were met for the years ended December 31, 2015 and 2014.

Net assets – Atherton's net assets comprise the following:

Unrestricted net assets – Unrestricted net assets represent the portion of expendable net assets that are neither permanently restricted nor temporarily restricted by donor-imposed restrictions. These net assets are available for support of the ordinary operations and administration of Atherton.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Temporarily restricted net assets – Temporarily restricted net assets are those whose use by Atherton has been limited by donors to a specific time or purpose. Unconditional promises to give cash and other assets are reported at fair value at the date the promise is received, which is then treated as cost. When a donor restriction expires, that is, when a stipulated time restriction and/or purpose restriction is met, temporarily restricted net assets are reclassified as unrestricted net assets and reported in the statements of operations as net assets released from restrictions. Donor-restricted contributions where restrictions are met within the same year as received, are reflected as unrestricted contributions in the statements of operations.

Permanently restricted net assets – Permanently restricted net assets are those whose use by Atherton has been restricted by the donor in perpetuity. As of December 31, 2015 and 2014, Atherton did not have any permanently restricted net assets.

Deferred giving programs – Atherton has various arrangements with donors under the following terms:

Gift annuities: As consideration for certain irrevocable gifts made to Atherton for benevolent purposes, Atherton enters into agreements to make fixed annual payments to the donors or their beneficiaries for life. A liability is established for the present value of future payments, discounted at 6.50%, under the terms of the outstanding annuity contracts, with the difference recorded as unrestricted gifts. Gift annuity assets in excess of the liabilities are available to Atherton for corporate use without approval of the California Department of Insurance. However, the Board of Trustees (the "Board") has limited the use of the excess assets until the gift matures (the death of the beneficiary).

Charitable remainder trusts: Atherton is the beneficiary of several revocable charitable remainder trust agreements. Revocable trusts may be revoked by the respective trustors at any time and, therefore, the obligations are carried at an amount equal to the fair value of the assets. Income earned on assets held under revocable trusts is recognized as adjustments to the assets and obligations. Contributions are recognized as temporarily restricted support when the agreements become irrevocable. Upon the death of the trustor, the remaining assets are transferred to unrestricted net assets.

Pooled income funds: Various donors have entered into irrevocable gift agreements whereby income earned on the funds is distributed to donor-designated beneficiaries. Under such agreements, contributions are recognized as temporarily restricted support based on the fair value of the assets contributed less the present value of the payments expected to be made to the beneficiaries. The pooled income fund obligations are reflected as liabilities discounted at 6.00%. Upon termination of the irrevocable gift agreements, the remaining assets are transferred to unrestricted net assets.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Concentration of credit risk – Atherton maintains its cash balances in several financial institutions. The balances are insured by the Federal Deposit Insurance Corporation up to \$250,000 per financial institution, with the exception of balances at Christian Community Credit Union, which are insured by American Private Insurance up to \$250,000. From time to time, cash balances may exceed these insured limits. Atherton has not experienced any losses in such accounts.

Financial instruments, which potentially subject Atherton to concentration of credit risk, consist primarily of investments and receivables. Investments are managed by professional investment managers within the guidelines established by the Board, which, as a matter of policy, limit the amounts that may be invested in anyone issuer. Concentration of credit risk with respect to receivables is limited due to the number of payors comprising Atherton's customer base. As of December 31, 2015 and 2014, Atherton had no significant concentration of credit risk.

Donated services – No amounts have been reflected in the financial statements for donated services. Atherton generally pays for services requiring specific expertise. However, many individuals volunteer their time, and perform a variety of tasks that assist Atherton with specific assistance programs.

Nursing center revenue – Nursing center revenue is reported on the accrual basis in the period in which services are provided, net of third-party contractual allowances for Medicare, Medicaid, and other programs. Contractual allowances include differences between established billing rates and amounts estimated by management as reimbursable under various cost reimbursement formulas and contracts in effect.

The administrative procedures related to the cost reimbursement programs in effect generally preclude final determination of amounts due to, or payable by Atherton until cost reports are audited or otherwise reviewed and settled upon by the applicable administrative agencies. Normal estimation differences between final settlements and amounts accrued in previous years are reported as adjustments of nursing center revenue in the current year. In the opinion of management, adequate provision has been made for adjustments, if any, which might result from subsequent review.

Atherton is reimbursed for services provided to patients under certain programs administered by governmental agencies. Laws and regulations governing the Medicare and Medicaid programs are complex and subject to interpretation. Atherton believes that it is in compliance with all applicable laws and regulations and is not aware of any pending or threatened investigations involving allegations of potential wrongdoing. While no such regulatory inquiries have been made, compliance with such laws and regulations can be subject to future government review and interpretation, as well as significant regulatory action including fines, penalties, and exclusion from the Medicare and Medicaid programs.

Entrance and monthly maintenance fees – Generally, in return for care to be provided by Atherton, residents pay an initial (most often a lump sum) entrance fee and an ongoing monthly maintenance fee. These initial entrance fees will vary in amount and type depending on where the resident resides.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Courtyard Contracts: Residents that live in Atherton's courtyard community ("Courtyard") pay an entrance fee that is either 90%, 70%, or 50% repayable to residents. The repayable entrance fees are recorded as a repayable entrance fee liability in the statements of financial position. At December 31, 2015 and 2014, repayable entrance fee liability totaled approximately \$15,728,000 and \$14,975,000, respectively.

Atherton also offers a re-occupancy benefit contract for Courtyard residents whereby residents pay an entrance fee ranging from \$298,000 for a one-bedroom unit to between \$357,000 and \$395,000 for a two-bedroom unit and an ongoing monthly maintenance fee. There is an additional entrance fee of \$25,000 for occupancy of a second person. The entrance fee is refundable if the resident should leave Atherton as follows:

1. During the first ninety days, the entrance fee paid by the resident is refunded in full.
2. If the resident's tenancy terminates subsequent to the first ninety days, Atherton offers the following re-occupancy benefit refunds to the resident (or their estate) once the unit has been re-occupied:
 - a. Re-occupancy benefit equal to 50% of the paid entrance fees.
 - b. Re-occupancy benefit equal to 70% of the paid entrance fees.
 - c. Re-occupancy benefit equal to 90% of the paid entrance fees.

Classic Contracts: Residents that live in Atherton's independent living units excluding the Courtyard ("Classic") pay a one-time entrance fee that is 100% non-refundable.

The 10%, 50% or 100% non-refundable portion of entrance fees paid by Courtyard and Classic contracted residents are recorded as deferred revenue from entrance fees in the statements of financial position and are amortized over the estimated life of the resident. Under the re-occupancy benefit contract agreements, Atherton amortizes the non-repayable portion of the paid entrance fee over the resident's expected life. The net deferred revenue from entrance fees for residents under the Classic contracts amounted to approximately \$12,535,000 and \$11,121,000 at December 31, 2015 and 2014 respectively.

Residents pay for the right to occupy Atherton's units and for access to its services, but do not obtain title to any of its real estate. Monthly maintenance fees are reported on the accrual basis in the period in which services are provided.

Advertising costs – Advertising costs (not associated with acquiring initial continuing-care contracts) are charged to operations when incurred. Total advertising expense for the years ended December 31, 2015 and 2014 were approximately \$53,000 and \$167,000, respectively, and are included in purchase goods and services in the accompanying statements of operations.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Performance indicator – Operating loss is the performance indicator. Changes in unrestricted net deficit, which are excluded from operating loss, include unrealized gains and losses on other-than-trading securities, restricted contributions expended during the year for capital, and changes in the minimum pension liability.

Income taxes – Atherton is organized as a non-profit corporation under the general non-profit corporation laws of the State of California, and is exempt from federal income taxation under Internal Revenue Code section 501(c)(3). Non-profit organizations are generally not liable for taxes on income; therefore, no provision is made for such taxes in the financial statements.

Atherton considers many factors when evaluating and estimating its tax positions and tax benefits, which may require periodic adjustments and which may not accurately anticipate actual outcomes. Atherton evaluates its uncertain tax positions using the provisions with accounting principles generally accepted in the United States of America ("GAAP"). These standards require management to perform an evaluation of all tax positions taken, or expected to be taken in the course of preparing the Atherton's tax returns. Management believes the tax positions taken more likely than not will be sustained under examination by the applicable tax authorities. Examples of tax positions include tax-exempt status of Atherton, and various positions related to the potential sources of unrelated business taxable income. Since tax matters are subject to some degree of uncertainty, there can be no assurance that Atherton's tax returns will not be challenged by the taxing authorities, and that Atherton will not be subject to tax, penalties, and interest as a result of such challenge. Generally, Atherton's tax returns remain open for three years for federal income tax examination and four years for state income tax examination.

Use of estimates – Management uses estimates and assumptions in preparing financial statements. Those estimates and assumptions affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities, and the reported revenues and expenses. Actual results could differ from those estimates.

Fair value measurements – FASB ASC Topic 820, *Fair Value Measurements and Disclosures*, prescribes fair value measurements and disclosures for financial and nonfinancial assets and liabilities that are recognized or disclosed at fair value in the financial statements. FASB ASC Topic 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. FASB ASC Topic 820 also establishes a framework for measuring fair value and expands disclosures about fair value measurements.

The carrying amounts reported in the statements of financial position for cash and cash equivalents, accounts receivable, prepaid expenses and other current assets, other assets and accrued liabilities approximate fair value. The fair values of assets limited as to use and investments are disclosed in Note 4. The fair values of long-term debt are disclosed in Note 11.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 2 – Summary of Significant Accounting Policies (continued)

Comparative financial statements – Certain amounts included in the 2014 financial statements and related notes have been reclassified for comparative purposes to conform to the presentation in the 2015 financial statements.

New accounting guidance – In May 2014, the FASB issued ASU 2014-09, *Revenue from Contracts with Customers (Topic 606)*. As compared to existing guidance on revenue recognition, ASU 2014-09 will significantly enhance comparability of revenue recognition practices across entities, industries, jurisdictions, and capital markets. The largely principles-based guidance in ASU 2014-09 will provide a framework for addressing revenue recognition issues comprehensively for entities that apply U.S. GAAP in addition to those entities that apply International Financial Reporting Standards. The guidance in ASU 2014-09 also improves U.S. GAAP by reducing the number of requirements to which an entity must consider in recognizing revenue, as well as requires improved disclosures to help users of financial statements better understand the nature, amount, timing, and uncertainty of revenue that is recognized. The effective date of ASU 2014-09 was deferred by ASU 2015-14, *Deferral of the Effective Date*, to annual periods beginning after December 15, 2017 (fiscal year ending December 31, 2018 for Atherton). Atherton is currently evaluating the impact of the provisions of ASU 2014-09 on the presentation of its financial statements.

In August 2014, the FASB issued ASU 2014-15, *Presentation of Financial Statements – Going Concern (Subtopic 205-40) – Disclosure of Uncertainties about an Entity's Ability to Continue as a Going Concern*. ASU 2014-15 is intended to define management's responsibility to evaluate whether there is substantial doubt about an organization's ability to continue as a going concern and to provide related footnote disclosures. This guidance is effective for Atherton in the annual period ending December 31, 2017 and annual periods thereafter. Atherton is currently evaluating the impact of the provisions of ASU 2014-15 on its financial statements.

In the normal course of business, Atherton evaluates all new accounting pronouncements to determine the potential impact they may have on its financial statements. Based upon this evaluation, Atherton does not expect any of the remaining recently issued accounting pronouncements, which have not already been adopted by Atherton, to have a material impact on its financial statements.

Subsequent events – Subsequent events are events or transactions that occur after the statements of financial position date but before financial statements are issued. Atherton recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the statements of financial position, including the estimates inherent in the process of preparing the financial statements. Atherton has evaluated subsequent events through April 19, 2016, which is the date the financial statements were issued, and concluded that there were no additional events or transactions that need to be disclosed.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 3 – Investments

Investments are classified in the accompanying statements of financial position as follows:

	2015	2014
Investments - general fund	\$ 1,894,049	\$ 1,851,647
Assets held by bond indenture trustee, required for current liabilities	1,465,000	1,460,000
Assets limited by Board as to use	4,846,361	4,910,258
Assets held by bond indenture trustee, net of current portion	2,777,300	3,026,816
Investments - other	-	228,026
Other investments (held under charitable remainder trusts and pooled income funds)	334,120	245,490
	<u>\$ 11,316,830</u>	<u>\$ 11,722,237</u>

Assets recognized under gift annuities are included in assets limited by Board as to use and total approximately \$2,117,000 and \$1,989,000 at December 31, 2015 and 2014, respectively.

The following table discloses the composition of investment return for the years ended December 31:

	2015	2014
Unrestricted net assets:		
Interest and dividend income	\$ 281,130	\$ 317,131
Realized gains, net	68,983	396,214
Unrealized losses, net	(558,433)	(206,225)
	<u>\$ (208,320)</u>	<u>\$ 507,120</u>
Temporarily restricted net assets:		
Interest and dividend income	\$ 8,093	\$ 8,351
Realized losses, net	(4,873)	(4,090)
Unrealized losses, net	(15,776)	(3,539)
	<u>\$ (12,556)</u>	<u>\$ 722</u>

Atherton paid approximately \$99,000 and \$108,000 in investment consulting fees during the years ended December 31, 2015 and 2014, respectively, which is included in purchased goods and services expense on the statements of operations.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 4 – Fair Value Measurements

In accordance with FASB ASC Topic 820, Atherton classifies its investments based upon an established fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurements) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy are described below:

Level 1 – Unadjusted quoted prices in active markets that are accessible at the measurement date for identical, unrestricted assets or liabilities.

Level 2 – Quoted prices in markets that are not considered to be active or financial instruments without quoted market prices, but for which all significant inputs are observable, either directly or indirectly.

Level 3 – Prices or valuations that require inputs that are both significant to the fair value measurement and unobservable.

A financial instrument's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement.

The following table sets forth by level, within the fair value hierarchy, assets at fair value at December 31, 2015:

	Investment Assets at Fair Value as of December 31, 2015			
	Level 1	Level 2	Level 3	Total
U.S. equities	\$ 3,837,471	\$ -	\$ -	\$ 3,837,471
Certificates of deposit	-	480,903	-	480,903
Corporate bonds	-	3,078,432	-	3,078,432
Money market funds	2,082,196	-	-	2,082,196
Exchange traded funds	101,382	-	-	101,382
Government bonds	-	1,736,446	-	1,736,446
	<u>\$ 6,021,049</u>	<u>\$ 5,295,781</u>	<u>\$ -</u>	<u>\$ 11,316,830</u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 4 – Fair Value Measurements (continued)

The following table sets forth by level, within the fair value hierarchy, assets at fair value at December 31, 2014:

	Investment Assets at Fair Value as of December 31, 2014			
	Level 1	Level 2	Level 3	Total
U.S. equities	\$ 5,327,681	\$ -	\$ -	\$ 5,327,681
Certificates of deposit	-	455,445	-	455,445
Corporate bonds		2,038,628	-	2,038,628
Money market funds	2,025,001	-	-	2,025,001
Exchange traded funds	1,667,650	-	-	1,667,650
Government bonds		207,832	-	207,832
	<u>\$ 9,020,332</u>	<u>\$ 2,701,905</u>	<u>\$ -</u>	<u>\$ 11,722,237</u>

The following is a description of the valuation methodologies used for investments measured at fair value on a recurring basis and recognized in the accompanying statements of financial position, as well as the general classification of other investments pursuant to the valuation hierarchy:

U.S. equities, corporate bonds, government bonds, exchange-traded funds and money market funds: valued at fair value by reference to quoted market prices in active markets for identical assets or liabilities (unadjusted) and other relevant generated market transactions that Atherton has the ability to access at the measurement date.

Split-interest agreements: Split-interest agreements include charitable remainder trusts, charitable gift annuities and pooled income funds. Split-interest agreements are valued at fair value by estimating the present value of expected future cash inflows.

The preceding methods described may produce a fair value calculation that may not be indicative of net realizable value or reflective of future fair values. Furthermore, although management believes its valuation methods are appropriate and consistent with other market participants, the use of different methodologies or assumptions to determine the fair value of certain financial instruments could result in a different fair value measurement at the reporting date. There have been no changes in the methodologies used at December 31, 2015 and 2014.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 5 – Assets Held in Trust for Residents

Residents can deposit personal-use funds into trust accounts maintained by Atherton. These funds are maintained strictly for use by the residents for their personal expenses, including monthly charges for personal and nursing care at agreed-upon rates. If a resident leaves Atherton, the balance remaining in the fund is returned. Assets held in trust for residents, included in prepaid expenses and other current assets, amounted to approximately \$566,000 and \$217,000 as of December 31, 2015 and 2014, respectively. As these funds do not represent assets of Atherton, a corresponding trust account liability is included in accrued liabilities.

Note 6 – Assets Limited as to Use

Assets limited as to use are comprised of the following at December 31:

	2015	2014
Assets limited by Board as to use	\$ 4,846,361	\$ 4,910,258
Assets held by bond indenture trustee	4,242,300	4,486,816
	<u>\$ 9,088,661</u>	<u>\$ 9,397,074</u>

Assets limited by Board as to use consisted of board-designated funds, including unrestricted gifts received by Atherton. Although such funds are not legally restricted as to use, it is the Board's current intention that these assets would remain intact and that only the interest earned on these assets would be available to subsidize operations. Atherton's Board has designated these assets for this purpose, however such designation can be changed at any time.

As part of the bond indenture (Note 11), several restricted funds were established and are maintained by the Trustee. These funds are the Debt Service Reserve Fund, Project Fund, and Bond Fund. These funds consist of cash and cash equivalents and fixed income securities. The balance in each fund as of December 31 is as follows:

	2015	2014
Debt Service Reserve Fund	\$ 2,777,761	\$ 2,785,622
Project Fund	30	243,185
Bond Fund	<u>1,464,509</u>	<u>1,458,009</u>
	4,242,300	4,486,816
Less: current portion	<u>1,465,000</u>	<u>1,460,000</u>
	<u>\$ 2,777,300</u>	<u>\$ 3,026,816</u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 6 – Assets Limited as to Use (continued)

Per the bond indenture, Atherton must also maintain an Operating Reserve Fund; however, it is not required to be maintained by the Trustee. The Operating Reserve Fund, which totals approximately \$2,376,000 and \$2,536,000 as of December 31, 2015 and 2014, respectively, is included in the accompanying statements of financial position under assets limited by Board as to use.

Note 7 – Property and Equipment

Property and equipment at December 31 consists of the following:

	2015	2014
Land	\$ 3,350,093	\$ 3,350,093
Buildings and improvements	57,171,486	56,541,084
Major movable and fixed equipment	10,270,414	10,080,929
	70,791,993	69,972,106
Less accumulated depreciation	33,198,688	30,932,845
Total depreciable assets	37,593,305	39,039,261
Construction in progress	998,990	936,764
	<u>\$ 38,592,295</u>	<u>\$ 39,976,025</u>

Depreciation expense for the years ended December 31, 2015 and 2014 amounted to approximately \$2,519,000 and \$2,559,000, respectively.

Note 8 – Deferred Costs, Net

Deferred costs, net of accumulated amortization, are comprised of the following at December 31:

	2015	2014
Costs of acquiring initial continuing care contracts	2,443,110	2,443,110
Less: accumulated amortization	895,520	691,443
Costs of acquiring initial continuing care contracts, net	1,547,590	1,751,667
Deferred costs, net	<u>\$ 1,547,590</u>	<u>\$ 1,751,667</u>

Amortization expense for the years ended December 31, 2015 and 2014 amount to approximately \$204,000 each year and is included in interest expense in the statements of operations.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 9 – Accrued Workers’ Compensation Claims

On November 20, 2013, Atherton entered into a guaranteed cost policy insurance program to cover workers’ compensation claims. Under the current policy, claims are unlimited on a per claim basis with no deductible. The terms of the policy were renewed on November 20, 2015.

Prior to November 20, 2013, Atherton participated in a self-insured workers compensation program with two other retirement communities. Under this program, Atherton purchased workers’ compensation policies from a commercial insurance carrier, and subsequently reinsured back a portion of their claims costs through a captive insurance company. The arrangement with the other retirement communities allowed for the sharing of the captive expenses, but not the cost of workers’ compensation claims unless default occurred with the other retirement communities. Under the program, in the event that the commercial insurance company is called to satisfy any outstanding obligation of the retirement communities, the insurer has the right of indemnification from each retirement community on a joint and several basis. Atherton assumed the cost of its workers’ compensation claims up to \$350,000 of each claim, plus allocated loss adjustment expense.

Atherton deposited funds in the captive insurance company on an annual basis and recorded this as an insurance premium expense. In addition, Atherton has pledged letters of credit totaling approximately \$656,000 as additional funding of this liability. Under an agreement with the captive insurance company, Atherton and the other two members of the captive group receive returns of the excess profits periodically. Returns of the excess profits received in a given calendar year are recognized as a decrease in insurance premium expense. The remaining funds are held by the captive insurance company for future potential liabilities. The captive insurance company annually estimates reserves for unpaid losses. Estimates used for reserves may or may not be sufficiently covered by deposits in any individual year or collectively, and may require additional funding. As of December 31, 2015 and 2014, management believes that the captive insurance company is adequately funded for the workers’ compensation claim costs.

Note 10 – Line of Credit

Atherton has a \$500,000 unsecured revolving line of credit that is renewable annually. The line of credit bears interest at 1.5% above the prime rate published in the Wall Street Journal (with a floor rate of 4.0%) per annum. The interest rate was 4.0% as of December 31, 2015. No amounts were outstanding at December 31, 2015 or 2014.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 11 – Long-Term Debt

During 2010, Atherton issued 2010 Bonds pursuant to an Indenture of Trust dated as of January 1, 2010, ("Indenture") among the City of Alhambra, California ("Issuer"), Atherton and Wells Fargo Bank ("Trustee"). The 2010 Bonds were issued to fund the construction of the Courtyard project, which consists of 50 one bedroom, 1 and 1/2 bathroom, and two bedroom, two bathroom independent living units on the southeast portion of its campus. The Courtyard project commenced in February 2010, and was completed in July 2011.

The proceeds of the 2010 Bonds, together with other available funds from Atherton, were applied to pay a portion of the costs of the Courtyard project as described above; to fund interest on the portion of the 2010 Bonds that is allocated to the Courtyard project and other expenses incidental to the Courtyard project; to fund a debt service reserve fund; and to pay the costs of issuance.

Long-term debt at December 31 consists of the following:

	<u>2015</u>	<u>2014</u>
Series 2010A bonds with semi-annual principal payments due through 2030 and 2040, at a stated interest rate of 7.5% and 7.625% per annum, respectively. Interest is payable semi-annually on January 1 and July 1.	\$ 28,610,000	\$ 28,970,000
Capital lease, secured by equipment, with monthly principal payments due through 2018, at a stated interest rate of 4.50% per annum. Interest is payable monthly on the 10th of each month.	<u>38,273</u>	<u>50,291</u>
	28,648,273	29,020,291
Less: current maturities	393,000	372,000
Less: unamortized deferred financing costs	<u>925,212</u>	<u>1,010,696</u>
	<u><u>\$ 27,330,061</u></u>	<u><u>\$ 27,637,595</u></u>

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 11 – Long-Term Debt (continued)

As part of the indenture, Atherton granted to the Trustee the following:

1. First lien on the land and buildings owned by Atherton.
2. Security interest in substantially all assets and gross revenue of Atherton.
3. Assignment of Atherton's right in resident agreements.

Atherton is also required to comply with various restrictive and financial covenants as specified in the Indenture, including a debt service coverage ratio, liquidity ratio, marketing targets, and occupancy requirements.

Principal payments due are as follows:

Fiscal Year	Principal Payments
2016	\$ 393,000
2017	428,141
2018	452,572
2019	470,000
2020	515,000
Thereafter	<u>26,389,560</u>
Totals	<u>\$ 28,648,273</u>

Long-term debt is carried at amortized cost. The fair value of Atherton's long-term debt is estimated to equal its carrying value based on Level 2 inputs, such as the quoted market prices for the same or similar issues or on the current rates offered to Atherton for debt of the same remaining maturities. The following table presents Atherton's estimated fair values of the long-term debt in accordance with FASB ASC Topic 825, *Financial Instruments*, at December 31, 2015 and 2014:

	2015		2014	
	<u>Carrying</u>	<u>Fair Value</u>	<u>Carrying</u>	<u>Fair Value</u>
Series 2010A Bonds	\$ 28,610,000	\$ 29,518,065	\$ 28,970,000	\$ 31,526,722

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 12 – Pension Plans

Atherton has two noncontributory employee retirement plans; a defined contribution plan and a defined benefit plan.

The defined contribution plan covered all employees effective January 1, 2004. The Ministers and Missionaries Benefit Board of the American Baptist Churches maintain this plan. Contributions to this plan are based on a percentage of participating employees' salaries. The defined contribution plan expense for the years ended December 31, 2015 and 2014 totaled approximately \$267,000 and \$258,000, respectively.

The defined benefit plan (the "pension plan") was frozen effective December 31, 2003. However, pension plan funding was to continue until such time that the pension plan was terminated and all obligations were satisfied. The plan is expected to be fully funded by 2015.

The following tables summarize the obligations and funded status of Atherton's pension plan:

	2015	2014
Benefit obligation at December 31	\$ 3,725,325	\$ 3,435,465
Benefit payments	141,666	144,584
Fair value of plan assets at December 31	772,120	974,182
Net unfunded status of plan	2,985,241	2,461,283

Amounts recognized in the statements of financial position consist of:

	2015	2014
Pension liability	\$ 2,985,241	\$ 2,461,283

Amounts recognized in the statements of changes in unrestricted net assets:

	2015	2014
Actuarial losses	\$ 1,517,860	\$ 1,156,663

The projected benefit obligation, accumulated obligation, and fair value of plan assets for plans with accumulated benefit obligations in excess of plan assets were as follows:

	2015	2014
Project benefit obligation	\$ 3,725,325	\$ 3,435,465
Accumulated benefit obligation	\$ 3,725,325	\$ 3,435,465
Fair value of plan assets	\$ 772,120	\$ 974,182

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 12 – Pension Plans (continued)

The net periodic benefit cost recognized in the statements of changes in net assets is as follows:

	2015	2014
Net periodic pension cost	\$ 162,761	\$ 150,267

Atherton has recognized, in the accompanying statements of financial position, the minimum liability of the unfunded accumulated benefit obligation as unfunded pension liability with an offsetting adjustment to unrestricted net assets. For the year ended December 31, 2015, the minimum pension liability was increased by approximately \$524,000, bringing the total unfunded pension liability to approximately \$2,985,000 at December 31, 2015. For the year ended December 31, 2014, the minimum pension liability was increased by approximately \$143,000, bringing the total unfunded pension liability to approximately \$2,461,000 at December 31, 2014.

The actuarial loss that will be amortized from unrestricted net deficit into net periodic pension cost over the next fiscal year is approximately \$83,000.

Assumptions:

The weighted-average assumptions used to determine benefit obligations at December 31 were as follows:

	2015	2014
Discount rate	4.50%	4.50%
Rate of compensation increase	N/A	N/A

The weighted-average assumptions used to determine net periodic benefit cost for the years ended December 31 were as follows:

	2015	2014
Discount rate	4.50%	4.50%
Expected return on plan assets	7.00%	8.00%
Rate of compensation increase	N/A	N/A

The expected return on plan assets was determined based on historical and expected future returns of the various asset classes.

The primary investment objective of Atherton is to preserve and protect the assets of Atherton while earning a rate of return that is appropriate for each fund. After preservation of capital, the objectives of Atherton are (1) the growth of principal and income to offset inflation, and (2) the production of a current income.

ATHERTON BAPTIST HOMES

NOTES TO FINANCIAL STATEMENTS

Note 12 – Pension Plans (continued)

To accomplish Atherton's investment objectives, balanced portfolios of equity (common stocks and convertible securities), fixed income, and short-term reserves are utilized. As a guide to accomplishing these objectives the following maximum and minimum percentage guidelines (percentage of market value) are to be observed as long-term controls:

Asset Class	Target Allocation (Max/Min)
Equity	90%/10%
Fixed income	90%/10%
Short-term reserves	10%/5%

The fair values of Atherton's plan assets at December 31 (the measurement date), by asset category, are as follows:

Contributions – Since January 2006, Atherton has been setting aside an annual amount of \$180,000 of general fund assets to fund the pension plan; however, Atherton did not make a contribution to its pension plan during 2015. The balance of the general fund assets totaled approximately \$772,000 and \$1,410,000 as of December 31, 2015 and 2014, respectively.

Measurement date – The measurement date used to determine pension benefit measures for the plan is December 31.

Assets at Fair Value as of December 31, 2015				
	Level 1	Level 2	Level 3	Total
Cash	\$ 33,000	\$ -	\$ -	\$ 33,000
Equity securities	528,484	-	-	528,484
Fixed income securities	201,250	-	-	201,250
Total plan assets	762,734	-	-	762,734
Net of prepayment and payable	9,386	-	-	9,386
Net plan assets	<u>\$ 772,120</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 772,120</u>
Assets at Fair Value as of December 31, 2014				
	Level 1	Level 2	Level 3	Total
Cash	\$ 9,985	\$ -	\$ -	\$ 9,985
Equity securities	800,756	-	-	800,756
Fixed income securities	226,400	-	-	226,400
Total plan assets	1,037,141	-	-	1,037,141
Net of prepayment and payable	(62,959)	-	-	(62,959)
Net plan assets	<u>\$ 974,182</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 974,182</u>

ATHERTON BAPTIST HOMES
NOTES TO FINANCIAL STATEMENTS

Note 12 – Pension Plans (continued)

As of December 31, 2015, expected future benefit payments were as follows:

<u>Years ending December 31,</u>	
2016	\$ 161,459
2017	165,074
2018	169,849
2019	186,701
2020	185,983
Thereafter	<u>1,132,367</u>
	<u><u>\$ 2,001,433</u></u>

Note 13 – Functional Expenses

Atherton provides residential and nursing center services to its residents. Expenses related to providing these services for 2015 and 2014 are as follows:

	<u>2015</u>	<u>2014</u>
Residential services	\$ 8,627,449	\$ 8,775,126
Nursing center services	8,372,916	8,614,875
General and administrative	3,408,199	3,448,764
Fundraising	<u>113,139</u>	<u>137,573</u>
	<u><u>\$ 20,521,703</u></u>	<u><u>\$ 20,976,338</u></u>

Note 14 – Contingencies

Atherton is subject to many complex federal, state, and local laws and regulations. Compliance with these laws and regulations is subject to government review and interpretation unknown or unasserted regulatory actions. Government activity, with respect to investigations and allegations regarding possible violations of these laws and regulations by health care providers, including those related to medical necessity, coding and billing for services, has increased significantly. Violations of these laws can result in large fines and penalties, sanctions on providing future services, and repayment of past patient service revenues. Management believes any actions that may result from investigations of non-compliance with laws and regulations will not have a material effect on Atherton's future financial position or results of operations.

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APPENDIX C

FINANCIAL FEASIBILITY REPORT

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Atherton Baptist Homes

Financial Feasibility Study

Five Years Ending December 31, 2020

Richard W. Dallas, CPA

Atherton Baptist Homes

Financial Feasibility Study

Eight Years Ending December 31, 2020

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Professional Organization Memberships

American Institute of Certified Public Accountants & California Society of Certified Public Accountants

Independent Accountant's Examination Report

Board of Trustees
Atherton Baptist Homes
Alhambra, California

I have prepared a financial feasibility study of the plans of Atherton Baptist Homes (the Corporation), a California nonprofit public benefit corporation providing housing, healthcare and related services to seniors, to advance refund its existing Series 2010A Bonds with the proposed issuance of the \$29,775,000 Insured Health Facilities Revenue Bonds (the Series 2016 Bonds) assumed to be insured through the California Health Facilities Construction Loan Insurance Program (Cal-Mortgage).

The Corporation owns and operates a continuing care retirement community (Atherton) located in Alhambra, California. Atherton consists of 220 residential living units, 30 traditional assisted living units, six companion care assisted living beds, 99 skilled nursing beds, and various administrative and common areas. For purposes of the financial feasibility study, management of the Corporation is considered to be its Board of Trustees and its staff management team herein after referred to as "Management."

The feasibility study was undertaken to evaluate the ability of the Corporation to generate sufficient funds, during the five years ending December 31, 2020, to meet its operating expenses, working capital needs and other financial requirements, including the debt service requirements associated with the proposed issuance of the Series 2016 Bonds.

According to information provided by the Corporation's underwriter, B.C. Ziegler and Company, doing business as Ziegler (the "Underwriter") and the Corporation's financial advisor, Ford & Associates, Inc., (the "Financial Advisor") the Series 2016 Bonds are assumed to be issued by the City of Alhambra, and to be dated and delivered on October 20, 2016. The Series 2016 Bonds are assumed to be tax-exempt fixed rate bonds with an average coupon rate of 4.58%. Interest payments to bondholders are assumed to be payable semiannually, beginning on January 1, 2017. Annual principal payments are assumed to be payable January 1 of each year, beginning on January 1, 2017 and ending on January 1, 2040.

Cost of issuance includes a Cal Mortgage bond insurance premium of 2.75% (\$1,343,672) of total debt service, and a Project inspection fee of .4% (\$119,100) of the bonds par value, at closing.

Proceeds from the Series 2016 Bonds, together with an equity contribution from the Corporation and trustee held funds relating to the refunding of the existing Series 2010A Bonds are assumed to be used to:

- Fund the debt service reserve fund for the Series 2016 Bonds;
- Advance refund the existing Series 2010A Bonds; and
- Pay costs of issuance related to the Series 2016 Bonds.

Retirement Housing and Health Care Consulting Since 1981

Richard W. Dallas, CPA

My procedures included analysis of:

- The Corporation's objectives, timing and financing;
- The future demand for the Corporation's services including consideration of:
 - Economic and demographic characteristics of the Corporation's defined market area;
 - Locations, capacities and competitive information pertaining to other existing and planned facilities in the market area; and
 - Forecasted occupancy and utilization levels.
- Debt service requirements and estimated issuance costs associated with the Series 2016 Bonds and the Corporation's other obligations;
- Staffing requirements, salaries and wages, related fringe benefits and other operating expenses;
- Anticipated entrance fees, monthly service fees, and per diem charges;
- Management's estimated costs associated with its annual capital budgets;
- Sources of other operating and non-operating revenues; and
- Revenues, expenses and volume/utilization relationships.

The accompanying financial forecast for the five years ending December 31, 2020 is based upon assumptions provided by, or reviewed with, and approved by Management of the Corporation. These assumptions are integral and essential to an understanding of the Corporation's financial statements. The financial forecast includes the following financial statements and the related summary of significant forecast assumptions and accounting policies:

- Forecasted Statements of Operations and Changes in Net Assets,
- Forecasted Statements of Cash Flows,
- Forecasted Statements of Financial Position, and
- Forecasted Financial Ratios.

I have examined the financial forecast. Management is responsible for the forecast. My responsibility is to express an opinion on the forecast based on my examination. My examination was made in accordance with attestation standards for an examination of a financial forecast established by the American Institute of Certified Public Accountants (AICPA) and, accordingly, included such procedures as I considered necessary to evaluate both the assumptions used by Management and the preparation and presentation of the forecast. I believe that my examination provides a reasonable basis for my opinion.

Legislation and regulations at all levels of government have affected and may continue to affect the operations of continuing care retirement communities. The financial forecast is based upon legislation and regulations currently in effect. If future legislation or regulations related to the Corporation's operations are subsequently enacted, such legislation or regulations could have a material effect on future operations.

Management's financial forecast is based on the achievement of occupancy levels as determined by Management. I have not been engaged to evaluate the effectiveness of Management and I am not responsible for future marketing efforts and other Management actions upon which actual results will depend.

Richard W. Dallas, CPA

The assumed interest rates, principal payments and other financing assumptions are described in the section entitled "Summary of Significant Forecast Assumptions and Accounting Policies." If actual interest rates, principal payments and funding requirements are different from those assumed, the amount of the Series 2016 Bonds and the associated debt service requirements would need to be adjusted accordingly, from those indicated in the forecast. If such interest rates, principal payments and funding requirements are lower than those assumed, such adjustments would not adversely affect Management's forecast.

My conclusions are presented below:

- In my opinion, the accompanying financial forecast is presented in conformity with guidelines for presentation of a financial forecast established by the AICPA.
- In my opinion, the underlying assumptions provide a reasonable basis for Management's forecast. However, there will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.
- The accompanying financial forecast indicates that sufficient funds could be generated to meet the Corporation's operating expenses, working capital needs and other financial requirements, including the debt service requirements associated with the proposed Series 2016 Bonds during the forecast period. However, the achievement of any financial forecast is dependent upon future events, the occurrence of which cannot be assured.

The Forecasted Financial Ratios, included on page eight of the financial feasibility study, were requested and defined by the Corporation, the Underwriter and Cal-Mortgage. These ratios and other key indicators should be considered in conjunction with the entire financial forecast.

Sensitivity analyses of certain of Management's forecast assumptions and the potential impact on the Corporation's annual debt service coverage ratio and other financial ratios are presented beginning on page 41 of the Summary of Significant Forecast Assumptions and Accounting Policies. Management has conducted these sensitivity analyses on its financial forecast. These sensitivity analyses were requested by Cal-Mortgage, and are presented for the purposes of additional analysis and are not a required part of the financial forecast. Such information has not been subjected to procedures applied in my examination of the financial forecast, and accordingly, I express no opinion or any other form of assurance on them.

I have no responsibility to update this report for events and circumstances occurring after the date of this report.

Richard W. Dallas, CPA

August 19, 2016

Atherton Baptist Homes

Forecasted Statements of Operations and Changes in Net Assets (With Comparative Historical Information)

Year ending December 31,
(In Thousands of Dollars)

	Historical			Forecast				
	2013	2014	2015	2016	2017	2018	2019	2020
Revenues, gains and other support								
Residential services	\$ 6,106	\$ 6,625	\$ 7,287	\$ 7,780	\$ 8,067	\$ 8,378	\$ 8,729	\$ 9,082
Nursing center revenue	8,597	8,071	8,696	8,913	9,218	9,436	9,683	9,939
Amortization of entrance fees	1,750	1,716	2,235	2,225	2,292	2,361	2,432	2,505
Investment income	388	713	350	236	248	284	313	344
Gifts and donations	1,686	347	111	525	530	535	540	545
Other revenue	174	103	114	125	125	125	125	125
Total revenues, gains and other support	18,701	17,575	18,793	19,804	20,480	21,119	21,822	22,540
Operating Expenses								
Salaries and benefits	8,946	8,266	7,033	7,539	7,632	7,813	8,012	8,216
Purchased goods and services	6,255	7,537	8,415	8,565	8,758	8,973	9,289	9,628
Interest	2,926	2,334	2,257	1,379	1,212	1,188	1,163	1,138
Provision for doubtful accounts	110	50	77	50	50	50	50	50
Other	337	26	16	-	-	-	-	-
Operating expenses before depreciation and amortization	18,574	18,213	17,798	17,533	17,652	18,024	18,514	19,032
Operating income before depreciation and amortization	127	(638)	995	2,271	2,828	3,095	3,308	3,508
Depreciation and amortization	2,738	2,763	2,723	2,751	2,764	2,756	2,743	2,735
Income (loss) from operations	(2,611)	(3,401)	(1,728)	(480)	64	339	565	773
Transfers (to) from affiliate								
Unrealized gains (losses) on investments	683	(206)	(559)	-	-	-	-	-
Net assets released from restrictions used for purchase of property and equipment	144	-	18	-	-	-	-	-
Write-off of deferred finance costs in advance refunding of Series 2010 Bonds	-	-	-	(863)	-	-	-	-
Pre-payment of interest expense to escrow for advance refunding of Series 2010 Bonds	-	-	-	(6,506)	-	-	-	-
Change in minimum pension liability	191	7	(361)	-	-	-	-	-
Increase (decrease) in unrestricted net assets	(1,593)	(3,600)	(2,630)	(7,849)	64	339	565	773
Changes in temporarily restricted net assets:								
Investment income	18	4	3	-	-	-	-	-
Unrealized gains (losses) on investments	16	(4)	(15)	-	-	-	-	-
Changes in value associated with obligations under charitable remainder trusts	20	(11)	148	-	-	-	-	-
Net assets released from restrictions used for operations	(10)	-	-	-	-	-	-	-
Net assets released from restrictions used for purchase of property and equipment	(144)	-	(18)	-	-	-	-	-
Increase (decrease) in temporarily restricted net assets	(100)	(11)	118	-	-	-	-	-
Increase (decrease) in net assets	(1,693)	(3,611)	(2,512)	(7,849)	64	339	565	773
Net assets at the beginning of the year	915	(778)	(4,389)	(6,901)	(14,750)	(14,686)	(14,347)	(13,782)
Net assets at the end of the year	\$ (778)	\$ (4,389)	\$ (6,901)	\$ (14,750)	\$ (14,686)	\$ (14,347)	\$ (13,782)	\$ (13,009)

The historical financial information has been audited by other accountants, and is included for comparative purposes only.
Certain reclassifications of historical financial information amounts have been made to conform to the forecast presentation.

See Summary of Significant Forecast Assumptions and Accounting Policies and Independent Accountant's Examination Report.

Atherton Baptist Homes

Forecasted Statements of Cash Flow (With Comparative Historical Information)

Year ending December 31,
(In Thousands of Dollars)

	Historical			Forecast				
	2013	2014	2015	2016	2017	2018	2019	2020
Cash flows from operating activities:								
Change in net assets	\$ (1,693)	\$ (3,611)	\$ (2,512)	\$ (7,849)	\$ 64	\$ 339	\$ 565	\$ 773
Adjustments to reconcile increase (decrease) in net assets to net cash provided by operating activities:								
Turnover entrance fee activity:								
Entrance fees received	2,142	4,512	5,403	4,986	5,214	5,013	5,559	5,522
Entrance fees repaid/refunded	-	(1,107)	(1,001)	(969)	(1,232)	(1,354)	(1,742)	(1,792)
Change in entrance fees receivable	(473)	421	(44)	260	-	-	-	-
Amortization of earned entrance fees	(1,750)	(1,716)	(2,235)	(2,225)	(2,292)	(2,361)	(2,432)	(2,505)
Amortization of deferred marketing costs	204	204	204	204	204	204	204	204
Amortization of deferred financing costs	84	85	85	90	111	111	111	111
Amortization of original issue premium on Series 2016 Bonds	-	-	-	(40)	(206)	(206)	(206)	(206)
Depreciation of property and equipment	2,738	2,559	2,519	2,547	2,560	2,552	2,539	2,531
Provision for doubtful accounts	110	50	77	50	50	50	50	50
Write-off of deferred finance costs in advance funding of Series 2010 Bonds	-	-	-	863	-	-	-	-
Changes in operating assets and liabilities:								
Accounts receivable	128	(163)	33	(194)	(82)	(79)	(83)	(83)
Prepaid expenses	51	24	170	(129)	(10)	(13)	(17)	(18)
Accounts payable and ST note payable	265	68	(199)	301	19	20	31	32
Accrued expenses and liabilities	(54)	176	(60)	(54)	7	12	14	14
Deposits on entrance fees	(304)	16	96	25	(17)	47	(4)	10
Pension liability	(33)	143	524	(151)	(147)	(154)	(161)	(168)
Accrued interest	-	(212)	(13)	(827)	396	(12)	(13)	(13)
Other, net	13	98	32	(11)	-	1	-	-
Net Cash Provided by Operating Activities	1,690	1,547	3,079	(3,123)	4,639	4,170	4,415	4,462
Cash flows from investing activities:								
Purchases and construction of property and equipment	(1,864)	(1,198)	(1,146)	(1,403)	(2,001)	(1,731)	(1,921)	(1,681)
Proceeds from the sale of property and equipment	88	1	4	-	-	-	-	-
Increase (decrease) in liabilities under charitable remainder trusts, pooled income funds and gift annuities	(281)	9	-	-	-	-	-	-
Collections of principal on notes receivable	14	-	-	-	-	-	-	-
Net Cash Used by Investing Activities	(2,043)	(1,188)	(1,142)	(1,403)	(2,001)	(1,731)	(1,921)	(1,681)
Cash flows from financing activities:								
Expansion residential unit entrance fee activity:								
Entrance fees received from initial occupants	6,236	685	-	-	-	-	-	-
Entrance fees repaid to initial occupants	-	(350)	-	-	-	-	-	-
Proceeds from issuance of Series 2016 Bonds	-	-	-	29,775	-	-	-	-
Original issue premium on Series 2016 Bonds	-	-	-	4,768	-	-	-	-
Advance refunding of Series 2010 Bonds	-	-	-	(28,230)	-	-	-	-
Principal payments on long-term debt	-	(6,350)	(360)	(380)	(155)	(800)	(825)	(850)
Costs of issuing Series 2016 Bonds	-	-	-	(2,564)	-	-	-	-
Principal payments on line of credit	(299)	(174)	-	-	-	-	-	-
Net Cash Provided By (Used In) Financing Activities	5,937	(6,189)	(360)	3,369	(155)	(800)	(825)	(850)

(Continued)

Atherton Baptist Homes

Forecasted Statements of Cash Flow (Continued) (With Comparative Historical Information)

Year ending December 31,
(In Thousands of Dollars)

	Historical			Forecast				
	2013	2014	2015	2016	2017	2018	2019	2020
Net increase (decrease) in cash	5,584	(5,830)	1,577	(1,157)	2,483	1,639	1,669	1,931
Cash and investments at beginning of the year	12,838	18,422	12,592	14,169	13,012	15,495	17,134	18,803
Cash and investments at end of the year	<u>\$ 18,422</u>	<u>\$ 12,592</u>	<u>\$ 14,169</u>	<u>\$ 13,012</u>	<u>\$ 15,495</u>	<u>\$ 17,134</u>	<u>\$ 18,803</u>	<u>\$ 20,734</u>

Summary of Balances Held in Accounts:

Current Assets:

Cash and cash equivalents	\$ 1,879	\$ 1,033	\$ 3,078	\$ 1,985	\$ 2,021	\$ 2,070	\$ 2,133	\$ 2,200
Investments	1,946	1,624	1,328	1,765	1,796	1,840	1,896	1,956

Assets whose use is limited or restricted - required for current liabilities

	7,660	1,460	1,465	413	1,454	1,467	1,479	1,491
	<u>11,485</u>	<u>4,117</u>	<u>5,871</u>	<u>4,163</u>	<u>5,271</u>	<u>5,377</u>	<u>5,508</u>	<u>5,647</u>

Investments

	218	216	256	4,704	6,049	7,470	8,927	10,620
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Assets whose use is limited:

Board designated	1,933	2,374	2,470	2,647	2,694	2,759	2,844	2,933
Entrance fee deposits	306	322	418	443	426	473	469	479

	<u>2,239</u>	<u>2,696</u>	<u>2,888</u>	<u>3,090</u>	<u>3,120</u>	<u>3,232</u>	<u>3,313</u>	<u>3,412</u>
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Assets whose use is limited or restricted:

Bond Fund	1,026	1,458	1,465	413	1,454	1,467	1,479	1,491
Entrance Fee Fund - Series 2010 Bonds	4,384	-	-	-	-	-	-	-
Debt Service Reserve Fund	3,883	2,786	2,778	1,055	1,055	1,055	1,055	1,055
Project Fund - Series 2010 Bonds	393	243	-	-	-	-	-	-
Operating Reserve Fund - Series 2010 Bonds	2,454	2,536	2,376	-	-	-	-	-

Total limited or restricted assets	12,140	7,023	6,619	1,468	2,509	2,522	2,534	2,546
Less portion required for current liabilities	<u>(7,660)</u>	<u>(1,460)</u>	<u>(1,465)</u>	<u>(413)</u>	<u>(1,454)</u>	<u>(1,467)</u>	<u>(1,479)</u>	<u>(1,491)</u>

Assets whose use is limited or restricted, net	4,480	5,563	5,154	1,055	1,055	1,055	1,055	1,055
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Total cash and investments	<u>\$ 18,422</u>	<u>\$ 12,592</u>	<u>\$ 14,169</u>	<u>\$ 13,012</u>	<u>\$ 15,495</u>	<u>\$ 17,134</u>	<u>\$ 18,803</u>	<u>\$ 20,734</u>
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Supplemental Disclosure:

Cash paid during the year for interest	<u>\$ 2,926</u>	<u>\$ 2,461</u>	<u>\$ 2,185</u>	<u>\$ 1,614</u>	<u>\$ 911</u>	<u>\$ 1,295</u>	<u>\$ 1,271</u>	<u>\$ 1,246</u>
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The historical financial information has been audited by other accountants, and is included for comparative purposes only.
Certain reclassifications of historical financial information amounts have been made to conform to the forecast presentation.

See Summary of Significant Forecast Assumptions and Accounting Policies and Independent Accountant's Examination Report.

Atherton Baptist Homes

Forecasted Statements of Financial Position (With Comparative Historical Information)

Year ending December 31,
(In Thousands of Dollars)

	Historical			Forecast				
	2013	2014	2015	2016	2017	2018	2019	2020
Assets								
Cash and cash equivalents *	\$ 1,879	\$ 1,033	\$ 3,078	\$ 1,985	\$ 2,021	\$ 2,070	\$ 2,133	\$ 2,200
Investments *	1,946	1,624	1,328	1,765	1,796	1,840	1,896	1,956
Accounts receivable	768	881	771	915	947	976	1,009	1,042
Resident trust assets *	120	217	566	566	566	566	566	566
Prepaid expenses and other assets *	594	570	400	529	539	552	569	587
Assets whose use is limited or restricted - required for current liabilities *	7,660	1,460	1,465	413	1,454	1,467	1,479	1,491
Insurance recoveries receivable	1,042	921	625	625	625	625	625	625
Total current assets	14,009	6,706	8,233	6,798	7,948	8,096	8,277	8,467
Investments *	218	216	256	4,704	6,049	7,470	8,927	10,620
Entrance fee receivable *	637	216	260	-	-	-	-	-
Note receivable and other assets *	107	84	97	74	74	74	74	74
Assets whose use is limited:								
Board designated *	1,933	2,374	2,470	2,647	2,694	2,759	2,844	2,933
Deposits on entrance fees *	306	322	418	443	426	473	469	479
	2,239	2,696	2,888	3,090	3,120	3,232	3,313	3,412
Assets whose use is limited or restricted:								
Debt Service Fund *	1,026	1,458	1,465	413	1,454	1,467	1,479	1,491
Entrance Fee Fund - Series 2010 Bonds *	4,384	-	-	-	-	-	-	-
Debt Service Reserve Fund *	3,883	2,786	2,778	1,055	1,055	1,055	1,055	1,055
Project Fund - Series 2010 Bonds *	393	243	-	-	-	-	-	-
Operating Reserve Fund - Series 2010 Bonds *	2,454	2,536	2,376	-	-	-	-	-
Total limited or restricted assets	12,140	7,023	6,619	1,468	2,509	2,522	2,534	2,546
Less portion required for current liabilities	(7,660)	(1,460)	(1,465)	(413)	(1,454)	(1,467)	(1,479)	(1,491)
Assets whose use is limited or restricted, net	4,480	5,563	5,154	1,055	1,055	1,055	1,055	1,055
Property and equipment, net	41,363	39,976	38,592	37,448	36,889	36,068	35,450	34,600
Deferred marketing costs, net	1,941	1,751	1,548	1,335	1,131	926	722	518
Total assets	64,994	57,208	57,028	54,504	56,266	56,921	57,818	58,746
Liabilities and Net Assets								
Accounts and short-term note payable	651	719	520	821	840	860	891	923
Accrued expenses and liabilities *	418	594	570	516	523	535	549	563
Accrued interest *	1,310	1,098	1,085	258	654	642	629	616
Resident trust funds payable *	120	217	566	566	566	566	566	566
Deposits on entrance fees	306	322	418	443	426	473	469	479
Revolving line of credit - current portion	174	-	-	-	-	-	-	-
Current portion of long-term debt *	6,350	360	380	155	800	825	850	875
Workers' compensation liability	1,042	921	625	625	625	625	625	625
Total current liabilities	10,371	4,231	4,164	3,384	4,434	4,526	4,579	4,647
Long-term debt *	27,876	27,591	27,299	31,805	30,910	29,990	29,045	28,075
Deferred revenue from entrance fees	9,931	11,122	12,535	13,225	13,968	14,539	15,149	15,688
Repayable and refundable entrance fees liability	14,142	14,975	15,728	16,831	17,778	18,505	19,280	19,966
Pension liability	2,318	2,461	2,985	2,834	2,687	2,533	2,372	2,204
Gift annuities payable	977	1,101	1,098	1,098	1,098	1,098	1,098	1,098
Liabilities under charitable remainder trusts and pooled income funds	97	108	77	77	77	77	77	77
Other liabilities *	60	8	43	-	-	-	-	-
Total liabilities	65,772	61,597	63,929	69,254	70,952	71,268	71,600	71,755
Net assets	(778)	(4,389)	(6,901)	(14,750)	(14,686)	(14,347)	(13,782)	(13,009)
Total liabilities and net assets	\$ 64,994	\$ 57,208	\$ 57,028	\$ 54,504	\$ 56,266	\$ 56,921	\$ 57,818	\$ 58,746

The historical financial information has been audited by other accountants, and is included for comparative purposes only.

* Certain reclassifications of historical financial information amounts have been made to conform to the forecast presentation.

See Summary of Significant Forecast Assumptions and Accounting Policies and Independent Accountant's Examination Report.

Atherton Baptist Homes

Forecasted Financial Ratios (With Comparative Historical Information)

Year ending December 31,
(In Thousands of Dollars)

	Historical			Forecast				
	2013	2014	2015	2016	2017	2018	2019	2020
Debt Service Coverage Ratio:								
Income (loss) from operations	\$ (2,611)	\$ (3,401)	\$ (1,728)	\$ (480)	\$ 64	\$ 339	\$ 565	\$ 773
Deduct: Non-cash revenue:								
Amortization of deferred entrance fees	(1,750)	(1,716)	(2,235)	(2,225)	(2,292)	(2,361)	(2,432)	(2,505)
Add: Non-cash expenses:								
Depreciation and amortization	2,738	2,763	2,723	2,751	2,764	2,756	2,743	2,735
Provision for doubtful accounts	110	50	77	50	50	50	50	50
Interest expense	2,926	2,334	2,257	1,379	1,212	1,188	1,163	1,138
Entrance fees received from reoccupancy	2,142	4,512	5,403	4,986	5,214	5,013	5,559	5,522
Entrance fees refunded/repaid	-	(1,107)	(1,001)	(969)	(1,232)	(1,354)	(1,742)	(1,792)
Cash Available for Debt Service	\$ 3,555	\$ 3,435	\$ 5,496	\$ 5,492	\$ 5,780	\$ 5,631	\$ 5,906	\$ 5,921
Maximum Annual Debt Service (MADS)	\$ 2,956	\$ 2,616	\$ 2,557	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109
MADS Coverage Ratio	1.20	1.31	2.15	2.60	2.74	2.67	2.80	2.81
MADS Coverage Ratio - Revenue Basis	0.48	0.01	0.43	0.70	0.85	0.94	0.99	1.04
Days Operating Cash on Hand:								
Unrestricted cash and investments:								
Cash and cash equivalents	\$ 1,879	\$ 1,033	\$ 3,078	\$ 1,985	\$ 2,021	\$ 2,070	\$ 2,133	\$ 2,200
Investments (current)	1,946	1,624	1,328	1,765	1,796	1,840	1,896	1,956
Investments (non-current)	218	216	256	4,704	6,049	7,470	8,927	10,620
Assets whose use is limited: Board designated	1,933	2,374	2,470	2,647	2,694	2,759	2,844	2,933
Operating Reserve Fund - Series 2010 Bonds	2,454	2,536	2,376	-	-	-	-	-
	\$ 8,430	\$ 7,783	\$ 9,508	\$ 11,101	\$ 12,560	\$ 14,139	\$ 15,800	\$ 17,709
Cash operating expenses:								
Total expenses	\$ 21,312	\$ 20,976	\$ 20,521	\$ 20,284	\$ 20,416	\$ 20,780	\$ 21,257	\$ 21,767
Less: Depreciation and amortization	(2,738)	(2,763)	(2,723)	(2,751)	(2,764)	(2,756)	(2,743)	(2,735)
	\$ 18,574	\$ 18,213	\$ 17,798	\$ 17,533	\$ 17,652	\$ 18,024	\$ 18,514	\$ 19,032
One day's cash operating expenses	\$ 51	\$ 50	\$ 49	\$ 48	\$ 48	\$ 49	\$ 51	\$ 52
Days Operating Cash on Hand	166	156	195	231	260	286	312	340
Cash to Debt:								
Unrestricted cash and investments, per above	\$ 8,430	\$ 7,783	\$ 9,508	\$ 11,101	\$ 12,560	\$ 14,139	\$ 15,800	\$ 17,709
Long-Term Debt	\$ 28,970	\$ 28,610	\$ 28,230	\$ 29,620	\$ 28,820	\$ 27,995	\$ 27,145	\$ 26,270
Cash to Debt Ratio	29.10%	27.20%	33.68%	37.48%	43.58%	50.51%	58.21%	67.41%
Cushion Ratio:								
Unrestricted cash and investments, per above	\$ 8,430	\$ 7,783	\$ 9,508	\$ 11,101	\$ 12,560	\$ 14,139	\$ 15,800	\$ 17,709
Maximum Annual Debt Service (MADS)	\$ 2,956	\$ 2,616	\$ 2,557	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109
Cushion Ratio	2.85	2.98	3.72	5.26	5.96	6.70	7.49	8.40
Current Ratio:								
Current Assets	\$ 14,009	\$ 6,706	\$ 8,233	\$ 6,798	\$ 7,948	\$ 8,096	\$ 8,277	\$ 8,467
Current liabilities	\$ 10,371	\$ 4,231	\$ 4,164	\$ 3,384	\$ 4,434	\$ 4,526	\$ 4,579	\$ 4,647
Current Ratio	1.35	1.58	1.98	2.01	1.79	1.79	1.81	1.82
Operating Ratio:								
Cash operating expenses, per above	\$ 18,574	\$ 18,213	\$ 17,798	\$ 17,533	\$ 17,652	\$ 18,024	\$ 18,514	\$ 19,032
Cash operating revenues, less gift income	\$ 15,265	\$ 15,512	\$ 16,447	\$ 17,054	\$ 17,658	\$ 18,223	\$ 18,850	\$ 19,490
Operating Ratio	1.22	1.17	1.08	1.03	1.00	0.99	0.98	0.98

The historical financial information has been audited by other accountants, and is included for comparative purposes only.
Certain reclassifications of historical financial information amounts have been made to conform to the forecast presentation.

See Summary of Significant Forecast Assumptions and Accounting Policies and Independent Accountant's Examination Report.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Five years ending December 31, 2020

Introduction and Background Information

Basis of Presentation

The accompanying financial forecast presents to the best knowledge and belief of management of Atherton Baptist Homes (the “Corporation”), the Corporation’s expected financial position, results of operations and cash flows as of and for each of the five years ending December 31, 2020. Accordingly, the accompanying financial forecast represents the judgment of management of the Corporation (“Management”) as of August 19, 2016, the date of this forecast, based on present circumstances and the expected course of action during the forecast period. The assumptions disclosed herein are those that Management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material. The financial forecast was prepared in connection with the advance refunding of the Corporation’s Series 2010 Bonds; consequently, it is not intended to be updated.

Background Information

The Corporation

The Corporation’s predecessor organization (“Atherton Court”) was incorporated in 1914, and renamed as Atherton Baptist Homes in 1936. Its administrative offices are located in Alhambra, California. The Corporation is a California nonprofit public benefit corporation, and the Internal Revenue Service has recognized its exemption from federal income taxes under Section 501(c)(3) of the Internal Revenue Code. The Corporation’s bylaws call for control of the Corporation to be vested in a Board of Trustees (the “Board”), consisting of not less than 11 and not more than 15 members, as determined by the Board. One member of the Board is a Resident Trustee, with full voting rights, nominated by a resident committee and approved by the Board. The Board currently meets four times per year and at such other times as the Board may determine necessary. The Corporation’s Trustees serve three-year terms, without compensation.

The Corporation is subject to certain State regulations, which, among other provisions, require certain levels of reserves be established to meet its continuing care obligations. The Corporation anticipates that all required statutory reserves will be satisfied during the forecast period.

Atherton

The Corporation operates a fee-for-service continuing care retirement community (CCRC) known as Atherton, whose residents pay an entrance fee and a monthly service fee. Atherton is located on 15 acres in the City of Alhambra in the San Gabriel Valley of Southern California. The City of Alhambra and the San Gabriel Valley are discussed on pages 17-19. Atherton’s campus consists of 220 independent living units, 32 traditional assisted living units, six companion-care assisted living beds, 99 skilled nursing beds, four guest apartments, and various common areas including its administrative offices, a chapel, a fitness center and an indoor pool and spa. Additional public spaces include an art studio, a game room, wood and ceramic shops, a craft room, coffee shop and cafe, pool hall, library, business center with copy machine and fax capabilities, beauty salon and barber services and a gift shop.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Atherton (Continued)

Independent living units are available in stand-alone homes, cottages, duplexes, triplexes, quadplexes and multi-level apartment buildings. Residents have access to covered and uncovered parking.

Beginning in 2000, the Corporation constructed a new eight-unit apartment building on the Atherton campus, known as Maloney Manor, consisting of two and three-bedroom residential living units. During 2011 the Corporation completed construction of four integrated multi-story apartment buildings known as the Courtyard. These buildings were constructed over an underground parking garage with a capacity for 95 vehicles, and contain 50 residential living units, which include a balcony, full kitchen and washer and dryer. The Courtyard includes two elevators servicing the garage and the residential living units.

Comprehensive renovations have occurred during the last two years in available living units and common areas in three of Atherton's independent living apartment buildings: Irving Manor, Casa Colby and Washington Place. Similar renovations have also occurred during this time in available living units in the Irving Terrace and Maloney Manor independent living apartment buildings and in Atherton's available stand-alone homes, cottages, duplexes and triplexes, as well as its assisted living apartments. The Corporation plans to continue its remodeling and upgrade program, as units become available.

Levels of Care Available to Residents

Independent Living – The monthly service fee includes the following: Restaurant-style dining; all utilities, except telephone; bi-weekly housekeeping, laundry service for those units not including washers and dryers, and for those residents not using common area washers and dryers, is available on a fee-for-service basis; van transportation; 24-hour emergency call system; night security service, building and grounds maintenance; fitness program; dietetic consulting; wellness clinic; health status monitoring; and social, recreational and cultural programs. Residences are equipped with individually controlled air conditioning and heating, all major appliances, and include floor and window treatments.

For pricing purposes, Atherton' independent living units are classified into the following to categories: Classic and Courtyard. Table 1 on page 11 includes the unit location and description and 2016 entrance fees and monthly fees for Atherton's Classic and Courtyard independent living units.

Traditional Assisted Living – is available to continuing care contract residents and direct admit residents in one and two-room apartments in a two-story building at Atherton known as the Villa. The monthly service fee includes three daily meals in the dining room, utilities, weekly housekeeping and laundry service, daily trash removal, bed making, scheduling and coordination of transportation, medication management and minimal personal assistance.

Current monthly fees for contract residents and direct admit residents paying an entrance fee range from \$3,315 to \$5,205, depending on single or double occupancy accommodations. Current monthly fees for direct admit residents entering on a month-to-month admissions agreement range from \$4,315 to \$6,205, depending on single or double occupancy accommodations. Current entrance fees for direct admit residents are \$50,000 for single occupancy, and \$55,000 for double occupancy. Direct admit residents entering on a month-to-month admissions agreement currently pay a one-time processing fee of \$5,000.

Atherton Baptist Homes

2016 Independent Living Pricing

Table 1

Classic Independent Living Pricing

48-Month Declining Refundable Continuing Care Contract

	Irving Manor Apartments Washington Place Apartments Casa Colby Apartments		Maloney Manor Apartments Irving Terrace Apartments Quad / Tri / Duplex		Houses / Cottages	
	Entrance Fee	Monthly Fee	Entrance Fee	Monthly Fee	Entrance Fee	Monthly Fee
Studio	N/A	N/A	\$ 92,000	\$ 1,890	N/A	N/A
1BR 1BA	\$ 112,000	\$ 2,270	132,000	2,390	152,000	2,575
2BR 1BA	120,000	2,490	153,000	2,600	173,000	2,785
2BR 1.5BA	148,000	2,730	184,000	2,850	209,000	3,025
2BR 2BA	178,000	3,000	214,000	3,100	224,000	3,295
2BR 2BA Den	N/A	N/A	230,000	3,320	240,000	3,515
Other	N/A	N/A	N/A	N/A	260,000	3,815
Weighted Average Combined Wt. Avg.	\$ 123,595		\$ 159,988		\$ 182,375	
	\$ 146,253					

Second Person: Entrance Fee - \$20,000; Monthly Fee - \$625

Courtyard Independent Living Pricing

Repayable Continuing Care Contracts

Single Occupancy	50% Repayable		70% Repayable		90% Repayable	
	Entrance Fee	Repayment	Entrance Fee	Repayment	Entrance Fee	Repayment
1BR 1.5BA	\$ 310,000	\$ 155,000	\$ 378,000	\$ 264,600	\$ 480,000	\$ 432,000
2BR 2BA	330,000	165,000	403,000	282,100	512,000	460,800
2BR 2BA Den	351,000	175,500	429,000	300,300	546,000	491,400
Weighted Average Combined Wt. Avg.	\$ 333,540		\$ 407,340		\$ 517,800	
	\$ 419,560					

Double Occupancy	50% Repayable		70% Repayable		90% Repayable	
	Entrance Fee	Repayment	Entrance Fee	Repayment	Entrance Fee	Repayment
1BR 1.5BA	\$ 330,000	\$ 165,000	\$ 398,000	\$ 278,600	\$ 500,000	\$ 450,000
2BR 2BA	350,000	175,000	423,000	296,100	532,000	478,800
2BR 2BA Den	371,000	185,500	449,000	314,300	566,000	509,400

Monthly Fee for all Courtyard Repayable Contracts

1BR 1.5BA	\$ 3,450
2BR 2BA	3,850
2BR 2BA Den	4,250

Second Person: \$625

Source: Management

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Levels of Care Available to Residents (Continued)

Companion Care Assisted Living – is available to continuing care contract residents and direct admit residents in four rooms in a stand-alone home known as Hannah’s House. The four rooms (2 large and 2 small) have been used to house a maximum of six residents, but Management plans to convert all four of the rooms to private rooms during the third quarter of 2016. This “Companion Care” environment is based on a residential model, allowing a resident with early stages of dementia to live comfortably in a non-institutional setting with a gated back lawn and garden.

The monthly fee includes family style meals, recreational activities, fitness center and classes, wellness checks, physical therapy facilities and assistance in activities of daily living. Monthly fees for the four private rooms will range from \$6,000 to \$6,500, beginning in October 2016.

Skilled Nursing - Residents in skilled nursing receive 24-hour nursing care and organized activity programs, under the supervision of the skilled nursing administrator. In addition, some residents require rehabilitation and social services on an ongoing basis. The skilled nursing beds are open to the public, as well as to residents of Atherton. Services available in skilled nursing, in addition to 24-hour skilled nursing care, include dietary food service, laboratory services, pharmaceutical services and physical, speech and occupational therapies.

Skilled nursing is available in the following three “locations” on the Atherton campus: (1) On the ground floor of the administration in the Joslyn Wing, which includes private rooms for singles and married couples; (2) On the ground floor of an adjoining building in Fox Wing 1, which has heightened privacy enhanced by room design, and patio accessibility directly from rooms; and (3) On the second floor of the adjoining building in Fox Wing 2, which provides extended care, and meets the needs of residents with advanced dementia or other significant medical conditions.

Current daily rates for contract residents are \$251 for semi-private rooms and \$300 for private rooms. Direct admits residents currently pay \$276 for semi-private rooms and \$330 for private rooms.

Admittance Process

In order to reserve an independent living unit at Atherton, a prospective resident must execute a Reservation Agreement and place a deposit equal to ten percent (10%) of the entrance fee for the selected independent living unit. The applicant must submit a confidential data profile disclosing certain health and financial information on forms provided by the Corporation.

Execution of a Care and Residence Agreement and payment of the monthly service fee and the remaining balance of the entrance fee entitles the resident to occupy the selected unit. The Care and Residence Agreement also provides the resident priority admission to assisted living, companion care or skilled nursing as health needs change.

In addition, a prospective resident is required to obtain and maintain Medicare Parts A and B (or an equivalent substitute policy approved by the Corporation) and suitable supplemental medical insurance.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Admittance Standards

The Corporation currently has Care and Residence Agreements for residents seeking to live at Atherton in independent living, assisted living and skilled nursing. Month-to-month and daily options are also available for assisted living and skill nursing, respectively. Under the terms of the Care and Residence Agreements, a prospective resident for independent living must be at least 60 years of age at the time residency is established (in the case of double occupancy, at least one of the persons must be 60 years of age or older).

Prospective residents for independent living must also meet health qualifications to live independently at Atherton, including with a level of personal assistance deemed sufficient by the Corporation for the resident's safety and well-being as a resident in an independent living unit, if needed. If a prospective resident's health care requirements are deemed to be too extensive for safe residency in an independent living unit, the prospective resident would be expected to reside in a higher level of care unit.

The prospective resident must have financial assets adequate to pay the entrance fee, and have sufficient income to meet the anticipated monthly fees and other personal expenses not provided under the Care and Residence Agreements.

Historical and Management's Assumed Occupancy during the Forecast Period

Table 2 on page 14 includes Atherton's average historical occupancy during 2013-2015, and Management's assumed average occupancy during 2016-2020, for all levels of care, including payor mix for skilled nursing.

Description of the Care and Residence Agreements (Continuing Care Contracts)

The services provided and the related fees of the Corporation are defined in a Care and Residence Agreement (Continuing Care Contract) made with each resident. The Corporation offers residents of its Classic independent living, assisted living, and skilled nursing units a 48-month Declining Refundable Continuing Care Contract, with death benefit at any time during the 48 months.

The Corporation offer residents of the Courtyard independent living units the following three Deferred Repayment Continuing Care Contracts: (1) 90% Deferred Repayment Continuing Care Contract; (2) 70% Deferred Repayment Contract; and (3) 50% Deferred Repayment Continuing Care Contract. Repayment under each of these contracts is subject to the independent living unit being reoccupied by a new resident, within a specified time and potential interest charges being due to the vacating resident or his or her estate.

Due to substantial increases in the repayable entrance fees following fill-up of the Courtyard, Atherton has not experienced any significant repayment "gaps" on the few occasions that an independent living unit with a 90% repayable entrance fee contract has been reoccupied by a resident with a 50% repayable entrance fee contract. However, Management plans to continue monitoring reoccupancy trends of independent living units occupied by residents with repayable entrance fee contracts, in order to assess the need, if any, to set aside reserves or take other action, as may be appropriate, to mitigate exposure to potential repayment "gaps."

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Historical and Assumed Average Available/Occupied Units/Beds

Table 2

(With Comparative Historical Information)

	Historical				Assumed				
	2013	2014	2015		2016	2017	2018	2019	2020
Independent Living:									
Classic Units:									
Average available units	170.00	170.00	170.00		170.00	170.00	170.00	170.00	170.00
Average occupied units	135.50	135.60	145.60	(1)	154.50	158.50	160.50	161.50	162.00
Average occupancy	79.71%	79.76%	85.65%		90.88%	93.24%	94.41%	95.00%	95.29%
Courtyard Units:									
Average available units	50.00	50.00	50.00		50.00	50.00	50.00	50.00	50.00
Average occupied units	37.88	48.50	48.50	(2)	48.00	48.00	48.00	48.00	48.00
Average occupancy	75.76%	97.00%	97.00%		96.00%	96.00%	96.00%	96.00%	96.00%
Total Units:									
Average available units	220.00	220.00	220.00		220.00	220.00	220.00	220.00	220.00
Average occupied units	173.38	184.10	194.10		202.50	206.50	208.50	209.50	210.00
Average occupancy	78.81%	83.68%	88.23%		92.05%	93.86%	94.77%	95.23%	95.45%
Assisted Living - Traditional:									
Average available units	32.00	32.00	32.00		32.00	32.00	32.00	32.00	32.00
Average occupied units	30.00	28.00	28.00		28.00	28.00	28.00	28.00	28.00
Average occupancy	93.75%	87.50%	87.50%		87.50%	87.50%	87.50%	87.50%	87.50%
Assisted Living - Companion Care:									
Average available units/beds	6.00	6.00	6.00		5.50	4.00	4.00	4.00	4.00
Average occupied units/beds	4.00	4.00	4.00		3.00	3.40	3.40	3.40	3.40
Average occupancy	66.67%	66.67%	66.67%		54.55%	85.00%	85.00%	85.00%	85.00%
Skilled Nursing:									
Average available beds	99.00	99.00	99.00		99.00	99.00	99.00	99.00	99.00
Average daily census:									
Private Pay	43.00	40.00	44.00		43.00	43.00	43.00	43.00	43.00
Medi-Cal & Managed Care	40.00	38.00	40.00		40.00	40.00	40.00	40.00	40.00
Medicare Part A	9.00	5.00	4.00		5.00	5.00	5.00	5.00	5.00
Hospice	2.00	1.00	4.00		4.00	4.00	4.00	4.00	4.00
HMO	1.00	5.00	1.00		2.00	2.00	2.00	2.00	2.00
Average daily census	95.00	89.00	93.00		94.00	94.00	94.00	94.00	94.00
Average occupancy	95.96%	89.90%	93.94%		94.95%	94.95%	94.95%	94.95%	94.95%

Source: Management

- (1) Actual occupancy at July 31, 2016 was 156; and 11 of the remaining 14 units were reserved with 10% of the entrance fee deposits. In addition, 14 wait depositors had made \$10,000 deposits to "reserve" their place on the wait list for the next available Classic IL unit of their choice.
- (2) Actual occupancy at July 31, 2016 was 48; and both of the remaining two units were reserved with 10% of the entrance fee deposits. In addition, 14 wait depositors had made \$10,000 deposits to "reserve" their place on the wait list for the next available Courtyard unit of their choice.

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Summary of Significant Forecast Assumptions and Accounting Policies

Description of the Care and Residence Agreements (Continuing Care Contracts) (Continued)

When a resident with a repayable entrance fee contract vacates their independent living unit for a higher level of care, the independent living unit is remarketed and the repayable entrance fee is repaid upon reoccupancy by a new resident. When a resident with a declining refundable entrance fee contract vacates their independent living unit for a higher level of care, the refundable contract remains in force until the resident no longer resides at Atherton. The Corporation had no outstanding liability at August 19, 2016 for repayment of repayable entrance fees on vacated independent living units.

Under all of the Corporation's continuing care contracts, the resident has a three-month period in which to receive a 100% refund of all entrance fees, if the Continuing Care Contract is terminated. The Continuing Care Contract does not entitle the resident to an ownership interest in Atherton.

Summary of Advance Refunding

A summary of the assumed sources and uses of funds to advance refund the Corporation's Series 2010A Bonds, as provided by the Corporation, its financial advisor, Ford & Associates, Inc., (the Financial Advisor), and its underwriter, B.C. Ziegler and Company, doing business as Ziegler (the Underwriter), is as follows:

Assumed Sources and Uses of Funds to Advance Refund the Series 2010 Bonds		Table 3
Sources of Funds:		
Series 2016 Bonds (1)		\$29,775,000
Original Issue Premium (2)		4,768,155
Equity contribution (3)		223,688
Series 2010A Bonds – Debt Service Fund (4)		804,014
Series 2010A Bonds – Debt Service Reserve Fund (4)		2,784,000
Total Sources of Funds		<u>\$38,354,857</u>
Uses of Funds:		
Refunding Escrow Deposit (5)		\$34,735,633
Series 2016 Bonds – Debt Service Reserve Fund (6)		1,054,575
Costs of Issuance (7)		2,564,649
Total Uses of Funds		<u>\$38,354,857</u>

- (1) The Underwriter and the Financial Advisor have assumed that the Series 2016 Bonds will be issued by the City of Alhambra, and be dated and delivered on October 20, 2016. The Series 2016 Bonds are assumed to be tax-exempt fixed rate bonds with an average coupon rate of 4.58%. Interest payments to bondholders are assumed to be payable semiannually, beginning on January 1, 2017. Annual principal payments are assumed to be payable January 1 of each year, beginning on January 1, 2017 and ending on January 1, 2040. The responsibility for payment of the debt service on the Series 2016 Bonds is solely that of the Corporation.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Summary of Advance Refunding (Continued)

- (2) The Series 2016 Bonds are assumed to be issued with an original issue premium of \$4,768,155.
- (3) A contribution of \$223,688 is assumed to be made by the Corporation.
- (4) Management and the Underwriter and Financial Advisor have estimated that \$3,588,014 will be transferred from trustee held funds related to the Series 2010A Bonds and used as a part of the advance refunding.
- (5) Management and the Underwriter and Financial Advisor have estimated that \$34,735,633 will be deposited into a refunding escrow with the trustee to refund the Series 2010A Bonds. The escrow deposit plus interest earnings on the escrow deposit will be used to pay principal due on January 1, 2017-2020, interest due on January 1 and July 1, 2017-2019 and January 1, 2020, and the outstanding principal balance of \$26,390,000 on January 1, 2020.
- (6) The \$1,054,575 Debt Service Reserve Fund deposit, representing six months of maximum annual debt service related to the Series 2016 Bonds, was provided by Management and the Underwriter and Financial Advisor.
- (7) Management and the Underwriter and Financial Advisor have estimated financing related costs of \$2,564,649, which include a Cal Mortgage bond insurance premium of 2.75% (\$1,343,672) of total debt service, and a Project inspection fee of .4% (\$119,100) of the bonds par value, at closing, accounting fees, legal fees, title fees and other costs associated with the issuance of the Series 2016 Bonds.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Characteristics of the Atherton's Geographic Market Area

The City of Alhambra

Located eight miles east of Los Angeles and south of Pasadena, Alhambra is bordered by South Pasadena on the northwest, San Marino on the north, San Gabriel on the east, Monterey Park on the south, and the Los Angeles districts of Monterey Hills and El Sereno on the west. Alhambra is often referred to as the "Gateway to the San Gabriel Valley." The City was incorporated in 1903, and named after *The Tales of Alhambra* by Washington Irving, published in 1832. The City's logo depicts a Moorish-style archway leading into the City reminiscent of the historic Alhambra in Granada, Spain. The majority of the City's 7.6 square miles of land was included in a 1771 land grant that led to the establishment of the nearby San Gabriel Mission. While its history and origins retain a heavy Spanish influence, the City's population, estimated at 85,551 on July 1, 2015, consists primarily of persons of Asian ethnicity, along with persons of Hispanic and Caucasian ethnicity.

As a result of Chinese immigration to Alhambra, beginning in the 1980s, a very active Chinese business district has developed on Valley Boulevard, including Chinese supermarkets, restaurants, shops, banks, realtors and medical offices. The Valley Boulevard corridor has become a national hub for many Asian-owned bank headquarters, and there are other nationally recognized retailers in the City.

According to the Los Angeles County Economic Development Corporation, Alhambra's business sales revenue amounted to \$3.3 billion in 2012. The city's unemployment rate was 4.4% in 2015, per the California Employment Development Department. Alhambra employers with more than 500 employees in 2010 are listed in Table 4 below.

Major Employers in the City of Alhambra		Table 4
Major Employers	Classification	Employees
Los Angeles County Public Works	County Government	3,600
Alhambra City Schools	Education Institution	2,136
County of Los Angeles	County Government	1,500
Southern California Edison	Public Utility	800
City of Alhambra	Municipal Government	650
Alhambra Hospital	Hospital/Health Care	600

Source: City of Alhambra 2009 Comprehensive Annual Financial Report

Alhambra has bus service throughout the City limits. For those who wish to drive, the City provides 19 downtown parking lots – all of which are free of charge. Amtrak provides train service to the City. The 10 freeway is just south of the City, and three other freeways (134, 210 and 710) are convenient to commuters and travelers to and from the City. Four airports – Los Angeles International, Bob Hope in Burbank, Long Beach and Ontario International are within driving distance of the City. Senior Ride is a local transportation service providing free rides to Alhambra residents 60+ years of age, and disabled residents of any age. This curb-to-curb service transports seniors throughout the City for any purpose and up to two miles beyond city limits for medical appointments only.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Residential Real Estate in Alhambra and Nearby Cities

Zillow's current 2016 average home values for the two ZIP codes that comprise the City of Alhambra are \$565,700 (91801) and \$561,300 (91803). Following are Zillow's current 2016 average home values for nearby cities: Pasadena - \$714,900, South Pasadena - \$1,075,200, San Marino - \$2,304,000, San Gabriel - \$682,400, Monterey Park - \$568,800, and Rosemead - \$510,900. According to CoreLogic, the median sales price of a home sold in Alhambra during 2015 was \$508,000, which represented a 5.9% increase over the median sales price during 2014. The weighted average entrance fees in Table 1 on page 11, for Atherton's Courtyard (\$419,560) and Classic (\$146,253) independent living units, are considerably below the 2016 average home values in Alhambra and nearby cities, and the 2015 median sales price of a home in Alhambra.

The San Gabriel Valley

Covering over 400 square miles of eastern Los Angeles County, the San Gabriel Valley is bounded by the San Gabriel Mountains on the north, the cities of Pasadena, Monterey Park and South Pasadena on the west, the crest of the foothills that run to the south and parallel to the I-60 (Pomona Freeway) on the south, and the Los Angeles/San Bernardino county line on the east. There are 30 incorporated cities and five unincorporated communities in the San Gabriel Valley. It is one of the most ethnically diverse regions in the country. According to the Los Angeles County Economic Development Corporation, the San Gabriel Valley had 1,532,248 residents in its incorporated cities and another 257,000 residents in its unincorporated regions during 2015.

Significant percentages of all ethnic groups reside in San Gabriel Valley communities, and the area is in general one of the most ethnically diverse regions in the country. The majority of people residing in the San Gabriel Valley are of Hispanic and Asian ethnicity. According the Journal of Urban Affairs, Willey Online Library, June 2008, the San Gabriel Valley had the largest concentration of Chinese American communities in the United States. Eight of the ten cities in the United States with the largest proportion of Chinese Americans in 2008 were located in the San Gabriel Valley.

San Gabriel Valley cities nearby to the City of Alhambra are home to the following company headquarters: Pasadena – Avery Dennison Corporation (packaging products), Community Bank, East West Bank (large Chinese American bank), One West Bank; Rosemead – Edison International (large energy provider), Huy Fong Foods (leader in Asian hot sauce), and Panda Restaurant Group (largest Chinese restaurant chain).

According to the Los Angeles County Economic Development Corporation, the San Gabriel Valley's business sales revenue amounted to \$98.6 billion in 2012. The San Gabriel Valley's unemployment rate was 6.0% in 2015, per the California Employment Development Department. The major sectors on employment were health services (18.3%), professional & business services (13.4%), retail trade (11.5%), leisure & hospitality (10.7%), and government (9.6%).

Seven freeways or expressways serve the San Gabriel Valley. Two main lines of the Union Pacific Railroad transit the Valley. Metrolink provides rail commuter service on two routes running through the Valley from downtown Los Angeles. Ontario International Airport and the Bob Hope Airport in Burbank are in the San Gabriel Valley; and Los Angeles International Airport and the Long Beach Airport are within driving distance from the Valley.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

The San Gabriel Valley (Continued)

A major asset of the San Gabriel Valley is higher education. Four-year institutions include the California Institute of Technology (Cal Tech), the University of La Verne, Azusa Pacific University, California State Polytechnic University-Pomona (Cal Poly), and the Claremont Colleges (a cluster of seven schools). There is also the Art Center College of Design in Pasadena. There are three community colleges in the Valley (Citrus, Mt. San Antonio, and Pasadena City College). There are also some unique research activities in the San Gabriel Valley, including the City of Hope Medical Center (cancer research and treatment) and NASA's Jet Propulsion Laboratory (JPL), which is operated by Cal Tech.

Residential Real Estate in San Gabriel Valley Cities near Alhambra

Following are the 2015 median sales prices and the percent increase over 2014 median sales prices, of homes sold in San Gabriel Valley cities near Alhambra, according to CoreLogic: Monterey Park - \$510,000 (4.1%), Pasadena - \$650,000 (4.0%), Rosemead - \$475,000 (8.0%), San Gabriel - \$650,000 (3.3%), San Marino - \$2,244,000 (11.6%), and South Pasadena - \$925,000 (1.1%).

Market Assessment

Management's assumptions for the future utilization of Atherton's independent living units, assisted living units and skilled nursing beds were developed based on analysis of the following factors, which may affect the demand for the services of Atherton:

- Geographic and demographic characteristics, including ethnicity, of current Atherton residents,
- Geographic and demographic characteristics, including ethnicity, of historically recent move-ins,
- Demographic, including ethnicity, and economic characteristics of Management's primary market area (PMA), defined by the characteristics of current residents and historically recent move-ins, and
- Description and utilization of existing and proposed comparable retirement communities, and competitive or potentially competitive assisted living and skilled nursing providers within Management's primary marketing area.

Primary and Secondary Geographic Market Areas

The PMA for providers of senior living services is typically defined as the geographic area from which the majority of residents resided prior to assuming occupancy at the senior living community. Management has defined a PMA and a secondary market area (SMA) by an analysis of the addresses of origin of move-ins to Atherton's independent living units between January 1, 2013 and March 31, 2016.

During that time period, 41% of independent living move-ins originated from four cities within the San Gabriel Valley (Pasadena, Alhambra, Monterey Park and Montebello), which Management has defined as its geographic PMA. Another 43% (22% from other cities in the San Gabriel Valley) and (21% from other cities in Southern California) has been defined by Management as its geographic SMA.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Characteristics of Atherton's Independent Living Residents

At December 31, 2015, Atherton's independent living units were occupied by 32.5% of persons of Asian ethnicity; of which 17% were persons of Chinese ethnicity, and 15.5% were persons of Japanese ethnicity. Atherton's Classic independent living units were occupied by approximately 27% of persons of Asian ethnicity; of which 16.5% were persons of Japanese ethnicity, and 10.5% were persons of Chinese ethnicity. Atherton's Courtyard apartments were occupied by 50% of persons of Asian ethnicity; of which 37.5 were persons of Chinese ethnicity, and 12.5% were persons of Japanese ethnicity.

The December 31, 2015 ethnic mix of residents in Atherton's independent living units was affected by move-ins between January 1, 2013 and March 31, 2016. During this time period, approximately 41% of move-ins to Atherton's independent living units were persons of Asian ethnicity split approximately even between persons of Chinese and Japanese ethnicity.

The Asian ethnic impact on the independent living occupancy at Atherton is consistent with its impact on the City of Alhambra and other cities in the San Gabriel Valley, as discussed on pages 17 and 18.

Management and its sales team also believe that another factor influenced prospective residents to move-in to independent living units at Atherton: a strong desire to live in a faith-based retirement community with values perceived to be consistent with theirs.

Competitive Changes in Atherton's PMA

Since Atherton opened the Courtyard in July 2011, the three other retirement communities (one CCRC and two multi-level care) in Alhambra (Marguerite Gardens, Scripps Kensington and The Alhambra Retirement Community) have discontinued operations. Closure of these retirement communities resulted in the reduction of 198 independent living units, 204 traditional assisted living units, 16 memory care assisted living units, and 90 skilled nursing beds, as competitive or potentially competitive units/beds in Atherton's PMA. Sunny View Care Center (Table 7 on page 25) now owns and operates the 99-bed skilled nursing facility formerly owned and operated by Scripps Kensington.

Based on contact with city planning departments, there are presently no planned retirement communities in Atherton's PMA.

Marketing Approach

Atherton's marketing is transitioning more toward digital and less toward hard copy, and is focusing on reaching its target market, based on what its sales team and Management have learned about the origins and characteristics of its current resident population and more recent move-ins.

Competitive Facility Analysis Approach

Occupancy and services offered by existing competitive and potentially competitive facilities in the primary market area (PMA) were observed, through site visits and review of marketing materials. City planning departments were contacted to determine planned, if any, residential living units in the PMA.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Comparable Retirement Communities

Comparable retirement communities include those offering residential living units and at least one level of health care services, such as assisted living and/or nursing care for age restricted seniors. They may be CCRCs or non-CCRC multi-level care communities. Residential living units may be apartments and/or cottages/free-standing homes for residents who do not require assisted living or skilled nursing. Residents enjoy access to common area amenities, which typically include a central dining room, a library, lounge areas, and other common areas. Various monthly fees usually cover laundering the resident's flat linen and housekeeping services, maintenance, scheduled transportation and one or more meals per day.

CCRCs may be life care, modified life care, fee-for-service, or rental communities. CCRCs offer a variety of contracts to residents. Generally, the major distinction in contract types relates to the health care benefit.

The life care concept offers housing and various levels of service and health care, which provide for a resident's changing needs as he or she ages and begins to require a higher level of care. Life care arrangements typically include an entrance fee and a monthly care and service fee. In a life care retirement community, residents may receive assisted living and/or skilled nursing at little or no additional charge beyond the monthly fees paid in the residential living units. A modified life care retirement community typically offers a limited portion of assisted living and/or nursing care at little or no extra cost.

The fee-for-service retirement community offers a variation of the traditional life care concept. The general concept of continuing care is offered at a fee-for-service retirement community, however, residents pay entrance fees and must pay market or near-market per diem rates for assisted living and skilled nursing.

A rental retirement community offers residential living and may also offer assisted living and/or nursing care. Residents are not typically required to pay an entrance fee. The resident signs a lease for the residential living unit selected, and pays for various services on an a-la-carte basis. The resident may enter the community at various levels of care.

Atherton is a fee-for-service continuing care retirement community. Atherton's Management has defined comparable retirement communities to be CCRCs (providing residential living, assisted living and nursing care services) or non-CCRCs (which include residential living and provide one or more levels of health care), which offer similar services and amenities, and which compete for similar age and income qualified residents.

Descriptions and utilization of continuing care retirement communities considered geographically and pricing competitive by Management are included in Tables 5 and 6 on paged 22 and 23, respectively. Westminster Gardens' independent living units and Royal Oaks main building apartments are considered pricing competitive to Atherton's Classic independent living units (Table 5 on page 22). Villa Gardens' apartments and Royal Oaks' E and F apartment buildings and cottages are considered pricing competitive to Atherton's Courtyard apartments (Table 6 on page 23).

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Continuing Care Retirement Communities Geographically Competitive to Atherton - Classic

Table 5

Name	Atherton - Classic	(1)	Royal Oaks - Main Bldg.	(1)	Westminster Gardens
Location	Alhambra 91801		Bradbury 91010		Duarte 91010
Miles from Atherton	n/a		11.6		11.3
Type of Contract	CCRC/Fee for Service		CCRC/Fee for Service		CCRC/Fee for Service
Fee Structure	Entrance Fee/Monthly Fee		Entrance Fee/Monthly Fee		Entrance Fee/Monthly Fee
For Profit (FP)/Not-for-Profit (NFP)	NFP		NFP		NFP
Year(s) Built	1926 - 2011		1959 - 2001		1950
Existing Unit Configuration					
Independent Living	170		101		109
Assisted Living - Traditional	32		26		30
Assisted Living - Memory Care	4	(2)	-		24
Nursing Care	99		48		-
Proposed Additional Units	None		None		None
Independent Living					
Entrance Fee Range					
	Amortized over 48 months		Amortized over 60 months		Amortized over 60 months
Studio & Alcove	\$ 92,000		\$ 65,000 - \$ 80,000		n/a
One Bedroom	\$ 112,000 - \$ 152,000		150,000 - 200,000		\$ 69,000 - \$ 100,000
Two Bedroom	120,000 - 224,000		195,000 - 300,000		95,000 - 180,000
Two Bedroom Deluxe	230,000 - 240,000		n/a		n/a
Additional Accommodations	260,000	(3)	n/a		205,000 - 215,000
	90% Repayable - n/a		75% Repayable		75% Repayable
Studio & Alcove			\$ 104,000 - \$ 128,000		n/a
One Bedroom			\$ 240,000 - \$ 320,000		\$ 110,400 - \$ 160,000
Two Bedroom			\$ 312,000 - \$ 480,000		152,000 - 288,000
Two Bedroom Deluxe			n/a		n/a
Additional Accommodations			n/a		328,000 - 344,000
Monthly Fee Range (3)					
Studio & Alcove	\$ 1,890		\$ 2,265 - \$ 2,727		n/a
One Bedroom	\$ 2,270 - \$ 2,575		3,517 - 3,790		\$ 2,552
Two Bedroom	2,490 - 3,295		4,697 - 5,044		3,187
Two Bedroom Deluxe	3,320 - 3,515		n/a		n/a
Additional Accommodations	3,815	(3)	n/a		3,946
Second Person Fee					
Entrance Fee	\$ 20,000		None		\$ 10,000 - \$ 16,000
Monthly Fee	625		\$ 650		389
Assisted Living - Traditional					
Monthly Fee (Contract Rate)	\$ 3,315 - \$ 6,405		\$ 5,703 - \$ 5,934		\$ 4,052 - \$ 8,104
Monthly Fee (Market Rate)	4,315 - 7,405		7,836 - 8,725		4,387 - 8,774
Assisted Living - Memory Care			n/a		
Monthly Fee (Contract Rate)	\$ 6,000 - \$ 6,500	(2)			\$ 5,363 - \$ 5,765
Monthly Fee (Market Rate)	n/a				5,729 - 6,137
Nursing Care					
Daily Fee (Contract Rate)	\$ 251 - \$ 300		\$ 272 - \$ 394		
Daily Fee (Market Rate)	276 - 330		321 - 456		
Reported Occupancy					
Residential Living	92%		90%		93%
Assisted Living - Traditional	88%	(2)	92%		90%
Assisted Living - Memory Care	50%		n/a		88%
Nursing Care	95%		94%		n/a

Source: Facilities' personnel and marketing brochures (June 2016).

Atherton Baptist Homes

Continuing Care Retirement Communities Geographically Competitive to Atherton - Courtyard **Table 6**

Name	Atherton - Courtyard *			(1)	Villa Gardens				Royal Oaks - Bldgs. E & F *			
Location	Alhambra 91801				Pasadena 91101				Bradbury 91010			
Miles from Atherton	n/a				5.0				11.6			
Type of Contract	CCRC/Fee for Service				CCRC/Fee for Service				CCRC/Fee for Service			
Fee Structure	Entrance Fee/Monthly Fee				Entrance Fee/Monthly Fee				Entrance Fee/Monthly Fee			
For Profit (FP)/Not-for-Profit (NFP)	NFP				NFP				NFP			
Year(s) Built	1926 - 2011				1987				1959 - 2001			
Existing Unit Configuration												
Independent Living	50				197				59			
Assisted Living - Traditional	32				-			(1)	26			
Assisted Living - Memory Care	4			(2)	39				-			(1)
Nursing Care	99				54				48			
Proposed Additional Units	None				None				None			
Independent Living												
Entrance Fee Range	Amortized over 48 months - n/a				Amortized over 67 months				Amortized over 60 months			
Studio & Alcove					\$ 131,000	-	\$ 131,000		n/a			
One Bedroom					\$ 239,000				\$ 250,000	-	\$ 295,000	
Two Bedroom					325,000				325,000	-	395,000	
Two Bedroom Deluxe					358,000				n/a			
Additional Accommodations					287,000	-	599,000	(2)	525,000	-	600,000	(2)
	90% Repayable - n/a				90% Repayable				75% Repayable			
Studio & Alcove	n/a				\$ 270,000	-	\$ 450,000		n/a			
One Bedroom	\$ 480,000				\$ 492,000				\$ 400,000	-	\$ 472,000	
Two Bedroom	512,000				665,000				520,000	-	632,000	
Two Bedroom Deluxe	546,000				737,000				n/a			
Additional Accommodations	n/a				575,000	-	1,000,000	(2)	840,000		960,000	(2)
Monthly Fee Range												
Studio & Alcove	n/a				\$ 2,405	-	\$ 3,280	(3)	n/a			
One Bedroom	\$ 3,450				\$ 3,405				\$ 4,110	-	\$ 4,429	
Two Bedroom	3,850				4,080				4,739	-	5,089	
Two Bedroom Deluxe	4,250				4,475				n/a			
Additional Accommodations	n/a				3,700	-	7,290	(2)	5,962	-	6,487	(2)
Second Person Fee												
Entrance Fee	\$ 20,000				\$ 11,000				None			
Monthly Fee	625				575				\$ 650			
Assisted Living - Traditional												
Monthly Fee (Contract Rate)	\$ 3,315	-	\$ 6,405		\$ 1,750	-	\$ 4,000	(1)	\$ 5,703	-	\$ 5,934	
Monthly Fee (Market Rate)	4,315	-	7,405		n/a				7,836	-	8,725	
Assisted Living - Memory Care												
Monthly Fee (Contract Rate)	\$ 6,000	-	\$ 6,500	(2)	\$ 6,955	-	\$ 8,925	(4)				(1)
Monthly Fee (Market Rate)	n/a				-	-	-					
Nursing Care												
Daily Fee (Contract Rate)	\$ 251	-	\$ 300		\$ 281	-	\$ 398		\$ 272	-	\$ 394	
Daily Fee (Market Rate)	276	-	330		351	-	498		321	-	456	
Reported Occupancy												
Residential Living	96%				100%				93%			
Assisted Living - Traditional	88%				n/a			(1)	92%			
Assisted Living - Memory Care	50%			(2)	90%				n/a			
Nursing Care	95%				94%				94%			

Source: Facilities' personnel and marketing brochures (June 2016).

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Notes to Continuing Care Retirement Communities Competitive to Atherton - Classic Table 5 on page 22

Atherton – Classic

1. Assisted living units and skilled nursing beds available to Classic and Courtyard residents.
2. Companion Care, based on a residential model, allowing a resident with early stages of dementia to live comfortably in a non-institutional setting with a gated back lawn and garden.
3. Three-bedroom stand-alone home.

Royal Oaks – Main Building

1. Assisted living units and skilled nursing beds available to Main Building, E & F Buildings and Cottages.
2. Assisted living – memory care is available to Royal Oaks’ residents at Westminster Gardens.

Westminster Gardens

1. Skilled nursing is available to Westminster Gardens’ residents at Royal Oaks.
2. Garden Homes.
3. \$10,000 for amortized plan and \$16,000 for repayable plan.

Notes to Continuing Care Retirement Communities Competitive to Atherton - Courtyard Table 6 on page 23

Atherton – Courtyard

1. Assisted living units and skilled nursing beds available to Classic and Courtyard residents.
2. Companion Care, based on a residential model, allowing a resident with early stages of dementia to live comfortably in a non-institutional setting with a gated back lawn and garden.

Villa Gardens

1. Assisted living and personal services are available in the independent living units at fees ranging from \$1,750 to \$4,000, in addition to the independent living monthly fees.
2. Other apartment arrangements.
3. Villa Gardens also offers a month-to-month fee independent living plan, with rates ranging from \$3,830 to \$11,215, and \$575 second person fees.
4. Level 1 memory care is included in the monthly fees; additional monthly fees for levels of memory care 2-4 range from \$750 to \$1,250.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Notes to Continuing Care Retirement Communities Competitive to Atherton - Courtyard Table 6 on page 23 (Continued)

Royal Oaks – Buildings E & F and Cottages

1. Assisted living – memory care is available to Royal Oaks’ residents at Westminster Gardens.
2. Cottages.

Potentially Competitive Assisted Living Facilities

Eighty-eight percent of Atherton’s admissions into assisted living between January 1, 2013 and March 31, 2016 were continuing care contract residents already residing at Atherton. However, Management has identified some potentially competitive assisted living facilities, whose description and utilization are included in Table 7 on page 26.

Competitive and Potentially Competitive Skilled Nursing Facilities

The majority of Atherton’s admissions into its skilled nursing between January 1, 2013 and March 31, 2016 were continuing care contract residents already residing at Atherton. However, Management has identified some competitive and potentially competitive assisted living facilities, whose description and utilization are included in Table 8 on page 27.

Atherton Baptist Homes

Potentially Competitive Assisted Living Facilities (1)

Table 7

Name	Brookdale Alhambra	Vista Cove
Location	Alhambra 91801	San Gabriel 91776
Miles from Atherton	1.0	2.4
Type of Contract	Fee for Service	Fee for Service
Fee Structure	Rental	Rental
For Profit (FP)/Not-for-Profit (NFP)	FP	FP
Year(s) Built	1979	1973
Existing Unit Configuration		
Assisted Living - Traditional	88	32
Assisted Living - Memory Care	-	24
Proposed Additional Units	None	None
Community (Move-In) Fee	\$ 2,888	\$ 1,500
Independent Living		
<i>Entrance Fee Range</i>	Not Applicable	Not Applicable
<i>Monthly Fee Range</i>		
Companion Studio	\$ 1,900	
Studio	2,770	\$ 2,795
Medium Studio	2,980	n/a
Large Studio	3,200	n/a
One Bedroom	3,098 -	4,495
Second Person Fee		
Monthly Fee	\$ 880	\$ 913
Assisted Living - Traditional		
Additional Services Monthly Fee	\$ 600 - \$ 1,200	\$ 600 - \$ 1,000
Assisted Living - Memory Care		
Companion Studio	-	\$ 3,695
Private Studio	-	4,995
Reported Occupancy		
Assisted Living - Traditional	86%	88%
Assisted Living - Memory Care	Not Applicable	83%

Source: Facilities' personnel and marketing brochures (June 2016).

(1) Both potentially competitive assisted living facilities are operated as for-profit organizations.

Atherton Baptist Homes

Competitive and Potentially Competitive Skilled Nursing Facilities (1)

Table 8

Facility/Location	Year Built	Miles from Atherton	Reported Number of Beds		Unit Type	Daily Rate	Reported Occupancy
			Available	Occupied			
Sunny View Care Center 1428 S. Marengo Alhambra, CA 91803 (626) 576-1032	1960	1.1	99	95	Semi-Private Private Suite	\$ 299 399 499	96%
Vista Cove 909 W. Santa Anita Street San Gabriel, CA 91776 (626) 289-5365	1980	2.4	90	83	4-Bed 3-Bed Semi-Private Private	218 218 218 425	92%
GEM Transitional Care 716 S. Fair Oaks Pasadena, CA 91105 (626) 737-0560	1984	3.6	75	57	3-Bed Semi-Private	225 240	76%
Californian 120 Bellefontaine Pasadena, CA 91105 (626) 793-5114	1974	3.6	35	35	4-Bed 3-Bed Semi-Private Private	230 230 235 320	100%
Pasadena Meadows 150 Bellefontaine Pasadena, CA 91105 (626) 796-1103	1970	3.7	128	120	3-Bed 2-Bed Private	250 350 500	94%
Total Available/Occupied			427	390			
Average occupancy							91%

Source: Facilities' personnel and marketing brochures (June 2016).

(1) All competitive and potentially competitive skilled nursing facilities are operated as for-profit organizations.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Summary of Significant Accounting Policies

Basis of Accounting

The Corporation maintains its accounting and financial records according to the accrual basis of accounting.

Cash and Cash Equivalents

The Corporation considers all highly liquid investments with maturities of three months or less when purchased to be cash equivalents.

Accounts Receivable

Accounts receivable are stated at the amount Management expects to collect from outstanding balances. Management provides for probable uncollectible amount through a provision for doubtful accounts, and an adjustment to a valuation allowance based on its assessment of the current status of individual accounts.

Investments

Investments in equity securities with readily determinable fair values and all investments in debt securities are measured at fair value in the statements of financial position. The fair value of investments are determined based upon quoted market prices. Investment income is included in unrestricted invested income and changes in temporarily restricted and permanently restricted net assets. Management has not included any unrealized gains or losses on investments within its forecast.

Assets Whose Use is Limited or Restricted

Assets limited as to use by Board designation include amounts set aside for operating reserves and future capital expenditures. Assets restricted as to use under bond indenture agreement consist of amounts held by the trustee for bond debt service.

Property and Equipment

Property and equipment are stated at cost less accumulated depreciation. Contributed property is recorded at the estimated fair value at the date of receipt. Depreciation is provided over the estimated useful life of each class of depreciable asset and is computed using the straight-line method with lives of 5 to 50 years. The Corporation capitalizes all expenditures for capital equipment in excess of \$1,000. The costs of maintenance and repairs are expensed as incurred.

Deferred Financing Costs and Original Issue Premium/Discount

Costs associated with the issuance of financings are assumed to be capitalized and amortized over the expected life of the bonds. Management has implemented ASU No. 2015-03 "Interest – Imputation of Interest" resulting in a change in the reporting of debt issuance costs. The Corporation previously reported deferred issuance costs as an asset on the statement of financial position. Under the new Standard, the debt issuance costs are netted against the related debt on the statement of financial position and the amortization is included in interest expense on the statement of operations. The original issue premium assumed to be received in the issuance of the proposed Series 2016 Bonds has been added to the related debt on the statement of financial position and netted against the interest expense on the statement of operations.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Summary of Significant Accounting Policies (Continued)

Deferred Marketing Costs

Costs of acquiring initial continuing care contracts, which represent certain advertising and marketing costs incurred with acquiring initial continuing care contracts related to the construction and completion of The Courtyard at Atherton, are amortized on a straight-line basis of the average expected remaining lives of the residents under the contracts.

Obligation to Provide Future Services

Annually, the Corporation calculates the present value (using an appropriate discount rate) of the estimated net cost of future services to be provided to current continuing care contract residents, and, to the extent this amount exceeds the sum of deferred revenue from entrance fees, repayable entrance fees, monthly service fees and other contractually committed revenue, a liability would be recorded for the obligation to provide future services with a corresponding charge included in the statement of operations. No such liability and charge to operations was necessary in 2013-2015, and Management does not expect any such liability and charge to be necessary during the forecast period.

The California Health and Safety Code requires continuing care contract providers to establish and maintain statutory and refund reserves to assure financial resources will be available to fulfill contractual obligations to residents. A reserve fund escrow account is not required of the Corporation. The California Health and Safety Code Section 1790 mandate a statutory reserve and a liquid asset requirement. These mandate were met during 2013-15, and Management expects them to be met during the forecast period.

Income Taxes

The Corporation is a California nonprofit public benefit corporation, and the Internal Revenue Service has recognized its exemption from federal income taxes under Section 501(c)(3) of the Internal Revenue Code. Accordingly, the accompanying forecasted financial statements do not include a provision or liability for federal or state income taxes.

Deferred Revenue from Entrance Fees

Fees paid by a resident upon entering into a continuing care contract, net of the portion thereof which is refundable or repayable to the resident, are recorded as deferred revenue and amortized into net resident services revenue using the straight-line method over the estimated remaining life expectancy of the resident.

Use of Estimates

Management uses estimates and assumptions in preparing financial statements. Those estimates and assumptions affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities, and the reported revenues and expenses. Actual results could differ from those estimates and assumptions.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Summary of Revenue and Entrance Fee Assumptions

Revenue

The 2016 resident fees for all levels of care were based on Management's estimates of the revenue required to cover its estimated operating expenses, including minimum wage increases. Management's financial forecast assumes that the 2016 fees will be increased annually by 3.0% in 2017, 3.5% in 2018 and 4.0% in 2019 and 2020, to cover its estimated operating expenses, including continuing minimum wage increases, during the forecast period, and are consistent with recent industry fee increase ranges.

Independent Living Revenue

Forecasted revenues are based on the Corporation's 2016 operating budget and Management's operating assumptions for 2017-2020, including the occupancy levels assumed in Table 2 on page 14. Forecasted revenues from monthly fees are based on assumed utilization of the residential living units in Table 2 and the monthly fees assumed to be in effect during the forecast period. The 2016 monthly fees are detailed in Table 1 on page 11. Management's financial forecast assumes that the 2016 monthly fees included in Table 2 for the Classic independent living units and the Courtyard will be increased annually by 3.0% in 2017, 3.5% in 2018 and 4.0% in 2019 and 2020.

Double occupancy in Atherton's Classic independent living units was approximately 25% at the end of 2015, and Management's financial forecast assumes that Classic independent living unit double occupancy will be approximately 25% during 2016, declining to approximately 20% during 2020. Double occupancy in the Courtyard was approximately 40% at the end of 2015, and Management's financial forecast assumes that Courtyard double occupancy will be approximately 40% during 2016, declining to approximately 35% during 2020.

Assumed Independent Living Unit Turnover

Entrance fees generated from independent living unit turnover at Atherton are based on the assumed number of residential living units becoming available and the forecasted entrance fees of the residential living units becoming available, during the forecast period. Management's assumed move-ins and attrition for Atherton's independent living units due to death, withdrawal, or transfers to higher levels of care are based on historical experience and future expectations, and are included in Table 9 on page 31.

Entrance Fee Repayments and Refunds

Repayments of repayable Courtyard entrance fees are generated upon termination of the continuing care contract and withdrawal from Atherton, subject to the re-occupancy of the vacated independent living unit units. Refunds of declining refundable Classic entrance fees are also generated upon termination of the continuing care contract and withdrawal from Atherton, but are not subject to the re-occupancy of the vacated independent living unit units. Management's assumed repayments and refunds of entrance fees for independent living units, during the forecast, period is based on Atherton's historical experience and expectations during the forecast period.

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Historical and Assumed Independent Living Unit Turnover & Average Occupancy

Table 9

	Historical			Assumed				
	2013	2014	2015	2016	2017	2018	2019	2020
<u>Classic IL Units</u>								
<u>Available Units</u>	170	170	170	170	170	170	170	170
<u>Assumed occupancy and IL unit turnover</u>								
Assumed occupancy - beginning of year	134.0	134.0	141.0	152.0	157.0	160.0	161.0	162.0
Assumed move-ins:								
Single occupancy	16	20	22	21	20	19	19	18
Double occupancy	7	6	7	8	7	6	6	6
Total Assumed Move-Ins	23	26	29	29	27	25	25	24
Assumed attrition	(23)	(19)	(18)	(24)	(24)	(24)	(24)	(24)
Assumed occupancy - end of year	134.0	141.0	152.0	157.0	160.0	161.0	162.0	162.0
Assumed average occupancy	134.0	137.5	146.5	154.5	158.5	160.5	161.5	162.0
Assumed occupancy percent	78.82%	80.88%	86.18%	90.88%	93.24%	94.41%	95.00%	95.29%
<u>Courtyard</u>								
<u>Available Units</u>	50	50	50	50	50	50	50	50
<u>Assumed occupancy and IL unit turnover</u>								
Assumed occupancy - beginning of year	30.0	47.0	49.0	48.0	48.0	48.0	48.0	48.0
Assumed move-ins:								
Single occupancy	9	4	-	1	2	2	3	3
Double occupancy	9	1	3	1	1	1	1	1
Total Assumed Move-Ins	18	5	3	2	3	3	4	4
Assumed attrition	(1)	(3)	(4)	(2)	(3)	(3)	(4)	(4)
Assumed occupancy - end of year	47.0	49.0	48.0	48.0	48.0	48.0	48.0	48.0
Assumed average occupancy	38.5	48.0	48.5	48.0	48.0	48.0	48.0	48.0
Assumed occupancy percent	77.00%	96.00%	97.00%	96.00%	96.00%	96.00%	96.00%	96.00%
<u>Combined</u>								
Available Units	220	220	220	220	220	220	220	220
Assumed average occupancy	173	186	195	203	207	209	210	210
Assumed occupancy percent	78.41%	84.32%	88.64%	92.05%	93.86%	94.77%	95.23%	95.45%

Source: Management

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Summary of Revenue and Entrance Fee Assumptions (Continued)

Entrance Fee Repayments and Refunds (Continued)

Based on Atherton's ability to timely reoccupy units vacated by residents with repayable entrance fee contracts during the past several years, Management does not expect any significant adverse effects due to the State of California's recent passage of SB-939, regarding repayment of repayable continuing care contracts. Management plans to continue monitoring the time required to reoccupy units vacated by residents with repayable entrance fee contracts, in order to assess the need, if any, to set aside reserves or take other action, as may be appropriate, to mitigate exposure to the costs associated with long delays in reoccupying such units.

Assisted Living Revenue

Monthly fees are generated from assisted living services provided to residents transferring from the independent living units, as well as direct admit residents. Management's assumed occupancy for traditional assisted living and companion care assisted living is included in Table 2 on page 14.

Traditional Assisted Living

Current monthly fees for contract residents and direct admit residents paying an entrance fee range from \$3,315 to \$5,205, depending on single or double occupancy accommodations. Current monthly fees for direct admit residents entering on a month-to-month admissions agreement range from \$4,315 to \$6,205, depending on single or double occupancy accommodations.

Current 48-month declining refundable entrance fees for direct admit residents are \$50,000 for single occupancy, and \$55,000 for double occupancy, which entitles the resident(s) to the lower contract resident monthly fees discussed in the above paragraph, and also guarantees the assisted living direct admit resident(s) priority access to skilled nursing, ahead of residents in assisted living on month-to-month agreements, and ahead of direct admits to skilled nursing.

Direct admit residents entering on a month-to-month admissions agreement currently pay a one-time processing fee of \$5,000.

Management's financial forecast assumes that the 2016 monthly fees for traditional assisted living units will be increased annually by 3.0% in 2017, 3.5% in 2018 and 4.0% in 2019 and 2020.

Companion Care Assisted Living

Current monthly fees include family style meals, recreational activities, fitness center and classes, wellness checks, physical therapy facilities and assistance in activities of daily living. Monthly fees for the four private rooms will range from \$6,000 to \$6,500, beginning in October 2016.

Management's financial forecast assumes that the 2016 monthly fees for companion care assisted living units will be increased annually by 3.0% in 2017, 3.5% in 2018 and 4.0% in 2019 and 2020.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Summary of Revenue and Entrance Fee Assumptions (Continued)

Skilled Nursing

Skilled nursing revenue is based upon charges for services provided to residents transferring from the independent living units, as well as direct admit residents. Management's assumed occupancy for the skilled nursing payor mix is included in Table 2 on page 14.

Current daily rates for private pay contract residents are \$251 for semi-private rooms and \$300 for private rooms. Private pay direct admits residents currently pay \$276 for semi-private rooms and \$330 for private rooms. Management's financial forecast assumes that private pay daily rates will be increased annually by 3.0% in 2017, 3.5% in 2018 and 4.0% in 2019 and 2020. Assumed daily rates for private pay, Medi-Cal & Managed Care, Medicare Part A, Hospice and HMO residents are included in Table 10 on page 34.

Earned Entrance Fees

Earned entrance fees are based on the non-repayable portion of repayable Courtyard entrance fees and the non-refundable portion of declining balance Classic IL and AL entrance fees amortized over the life expectancy of each resident.

Management's financial forecast assumes that the 2016 entrance fees included in Table 1 on page 11 for the Classic independent living units and the Courtyard will be increased annually by 2.0% during the forecast period, based on an analysis of entrance fees charged by competitive CCRCs in Atherton's PMA (Tables 5 and 6 on pages 22 and 23, respectively, and an analysis of the average value and median sales prices of homes in Alhambra and nearby cities (page 18).

Investment Income

Management's financial forecast assumes investment income will consist of interest earnings on cash and cash equivalents and investments at an assumed annual interest rate of 1.75%, except for 45 days operating cash for which the interest rate is assumed to be 0.50%.

Gifts and Donations

Forecasted gifts and donations are based on the Corporation's historical experience and Management's expectations during the forecast period.

Other Revenue

Other revenue consists of revenue from additional resident meals and snacks, guest meals, guest apartment rentals, barber and beauty fees, and other miscellaneous sources. Management's forecast of other revenue is based on its 2016 operating budget, and it is not assumed to increase during the forecast period.

Atherton Baptist Homes

Historical and Assumed Skilled Nursing Daily Rates

Table 10

	Historical			Assumed				
	2013	2014	2015	2016	2017	2018	2019	2020
Private Pay - Contract Resident:								
Semi-Private	\$ 228	\$ 235	\$ 244	\$ 251	\$ 259	\$ 268	\$ 279	\$ 290
Private	272	280	291	300	309	320	332	346
Private Pay - Direct Admit Resident:								
Semi-Private	248	255	269	276	284	293	304	315
Private	292	300	321	330	339	350	362	376
Medi-Cal and Managed Care	180	160	163	174	183	185	187	188
Medicare - Part A	591	548	614	575	587	598	610	622
Hospice (1)	180	160	163	174	183	185	187	188
HMO	465	458	333	400	404	408	412	416

(1) Hospice services to residents provided by the following agencies: Vitas Hospice, Assurance Hospice and Mission Hospice.

Source: Management

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Summary of Expense Assumptions

Salaries and Benefits

Staffing estimates for providing residential living, assisted living and skilled nursing services are based on the 2016 operating budget prepared by Management. Management's financial forecast assumes that Atherton will employ approximately 122 full-time equivalent employees (FTEs) to provide services to residents at all levels of care during the forecast period. The Corporation has contracted with Morrison Senior Living ("Morrison") to provide its food management, housekeeping & laundry, and maintenance & grounds services. Management estimates that Morrison will employ approximately 73 FTEs to provide these services during the forecast period.

The Corporation's 2016 operating budget complies with California's 2016 \$10/hour minimum wage requirement for all affected employees. Management's financial forecast complies with the following California minimum wage requirements for all affected employees: 2017 (\$10.50/hour); 2018 (\$11/hour); 2019 (\$12/hour); and 2020 (\$13/hour). In addition, the Corporation's 2016 operating budget and Management's financial forecast include upward wage adjustments for all employees whose earnings are within \$0.80/hour of the minimum wage for that year. The amount of such adjustments varies depending upon the employees' length of employment with the Corporation.

Management believes that average salary and wage rates and employee benefits are consistent with retirement housing and health care organizations in California, adjusted for the Alhambra area, and they are assumed to increase 3.0% annually during 2017-2020, for employees not affected by the minimum wage increases.

The cost of employee fringe benefits, consisting primarily of payroll taxes, health insurance, and a group annuity are estimated to be approximately 25% in the Corporation's 2016 operating budget, and are estimated to range from 26% to 27% in Management's financial forecast.

Purchased Goods and Services

Purchased services consists of services and products purchased from third party vendors, such as food management, housekeeping & laundry, and maintenance & grounds services contracted from Morrison, and legal counsel, accounting and auditing, healthcare registry and therapy, repairs and maintenance, utilities, supplies, minor equipment and insurance purchased from other vendors. Utility rates and the costs of other purchased services and products are based on the 2016 operating budget, and are assumed to increase at weighted average annual rates ranging from 2.3% to 3.6% during the forecast years 2017-2020.

Management's financial forecast of purchased services includes the effect of the California minimum wage requirements in its estimates of its future contract costs with Morrison during the forecast period.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Property and Equipment and Depreciation Expense

Property and equipment are stated at cost less accumulated depreciation. Contributed property is recorded at the estimated fair value at the date of receipt. Depreciation is provided over the estimated useful life of each class of depreciable asset and is computed using the straight-line method with lives of 5 to 50 years. The Corporation capitalizes all expenditures for capital equipment in excess of \$1,000. The costs of maintenance and repairs are expensed as incurred.

Management's estimate of capital expenditures for buildings & equipment and improvements, during the forecast period, is based on an ongoing thorough physical inspection of Atherton's buildings and equipment by the CEO, plant and maintenance staff, other affected department staff, and selected third party contractors and vendors. Table 11 on page 37 details Management's estimate by department, general campus and new construction.

Deferred Financing Costs and Original Issue Premium/Discount

Costs associated with the issuance of financings are assumed to be capitalized and amortized over the expected life of the bonds. Management has implemented ASU No. 2015-03 "Interest – Imputation of Interest" resulting in a change in the reporting of debt issuance costs. The Corporation previously reported deferred issuance costs as an asset on the statement of financial position. Under the new Standard, the debt issuance costs are netted against the related debt on the statement of financial position and the amortization is included in interest expense on the statement of operations. The original issue premium assumed to be received in the issuance of the proposed Series 2016 Bonds has been added to the related debt on the statement of financial position and netted against the interest expense on the statement of operations.

Deferred Marketing Costs

Costs of acquiring initial continuing care contracts, which represent certain advertising and marketing costs incurred with acquiring initial continuing care contracts related to the construction and completion of The Courtyard at Atherton, are amortized on a straight-line basis of the average expected remaining lives of the residents under the contracts.

Loss on Advance Refunding

Management's financial forecast indicates that the proposed advance refunding will result in a loss consisting of the write-off of \$862,552 in unamortized financing costs and original issue discount related to the Series 2010A Bonds that are forecasted to be advance refunded with the issuance of the Series 2016 Bonds and the pre-payment of interest expense related to the Series 2010A Bonds of \$6,505,633, net of interest earnings of 0.80%.

Atherton Baptist Homes

Estimated Property & Equipment Additions and Improvements

Table 11

	2016	2017	2018	2019	2020
Classic Independent Living:					
Update units occupied 10 years	\$ 216,000	\$ 96,000	\$ 96,000	\$ 96,000	\$ 96,000
Update turnover units	600,000	600,000	600,000	600,000	600,000
Assisted Living:					
Update units	30,000	30,000	30,000	30,000	30,000
Replace hand rails	3,500	-	-	-	-
Renovate common areas	-	30,000	500,000	-	-
Skilled Nursing:					
Renovate semi-private rooms	30,000	30,000	30,000	30,000	30,000
Purchase equipment	17,770	20,000	20,000	20,000	20,000
Replace carpets	-	-	-	100,000	-
Atherton at Home:					
Purchase golf carts	4,000	-	-	-	-
Administration:					
Replace carpets	-	20,000	-	-	-
Maintenance:					
Replace HVAC units	75,000	75,000	75,000	75,000	75,000
Purchase golf carts	8,000	-	-	-	-
Refurbish elevator	90,000	90,000	90,000	90,000	90,000
Paint building trim	21,000	40,000	40,000	40,000	40,000
Laundry:					
Refurbish Casa Colby laundry room	11,500	-	-	-	-
Dietary:					
Replace equipment	-	25,000	25,000	25,000	25,000
I.T.:					
Replace equipment / hardware	41,800	50,000	50,000	150,000	50,000
Update software	34,000	35,000	35,000	75,000	35,000
General Campus:					
Replace transformer	50,000	-	-	-	-
Implement parking proposal	35,000	-	-	-	-
Fire inspection of buildings	120,000	-	-	-	-
Complete master plan	15,000	-	-	-	-
Replace roofs	-	50,000	50,000	50,000	50,000
Repair/Replace Parking Structures	-	40,000	40,000	-	-
Maintenance on Irving Street	-	20,000	20,000	10,000	10,000
Paint buildings	-	-	30,000	30,000	30,000
New Construction:					
Tri-Plex on Irving Street	-	750,000	-	-	-
Pre-dev costs on Sixth Street	-	-	-	-	500,000
	\$ 1,402,570	\$ 2,001,000	\$ 1,731,000	\$ 1,421,000	\$ 1,681,000
Buildings and improvements	1,078,500	1,706,000	1,436,000	986,000	1,386,000
Equipment	324,070	295,000	295,000	435,000	295,000
	\$ 1,402,570	\$ 2,001,000	\$ 1,731,000	\$ 1,421,000	\$ 1,681,000

Source: Management

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Long-Term Debt and Interest Expense

Forecasted debt and the related interest expense consist of the following:

Proposed Long-Term Debt

According to information provided by the Corporation's underwriter, B.C. Ziegler and Company, doing business as Ziegler (the "Underwriter") and the Corporation's financial advisor, Ford & Associates, Inc., (the "Financial Advisor"), the Corporation plans to advance refund its existing Series 2010A Bonds with the proposed issuance of the \$29,775,000 Insured Health Facilities Revenue Bonds (the Series 2016 Bonds) assumed to be insured through the California Health Facilities Construction Loan Insurance Program (Cal-Mortgage).

The Underwriter and the Financial Advisor have assumed that the Series 2016 Bonds will be issued by the City of Alhambra, and be dated and delivered on October 20, 2016. The Series 2016 Bonds are assumed to be tax-exempt fixed rate bonds with an average coupon rate of 4.58%. Interest payments to bondholders are assumed to be payable semiannually, beginning on January 1, 2017. Annual principal payments are assumed to be payable January 1 of each year, beginning on January 1, 2017 and ending on January 1, 2040. The responsibility for payment of the debt service on the Series 2016 Bonds is solely that of the Corporation.

The Series 2016 Bonds are assumed to be issued with an original issue premium of \$4,768,155.

A contribution of \$223,688 is assumed to be made by the Corporation.

Management and the Underwriter and Financial Advisor have estimated that \$3,588,014 will be transferred from trustee held funds related to the Series 2010 Bonds and used as a part of the advance refunding.

Management and the Underwriter and Financial Advisor have estimated that \$34,735,633 will be deposited into a refunding escrow with the trustee to refund the Series 2010A Bonds. The escrow deposit plus interest earnings on the escrow deposit will be used to pay principal due on January 1, 2017-2020, interest due on January 1 and July 1, 2017-2019 and January 1, 2020, and the outstanding principal balance of \$26,390,000 on January 1, 2020.

The \$1,054,575 Debt Service Reserve Fund deposit, representing six months of maximum annual debt service for the Series 2016 Bonds, was provided by Management and the Underwriter and Financial Advisor.

Management and the Underwriter and Financial Advisor have estimated financing related costs of \$2,564,649, which include a Cal Mortgage bond insurance premium of 2.75% (\$1,343,672) of total debt service, and a Project inspection fee of .4% (\$119,100) of the bonds par value, at closing, accounting fees, legal fees, title fees and other costs associated with the issuance of the Series 2016 Bonds.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Long-Term Debt and Interest Expense

Forecasted debt and the related interest expense consist of the following:

Existing Long-Term Debt

Management and the Underwriter and Financial Advisor have estimated that \$34,735,633 will be deposited into a refunding escrow with the trustee to refund the Series 2010A Bonds. The escrow deposit plus interest earnings on the escrow deposit will be used to pay principal due on January 1, 2017-2020, interest due on January 1 and July 1, 2017-2019 and January 1, 2020, and the outstanding principal balance of \$26,390,000 on January 1, 2020.

The forecasted annual debt service on the Series 2016 Bonds and the Corporation's existing long-term debt during the forecast period (in thousands of dollars), follow:

Proposed and Existing Long-Term Debt					Table 12
Series 2016 Bonds		Existing Long-Term Debt		Total	
Year	Interest	Principal	Interest	Principal	P & I
2016	\$ 258,381	-	\$1,070,260	\$380,000	\$ 1,708,641
2017	1,307,000	\$ 155,000	-	-	1,462,000
2018	1,283,000	800,000	-	-	2,083,000
2019	1,258,250	825,000	-	-	2,083,250
2020	1,232,750	850,000	-	-	2,082,750
Thereafter	13,746,400	27,145,000	-	-	40,891,400
	\$19,085,781	\$29,775,000	\$1,070,260	\$380,000	\$50,311,041

Source: Management and the Underwriter and Financial Advisor

Management's financial forecast does not address the Corporation's ability to satisfy its debt service requirements beyond the forecast period.

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Basis of Forecasting Other Items

Current Assets, Current Liabilities and Changes in Working Capital

Working capital components have been estimated based upon the Corporation's historical experience and expectations during the forecast period. Major working capital components were forecasted as follows:

- Cash and cash equivalents: 45 days cash operating expenses, excluding interest expense.
- Current investments: 40 days cash operating expenses, excluding interest expense.
- Accounts receivable: 20 days of residential services and nursing center revenues.
- Prepaid expenses: 12 days of cash operating expenses, excluding interest expense.
- Current portion of assets whose use is limited or restricted: Principal and interest held by trustee and due to bondholders in the following year.
- Accounts payable: 35 days of purchased services.
- Accrued liabilities: 25 days of salaries and benefits.
- Accrued interest: Interest accrued and payable to holders of the Series 2016 Bonds.
- Assets whose use is limited – Board Designated: 60 days of cash operating expenses

Atherton Baptist Homes

Summary of Significant Forecast Assumptions and Accounting Policies

Sensitivity Factors and Analyses

The financial forecast was prepared based on assumptions made by Management concerning future operations of the Corporation. Various factors and conditions may occur which could adversely affect the forecast of the financial condition of the Corporation and its ability to meet debt service requirements. These factors include, among others, legislation and regulatory action, changes in assumptions concerning occupancy variations due to increased competition from other retirement housing and healthcare providers. Furthermore, the financial forecast was prepared assuming that the Corporation obtains financing at rates and terms provided by the Underwriter and the Financial Advisor, and debt service requirements of the proposed Series 2016 Bonds do not change during the forecast period.

The analyses that follow should not be construed as reflecting the only significant assumptions presented in the forecast. The sensitivity analyses represent Management's estimates and Cal-Mortgage's request, and have not been examined. The analyses, which are not intended to be all-inclusive, are presented for the purpose of demonstrating the significance of (I) a 1% increase in the average coupon rate on the proposed Series 2016 Bonds (Table 13 on page 42); (II) forecasting operating revenues, based on Atherton's occupancy reduced as follows: Classic independent living occupancy at 144 units at the end of December 31, 2016, and maintained at 144 average occupied units throughout the forecast period; Courtyard occupancy at 44 units at the end of December 31, 2016, and maintained at 44 average occupied units throughout the forecast period; Occupancy at all other levels of care at reduced 5% throughout the forecast period (Table 14 on page 43); and (III) forecasting operating revenues, based on a five percent reduction in assumed Medi-Cal & Managed Care and Hospice daily rates during the forecast period (Table 15 on page 44).

In the sensitivity analyses, Management did not adjust operating expenses or the repayment of debt (except in Sensitivity Analysis I, where interest expense and the repayment of debt was adjusted).

Atherton Baptist Homes

Sensitivity Analysis I - 1% Increase in Average Coupon Rate on Series 2016 Bonds

Table 13

Sensitivity Analysis I, as presented by Management, was conducted to show the impact of a 1% increase in the average coupon rate on the Series 2016 Bonds, during the forecast period. The following financial ratios contrast the forecasted financial ratios against the sensitivity analysis financial ratios.

	2016	2017	2018	2019	2020
<u>As Forecasted:</u>					
Maximum Annual Debt Service (MADS) (\$000)	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109
MADS Coverage Ratio	2.60	2.74	2.67	2.80	2.81
MADS Coverage Ratio - Revenue Basis	0.70	0.85	0.94	0.99	1.04
Days Operating Cash on Hand	231	260	286	312	340
Cash to Debt Ratio	37.48%	43.58%	50.51%	58.21%	67.41%
Cushion Ratio	5.26	5.96	6.70	7.49	8.40
Current Ratio	2.01	1.79	1.79	1.81	1.82
Operating Ratio	1.03	1.00	0.99	0.98	0.98
<u>Sensitivity:</u>					
Maximum Annual Debt Service (MADS) (\$000)	\$ 2,350	\$ 2,350	\$ 2,350	\$ 2,350	\$ 2,350
MADS Coverage Ratio	2.34	2.46	2.39	2.51	2.51
MADS Coverage Ratio - Revenue Basis	0.63	0.77	0.84	0.89	0.93
Days Operating Cash on Hand	229	249	271	291	315
Cash to Debt Ratio	36.81%	41.87%	47.63%	54.03%	61.79%
Cushion Ratio	4.70	5.22	5.79	6.39	7.10
Current Ratio	1.99	1.78	1.78	1.79	1.81
Operating Ratio	1.03	1.02	1.01	1.00	0.99

Atherton Baptist Homes

Sensitivity Analysis II - Reduced Occupancy at All Levels of Care

Table 14

Sensitivity Analysis II, as presented by Management, was conducted to show the impact of Atherton' occupancy reduced as follows: Classic independent living occupancy at 144 units at the end of 2016 and maintained at 144 average occupied units throughout the forecast period; Courtyard occupancy at 44 units at the end of 2016, and maintained at 44 average occupied units throughout the forecast period; Occupancy at all other levels of care reduced 5% throughout the forecast period. For purposes of the sensitivity analysis, occupancy was adjusted without a corresponding adjustment to expenses. The following financial ratios contrast the forecasted financial ratios against the sensitivity financial ratios.

	2016	2017	2018	2019	2020
<u>As Forecasted:</u>					
Maximum Annual Debt Service (MADS) (\$000)	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109
MADS Coverage Ratio	2.60	2.74	2.67	2.80	2.81
MADS Coverage Ratio - Revenue Basis	0.70	0.85	0.94	0.99	1.04
Days Operating Cash on Hand	231	260	286	312	340
Cash to Debt Ratio	37.48%	43.58%	50.51%	58.21%	67.41%
Cushion Ratio	5.26	5.96	6.70	7.49	8.40
Current Ratio	2.01	1.79	1.79	1.81	1.82
Operating Ratio	1.03	1.00	0.99	0.98	0.98
<u>Sensitivity:</u>					
Maximum Annual Debt Service (MADS) (\$000)	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109
MADS Coverage Ratio	1.41	2.02	2.02	2.11	2.14
MADS Coverage Ratio - Revenue Basis	0.32	0.32	0.35	0.36	0.37
Days Operating Cash on Hand	180	178	178	178	182
Cash to Debt Ratio	29.15%	29.81%	31.47%	33.20%	36.20%
Cushion Ratio	4.09	4.07	4.18	4.27	4.51
Current Ratio	2.02	1.78	1.78	1.79	1.81
Operating Ratio	1.08	1.07	1.06	1.06	1.05

Atherton Baptist Homes

Sensitivity Analysis III - 5% Reduction in Medi-Cal & Managed Care and Hospice Rates Table 15

Sensitivity Analysis III, as presented by Management, was conducted to show the impact of a 5% reduction in Medi-Cal & Managed Care and Hospice daily rates, during the forecast period, as follows: 2016 - \$174.00 to \$165.30; 2017 - \$183.00 to \$173.85; 2018 - \$185.00 to \$175.75; 2019 - \$187.00 to \$177.65; and 2020 - \$188.00 to \$178.60. The following financial ratios contrast the forecasted financial ratios against the sensitivity analysis financial ratios.

	2016	2017	2018	2019	2020
<u>As Forecasted:</u>					
Maximum Annual Debt Service (MADS) (\$000)	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109
MADS Coverage Ratio	2.60	2.74	2.67	2.80	2.81
MADS Coverage Ratio - Revenue Basis	0.70	0.85	0.94	0.99	1.04
Days Operating Cash on Hand	231	260	286	312	340
Cash to Debt Ratio	37.48%	43.58%	50.51%	58.21%	67.41%
Cushion Ratio	5.26	5.96	6.70	7.49	8.40
Current Ratio	2.01	1.79	1.79	1.81	1.82
Operating Ratio	1.03	1.00	0.99	0.98	0.98
<u>Sensitivity:</u>					
Maximum Annual Debt Service (MADS) (\$000)	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109	\$ 2,109
MADS Coverage Ratio	2.54	2.67	2.60	2.73	2.73
MADS Coverage Ratio - Revenue Basis	0.63	0.78	0.86	0.92	0.96
Days Operating Cash on Hand	228	254	277	300	325
Cash to Debt Ratio	37.03%	42.60%	48.94%	56.01%	64.53%
Cushion Ratio	5.20	5.82	6.50	7.21	8.04
Current Ratio	2.01	1.79	1.79	1.81	1.82
Operating Ratio	1.04	1.01	1.00	0.99	0.98

APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

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APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

The following is a summary of certain provisions of the Indenture, the Loan Agreement, Regulatory Agreement, Deed of Trust and Contract of Insurance. These summaries do not purport to be complete or definitive and reference should be made to such documents for a full and complete statement of their provisions.

DEFINITION OF CERTAIN TERMS

“*Accountant*” means any Independent certified public accountant or firm of such accountants with a national or regional reputation selected by the Corporation and acceptable to the Office, and so long as such Accountant is acceptable to the Office. The initial Accountant of Moss Adams LLP, San Francisco, California, is acceptable to the Office.

“*Additional Payments*” means payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“*Additional Project*” means any additions, extensions, alterations or improvements to the Facilities financed with any Additional Bonds.

“*Adjusted Annual Operating Revenues*” means operating revenue and investment income of the Corporation, less contractual allowances, allowance for bad debts and free services for any Fiscal Year, all as determined in accordance with generally accepted accounting principles.

“*Affiliate*” means a Person which, directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with the Corporation.

“*Aggregate Debt Service*” means, as of any date of calculation and with respect to any period, the sum of amounts of Debt Service for all Long-Term Indebtedness for such period.

“*ALTA*” means American Land Title Association.

“*Authorized Denomination*” means \$5,000 or any integral multiple thereof.

“*Authorized Representative*” means (1) with respect to the City, its Mayor, City Manager, Finance Director, Director of Development Services of the City, City Clerk or deputies or assistants thereto, or any other person designated as an Authorized Representative of the City by a Certificate of the City signed by its Mayor, City Manager, Finance Director or Director of Development Services of the City and filed with the Trustee, (2) with respect to the Corporation, its Chairman, Vice Chairman, President, Chief Executive Officer, Chief Financial Officer or any other person designated as an Authorized Representative of the Corporation by a Certificate of the Corporation signed by its President, Chief Executive Officer or Chief Financial Officer, and filed with the Trustee; and (3) with respect to the Office, the Director of the Office or Deputy Director of the Cal Mortgage Loan Insurance Division, or any other person designated as an Authorized Representative of the Office by a Certificate of the Office signed by its Director or Deputy Director of the Cal Mortgage Loan Insurance Division, and filed with the Trustee.

“*Board*” means, with respect to the City, the City Council of the City and, with respect to the Corporation, the Board of Trustees of the Corporation.

“Bond Counsel” means Independent counsel of recognized national standing in the field of obligations the interest on which is excluded from gross income for federal income tax purposes, selected by the Corporation and acceptable to the City and the Office.

“Bond Year” means the period of twelve consecutive months ending on January 1 in any year in which Bonds are Outstanding, except that the first Bond Year shall commence on the Closing Date and end on January 1, 2017.

“Bonds” means \$31,390,000 City of Alhambra Insured Refunding Revenue Bonds (Atherton Baptist Homes Project), Series 2016, authorized by, and at any time Outstanding pursuant to, the Indenture, and where the context requires, Additional Bonds. *“Additional Bonds”* means other bonds authorized by and at any time Outstanding pursuant to the Indenture and any Supplemental Indenture to finance an Additional Project.

“Business Day” means any day other than a Saturday, Sunday, or a day on which banking institutions in the city in which the Principal Corporate Trust Office of the Trustee is located are authorized or obligated by law or executive order to be closed or a day on which the Federal Reserve System is closed.

“CERCLA” means the Comprehensive Environmental Response, Compensation and Liability Act of 1980 (42 U.S.C. § 9601 *et seq.*), as heretofore or hereafter amended from time to time.

“Certificate,” “Statement,” “Request,” “Requisition” and *“Order”* of the City, the Office or the Corporation mean, respectively, a written certificate, statement, request, requisition or order signed in the name of the City by an Authorized Representative of the City, or in the name of the Corporation or the Office by an Authorized Representative of the Corporation or the Office, respectively, and delivered to the Trustee. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument.

“City” means City of Alhambra, a charter city and municipal corporation organized and existing under the Constitution and the laws of the State of California.

“Closing Date” means the date upon which there is a physical delivery of the Bonds in exchange for the amount representing the purchase price of the Bonds by the Original Purchaser.

“Code” means the Internal Revenue Code of 1986 and the regulations issued thereunder or any successor thereto. Reference to any particular Code section shall, in the event of such successor Code, be deemed to be reference to the successor to such Code section.

“Continuing Disclosure Agreement” means that certain Continuing Disclosure Agreement, dated the date of issuance and delivery of the Bonds, of the Corporation, as originally executed and as it may be amended from time to time in accordance with the terms thereof.

“Contract of Insurance” means that certain contract of insurance by and among the Office, the Corporation and the City, dated as of November 1, 2016, and effective as of the date of issuance of the Bonds, and any amendment or supplement thereto.

“Corporation” means Atherton Baptist Homes, a California nonprofit public benefit corporation.

“Community” means the continuing care retirement community known as “Atherton” or “Atherton Baptist Homes.”

“*Costs of Issuance*” means all items of expense directly or indirectly payable by or reimbursable to the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to the upfront premium and certification and inspection fees payable to the Office on the Closing Date, advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Trustee and the City (including legal fees and charges of their respective counsel), legal fees and charges, fees and disbursements of consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of Bonds, and any other cost, charge or fee in connection with the original issuance of Bonds.

“*Costs of Issuance Fund*” means the fund by that name established pursuant to the Indenture.

“*Current Ratio*” means a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements.

“*Days Cash on Hand*” means, for any Fiscal Year, the quotient obtained by dividing (a) the Corporation’s cash and cash equivalents (including board designated funds and funded depreciation) as of the end of such Fiscal Year by (b) the quotient of dividing (i) the Corporation’s operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (ii) the number of days in such Fiscal Year.

“*Debt Service*,” when used with respect to any Long-Term Indebtedness, means, as of any date of calculation and with respect to any period, the sum of

(a) the interest falling due on such Long-Term Indebtedness during such period (except to the extent that such interest is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), and

(b) the scheduled principal (or mandatory sinking fund or installment purchase price or lease rental or similar) payments or deposits required with respect to such Long-Term Indebtedness during such period (except to the extent such principal is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), computed on the assumption that no portion of such Long-Term Indebtedness shall cease to be outstanding during such period except by reason of the application of such scheduled payments, provided, however, that for purposes of such computation:

(1) if Long-Term Indebtedness is

(i) secured by an irrevocable letter of credit or irrevocable line of credit issued by a financial institution having a combined capital and surplus of at least fifty million dollars (\$50,000,000) and whose unsecured securities are rated in one of the two highest short-term or long-term Rating Categories (without regard to numerical modifier) by each rating agency then rating the Bonds, or

(ii) insured by an insurance policy or surety bond issued by an insurance company rated at least A+ by Alfred M. Best Company in Best’s Insurance Reports,

(iii) principal payments or deposits with respect to such Long-Term Indebtedness nominally due in the last Fiscal Year in which such Long-Term Indebtedness matures may, at the option of the Corporation, be treated as if they were due as specified in any loan agreement or installment sale/purchase agreement issued in connection with such

letter of credit, line of credit, insurance policy or surety bond or pursuant to the repayment provisions of such letter of credit, line of credit, insurance policy or surety bond (or, if such loan agreement or installment sale/purchase agreement or repayment provisions provide for repayment over less than 20 years and the Trustee receives a Statement of the Corporation to the effect that the Corporation intends to refinance such Long-Term Indebtedness prior to maturity, as if they were amortized over a 20-year period with substantially level debt service) and interest on such Long-Term Indebtedness after such Fiscal Year shall be assumed to be payable at an interest rate equal to a rate per annum equal to the 25-year revenue bond index most recently published preceding the date of calculation in The Bond Buyer (subject to any adjustment for errors therein which may be acknowledged by the publishers thereof);

(2) if interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula, the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be equal to the greater of

(i) the average rate of interest borne (or which would have been borne) by such Long-Term Indebtedness during the Fiscal Year immediately preceding the date of calculation plus one percent (1%), or

(ii) the average rate of interest borne by such Long-Term Indebtedness during the three full calendar months immediately preceding the date of calculation plus one percent (1%);

(3) if interest is capitalized with respect to Long-Term Indebtedness, Debt Service on such Long-Term Indebtedness shall be included in computations of Maximum Aggregate Annual Debt Service under the Regulatory Agreement only in proportion to the amount of interest payable in the then-current Fiscal Year from sources other than amounts funded to pay such capitalized interest;

(4) with respect to a Guarantee, there shall be included in the Debt Service of the Corporation

(i) twenty-five percent (25%) of the Corporation's maximum possible monetary liability under the Guarantee in any Fiscal Year unless the Guarantee is drawn upon, and

(ii) one hundred percent (100%) of the Corporation's monetary liability under the Guarantee which has been drawn upon, until such time as all amounts drawn upon the Guarantee have been repaid to the Corporation, and for two Fiscal Years thereafter; and

(5) if moneys or Investment Securities described in Subsections (a), (b), (e) or (f) of the definition thereof (not callable by the issuer thereof prior to maturity) have been deposited with a trustee or escrow agent in an amount, together with earnings thereon, sufficient to pay the principal or interest on Long-Term Indebtedness as it comes due, such principal or interest, as the case may be, shall not be included in computations of Debt Service.

"Debt Service Coverage Ratio" means the ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service described in the Regulatory Agreement.

"Debt Service Reserve Account" means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Debt Service Reserve Account Requirement” means, as of the date of any calculation, an amount equal to the least of (a) fifty percent (50%) of the Maximum Annual Bond Service, (b) 125% of average annual debt service, or (c) 10% of the principal amount of the Bonds Outstanding as of such date.

“Deed of Trust” means that certain Deed of Trust with Fixture Filing and Security Agreement, dated the same date as the Regulatory Agreement, to be executed by the Corporation, as trustor, in favor of the Deed Trustee for the benefit of the Office and the Trustee for the benefit of the Owners, as beneficiaries, as amended, modified and supplemented from time to time, and such other deeds of trust that the Office may require.

“Deed Trustee” means the Person at the time serving as such under the Deed of Trust.

“Defeasance Obligations” means (a) cash, (b) direct non-callable obligations of the United States of America, (c) securities fully and unconditionally guaranteed as to the timely payment of principal and interest by the United States of America, to which direct obligation or guarantee the full faith and credit of the United States of America has been pledged, (d) Refcorp interest strips, (e) CATS, TIGRS, STRPS, and (f) defeased municipal bonds rated AAA by S&P or Aaa by Moody’s (or any combination of the foregoing).

“Deposit Account Control Agreement” means the deposit account control agreement described in the Loan Agreement.

“Depository” means The Depository Trust Company and its successors and assigns, or any other Securities Depository selected as set forth in the Indenture, which agrees to follow the procedures required to be followed by such depository in connection with the Bonds.

“Dissemination Agent” means the dissemination agent, if any, identified in the Continuing Disclosure Agreement.

“Entrance Fee” means the fee so designated to be paid by each resident of the Community pursuant to the Residency Agreements and any deposit in respect thereof.

“Environmental Claim” means any accusation, allegation, notice of violation, claim, demand, abatement order or other order or direction (conditional or otherwise) by any governmental authority or any person for any damage, including, without limitation, personal injury (including sickness, disease or death), tangible or intangible property damage, contribution, indemnity, indirect or consequential damages, damage to the environment, nuisance, pollution, contamination or other adverse effects on the environment, or for fines, penalties or restrictions, resulting from or based upon

(i) the existence of a Release (whether sudden or nonsudden or accidental or non-accidental) of, or exposure to, any Hazardous Material, in, into or onto the environment at, in, by, from or related to the Facilities,

(ii) the use, handling, transportation, storage, treatment or disposal of Hazardous Materials in connection with the operation of the Facilities, or

(iii) the violation, or alleged violation, of any statutes, ordinances, orders, rules, regulations, permits, licenses or authorizations of or from any governmental authority, agency or court relating to environmental matters connected with the Facilities.

“Environmental Indemnities” means the indemnities executed by the Corporation, as indemnitor, in favor of the Office, the City, the Trustee and the other parties named therein, as indemnitees, each setting forth certain indemnification obligations relating to Hazardous Materials.

“Environmental Laws” means all present and future federal, state or local laws, rules or regulations relating to environmental matters, permits, pollution, waste disposal, industrial hygiene, land use and other requirements of governmental authorities relating to the environment or to any Hazardous Material or Hazardous Material Activity (including, without limitation, CERCLA and the applicable provisions of the California Health and Safety Code and the California Water Code) or the protection of human or animal health or welfare, including, without limitation, those related to any Release or threatened Release of Hazardous Materials and to the generation, use, storage, transportation, or disposal of Hazardous Materials, in any manner applicable to the Corporation or the Facilities.

“Environmental Regulations” means any federal, state or local law, statute, code, ordinance, regulation, requirement or rule relating to dangerous, toxic or hazardous pollutants, Hazardous Substances, chemical waste, materials or substances.

“Escrow Agreement” means that certain Escrow Agreement, dated as of November 1, 2016, by and between the Corporation and the Escrow Bank, relating to the refunding of the Prior Bonds.

“Escrow Bank” means Wells Fargo Bank, N.A., in its capacity as escrow bank under the Escrow Agreement.

“Escrow Fund” means the escrow fund created and held by the Escrow Bank under the Escrow Agreement.

“Event of Default” means any of the events specified in the Indenture.

“Facilities” means

(i) the real property described in Exhibit A attached to the Regulatory Agreement and all real property required to be added, from time to time, to this definition of Facilities pursuant to the Regulatory Agreement;

(ii) all buildings and structures thereon and fixtures and improvements thereto, whether now existing or hereafter constructed, installed or acquired; and

(iii) all tangible personal property owned by the Corporation, whether now existing or hereafter constructed, installed or acquired, and used in, around or about the aforesaid real property, including but not limited to the personal property described in Exhibit B attached to the Regulatory Agreement.

“Fair Market Value” means the price at which a willing buyer would purchase the investment from a willing seller in a bona fide, arm’s length transaction (determined as of the date the contract to purchase or sell the investment becomes binding) if the investment is traded on an established securities market (within the meaning of section 1273 of the Code) and, otherwise, the term “Fair Market Value” means the acquisition price in a bona fide arm’s length transaction (as referenced above) if (i) the investment is a certificate of deposit that is acquired in accordance with applicable regulations under the Code, (ii) the investment is an agreement with specifically negotiated withdrawal or reinvestment provisions and a specifically negotiated interest rate (for example, a guaranteed investment contract, a forward supply contract or other investment agreement) that is acquired in accordance with applicable regulations under the Code,

(iii) the investment is a United States Treasury Security – State and Local Government Series that is acquired in accordance with applicable regulations of the United States Bureau of Public Debt, or (iv) the investment is the Local Agency Investment Fund of the State but only if at all times during which the investment is held its yield is reasonably expected to be equal to or greater than the yield on a reasonably comparable direct obligation of the United States of America.

“*Fiscal Year*” means the period set forth on the cover hereof, or any other twelve-month period hereafter selected and designated as the official fiscal year period of the Corporation.

“*501(c)(3) Organization*” means an organization described in section 501(c)(3) of the Code.

“*Government Obligations*” means any of the following which are noncallable by the issuer thereof except to the extent not permitted by the laws of the State as an investment for the moneys to be invested therein at the time of investment:

(i) (a) direct general obligations of the United States of America, (b) obligations the payment of the principal of and interest on which are unconditionally guaranteed as to the full and timely payment by the United States of America, or (c) any fund or other pooling arrangement whose assets consist exclusively of the obligations listed in clause (a) or (b) of this clause (i) and which is rated at least “P-1” by Moody’s; provided that, such obligations shall not include unit investment trusts or mutual fund obligations;

(ii) advance refunded tax-exempt obligations that (a) are rated by Moody’s and S&P, (b) are secured by obligations specified in clause (i), (c) are tax-exempt because they are secured by obligations specified in clause (i), and (d) have the same ratings as the obligations specified in clause (i);

(iii) bonds, debentures or notes issued by any of the following federal agencies: Federal Farm Credit Bank, Federal Home Loan Mortgage Corporation or Fannie Mae; provided, that such bonds, debentures or notes shall be the senior obligations of such agencies (including participation certificates) and have the same ratings by Moody’s and S&P as the obligations specified in clause (i); and

(iv) bonds, debentures or notes issued by any Federal agency hereafter created by an act of Congress, the payment of the principal of and interest on which are unconditionally guaranteed by the United States of America as to the full and timely payment; provided, that, such obligations shall not include unit investment trusts or mutual fund obligations.

“*Governmental Unit*” shall have the meaning set forth in Section 150 of the Code.

“*Gross Revenue Fund*” means the fund by that name established pursuant to the Loan Agreement.

“*Gross Revenues*” means all revenues, income, receipts and money received in any period by the Corporation, including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties; (b) proceeds with respect to, arising from, or relating to its properties and derived from (i) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (ii) accounts, including but not limited to, accounts receivable, (iii) securities and other

investments, (iv) inventory and intangible property, (v) payment/reimbursement programs and agreements, and (vi) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation; (c) Entrance Fees (net of refunds or repayments of Entrance Fees); and (d) rentals received from the lease of the Corporation's properties or space in its facilities, *provided, however*, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations, contributions and tax revenues to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those independent living units or other areas of the Corporation's facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a Residency Agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the independent living units or other areas of the Corporation's facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

“*Guarantee*” means any obligation of the Corporation guaranteeing in any manner, whether directly or indirectly, any obligation of any Person which would, if such Person were the Corporation, constitute Long-Term Indebtedness.

“*Hazardous Material Activity*” means any actual, proposed or threatened storage, holding, existence, release, emission, discharge, generation, processing, abatement, removal, disposition, handling or transportation of any Hazardous Materials from, under, into or on the Facilities or the Project or surrounding property.

“*Hazardous Materials*” means (a) any chemical, material or substance now or in the future defined as or included in the definition of “hazardous substances,” “hazardous wastes,” “hazardous materials,” “extremely hazardous waste,” “restricted hazardous waste,” “infectious waste,” “toxic pollutant” or “toxic substances” or any other term intended to define, list, or classify substances by reason of deleterious properties such as ignitability, corrosivity, reactivity, carcinogenicity, toxicity, reproductive toxicity, “TCLP toxicity,” “EP toxicity” or words of similar import under any applicable local, state or federal law or under the regulations adopted or publications promulgated pursuant thereto, including, without limitation, Environmental Laws, (b) any oil, petroleum or petroleum-derived substance, (c) any drilling fluids, produced waters and other wastes associated with the exploration, development or production of crude oil, natural gas or geothermal resources, (d) any flammable substances or explosives, (e) any radioactive materials, (f) asbestos in any form which is or could become friable, (g) urea formaldehyde foam insulation, (h) electrical equipment which contains any oil or dielectric fluid containing levels of polychlorinated biphenyls in excess of fifty parts per million, (i) pesticides, and (j) any other chemical, material or substance, exposure to which is prohibited, limited or regulated by any governmental authority as one that may or could pose a hazard to the health and safety of the owners, occupants or any persons in the vicinity of the Facilities.

“*Hazardous Substances*” means (a) any oil, flammable substance, explosives, radioactive materials, hazardous wastes or substances, toxic wastes or substances or any other wastes, materials or pollutants which (i) pose a hazard to the Corporation's facilities or to persons on or about the Corporation's facilities or (ii) cause the Corporation's facilities to be in violation of any Environmental Regulation; (b) asbestos in any form which is or could become friable, urea formaldehyde foam insulation, transformers or other equipment which contain dielectric fluid containing levels of polychlorinated biphenyls, or radon gas; (c) any chemical, material or substance defined as or included in the definition of “waste,” “hazardous substances,” “hazardous

wastes,” “hazardous materials,” extremely hazardous waste,” “restricted hazardous waste,” or “toxic substances” or words of similar import under any Environmental Regulation including, but not limited to, the Comprehensive Environmental Response, Compensation and Liability Act (“CERCLA”), 42 USC §§ 9601 *et seq.*; the Resource Conservation and Recovery Act (“RCRA”), 42 USC §§ 6901 *et seq.*; the Hazardous Materials Transportation Act, 49 USC §§ 1801 *et seq.*; the Federal Water Pollution Control Act, 33 USC §§ 1251 *et seq.*; the California Hazardous Waste Control Law (“HWCL”), Cal. Health & Safety §§ 25100 *et seq.*; the Hazardous Substance Account Act (“HSAA”), Cal. Health & Safety Code §§ 25300 *et seq.*; the Underground Storage of Hazardous Substances Act, Cal. Health & Safety §§ 25280 *et seq.*; the Porter-Cologne Water Quality Control Act (the “Porter-Cologne Act”), Cal. Water Code §§ 13000 *et seq.*, the Safe Drinking Water and Toxic Enforcement Act of 1986 (Proposition 65); and Title 22 of the California Code of Regulations, Division 4, Chapter 30; (d) any other chemical, material or substance, exposure to which is prohibited, limited or regulated by any governmental authority or agency or may or could pose a hazard to the health and safety of the occupants of the Corporation’s facilities or the owners and/or occupants of property adjacent to or surrounding the Corporation’s facilities, or any other person coming upon the Corporation’s facilities or adjacent property; or (e) any other chemical, materials or substance which may or could pose a hazard to the environment.

“*Health Facility Construction Loan Insurance Fund*” means the fund by that name established under the Insurance Law.

“*Indebtedness*” means (a) any Guarantee, and (b) any indebtedness or obligation of the Corporation (other than accounts payable and accruals), as determined in accordance with generally accepted accounting principles, including obligations under conditional sales contracts or other title retention contracts, and rental obligations under leases which are considered capital leases under generally accepted accounting principles. Indebtedness shall not include Nonrecourse Indebtedness.

“*Indenture*” means that certain Indenture, dated as of November 1, 2016, by and between the City and the Trustee, as amended, modified and supplemented from time to time.

“*Independent,*” when referring to an Accountant, counsel, Management Consultant or Person, means an Accountant, counsel, Management Consultant or Person who (a) is independent of and not under the control of the Corporation, (b) does not have any substantial interest, direct or indirect, in the Corporation, and (c) in the case of an individual, is not connected, including through a spouse, with the Corporation as a director, officer or employee of the Corporation, and in the case of a firm, is not connected with the Corporation as a partner, director, officer or employee of the Corporation, but who may be regularly retained by the Corporation.

“*Information Services*” means the Electronic Municipal Market Access System (referred to as “EMMA”), a facility of the Municipal Securities Rulemaking Board (at <http://emma.msrb.org>) or, in accordance with then current guidelines of the Securities and Exchange Commission, such other addresses and/or such other national information services providing information with respect to called bonds as the City may designate in a Certificate of the City delivered to the Trustee.

“*Insurance and Condemnation Proceeds Fund*” means the fund by that name established pursuant to Section 3.04.

“*Insurance Law*” means the California Health Facility Construction Loan Insurance Law, constituting Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State, as now in effect and as it may from time to time hereafter be amended or supplemented.

“Interest Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Interest Payment Date” means January 1 and July 1 of each year, commencing January 1, 2017.

“Investment Securities” means any of the following:

(a) Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America, including instruments evidencing an ownership interest in securities described in this clause (a) such as CATS, TIGRs, Treasury Receipts and Stripped Treasury Coupons;

(b) Obligations of any of the following federal agencies which obligations represent the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself)

(i) U.S. Export-Import Bank;

(ii) Farmers Home Administration;

(iii) Federal Financing Bank;

(iv) Federal Housing Administration;

(v) General Services Administration;

(vi) Government National Mortgage Association (“GNMA”) (including guaranteed mortgage-backed bonds and guaranteed pass-through obligations);

(vii) Rural Economic Community Development Administration

(viii) Small Business Administration

(ix) U.S. Maritime Administration (guaranteed Title XI financing); and

(x) U.S. Department of Housing and Urban Development (including project notes, local authority bonds, new communities debentures, U.S. government guaranteed debentures, U.S. Public Housing Notes and Bonds and U.S. government guaranteed public housing notes and bonds;

(c) Debentures, bonds, notes or other evidence of indebtedness issued or guaranteed by any of the following U.S. government agencies which obligations are not fully guaranteed by the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):

(i) Federal Home Loan Bank System (senior debt obligations);

(ii) Resolution Funding Corporation (REFCORP) obligations;

(iii) Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) senior debt obligations or participation certificates;

(iv) Federal National Mortgage Association (FNMA or “Fannie Mae”) mortgage-backed securities and senior debt obligations;

(v) Senior debt obligations of other government sponsored agencies approved by the Office.

(d) Investments in money market funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AAAm-G, AAAm or better (including such funds for which the Trustee, its affiliates or subsidiaries provide investment advisory or other management services or for which the Trustee or an affiliate of the Trustee serves as investment administrator, shareholder servicing agent, and/or custodian or subcustodian, notwithstanding that (i) the Trustee or an affiliate of the Trustee receives fees from funds for services rendered, (ii) the Trustee collects fees for services rendered pursuant to the Indenture, which fees are separate from the fees received from such funds, and (iii) services performed for such funds and pursuant to the Indenture may at times duplicate those provided to such funds by the Trustee or an affiliate of the Trustee);

(e) Pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local governmental unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice; and

(i) which are rated, based on an irrevocable escrow account or fund (the “Escrow”), in the highest rating category of Moody’s or S&P or any successors thereto; or

(ii) (A) which are fully secured as to principal, interest and redemption premium, if any, by an Escrow consisting only of cash or obligations described in paragraph (a) above, which Escrow may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate, and (B) which Escrow is sufficient, as verified by a nationally recognized independent certified public accountant, to pay principal of and interest and redemption premium, if any on the bonds or other obligations described in this paragraph on the maturity date or dates specified in the irrevocable instructions referred to above, as appropriate;

(f) Repurchase agreements fully secured by collateral security described in clauses (a) (b), (c), or (h) of this definition, which collateral (i) is held by the Trustee or a third party agent during the term of such repurchase agreement, (ii) is not, pursuant to the terms of such agreement, subject to liens or claims of third parties and (iii) has a market value (determined at least once every fourteen days) at least equal to the amount so invested;

(g) demand deposits, including trust accounts, trust funds, interest bearing money market accounts, overnight bank deposits, interest bearing deposits, banker’s acceptances or certificates of deposit of, or time deposits in, any bank (including the Trustee or any of its affiliates) or savings and loan association (i) which certificates of deposit or time deposits are fully insured by the Federal Deposit Insurance Corporation or (ii) which certificates of deposit (including those placed by a third party pursuant to an agreement between the Trustee and the Corporation) or time deposits are secured at all times, in the manner and to the extent provided by law, by collateral security (described in clauses (a), (b), (c), or (h) of this definition) with a market value (valued at least quarterly) of no less than the original amount of moneys so invested;

(h) Municipal obligations rated “Aaa/AAA” on the basis of insurance or credit enhancement, provided the underlying rating of the municipal obligation must be at least “Baa/BBB,” uninsured or unenhanced municipal obligations rated at least Aa2/AA or general obligations of states with a rating of “A2/A” by Moody’s or S&P;

(i) U.S. dollar denominated deposit accounts, federal funds or bankers acceptances with domestic commercial banks which may include the Trustee and its affiliates which have a rating on their short term certificates of deposit on the date of purchase of “P-1” by Moody’s and “A-1” or “A-1+” by S&P (for purposes of rating, ratings on holding companies are not considered as the rating of the bank) and maturing not more than 360 calendar days after the date of purchase;

(j) the Local Agency Investment Fund of the State, created pursuant to Section 16429.1 of the California Government Code, to the extent the Trustee is authorized to register such investment in its name;

(k) direct obligations of the State (including obligations issued or held in book-entry form on the books of the Office of the Treasurer of the State) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the State; and

(l) Other forms of investments approved in writing by the Office.

“*Loan Agreement*” means that certain Loan Agreement, dated as of November 1, 2016, by and between the City and the Corporation, as amended, modified and supplemented from time to time.

“*Loan Default Event*” means any of the events specified in the Loan Agreement.

“*Loan Repayments*” means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“*Long-Term Indebtedness*” means Indebtedness having an original maturity greater than one (1) year or renewable at the option of the Corporation for a period greater than one (1) year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to be outstanding thereunder for a period of at least thirty (30) consecutive days during each calendar year.

“*Management Agent*” means that Person or those Persons with whom the Corporation has entered into a contract, whether as an independent contractor or employee, for managerial services, relating to the management or operation of all or substantially all of the Facilities. In the event the Corporation does not have a separate management contract, then “Management Agent” shall mean all of those Persons serving as the Corporation’s chief executive officer, chief financial officer, chief operating officer, or other similar officers. In the event the Corporation does not have such officers, then “Management Agent” shall mean all of those Persons that manage or operate all or substantially all of the Facilities.

“*Management Consultant*” means an Independent Person of national or regional reputation qualified to report on questions relating to the financial condition, operations and forecasts of continuing care retirement communities, selected by the Corporation so long as such Management Consultant is acceptable to the Office.

“*Mandatory Sinking Account Payment*” means, with respect to Term Bonds of any maturity, the amount required by the Indenture to be paid on any single date for the retirement of Term Bonds of such maturity.

“*Maximum Aggregate Annual Debt Service*” means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest.

“*Maximum Annual Bond Service*” means, as of any date of calculation, the sum of (a) the interest falling due on then Outstanding Bonds (assuming that all then Outstanding Serial Bonds are retired on their respective maturity dates and that all then Outstanding Term Bonds are retired at the times and in the

amounts provided for by Mandatory Sinking Account Payments), (b) the principal amount of then Outstanding Serial Bonds falling due by their terms, and (c) the aggregate amount of all Mandatory Sinking Account Payments required; all as computed for the Bond Year in which such sum shall be largest.

“Maximum Annual Debt Service,” when used with respect to any item of Long-Term Indebtedness, means, as of any date of calculation, the maximum amount of Debt Service to become due on such Long-Term Indebtedness in the current or any future Fiscal Year after the date of calculation.

“Moody’s” means Moody’s Investors Service, a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the City.

“Net Income Available for Debt Service” means, with respect to any period, the excess of revenues (including non-operating revenues and Entrance Fees (net of refunds or repayments of Entrance Fees due under Residency Agreements)) over expenses from operations of the Corporation for such period, determined in accordance with generally accepted accounting principles, to which shall be added interest, amortization, depreciation expense and other non-cash charges, each item determined in accordance with generally accepted accounting principles, and excluding:

- (i) any profits or losses on the sale or other disposition, not in the Ordinary Course of Business, of investments or fixed or capital assets or resulting from the early extinguishment of debt;
- (ii) gifts, grants, bequests, donations and contributions, to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Debt Service or operating expenses;
- (iii) the net proceeds of insurance (other than business interruption insurance) and condemnation awards;
- (iv) changes in net unrealized gain (loss) on investments; and
- (v) non-cash revenues (including amortization of Entrance Fees).

“Nonrecourse Indebtedness” means any indebtedness of the Corporation, which is not a general obligation of the Corporation and is secured by a lien on property of the Corporation, liability for which is effectively limited to the property subject to such lien (which property is not integral to the operation of the Facilities) with no recourse, directly or indirectly, to any other property of the Corporation.

“Office” means the Office of Statewide Health Planning and Development of the Health and Human Services Agency of the State, or its successors.

“Opinion of Counsel” means a written opinion of counsel (including, without limitation, counsel for the City) selected by the City and delivered to the Trustee.

“Optional Redemption Account” means the account by that name in the Redemption Fund established pursuant to the Indenture.

“Ordinary Course of Business” means any action that transpires as a matter of normal and incidental daily customs and practices in business.

“*Original Purchaser*” means B.C. Ziegler & Company, the original purchaser of the Bonds.

“*Outstanding*,” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Indenture) all Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except (a) Bonds theretofore canceled by the Trustee or surrendered to the Trustee for cancellation; (b) Bonds with respect to which all liability of the City shall have been discharged in accordance with the Indenture; and (c) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Trustee pursuant to the Indenture.

“*Owner*” or “*Bondowner*,” whenever used herein with respect to a Bond, means the Person in whose name such Bond is registered.

“*Parity Debt*” means Long-Term Indebtedness which is incurred by the Corporation in accordance with the provisions of the Regulatory Agreement and secured equally and ratably with the obligations of the Corporation under the Loan Agreement by a lien on and security interest in the Gross Revenues and the Deed of Trust, which includes Additional Bonds, if any, and any bonds issued by an issuer other than the City pursuant to a separate indenture or other document on a parity with the Bonds.

“*Permitted Encumbrances*” means and includes:

(a) undetermined liens and charges incident to construction or maintenance, and liens and charges incident to construction or maintenance now or hereafter filed of record which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Office, are adequate;

(b) notices of *lis pendens* or other notices of or liens with respect to pending actions which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Office, are adequate;

(c) the lien of taxes and assessments which are not delinquent, or, if delinquent, are being contested in good faith, provided that the Corporation shall have set aside reserves with respect thereto which in the opinion of the Board are adequate;

(d) minor defects and irregularities in title to the Facilities which in the aggregate do not materially adversely affect the value or operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(e) easements, exceptions or reservations for the purpose of ingress and egress, parking, pipelines, telephone lines, telegraph lines, power lines and substations, roads, streets, alleys, highways, railroad purposes, drainage and sewerage purposes, dikes, canals, laterals, ditches, the removal of oil, gas, coal or other minerals, and other like purposes, or for the joint or common use of real property, facilities and equipment, which in the aggregate do not materially interfere with or impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(f) rights reserved to or vested in any municipality or governmental or other public authority to control or regulate or use in any manner any portion of the Facilities which do not materially impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

- (g) present or future valid zoning laws and ordinances;
- (h) the rights of the Corporation, the City, the Office, the Trustee and holders of Parity Debt under the Loan Agreement, the Indenture, the Regulatory Agreement and the Deed of Trust and the lien and charge of the Indenture, the Regulatory Agreement and the Deed of Trust;
- (i) liens securing indebtedness for the payment, redemption or satisfaction of which money (or evidences of indebtedness) in the necessary amount shall have been deposited in trust with a trustee or other holder of such indebtedness;
- (j) purchase money security interests and security interests existing on any personal property prior to the time of its acquisition by the Corporation through purchase, merger, consolidation or otherwise, whether or not assumed by the Corporation, or placed upon property being acquired by the Corporation to secure a portion of the purchase price thereof, or lessor's interests in leases required to be capitalized in accordance with generally accepted accounting principles;
- (k) statutory liens arising in the Ordinary Course of Business which are not delinquent or are being contested in good faith by the Corporation;
- (l) the lease or license of the use of a part of the Facilities for use in performing professional or other services necessary for the proper and economical operation of the Facilities in accordance with customary business practices in the health and residential care industries;
- (m) liens or encumbrances existing as of the date of initial execution and delivery of the Bonds as listed on Exhibit D to the Regulatory Agreement;
- (n) liens securing Parity Debt on a parity with the obligations of the Corporation under the Regulatory Agreement;
- (o) statutory rights of the United States of America to recover against the Corporation by reason of federal funds made available under 42 U.S.C. § 291 *et seq.*, and similar rights under other federal and state statutes;
- (p) a prior security interest in the Corporation's accounts receivable to provide short-term borrowing as permitted under the Regulatory Agreement, subject to the prior consent of the Office;
- (q) any liens arising from or in connection with assistance provided by the Federal Emergency Management Agency. and
- (r) other liens and encumbrances specifically approved in writing by the Office.

“*Person*” means an individual, corporation, firm, association, partnership, trust, or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

“*Principal Account*” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“*Principal Corporate Trust Office*” means the corporate trust office of the Trustee, except that with respect to presentation of Bonds for payment or for registration of transfer and exchange, such term means the office or agency of the Trustee at which, at any particular time, its corporate trust agency business shall be conducted.

“Prior Bonds” means City of Alhambra Revenue Bonds (Atherton Baptist Homes Project) Series 2010A, currently outstanding in the principal amount of \$28,230,000, issued to finance the Prior Project.

“Prior Project” means the (a) construction of four (4) integrated multi-story apartment buildings and an underground parking garage, known as “The Courtyard at Atherton,” (b) funding of capitalized interest on the Prior Bonds, (c) refurbishment, renovation, equipping and improvement of certain other campus facilities, including office and dining facilities and landscape improvements, (d) refinancing of certain existing indebtedness of the Corporation related to the continuing care retirement community, (e) funding of a debt service reserve fund for the Prior Bonds, and (f) payment of the costs of issuance in connection with the Prior Bonds.

“Project” means the refinancing of the Prior Bonds.

“Rating Agency” means Fitch, Inc. or such other rating agency which shall have assigned and be maintaining a rating for the Bonds.

“Rating Category” means (a) with respect to any long-term rating category, all ratings designated by a particular letter or combination of letters, without regard to any numerical modifier, plus or minus sign or other modifier and (b) with respect to any short-term or commercial paper rating category, all ratings designated by a particular letter or combination of letters and taking into account any numerical modifier, but not any plus or minus sign or other modifier.

“Rebate Fund” means the Rebate Fund established in the Indenture.

“Record Date” means, with respect to any Interest Payment Date for the Bonds, the fifteenth (15th) day of the calendar month preceding such Interest Payment Date.

“Redemption Fund” means the fund by that name established pursuant to the Indenture.

“Redemption Price” means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion thereof) plus the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such Bond and the Indenture.

“Regulatory Agreement” means that certain Regulatory Agreement, dated as of November 1, 2016, among the City, the Office and the Corporation, as originally executed and as amended from time to time in accordance with its terms.

“Release” means any release, spill, emission, leaking, pumping, pouring, injection, escaping, deposit, disposal, discharge, dispersal, leaching, or migration into the indoor or outdoor environment (including, without limitation, the abandonment or disposal of any barrels, containers or other closed receptacles containing any Hazardous Materials), or into or out of the Facilities, including the movement of any Hazardous Material through the air, soil, surface water, groundwater or property.

“Residency Agreement” means the Care and Residence Agreement, as it may have been or may be amended, between the Corporation and each resident of the Community pursuant to which, in consideration of an entrance fee, monthly service fee and monthly charges, or payments, the Corporation will provide living accommodations, assisted living, nursing and other care and services, as therein provided.

“Repository” means the Municipal Securities Rulemaking Board or any other entity designated or authorized by the Securities and Exchange Commission or any successor agency thereto to receive reports

and notices pursuant to the Securities and Exchange Commission Rule 15c2-12, as supplemented and amended from time to time.

“Revenue Fund” means the fund by that name established pursuant to the Indenture.

“Revenues” means all amounts received by the City or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture, but not including any (1) Additional Payments or (2) expenses or any amounts paid to the City or the Trustee pursuant to rights of indemnification.

“Risk Management Consultant” means an Independent Person having experience and a favorable reputation in consulting on the insurance requirements of continuing care retirement communities in the State of the general size and character of the Facilities, selected by the Corporation and acceptable to the Office, and so long as such Risk Management Consultant is acceptable to the Office.

“S&P” means Standard & Poor’s Ratings Services, a division of The McGraw-Hill Companies, Inc., a corporation organized and existing under the laws of the State of New York, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the City.

“Securities Depositories” means The Depository Trust Company, 55 Water Street, 50th Floor, New York, NY 10041-0099, Attention: Call Notification Department, Fax (212) 855-7232; or to such other addresses and/or such other registered securities depositories holding substantial amounts of obligations of types similar to the Bonds as the City may designate in a Written Certificate of the City delivered to the Trustee.

“Serial Bonds” means the Bonds, falling due by their terms in specified years, for which no Mandatory Sinking Account Payments are provided.

“Short-Term Indebtedness” means Indebtedness having an original maturity less than or equal to one year and not renewable at the option of the Corporation for a term greater than one year from the date of original incurrence or issuance unless, by the terms of such Indebtedness, no Short-Term Indebtedness is permitted to be outstanding thereunder for a period of at least thirty (30) consecutive days during each calendar year.

“Sinking Accounts” means the subaccounts in the Principal Account so designated and established pursuant to the Indenture.

“Special Record Date” means the date established by the Trustee pursuant to the Indenture as a record date for the payment of defaulted interest on Bonds.

“Special Redemption Account” means the account by that name in the Redemption Fund established pursuant to the Indenture.

“State” means the State of California.

“Statement” means a written certification, certificate or statement or other appropriate written instrument normally provided in the applicable circumstance where required by the Regulatory Agreement to

be provided or delivered by the Accountant, counsel, insurance agent, Risk Management Consultant, Management Consultant, Corporation, Office or other appropriate Person. The Statement shall be dated and signed by a person authorized to execute the Statement.

“Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the City and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized hereunder.

“Tax Certificate” means the tax certificate and agreement with respect to the Bonds executed and delivered by the City and the Corporation, as originally executed and as the same may be amended and supplemented from time to time in accordance with the terms thereof.

“Term Bonds” means the Bonds payable at or before their specified maturity date or dates from Mandatory Sinking Account Payments established for that purpose and calculated to retire such Bonds on or before their specified maturity date or dates.

“Trustee” means Wells Fargo Bank, N.A., in its capacity as trustee, and its successors and assigns, and any other corporation or association which may at any time be substituted in its place as provided in the Indenture.

“Unrelated Trade or Business” shall have the meaning set forth in section 513(a) of the Code.

INDENTURE

Issuance of Additional Bonds

The City may by Supplemental Indenture establish one or more series of Additional Bonds, payable from Revenues and secured by the pledge made under the Indenture equally and ratably with the Bonds, and the Trustee may authenticate and deliver to the purchasers thereof, Additional Bonds so established, in such principal amount as will be determined by the City, but only upon compliance by the City with the provisions of the Indenture and any additional requirements set forth in such Supplemental Indenture and subject to the following specific conditions, which are conditions precedent to the issuance of any such Additional Bonds:

(a) No Event of Default has occurred and is continuing.

(b) The Supplemental Indenture providing for the issuance of such Additional Bonds will specify the purposes for which such Additional Bonds are being issued, which will be one or more of the following: (1) to provide moneys needed to acquire, install, construct or complete an Additional Project, including reimbursements of any sums advanced by the Corporation for such purposes, by depositing into a construction account established for such Additional Project, as the case may be, the proceeds of such Additional Bonds to be so applied, (2) to refund all or part of the Bonds then Outstanding, by depositing with the Trustee, in trust, moneys or Investment Securities described in clause (a) of the definition thereof in the necessary amount to discharge all liability of the City with respect to the Bonds to be refunded as provided in the Indenture and the related fees and expenses of the Trustee, or (3) to provide moneys needed to refund all or part of any other Parity Debt. Such Supplemental Indenture may, but is not required to, provide for the payment of expenses incidental to such purposes, including the costs of issuance of such Additional Bonds, interest on Additional Bonds and, in the case of Additional Bonds issued to refund other Bonds or Parity Debt, expenses incident to calling, redeeming, paying or otherwise discharging the Bonds or Parity Debt to be refunded.

(c) The Supplemental Indenture providing for the issuance of such Additional Bonds also will require either (i) the deposit of moneys into a separate reserve account securing such Additional Bonds in an amount equal to the debt service reserve requirement provided for in the Supplemental Indenture or authorizing document relating to such Additional Bonds to the extent permitted pursuant to the Code, or (ii) the balance of the Debt Service Reserve Account (or separate subaccount) to be increased, if necessary, to an amount at least equal to the debt service reserve account requirement with respect to all Bonds and Additional Bonds to be Outstanding upon the issuance of such Additional Bonds.

(d) The aggregate principal amount of Bonds and Additional Bonds issued thereunder will not exceed any limitation imposed by law or by any Supplemental Indenture.

(e) The Office has agreed to insure such Additional Bonds under the Insurance Law, or if the Additional Bonds are issued without being insured under the Insurance Law, the Office has provided written consent to the issuance of such Additional Bonds to the Trustee and the City.

(f) The requirements contained in the Regulatory Agreement have been satisfied.

(g) The Supplemental Indenture providing for the issuance of such Additional Bonds will require that interest on such Additional Bonds will be payable on January 1 and July 1, and that principal of such Additional Bonds will be payable on January 1.

Nothing in the Indenture will prevent or be construed to prevent the Supplemental Indenture providing for the issuance of Additional Bonds from pledging or otherwise providing, in addition to the security given or intended to be given by the Indenture, additional security for the benefit of such Additional Bonds or any portion thereof. Nothing in the Indenture will be construed to prohibit the City from issuing bonds under an indenture separate from the Indenture or from the Corporation from incurring other forms of Parity Debt, including bonds issued by an issuer other than the City.

Proceedings for the Issuance of Additional Bonds

Whenever the City determines to issue Additional Bonds pursuant to the Indenture, the City will execute a Supplemental Indenture specifying the aggregate principal amount and prescribing the forms of Additional Bonds and providing the manner of sale, terms, conditions, distinctive designation, denominations, methods of numbering, date, maturity date or dates, interest rate or rates (or the manner of determining same), interest payment dates, redemption provisions and place or places of payment of principal or Redemption Price, if any, of and interest on such Additional Bonds, and any other provisions respecting the Additional Bonds not inconsistent with the terms of the Indenture. Before such Additional Bonds will be issued and delivered, the City will file the following documents with the Trustee:

- (a) A certified copy of the Supplemental Indenture authorizing such Additional Bonds.
- (b) A Certificate of the City stating that the requirement of the Indenture is met.
- (c) Executed counterparts of the regulatory agreement and the contract of insurance evidencing the insurance, if any, required by the Indenture.
- (d) Originals or certified copies of the documents required to be furnished to the Trustee prior to the issuance of Long-Term Indebtedness pursuant to the Regulatory Agreement.

(e) In the case of Additional Bonds issued for the purposes of refunding bonds, irrevocable instructions to the Trustee to give notice as provided in the Indenture of redemption of all Bonds, if any, to be redeemed in connection with such refunding.

(f) In the case of Additional Bonds issued for the purposes refunding Parity Debt, a Certificate of the City or an Opinion of Counsel to the effect that all actions and conditions required precedent to the discharge of the Parity Debt to be refunded have been taken or exist in accordance with the terms of such Parity Debt.

(g) An opinion of counsel that the execution of the Supplemental Indenture has been duly authorized by the City in accordance with the Indenture; that such Additional Bonds, when duly executed by the City and authenticated and delivered by the Trustee, will be valid and binding limited obligations of the City; and that the issuance of such Additional Bonds will not, in and of itself, cause the interest on any Bonds or Additional Bonds previously issued to be included in gross income for federal income tax purposes.

Allocation of Revenues

On or before the twenty-fifth (25th) day of each month, commencing December 25, 2016, the Trustee will transfer from the Revenue Fund and deposit into the following respective accounts (each of which the Trustee will establish and maintain within the Revenue Fund), the following amounts, in the following order of priority, the requirements of each such account or fund (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account or fund subsequent in priority:

First: to the Interest Account, one-sixth of the aggregate amount of interest becoming due and payable during the next succeeding six months on all Bonds then Outstanding, until the balance in said account is equal to said aggregate amount of interest; *provided, however*, that from the date of delivery of the Bonds until the first interest payment date with respect to the Bonds (if less than six months), transfers to the Interest Account will be sufficient on a monthly pro rata basis to pay the interest becoming due and payable on said interest payment date;

Second: to the Principal Account, one-twelfth of the aggregate amount of principal becoming due and payable on the Outstanding Serial Bonds plus one-twelfth of the aggregate amount of Mandatory Sinking Account Payments required to be paid into the respective Sinking Accounts for Outstanding Term Bonds, in each case during the next ensuing twelve months, until the balance in said Principal Account is equal to said aggregate amount of such principal and Mandatory Sinking Account Payments; *provided, however*, that from the date of delivery of the Bonds until the first principal payment date with respect to the Bonds (if less than twelve months), transfers to the Principal Account will be sufficient on a monthly pro rata basis to pay the principal becoming due and payable on said principal payment date;

Third: to the Debt Service Reserve Account, (i) one-twelfth of the aggregate amount of each prior withdrawal from the Debt Service Reserve Account for the purpose of making up a deficiency in the Interest Account or Principal Account (until deposits on account of such withdrawal are sufficient to fully restore the amount withdrawn), provided that no deposit need be made into the Debt Service Reserve Account if the balance in said account is at least equal to the Debt Service Reserve Account Requirement, and (ii) in the event the balance in said account will be less than the Debt Service Reserve Account Requirement due to valuation of the Investment Securities deposited therein in accordance with the Indenture, the amount necessary to increase the balance in said

account to an amount at least equal to the Debt Service Reserve Account Requirement (until deposits on account of such valuation deficiency are sufficient to increase the balance in said account to said amount); and

Fourth: when directed by and in accordance with the instructions of the Corporation, to the rebate Fund, such amounts as are required to be deposited therein by the Indenture (including the Tax Certificate).

Any moneys remaining in the Revenue Fund after the foregoing transfers will be transferred first to the Office to the extent necessary to repay insurance advances made by the Office, including interest thereon as specified in the Regulatory Agreement, as certified to the Trustee by the Office, and thereafter to the Corporation.

All amounts in the Interest Account will be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it will become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Indenture).

All amounts in the Principal Account will be used and withdrawn by the Trustee solely for the purpose of paying the principal and sinking account payments of the Bonds when due and payable, as provided in the Indenture.

Costs of Issuance Fund

The Trustee will establish, maintain and hold in trust a separate fund designated as the “Costs of Issuance Fund.” The moneys in the Costs of Issuance Fund will be used and withdrawn by the Trustee to pay the Costs of Issuance as provided in the Indenture. On the one hundred eightieth (180th) day following the initial issuance of the Bonds, or upon receipt by the Trustee of a Certificate of the Corporation stating that all Costs of Issuance have been paid, amounts, if any, remaining in the Costs of Issuance Fund will be transferred to the Revenue Fund and the Costs of Issuance Fund will be closed.

Insurance and Condemnation Proceeds Fund

The Trustee will establish, maintain and hold in trust when deposits thereto are required a separate fund designated as the “Insurance and Condemnation Proceeds Fund,” and administer said fund as set forth in the Regulatory Agreement.

Redemption Fund

The Trustee will establish and maintain within the Redemption Fund a separate Optional Redemption Account and a separate Special Redemption Account. The Trustee will accept all moneys deposited for redemption of the Bonds and will deposit such moneys into the Optional Redemption Account or the Special Redemption Account, as applicable. All amounts deposited in the Optional Redemption Account and in the Special Redemption Account will be accepted and used and withdrawn by the Trustee solely for the purpose of redeeming Bonds, in the manner and upon the terms and conditions specified in the Indenture.

Debt Service Reserve Account

All amounts in the Debt Service Reserve Account will be used and withdrawn by the Trustee solely for the purpose of making up any deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Office, provided the Office is not in default of its obligations under the Contract

of Insurance) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding. Within five (5) days of any drawing on the Debt Service Reserve Account which causes the balance therein to be less than the Debt Service Reserve Account Requirement, the Trustee will so notify the City in writing. All Investment Securities in the Debt Service Reserve Account will be valued by the Trustee on or before each January 1 and July 1, commencing July 1, 2017. On the fifth (5th) day of the month in which a valuation is made, any amount in the Debt Service Reserve Account in excess of the Debt Service Reserve Account Requirement will be transferred to the Interest Account. To the extent that amounts in the Debt Service Reserve Account are less than 100% of the Debt Service Reserve Account Requirement, the Corporation will pay to the Trustee amounts, if any, required by the Indenture.

Rebate Fund

The Trustee will establish and maintain, when required, a fund separate from any other fund established and maintained under the Indenture designated as the Rebate Fund. Within the Rebate Fund, the Trustee will maintain such accounts as shall be necessary to comply with instructions of the Corporation given pursuant to the terms and conditions of the Tax Certificate. Neither the City, the Corporation nor the Owner of any Bonds shall have any rights in or claim to such money. Upon the Corporation's written direction, an amount will be deposited to the Rebate Fund by the Trustee from deposits by the Corporation, if and to the extent required.

Investment of Moneys in Funds and Accounts

All moneys in any of the funds and accounts established pursuant to the Indenture will be invested by, and in the name of, the Trustee, upon the written direction of the Corporation, solely in Investment Securities. The Trustee will acquire such Investment Securities upon the written direction of the Corporation at such prices and on such terms as directed by the Corporation. In the absence of written investment directions from the Corporation, the Trustee will hold funds hereunder uninvested. All Investment Securities will be acquired subject to the limitations set forth in the Indenture and such additional limitations or requirements consistent with the foregoing as may be established by Request of the Corporation. The Corporation will not direct the Trustee to invest in anything other than Investment Securities.

Moneys in all funds and accounts (other than the Debt Service Reserve Account and the Rebate Fund) will be invested in Investment Securities maturing not later than the date on which it is estimated by the Corporation that such moneys will be required for the purposes specified in the Indenture. Moneys in the Debt Service Reserve Account will be invested in Investment Securities maturing prior to the final maturity of the Bonds but in no event longer than five (5) years from the date of investment therein; *provided, however*, moneys in the Debt Service Reserve Account may be invested in Investment Securities with a nominal maturity date which is greater than five (5) years as long as said Investment Securities by their terms, as determined solely by the Office, allow the Trustee to obtain (at any time the Trustee is required to draw on the Debt Service Reserve Account hereunder) the corpus thereto at no less than the purchase price thereof without any loss in value. Investment Securities purchased under a repurchase agreement may be deemed to mature on the date or dates on which the Trustee may deliver such Investment Securities for repurchase under such agreement.

All interest, profits and other income received from the investment of moneys in the Revenue Fund, the Costs of Issuance Fund, the Rebate Fund, the Interest Account and the Principal Account, will be transferred to the Interest Account. All interest, profits and other income received from the investment of moneys in the Debt Service Reserve Account will be retained therein. If the balance in the Debt Service Reserve Account exceeds the Debt Service Reserve Account Requirement, such excess will be transferred to the Interest Account. Notwithstanding anything to the contrary contained in this paragraph, an amount of interest received with respect to any Investment Security equal to the amount of accrued interest, if any, paid

as part of the purchase price of such Investment Security will be credited to the fund or account for the credit of which such Investment Security was acquired.

Investment Securities acquired as an investment of moneys in any fund or account established under the Indenture will be credited to such fund or account. The Trustee may commingle any of the funds or accounts established pursuant to the Indenture (other than the Rebate Fund) into a separate fund or funds for investment purposes only, provided that all funds or accounts held by the Trustee under the Indenture will be accounted for separately as required by the Indenture.

Notwithstanding any other provision in the Indenture, the Corporation will not enter into or instruct the Trustee to enter into any agreement, including, without limitation, any investment or sale agreement involving the sale of future interest income or forward delivery agreement or forward purchase contract or forward purchase supply contract, which provides for an upfront payment to the Corporation, in connection with the investment of any of the funds or accounts established under the Indenture and held by the Trustee.

In determining the value of any investments held by it, the Trustee may utilize and rely upon pricing services as may be available to it, including those within its regular accounting system. Investments will be valued by the Trustee not less often than quarterly, at the Fair Market Value thereof. Deficiencies in the amount on deposit in any fund or account resulting from a decline in market value will be restored by the Corporation not later than the succeeding valuation date. Except as otherwise provided in the next sentence, all investments of amounts deposited in any fund or account created by or pursuant to the Indenture, or otherwise containing gross proceeds of the Bonds (within the meaning of section 148 of the Code) will be acquired, disposed of, and valued (as of the date that valuation is required by the Indenture or the Code) by the City at Fair Market Value. Investments in funds or accounts (or portions thereof) that are subject to a yield restriction under applicable provisions of the Code will be valued at their present value (within the meaning of section 148 of the Code).

Covenants

Punctual Payment. The City will punctually pay or cause to be paid the principal or Redemption Price and interest to become due in respect of all the Bonds, in strict conformity with the terms of the Bonds and of the Indenture, according to the true intent and meaning thereof, but only out of Revenues and other assets pledged for such payment as provided in the Indenture.

Extension of Payment of Bonds. Absent the consent of the Owners in accordance with provisions of the Indenture, the City will not directly or indirectly extend or assent to the extension of the maturity of any of the Bonds or the time of payment of any of the claims for interest by the purchase or funding of such Bonds or claims for interest or by any other arrangement and in case the maturity of any of the Bonds or the time of payment of any such claims for interest will be extended, such Bonds or claims for interest will not be entitled, in case of any default under the Indenture, to the benefits of the Indenture, except subject to the prior payment in full of the principal of all of the Bonds then Outstanding and of all claims for interest thereon which will not have been so extended. Nothing in the Indenture will be deemed to limit the right of the City to issue Bonds for the purpose of refunding any Outstanding Bonds, and such issuance will not be deemed to constitute an extension of maturity of Bonds.

Against Encumbrances. The City will not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Revenues and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to the limitation, the City expressly reserves the right to enter into one or more other indentures for any of its corporate purposes, including other programs under the Law, and reserves the right to issue other obligations for such purposes.

Tax Covenants. The City covenants not to use, permit the use of, or omit to use the proceeds of the Bonds or any other amounts (or any property the acquisition, construction or improvement of which is to be financed or refinanced directly or indirectly with the proceeds of the Bonds) in a manner that if made or omitted, respectively, could cause the interest on the Bonds to fail to be excluded pursuant to section 103 of the Code from the gross income of the owner thereof for federal income tax purposes.

Continuing Disclosure. Pursuant to the Loan Agreement, the Corporation has undertaken all responsibility for compliance with continuing disclosure requirements, and none of the City, the Trustee or the Dissemination Agent will have any liability to the Owners of the Bonds or any other person with respect to S.E.C Rule 15c2-12.

Other Covenants. The Trustee will be entitled to promptly collect all amounts due from the Corporation pursuant to the Loan Agreement, and subject to the provisions of the Indenture, will be entitled to exercise all rights assigned to it pursuant to the Loan Agreement and will be entitled to enforce, and take all steps, actions and proceedings reasonably necessary, as directed by the City, for the enforcement of all of the rights of the City and all of the obligations of the Corporation.

The City will not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination, without the written consent of the Office. The City will not amend, modify or terminate the Loan Agreement in any manner adverse to the interests of the Trustee without the written consent of the Trustee.

The Trustee will be entitled to take all actions required by the terms of the Contract of Insurance to maintain, and, subject to the provisions of the Indenture, may enforce by appropriate legal action, for the benefit of the Owners, the Contract of Insurance.

If (i) a Loan Default Event has occurred and is continuing under the Loan Agreement or (ii) debentures have been issued by the Treasurer of the State in satisfaction of the Office's obligations under the Contract of Insurance, and the Office is not in default of its obligations under the Contract of Insurance, the Trustee will, within three Business Days of receipt of a Request of the Office, transfer to the Office all of the Trustee's right, title and interest in the Loan Agreement and the Regulatory Agreement other than the right of the Trustee to receive certain payments and indemnity under the Loan Agreement.

Events of Default

The following events will be Events of Default: (a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by declaration or otherwise; (b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment become due and payable; (c) default by the City in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default has continued for a period of sixty (60) days after written notice thereof, specifying such default and requiring the same to be remedied, has been given to the City and the Corporation by the Trustee or the Office, or to the City, the Corporation and the Trustee by the Owners of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds at the time Outstanding; or (d) a Loan Default Event.

Remedies on Default

If an Event of Default will occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may and, upon receipt of instructions from the Owners of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding or the Office, will, upon notice

in writing to the City, the Office and the Corporation, declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same will become and will be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary notwithstanding; *provided, however*, that no such declaration may be made unless (i) the Trustee is required to make such declaration pursuant to the Indenture or (ii) the Office consents to such acceleration and agrees to pay an amount equal to the full principal amount of Bonds then Outstanding and interest thereon at the stated interest rates on the Bonds to the date of acceleration.

Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due will have been obtained or entered, the City, the Office or the Corporation will deposit with the Trustee a sum sufficient to pay all the principal or Redemption Price of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable fees, charges and expenses of the Trustee, and any and all other defaults actually known to the Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) will have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate will have been made therefor, then, and in every such case, the Trustee may, if such declaration was made by the Trustee without instruction from the Owners, and the Trustee will, upon receipt of written notice by the Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding, which written notice will also be delivered to the City, the Office and the Corporation, on behalf of the Owners of all of the Bonds, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment will extend to or will affect any subsequent default, or will impair or exhaust any right or power consequent thereon. Notwithstanding the foregoing, the Trustee will waive any Event of Default which is caused solely by a default under the Regulatory Agreement if the Office waives such default in writing.

Upon the occurrence and continuance of an Event of Default, the Trustee will be entitled to proceed to take such steps as are necessary, in the reasonable judgment of the Trustee, to collect upon the insurance required by the Insurance Law. If the Office and the Treasurer of the State have notified the Trustee in writing that they elect to pay such insurance by means of debentures of the Office's Health Facility Construction Loan Insurance Fund, the Trustee will as soon as practicable provide notice to each Owner of the exchange of such debentures for the Bonds then Outstanding in the same manner as for notice of redemption under the Indenture, and will deliver to each Owner, as soon as practicable after surrender of such Owner's Bonds, debentures received from the Office in a principal amount equal to the principal amount of such Bonds plus accrued interest thereon and having maturities the same as such Bonds, bearing interest at such rate or rates equal to the rates on the respective Bonds. Bonds not delivered for exchange are no longer entitled to payment and become evidence of only the right to receive the related debenture, Bonds will be delivered to the Office as required by the Insurance Law, and upon redelivery to the Trustee by the Office in accordance with the provisions of the Contract of Insurance, Bonds will be cancelled and destroyed by the Trustee.

If an Event of Default will occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture will be applied by the Trustee as provided in the Indenture: (a) to the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Owners of the Bonds hereunder and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred, with the consent of the Office, in and about the performance of its powers and duties under the Indenture; (b) to the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Indenture, as follows: (i) unless the principal of all of the Bonds will have become or have been declared due and payable, *First*: To the payment to the persons entitled thereto of

all installments of interest then due in the order of the maturity of such installments, and, if the amount available will not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference; *Second:* To the payment to the persons entitled thereto of the unpaid principal or Redemption Price of any Bonds which will have become due, whether at maturity or by call for redemption, in the order of their due dates, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available will not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the persons entitled thereto, without any discrimination or preference; (ii) If the principal of all of the Bonds will have become or have been declared due and payable, to the payment of the principal or Redemption Price and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available will not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest or Redemption Price, or of interest over principal or Redemption Price, or of Redemption Price over principal or interest, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal, Redemption Price, and interest, to the persons entitled thereto without any discrimination or preference; and (c) to the Office to the extent necessary to repay insurance advances, if any, made by the Office as such amounts are certified to the Trustee.

Limitation on Owner's Right to Sue

No Owner of any Bond will have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Insurance Law, the Law or any other applicable law with respect to such Bond, unless (1) such Owner will have given to the Trustee written notice of the occurrence of an Event of Default; (2) the Owners of not less than 25% in aggregate principal amount of the Bonds then Outstanding (or if more than one such request is received, the written request executed by the Owners of the greatest percentage of Bonds then Outstanding in excess of 25%) will have made written request upon the Trustee to exercise the powers granted by the Indenture or to institute such suit, action or proceeding in its own name; (3) such Owner or said Owners will have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (4) the Trustee will have refused or omitted to comply with such request for a period of sixty (60) days after such written request will have been received by, and said tender of indemnity will have been made to, the Trustee; and (5) the Office consents in writing.

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Owner of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Owners of Bonds will have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Owners of Bonds, or to enforce any right under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Insurance Law, the Law or any other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right will be instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Owners of the Outstanding Bonds, subject to the provisions of the Indenture.

Control Rights of Office

Notwithstanding anything herein to the contrary, so long as the Contract of Insurance is in effect and the Office is not in default thereunder:

(a) The Office will be deemed to be the Owner of all of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Owners of such Bonds.

(b) Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office will be entitled to control and direct the enforcement of all rights and remedies granted to the Owners or the Trustee for the benefit of the Owners.

(c) The rights granted to the Office under the Indenture and/or the Loan Agreement to request, consent to or direct any action are rights granted to the Office in consideration of its issuance of its insurance for the Bonds. Any exercise by the Office of such rights is merely an exercise of the Office's contractual rights and will not be construed or deemed to be taken for the benefit, or on behalf, of the Owners and such action does not evidence any position of the Office, affirmative or negative, as to whether the consent of the Owners or any other person is required in addition to the consent of the Office.

Modification or Amendment of the Indenture

The Indenture and the rights and obligations of the City and of the Owners of the Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the City and the Trustee may enter into when the written consent of the Office and the Owners of a majority in aggregate principal amount of the Bonds then Outstanding will have been filed with the Trustee; provided that if such modification or amendment will, by its terms, not take effect so long as any Bonds of any particular maturity remain Outstanding, the consent of the Owners of such Bonds will not be required and such Bonds will not be deemed to be Outstanding for the purpose of any calculation of Bonds Outstanding under the Indenture. No such modification or amendment will (1) extend the fixed maturity of any Bond, or reduce the amount of principal thereof, or extend the time of payment or reduce the amount of any Mandatory Sinking Account Payment provided in the Indenture for the payment of any Bond, or reduce the rate of interest thereon, or extend the time of payment of interest thereon, or reduce any premium payable upon the redemption thereof, without the consent of the Owner of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds the consent of the Owners of which is required to effect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture, or deprive the Owners of the Bonds of the lien created by the Indenture on such Revenues and other assets (except as expressly provided in the Indenture and the Loan Agreement), without the consent of the Owners of all of the Bonds then Outstanding. It will not be necessary for the consent of the Owners to approve the particular form of any Supplemental Indenture, but it will be sufficient if such consent will approve the substance thereof. Promptly after the execution by the City and the Trustee of any such Supplemental Indenture, the Trustee will mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to the Owners at the addresses shown on the bond registration books maintained by the Trustee. Any failure to give such notice, or any defect therein, will not, however, in any way impair or affect the validity of any such Supplemental Indenture.

The Indenture and the rights and obligations of the City, of the Trustee and of the Owners of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental hereto, which the City and the Trustee may enter into without the consent of any Owners, but only with the consent of the Corporation and the Office, if the Trustee has been furnished an Opinion of Counsel that the provisions of such Supplemental Indenture will not materially adversely affect the interests of the Owners, including, without limitation, for any one or more of the following purposes:

(i) to add to the covenants and agreements of the City in the Indenture contained other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power herein reserved to or conferred upon the City;

(ii) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the City may deem necessary or desirable;

(iii) to make such additions, deletions or modifications as may be necessary to assure compliance with sections 145 or 148 of the Code, or otherwise to assure the exclusion from gross income under federal tax law of interest on the Bonds;

(iv) to modify, amend or supplement the Indenture in such manner as to permit the qualification hereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute hereafter in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute; or

(v) to modify, amend or supplement the provisions relating to the giving of notices of redemption in such manner as to comply with Securities and Exchange Commission guidelines on the giving of such notices.

The Trustee will give notice of any such modification or amendment to the Owners of all Bonds then Outstanding at the addresses shown on the registration books maintained by the Trustee provided the Trustee will incur no liability for failure to do so.

Prior to entering into any Supplemental Indenture, the Trustee may require the City to file with it an opinion of Bond Counsel to the effect that the execution and delivery of such Supplemental Indenture by the Trustee and the City (i) is in compliance with the terms and conditions hereof and (ii) will not cause interest on any Bonds Outstanding to become includable in gross income for federal income tax purposes. Upon the execution of any Supplemental Indenture, the Indenture will be deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under the Indenture of the City, the Trustee and all Owners of Bonds Outstanding and the other parties granted rights thereunder will thereafter be determined, exercised and enforced thereunder subject in all respects to such modification and amendment, and all the terms and conditions of any such Supplemental Indenture will be deemed to be part of the terms and conditions of the Indenture for any and all purposes. The provisions of the Indenture will not prevent any Owner from accepting any amendment as to the particular Bonds held by him or her, provided that due notation thereof is made on such Bonds.

Discharge of Indenture

Bonds may be paid by the City in any of the following ways; provided that the City also pays or causes to be paid any other sums payable hereunder by the City and related to the Bonds: (a) by paying or causing to be paid the principal or Redemption Price of and interest on all Bonds then Outstanding, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, at or before maturity, moneys or securities in the necessary amount as provided in the Indenture to pay or redeem all Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all Bonds then Outstanding.

If the City pays all Bonds then Outstanding and also pays or cause to be paid all other sums payable under the Indenture by the City, then and in that case, at the election of the City, the Indenture and the pledge of Revenues and other assets made under the Indenture and all covenants, agreements and other obligations

of the City under the Indenture will cease, terminate, become void and be completely discharged and satisfied, except only as provided therein, and all liability of the City in respect of such Bonds will cease, terminate and be completely discharged, except only that thereafter the Owners thereof will be entitled to payment of the principal of and interest on such Bonds by the City and the City will remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment as provided in the Indenture.

Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any Bonds, the money or securities to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture (exclusive of the Rebate Fund) and will be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption will have been given as in the Indenture provided or provision satisfactory to the Trustee will have been made for the giving of such notice, the amount to be deposited or held will be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) Defeasance Obligations the principal of and interest on which when due will provide money sufficient, as verified by an independent certified public accountant, to pay the principal or Redemption Price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or Redemption Price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption will have been given as in the Indenture provided or provision satisfactory to the Trustee will have been made for the giving of such notice;

provided, in each case, that the Trustee will have been irrevocably instructed (by the terms of the Indenture or by Request of the City) to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds.

Unclaimed Moneys

Notwithstanding any provisions of the Indenture, any moneys held by the Trustee in trust for the payment of the principal or Redemption Price of, or interest on, any Bonds and remaining unclaimed for two years after the principal of all of the Bonds has become due and payable (whether at maturity or upon call for redemption or by acceleration as provided in the Indenture), if such moneys were so held at such date, or two years after the date of deposit of such moneys if deposited after said date when all of the Bonds became due and payable, will be repaid (without liability for interest) to the Corporation or to the Office, if received from the Office, free from the trusts created by the Indenture, and all liability of the Trustee with respect to such moneys will thereupon cease; *provided, however*, that before the repayment of such moneys, the Trustee may (upon the request of and at the cost of the Corporation) first mail to the Owners of all Bonds which have not been paid at the addresses shown on the registration books maintained by the Trustee a notice, in such form as may be deemed appropriate by the Trustee, with respect to the Bonds so payable and not presented and with respect to the provisions relating to the repayment to the Corporation or to the Office of the moneys held for the payment thereof. All moneys held by or on behalf of the Trustee for the payment of principal of, Redemption Price or interest on Bonds, whether at redemption, acceleration or maturity, will be held in trust for the account of the Owners thereof and the Trustee will not be required to pay Owners, the City, the Office or the Corporation any interest on, or be liable to owners or any other person for any interest earned on, moneys so held.

LOAN AGREEMENT

Payment of Loan Repayments

In consideration of the loan of the proceeds of the Bonds to the Corporation, the Corporation agrees that, on or before the first day of each month and as long as any of the Bonds remain Outstanding, commencing December 1, 2016, it will pay to the Trustee for deposit in the Revenue Fund such amount as is required by the Trustee to make the transfers and deposits required on or before the twenty-fifth (25th) day of such month by the Indenture, including, without limitation, amounts required to replenish the Debt Service Reserve Account to the Debt Service Reserve Account Requirement in the event of deficiencies therein. Notwithstanding the foregoing, if five (5) Business Days prior to any interest or principal payment date with respect to the Bonds, the aggregate amount in the Revenue Fund (other than Debt Service Reserve Account) is for any reason insufficient or unavailable to make the required payments of principal (or Redemption Price), of or interest on the Bonds then becoming due (whether by maturity, redemption or acceleration), the Corporation will forthwith pay the amount of any such deficiency to the Trustee. Each payment by the Corporation to the Trustee under the Loan Agreement (the "Loan Repayments") will be in lawful money of the United States of America and paid to the Trustee at its Trust Office, and will be held, invested, disbursed and applied as provided in the Indenture. The Loan Repayments represent the amounts required to pay debt service on the Bonds.

Additional Payments

In addition to the Loan Repayments, the Corporation will also pay to the City or to the Trustee, as the case may be, "Additional Payments," as follows: (a) all taxes and assessments of any type or character charged to the City or to the Trustee affecting the amount available to the City or the Trustee from payments to be received hereunder or in any way arising due to the transactions contemplated hereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Trustee and taxes based upon or measured by the net income of the Trustee; *provided, however,* that the Corporation will have the right to protest any such taxes or assessments and to require the City or the Trustee, at the Corporation's expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation will have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the City, the Trustee or the Owners; (b) all reasonable fees, charges and expenses of the Trustee for services rendered under the Indenture, as and when the same become due and payable; (c) the reasonable and documented fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the City or the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement, the other Corporation Documents or the Indenture; (d) the City Issuance Fee, and the reasonable fees and expenses of the City or any agent or attorney selected by the City to act on its behalf in connection with the Loan Agreement, the other Corporation Documents, the Bonds or the Indenture, including, without limitation, any and all reasonable expenses incurred in connection with the authorization, issuance, sale and delivery of any such Bonds or in connection with any litigation, investigation, inquiry or other proceeding which may at any time be instituted involving the Loan Agreement, the other Corporation Documents, the Bonds or the Indenture or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration of the Loan Agreement, the other Corporation Documents or the Indenture; and (e) any amounts due and payable by the Corporation as arbitrage rebate under section 148 of the Code, pursuant to the Corporation's covenants and agreements with respect thereto in the Loan Agreement.

Gross Revenue Fund

The Corporation agrees that, so long as any of the Loan Repayments remain unpaid, all of the Gross Revenues of the Corporation will be deposited as soon as practicable upon receipt in a fund designated as the "Gross Revenue Fund" which the Corporation will establish and maintain, subject to the provisions of the Loan Agreement, in an account or accounts at such banking or financial institution or institutions as the Corporation will from time to time designate in writing to the Trustee and to the Office for such purpose (the "Depository Bank(s)"). Subject only to the provisions of the Loan Agreement permitting the application thereof for the purposes and on the terms and conditions set forth therein, the Corporation pledges and, to the extent permitted by law, grants a security interest to the City and to the Trustee as assignee of the City and to the Office in, the Gross Revenue Fund and all of the Gross Revenues of the Corporation to secure the payment of Loan Repayments and the performance by the Corporation of its other obligations under the Corporation Documents with respect to Parity Debt. The Corporation will execute and cause to be filed Uniform Commercial Code financing statements in form and substance satisfactory to the Office, will execute a deposit account control agreement with the Depository Bank with respect to the security interest granted thereunder and will execute and deliver such other documents (including, but not limited to, control agreements and continuation statements) as may be necessary or reasonably requested by the City, the Office or the Trustee in order to perfect or maintain as perfected such security interest or give public notice thereof.

Amounts in the Gross Revenue Fund may be used and withdrawn by the Corporation at any time for any lawful purpose, except as provided in the Loan Agreement. In the event that the Corporation is delinquent for more than one Business Day in the payment of any Loan Repayment or any payment required with respect to Parity Debt, the City or the Trustee will notify the Corporation, the Office and the Depository Bank(s) of such delinquency in writing, and, unless such Loan Repayment or payment with respect to Parity Debt is paid within ten days after receipt of such notice, upon request of the Trustee will, with the consent of the Office, cause the Depository Bank(s) to transfer the Gross Revenue Fund to the name and credit of the Trustee, but only with the consent of the Office (provided that such consent will be required only if the Contract of Insurance is in effect and the Office is not in default thereunder). All Gross Revenues of the Corporation will continue to be deposited in the Gross Revenue Fund as provided in the Loan Agreement but to the name and credit of the Trustee until the amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Loan Repayments and payments with respect to Parity Debt in default and all other Loan Default Events and events of default with respect to Parity Debt actually known to the Trustee will have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate will have been made therefor, whereupon the Gross Revenue Fund (except for the Gross Revenues required to make such payments or cure such defaults) will be returned to the name and credit of the Corporation. During any period that the Gross Revenue Fund is held in the name and to the credit of the Trustee, the Trustee will use the withdrawn amounts in said fund from time to time to make Loan Repayments, Additional Payments, and the other payments required of the Corporation under the Loan Agreement or with respect to any Parity Debt as such payments become due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts will not be sufficient to pay in full all such payments due on any date, then to the payment of Loan Repayments, Additional Payments and Debt Service on such Parity Debt ratably, according to the amounts due respectively for Loan Repayments and such Debt Service, without any discrimination or preference, and to such other payments in the order which the Trustee, in its discretion, will determine to be in the best interests of the holders of the Bonds and such Parity Debt, without discrimination or preference, or as directed by the Office or the Owners of a majority in aggregate principal amount of the Bonds. During any period that the Gross Revenue Fund is held in the name and to the credit of the Trustee, the Corporation will not be entitled to use or withdraw any of the Gross Revenues of the Corporation unless and to the extent that the Trustee, at its sole discretion (or as directed by the Office), so directs for the payment of current or past due operating expenses of the Corporation. The Corporation agrees to execute and deliver all instruments as may be required to implement the above. The Corporation further agrees that a failure to comply with the terms of the above will cause irreparable harm to the holders

from time to time of the Bonds and of Parity Debt, and will entitle the Trustee, with or without notice to the Corporation but with the consent of the Office (provided that such consent will be required only if the Contract of Insurance is in effect and the Office is not in default thereunder), to take immediate action to compel the specific performance of the obligations of the Corporation as provided in the Loan Agreement.

Obligations of the Corporation Unconditional; Net Contract

The obligations of the Corporation to make the Loan Repayments and Additional Payments required under the Loan Agreement and to perform and observe the other agreements on its part contained therein is absolute and unconditional, and will not be abated, rebated, setoff, reduced, abrogated, terminated, waived, diminished, postponed or otherwise modified in any manner or to any extent whatsoever, while any Bonds remain Outstanding or any Additional Payments remain unpaid, regardless of any contingency, act of God, event or cause whatsoever, including, without limiting the generality of the foregoing, any acts or circumstances that may constitute failure of consideration, eviction or constructive eviction, the taking by eminent domain or destruction of or damage to the Facilities, commercial frustration of purpose, any changes in the laws of the United States of America or of the State or any political subdivision of either or in the rules or regulations of any governmental authority, or any failure of the City or the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement or the Indenture. The Loan Agreement will be deemed and constructed to be a “net contract,” and the Corporation will pay absolutely net the Loan Repayments, Additional Payments and all other payments required thereunder, regardless of any rights of setoff, recoupment, abatement or counterclaim that the Corporation might otherwise have against the City or the Trustee or any other party or parties.

Prepayment

The Corporation has the right at any time or from time to time to prepay all or any part of the Loan Repayments and the City agrees that the Trustee will accept such prepayments when the same are tendered by the Corporation. All such prepayments (and the additional payment of any amount necessary to pay the applicable premiums, if any, payable upon the redemption of Bonds) will be deposited upon receipt in the Redemption Fund established pursuant to the Indenture and used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Indenture.

Tax Covenant

The Corporation will at all times do and perform all acts and things permitted by law and the Loan Agreement and the Indenture which are necessary or desirable in order to ensure that interest paid on the Bonds will be excluded from gross income for federal income tax purposes and will take no action that would result in such interest not being excluded from gross income for federal income tax purposes. Without limiting the generality of the foregoing, the City and the Corporation agree that it will comply with the provisions of the Tax Certificate which are incorporated herein. This covenant will survive termination of the Loan Agreement and the defeasance or redemption of the Bonds.

Prohibited Uses

No portion of the proceeds of the Bonds will be used to finance or refinance any facility, place or building used or to be used primarily for sectarian instruction or study or as a place for devotional activities or religious worship and the Corporation will not use the facilities financed or refinanced with the proceeds of the Bonds, during the useful life thereof (irrespective of whether the Bonds are at the time Outstanding) for any such purposes. No portion of the proceeds of the Bonds will be used to finance or refinance any facility, place or building used or to be used by a Person that is not a 501(c)(3) Organization or a Governmental Unit or by a 501(c)(3) Organization (including the Corporation) in an “unrelated trade or

business” (as set forth in Section 513(a) of the Code), in such manner or to such extent as would result in any of the Bonds being treated as an obligation not described in section 103(a) of the Code.

Continuing Disclosure

The Corporation covenants and agrees that it will comply with and carry out all of the provisions of the Continuing Disclosure Agreement. Notwithstanding any other provision of the Loan Agreement, failure of the Corporation to comply with the Continuing Disclosure Agreement will not be considered a Loan Default Event; however, the Trustee will, at the request of the Holders of at least 25% aggregate principal amount in Outstanding Bonds, to the extent indemnified to its satisfaction from any liability, cost or expense, including reasonable, documented fees and expenses of its attorneys, or any Bondowner or Beneficial Owner may take such actions as may be necessary and appropriate, including seeking specific performance by court order, to cause the Corporation to comply with its disclosure obligations. “Beneficial Owner” means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

Compliance with the Indenture

The Corporation covenants and agrees that it will comply with and carry out all of the provisions of the Indenture to be performed by the Corporation.

Maintenance and Operation of the Facilities

The Corporation will operate and maintain the Facilities in accordance with all governmental laws, ordinances, approvals, rules, regulations and requirements including, without limitation, such zoning, sanitary, pollution and safety ordinances and laws and such rules and regulations thereunder as may be binding upon the Corporation. The Corporation will maintain and operate the Facilities and all engines, boilers, pumps, machinery, apparatus, fixtures, fittings and equipment of any kind in or that will be placed in any building or structure now or hereafter at any time constituting part of the Facilities in good repair, working order and condition, and the Corporation will from time to time make or cause to be made all needful and proper replacements, repairs, renewals and improvements; in each case to the extent necessary so that the efficiency and value of the Facilities will not be impaired.

Taxes, Assessments, Other Governmental Charges and Utility Charges

The Corporation will pay and discharge all taxes, assessments, governmental charges of any kind whatsoever, water rates, meter charges and other utility charges which may be or have been assessed or which may have become liens upon the Facilities, the Gross Revenues or the interest therein of the Trustee (as assignee of the City) or of the Holders of the Bonds, and will make such payments or cause such payments to be made, respectively, in due time to prevent any delinquency thereon or any forfeiture or sale of the Facilities or any part thereof, and, upon request, will furnish to the City receipts for all such payments, or other evidences satisfactory to the City; *provided, however*, that the Corporation will not be required to pay any tax, assessment, rate or charge as herein provided as long as it will in good faith contest the validity thereof by appropriate proceedings having the effect of staying the enforcement thereof, and provided that the Corporation will have set aside adequate reserves with respect thereto.

Insurance Required

The Corporation agrees to insure the Facilities during the term of the Loan Agreement for such amounts and for such occurrences as are customary for similar facilities within the State of California, or as

may be required by the Office pursuant to the Regulatory Agreement, by means of policies issued by reputable insurance companies qualified to do business in the State of California. The Corporation agrees to deliver, upon request, to the City, the Office and the Trustee memorandum copies of the insurance policies or certificates of insurance covering the Facilities, and a certification by an insurance consultant that the insurance on the Facilities meets the above requirements.

Loan Events of Default

The following events will be “Loan Default Events”:

(a) Failure by the Corporation to pay in full any payment required under the Loan Agreement when due, whether at maturity, upon a date fixed for prepayment, by declaration or otherwise pursuant to the terms of the Loan Agreement;

(b) If any material representation or warranty made by the Corporation in the Loan Agreement or in any document, instrument or certificate furnished to the Trustee or the City in connection with the issuance of the Bonds will at any time prove to have been incorrect in any material respect as of the time made;

(c) If the Corporation fails to observe or perform any covenant, condition, agreement or provision in the Loan Agreement or the Regulatory Agreement on its part to be observed or performed, other than as referred to in subsection (a) or (b) above for a period of sixty (60) days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the Corporation by the City, the Office or the Trustee; except that, if such failure or breach can be remedied but not within such sixty (60) day period and if the Corporation has taken all action reasonably possible to remedy such failure or breach within such thirty (30) day period, such failure or breach will not become a Loan Default Event for so long as the Corporation will diligently proceed to remedy same in accordance with and subject to any directions or limitations of time established by the Office;

(d) If the Corporation abandons the Facilities, or any substantial part thereof and such abandonment will continue for a period of thirty (30) days after written notice thereof will have been given to the Corporation by the City or the Trustee;

(e) If any default exists under any agreement respecting Long-Term Indebtedness (other than Parity Debt) and if, as a result thereof, Long-Term Indebtedness in an aggregate principal amount in excess of ten percent (10%) of the Corporation’s Adjusted Annual Operating Revenues will be declared immediately due and payable or a proceeding is brought for enforcement thereof; *provided, however*, that a Loan Default Event will not exist under this clause (e) if the Corporation establishes cash reserves acceptable to the Office for the payment of such Long-Term Indebtedness which, in the reasonable opinion of the Office, are adequate;

(f) If any default exists under any instrument pursuant to which Parity Debt was issued and is Outstanding, and such default will continue after the applicable grace period;

(g) If the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(h) If a court of competent jurisdiction enters an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree is not vacated or set aside or stayed within sixty (60) days from the date of the entry thereof;

(i) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction assumes custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control is not terminated within sixty (60) days from the date of assumption of such custody or control; or

(j) If any Event of Default under the Indenture occurs.

Upon having actual knowledge (as defined in the Indenture) of the existence of a Loan Default Event, the Trustee will give written notice thereof to the Corporation unless the Corporation has expressly acknowledged the existence of such Loan Default Event in a writing delivered by the Corporation to the Trustee or filed by the Corporation in any court.

Remedies on Loan Default Event

If a Loan Default Event will occur, then, and in each and every such case during the continuance of such Loan Default Event, the City or the Trustee, to the extent the Trustee has actual knowledge (as defined in the Indenture) of such Loan Default Event, may, subject to its rights and protections under the Indenture, with the consent of the Office provided that such consent will otherwise be required only so long as the Contract of Insurance is in effect and the Office is not in default of its obligations thereunder, take any one or more of the following remedial steps:

(a) The City or the Trustee may, upon notice in writing to the Corporation, declare all installments of Loan Repayments and Additional Payments payable for the remainder of the term of the Loan Agreement to be immediately due and payable, whereupon the same will be immediately due and payable, anything in the Loan Agreement to the contrary notwithstanding; “all installments” as used in this subsection will mean an amount equal to the entire principal amount of the then Outstanding Bonds, together with all interest accrued or to accrue on and prior to the next succeeding redemption date or dates on which the Bonds can be redeemed after giving notice to the Holders thereof as required by the Indenture.

(b) The City or the Trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the Loan Repayments, Additional Payments and any other payments then due and thereafter to become due under the Loan Agreement or to enforce the performance and observance of any obligation, covenant, agreement or provision contained in the Loan Agreement to be observed or performed by the Corporation.

(c) The City and the Trustee as its assignee will have all the rights and remedies of a secured party or creditor under the Uniform Commercial Code of the State, and the general laws of the State, with respect to the enforcement of the security interests granted or reserved hereunder, including without limitation to the extent permitted by law the right to require that all or a portion of the personal property portion of the Facilities be assembled and delivered to the Trustee and the Trustee may, to the extent permitted by law, impound books and records evidencing the Corporation’s accounts, accounts receivable and other similar claims for the payment of money and take possession of all notes and other documents which evidence such accounts, accounts receivable and claims for money and give notice to obligors thereunder of its interest therein and make direct collections on such accounts, accounts receivable and claims for money.

(d) The City or the Trustee may take whatever legal action may appear necessary or desirable to enforce their rights and the rights of the Holders of the Bonds under the Deed of Trust.

Assignment by City or Trustee

The Loan Agreement, including the right to receive payments required to be made by the Corporation thereunder and to compel or otherwise enforce performance by the Corporation of its other obligations thereunder, may be assigned and reassigned in whole or in part to one or more assignees or subassignees by the City or the Trustee or the Office at any time subsequent to its execution without the necessity of obtaining the consent of the Corporation. The City expressly acknowledges that all right, title and interest of the City in and to this Loan Agreement (excluding the City's right to indemnification, fees and expenses, and to receive notices and its rights to give approvals, and to consent to amendments) has been assigned to the Trustee, as security for the Bonds under and as provided in the Indenture, and that if any Loan Event Default shall occur, the Trustee will be entitled to act under the Loan Agreement in the place and stead of the City.

Control by Office

All provisions of the Loan Agreement regarding the consent or approval of, direction, appointment, request or control of proceedings by, or the giving of notices, reports or opinions to the Office will be in effect for so long as, and only during such time as (a) the Bonds are Outstanding; (b) the Contract of Insurance is in full force and effect; and (c) the Office is not in default of its obligations under the Contract of Insurance.

REGULATORY AGREEMENT

Security of Gross Revenues Pledged and Deed of Trust.

In order to secure full and faithful performance of the obligations of the Corporation to the Office hereunder and under the Contract of Insurance, the Corporation pledges to the Office and grants to the Office a security interest in and to the Gross Revenues, including, but not limited to, future interest in any and all revenues or incomes of any nature or kind which accrue to the Corporation or Facilities, as well as other collateral, all as set forth in Exhibit E to the Regulatory Agreement. The Corporation will execute and deliver to the Office upon the effective date of the Regulatory Agreement UCC-1 Financing Statements and such additional UCC-1 Financing Statements, continuation statements, deposit account control agreements, security account control agreement and other documentation as demanded by the Office in order to further evidence, perfect and maintain the security interest granted hereby. The Corporation further covenants that it will not change its name or its type or jurisdiction of organization unless (i) it gives thirty (30) days' notice of such change to the Office and (ii) before such change occurs it takes all actions as are necessary or advisable to maintain and continue the first priority perfected security interest of the Office in the Gross Revenues.

In addition, full and faithful performance of the obligations hereunder and under the Contract of Insurance by the Corporation to the Office is hereby deemed further secured by the lien on the Facilities created by the Corporation pursuant to the Deed of Trust. The Corporation covenants and agrees that the lien of the Deed of Trust will be subject only to: liens, conditions, covenants and restrictions, easements, taxes, and assessments of record approved by the Office as exceptions to the ALTA title insurance policy identified on the first page of the Regulatory Agreement, and Permitted Encumbrances.

The Corporation pledges to the Office and grants to the Office a security interest in and to, revenues (including Gross Revenues), moneys, accounts, accounts receivable, contract rights, general intangibles,

documents, instruments, chattel paper, and other rights to payment of whatever kind (but excluding gifts, grants, bequests, donations or contributions, and tax revenues to the extent restricted by the donor to a purpose or purposes inconsistent with their use for the payment of the Bonds or their being pledged as security hereunder), to secure the obligations to the Office under the Regulatory Agreement and the Contract of Insurance.

Negative Covenants

The Corporation will not, without the prior written consent of the Office: (a) remodel, reconstruct, or demolish any part of the Facilities (except in the Ordinary Course of Business) or subtract from any real property of the Corporation except for the maintenance described in the regulations of the relevant State licensing agencies, which may be accomplished without limitation; (b) pay any compensation or make any distribution of income or other assets to any of its officers or directors other than as compensation to such persons in their capacities as officers, directors, employees, contractors or suppliers of the Corporation or the reimbursement of ordinary out-of-pocket expenses; (c) amend the Corporation's articles of incorporation or bylaws in any material respect, except as required by applicable law; (d) except for affiliations or contracts with public agencies, health maintenance organizations and other health care plans and providers entered into by the Corporation in its Ordinary Course of Business, establish, maintain, or affiliate with a Person in conjunction with which the Corporation will carry on its activities; transfer control of any of the Facilities to any other Person; or assume, either directly, indirectly or through intermediaries, the management or control of any other Person, unless in each such case (1) the Contract of Insurance remains in full force and effect after such act, and (2) no event of default under the Regulatory Agreement has occurred and is continuing or will, as a result of such act, occur; (e) operate the Facilities such that the Facilities no longer qualify as a "health facility" as defined in Insurance Law Section 129010, except to the extent permitted by the Insurance Law.

Maintenance of Existence; Affiliation, Merger, Consolidation, Sale or Transfer Under Certain Conditions

The Corporation shall maintain its existence as a non-profit public benefit corporation of the State, operating a health facility, as defined in Insurance Law Section 129010, and meeting the requirements of Section 501(c)(3) of the Code, and shall not dissolve, sell or otherwise dispose of all or substantially all of its assets or affiliate with, consolidate with or merge into another Person or permit one or more other Persons to affiliate with, consolidate with or merge into it except under certain conditions as provided in the Regulatory Agreement and with the written consent of the Office to such transaction and a Statement of the Office to the effect that the Contract of Insurance remains in full force and effect after such transaction. Notwithstanding the foregoing, the Corporation may transfer substantially all of its assets to an Affiliate provided that:

(i) The Corporation obtain the written consent of the Office to such transaction and the Contract of Insurance remains in full force and effect after such transaction;

(ii) The Office, the City and the Trustee shall have received an Opinion of Bond Counsel to the effect that such proposed transfer(s) will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(iii) Such Affiliate agrees to become a co-obligor and jointly and severally liable with the Corporation under the Regulatory Agreement, the Contract of Insurance and the Loan Agreement; and

(iv) After such transaction, the Corporation and the Affiliate are in compliance with the provisions of the Regulatory Agreement and the Loan Agreement.

In the event of such a transfer to an Affiliate, references in the Regulatory Agreement to Indebtedness of the Corporation will apply to the combined Indebtedness of the Corporation and the Affiliate, and references to the financial condition or forecasted results of operations of the Corporation will shall apply to the consolidated financial condition or results of operations of the Corporation and the Affiliate.

Rates and Charges; Debt Coverage; Current Ratio; Days Cash On Hand

Debt Service Coverage. The Corporation will operate the Facilities as a revenue-producing continuing care retirement community. The Corporation will fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year (commencing with the Fiscal Year ending December 31, 2016) to produce a Debt Service Coverage Ratio equal to at least 1.25 for such Fiscal Year.

Current Ratio. The Corporation will maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2016, a current ratio (a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation's audited financial statements for such Fiscal Year) of at least 1.50:1.0.

Days Cash on Hand. The Corporation will maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2016, at least one hundred fifty (150) Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year. For purposes of this requirement, "Days Cash on Hand" will mean, for any Fiscal Year, the quotient obtained by dividing (1) the Corporation's cash and cash equivalents (including board designated funds, and funded depreciation but excluding donor restricted funds and proceeds of short term indebtedness) as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Corporation's operating expenses (including interest on Indebtedness, but excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

Within one hundred twenty (120) days after the end of each Fiscal Year (commencing with the Fiscal Year ending December 31, 2016), the Corporation will compute (1) the Debt Service Coverage Ratio, (2) the Current Ratio and (3) the Days Cash on Hand for such Fiscal Year and promptly furnish to the City, the Trustee and the Office a Statement setting forth the results of such computation.

The Corporation further covenants and agrees that if, at the end of any Fiscal Year, (i) the Debt Service Coverage Ratio will have been less than as required by the Regulatory Agreement, (ii) the Current Ratio will have been less than as required by the Regulatory Agreement, or (iii) the Days Cash on Hand will have been less than as required by the Regulatory Agreement, it will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio as required by the Regulatory Agreement, (y) a Current Ratio as required by the Regulatory Agreement in the current Fiscal Year and (z) Days Cash on Hand as required the Regulatory Agreement in the current Fiscal Year; provided, however, the Corporation need not so employ a Management Consultant if the Office consents, in writing, to a waiver of said covenant to employ a Management Consultant. Copies of the recommendations of the Management Consultant will be filed with the City, the Trustee and the Office. The Corporation will, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and will take such other action as will be in conformity with such recommendations; provided, however, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Office gives its written consent to

the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Office may replace existing management with new management, which will be chosen unilaterally by the Office.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the covenants contained in the Regulatory Agreement for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand will be less than the amount required under the Regulatory Agreement; provided, that (1) this sentence will not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) Debt Service Coverage Ratio will be at least equal to 1.0 for such Fiscal Year.

Notwithstanding the foregoing, the Corporation may permit the rendering of service at, or the use of, the Facilities without charge or at reduced charges, at the discretion of the Board, to the extent necessary for maintaining its tax-exempt status or to establish or maintain its eligibility for grants, loans, subsidies or payments from the United States of America, any instrumentality thereof, or the State or any political subdivision or instrumentality thereof, or in compliance with any recommendation for free services that may be made by the Management Consultant.

Limitation on Encumbrances

The Corporation will not create, assume or suffer to exist and will immediately satisfy or release any mortgage, deed of trust, pledge, security interest, encumbrance, lien, attachment or charge of any kind (including the charge upon property purchased under conditional sales or other title retention agreements) upon the Facilities or the Gross Revenues; *provided, however*, that notwithstanding the foregoing provision, the Corporation may create, assume or suffer to exist Permitted Encumbrances.

Limitation on Indebtedness

The Corporation will not incur any Indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, except the Corporation may incur the following:

1. Obligations and liabilities under the Regulatory Agreement, the Loan Agreement or the Indenture, including any supplements or amendments thereto in connection with the issuance of any additional series of Bonds;
2. Contractual liabilities (other than liabilities for borrowed money or liabilities which would otherwise be considered indebtedness under generally accepted accounting principles) for which moneys are available in an acquisition fund;
3. Short-Term Indebtedness with the prior written consent of the Office and provided that no amount of Short-Term Indebtedness will be outstanding for a period of thirty (30) consecutive days during each Fiscal Year. The aggregate amount incurred by the Corporation under this Subsection will not exceed at the time of incurrence ten percent (10%) of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;
4. Liabilities for contributions to self-insurance programs;

5. Long-Term Indebtedness (which may be Parity Debt) incurred for the purpose of refinancing outstanding Long-Term Indebtedness provided that (a) the Office has consented in writing to the incurring of such indebtedness, and (b) the issuance of such Long-Term Indebtedness does not increase Maximum Aggregate Annual Debt Service by more than ten percent (10%), as certified by a written report of an Accountant which will be filed with the Trustee and the Office;

6. Long-Term Indebtedness (which may be Parity Debt), provided that (a) the Office has consented in writing to the incurring of such Indebtedness, and (b) (1) Net Income Available for Debt Service, as certified by a written report of an Accountant which will be filed with the City, the Trustee and the Office for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness was at least equal to 1.25 times Maximum Aggregate Annual Debt Service on all outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, or (2) (i) Net Income Available for Debt Service, as certified by a written report of an Accountant which will be filed with the Corporation, the Trustee and the Office, for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness was at least equal to 1.25 times Maximum Aggregate Annual Debt Service on all Long-Term Indebtedness then outstanding, and (ii) Net Income Available for Debt Service, as shown in a written feasibility report prepared by a Management Consultant and filed with the City, the Trustee and the Office, for each of the first two Fiscal Years following the incurrence of such Long-Term Indebtedness (or, if such Long-Term Indebtedness is incurred to finance additional facilities, in each of the first three Fiscal Years following the Fiscal Year when it is proposed that such Facilities will be completed and placed in service) is forecasted to be at least 1.25 times Maximum Aggregate Annual Debt Service on all Long-Term Indebtedness proposed to be outstanding at the end of each such Fiscal Year;

7. Long-Term Indebtedness (which may be Parity Debt), incurred to complete any project if the Board certifies that the Corporation cannot complete such project unless such Long-Term Indebtedness is incurred, provided that (a) the Office has consented in writing to the incurring of such Indebtedness, and (b) in the case of a project other than the Project, the aggregate principal amount of such indebtedness does not exceed ten percent (10%) of the principal amount of Long-Term Indebtedness incurred to finance such project;

8. Long-Term Indebtedness (excluding Parity Debt) provided that (a) the Office has consented in writing to the incurring of such Indebtedness, and (b) the aggregate amount incurred by the Corporation under this subsection, subsection 3 and subsection 9 and outstanding will not exceed at the time of incurrence ten percent (10%) of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

9. Liabilities under capitalized lease agreements for the lease of, or Indebtedness for money borrowed or liabilities under instruments evidencing deferred payment arrangements for the purchase of, equipment, tangible personal property or real property; provided that the aggregate amount incurred by the Corporation under this subsection, subsection 3 and subsection 8 and outstanding will not exceed at the time of incurrence ten percent (10%) of the Corporation's Adjusted Annual Operating Revenues for the latest Fiscal Year for which audited financial statements are available;

10. Nonrecourse Indebtedness, provided that the Office has approved in writing the incurrence of such indebtedness and such indebtedness does not encumber the Facilities;

11. Repayment obligations under reimbursement or similar agreements with banks or insurance companies relating to letters or lines of credit or other credit facilities used to secure Long-Term Indebtedness;

12. Indebtedness, not for borrowed money, incurred in the Ordinary Course of Business; and
13. Any Indebtedness or obligations of the Corporation consented to in writing by the Office.

Limitations on Disposition of Property

Disposition of Cash. The Corporation will not dispose of any cash or cash equivalents unless (1) the disposition is made in the Ordinary Course of Business and the Corporation receives an asset or service of reasonably equivalent value for such cash or cash equivalents; or (2) prior to such disposition, there is filed with the Office and the Trustee a Statement of the Corporation to the effect that either (a) the ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service for the most recent Fiscal Year for which audited financial statements are available next preceding such disposition would not be reduced or, if reduced, would not be reduced below a ratio of 1.25:1.0 (such calculation to be made assuming such disposition had occurred at the beginning of such Fiscal Year), or (b) the average ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service, as forecasted in such Statement of the Corporation for the two Fiscal Years immediately following such disposition, will be not less than a ratio of 1.25:1.0; or (c) such disposition has been consented to by the Office, in writing.

Disposition of Real Property. The Corporation will not sell, lease (other than to residents or tenants), sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the real property described in Exhibit A to the Regulatory Agreement, including the buildings and structures thereon and fixtures and improvements of such real property, without the prior written consent of the Office.

Disposition of Personal Property. The Corporation will not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the Facilities not included in the two preceding paragraphs, other than in the "Ordinary Course of Business," unless the Office gives its prior written consent to such disposition.

Except as provided in the Regulatory Agreement concerning a disposition of substantially all of the Corporation's assets, in no event will the Corporation dispose of any part or parts of its Facilities in any Fiscal Year aggregating in excess of two and one-half percent (2-1/2%) of the Corporation's net property, plant and equipment (as shown on the Corporation's most recent audited financial statements), unless the Office gives its prior written consent to such disposition.

Limitation on Acquisition of Property, Plant and Equipment

The Corporation will not acquire additional property, plant and equipment (except (1) in the Ordinary Course of Business, (2) with the proceeds of Indebtedness permitted by the Regulatory Agreement, or (3) as part of a merger or consolidation permitted by the Regulatory Agreement) by gift (other than gifts of cash or personal property or gifts of real property if either (i) its use is residential or (ii) it is subject of a phase I environmental report indicating no contaminants), purchase, construction, merger or consolidation, unless the Office gives its prior written consent to such acquisition.

Parity Debt

The Corporation may incur Parity Debt, subject, however to compliance with the Regulatory Agreement and the following conditions:

1. The Trustee, or any successor to the Trustee as provided in the Indenture, will act as trustee for the Parity Debt;
2. The agreement under which Parity Debt is issued will require that: (a) a Loan Default Event will constitute an event of default under such agreement and the Regulatory Agreement; (b) rights and

obligations of the holders of Parity Debt will be substantially the same as the rights and obligations of the Holders of Bonds under the Indenture, except that if the Parity Debt is not covered under the Contract of Insurance, the holders of Parity Debt will have no rights under the Contract of Insurance for payments made with respect thereto; and (c) Remedies upon an event of default will be substantially the same as the remedies provided in the Indenture, the Regulatory Agreement and the Loan Agreement, and, prior to exercising any such remedies, the holders of such Parity Debt (or a trustee representing their interest) will be required to cooperate with the Trustee to the end that the interests of such holders and the Owners will be equally protected;

3. Any collateral given or to be given to secure Parity Debt will also secure the Bonds on a *pari passu* basis; provided that the Debt Service Reserve Account will only secure the Bonds and the Corporation may but need not establish similar reserve accounts for debt service of Parity Debt;

4. The Parity Debt will be prepayable in accordance with terms substantially in the form of and under the conditions prescribed in the Indenture or as otherwise agreed to by the Office;

5. Any Parity Debt will be insured by the Office under the Insurance Law, or if the Parity Debt can be issued as such without being insured under the Insurance Law, with the consent of the Office; and

6. In the case of any Parity Debt which will not be insured by the Office, the Corporation will pay any associated legal document review costs incurred by the Office, including fees for outside counsel.

Parity Debt, other than Additional Bonds, may be established without the consent of the City.

Insurance

The Corporation will keep the Facilities and its operations adequately insured at all times, and, will carry and maintain, or cause to be carried and maintained, and will pay, or cause to be paid, in timely fashion the premiums for property insurance (building and structures, business personal property, and flood), builder's risk insurance, if applicable, boiler and machinery or equipment breakdown insurance, commercial general liability insurance, automobile insurance, professional liability insurance, fidelity bonds, business interruption insurance, extra expense insurance and director's and officers insurance with the limits as stated in the Regulatory Agreement. The coverages and limits may be varied only with the prior written consent of the Office.

Additionally, the Corporation will at all times comply with California's Workers' Compensation, Insurance and Safety Act, including the Workers' Compensation and Insurance Law at Division 4 of the California Labor Code, or any successor statute or statutes, and will maintain insurance or self-insurance for workers' compensation claims as required by Labor Code section 3700 *et seq.*

The Corporation will obtain such insurance coverage as is required by the Regulatory Agreement only from insurers admitted to do business in the State by the Department of Insurance of the State, unless the Office gives its prior written consent. All policies will name the Corporation, the City, the Office and the Trustee, as insured parties, beneficiaries or loss payees as their interest may appear. Each policy will be in such form and contain such provisions as are generally considered standard for the type of insurance involved, and will contain (a) a provision to the effect that the insurer shall not cancel or substantially modify the policy provisions without first giving at least thirty (30) days written notice thereof to the Corporation, the Office, and the Trustee and (b) a severability of interests (cross liability) provision. Nothing in the Regulatory Agreement will preclude more than one coverage or class of insurance from being included in a single policy.

The Corporation will also obtain, at its own cost and expense, an ALTA policy of title insurance, with such endorsements as may be required by the Office, at the time of and dated as of the date of delivery of the Bonds or Parity Debt, in an aggregate amount not less than the aggregate principal amount of the Bonds and Parity Debt to be outstanding after the issuance of such Bonds or Parity Debt, payable to the

Office, the Trustee and the City, insuring the title of the Corporation to the site of the Facilities, subject only to Permitted Encumbrances, issued by a title insurance company admitted to do business in the State by the Department of Insurance of the State, and which is acceptable to the Office.

Disposition of Insurance and Condemnation Proceeds

The proceeds of property and builders risk insurance maintained by the Corporation against loss or damage pursuant to the Regulatory Agreement, the proceeds of any title insurance obtained pursuant to the Regulatory Agreement and the proceeds of any condemnation awards with respect to the Facilities, will be paid immediately upon receipt by the Corporation or other named insured parties to the Trustee, as assignee of the City, for deposit in a special fund which the Trustee will establish and maintain and hold in trust, to be known as the "Insurance and Condemnation Proceeds Fund." In the event the Corporation elects to repair or replace the property damaged, destroyed or taken, it will furnish to the Trustee and the Office plans of the contemplated repair or replacement, accompanied by a Statement (a copy of which will be delivered to the Trustee) of an architect or other qualified expert satisfactory to the Office estimating the reasonable cost of such repair or replacement and a Statement of the Corporation stating that amounts in the Insurance and Condemnation Proceeds Fund, together with investment income reasonably expected to be received with respect thereto and any other funds available or reasonably expected to become available therefor (and which the Corporation will agree to deposit in said fund when so available), will be sufficient to repair or replace the property damaged, destroyed or taken in accordance with said plans. After deducting therefrom the reasonable charges and expenses of the Trustee in connection with the collection and disbursement of such moneys, moneys in the Insurance and Condemnation Proceeds Fund will be disbursed by the Trustee for the purpose of repairing or replacing the property damaged, destroyed or taken in the manner and subject to the conditions set forth in the Indenture with respect to disbursements from an acquisition fund to the extent the provisions thereof may reasonably be made applicable. In the event that the proceeds of any loss or damage to or condemnation of the Facilities will be less than one and one-half percent (1-1/2%) of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements), and so long as an event of default under the Regulatory Agreement has not occurred and is not then continuing, the Trustee will pay over such proceeds to the Corporation without requiring any of the documents referred to in this subsection and without any formality whatsoever.

In the event the Corporation, with the consent of the Office, will elect not to repair or replace the property damaged, destroyed or taken, the Trustee will transfer all amounts in the Insurance and Condemnation Proceeds Fund on account of such damage, destruction or condemnation to the Special Redemption Account in order to prepay the Loan Repayments and redeem Bonds; provided that if any Parity Debt is then outstanding, any such transfer from the Insurance and Condemnation Proceeds Fund will be deposited in part in the Special Redemption Account and in part in such other fund or account as may be appropriate (and used for the retirement of such Parity Debt) in the same proportion which the aggregate principal amount of Outstanding Bonds then bears to the aggregate unpaid principal amount of such Parity Debt.

If all amounts in the Insurance and Condemnation Proceeds Fund and any special redemption account for the retirement of Parity Debt exceed one and one-half percent (1-1/2%) of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements) but are not sufficient to retire all Bonds and Parity Debt then outstanding, the Trustee upon its receipt of an Officer's Certificate from the Corporation stating that such amounts are in excess of one and one-half percent (1-1/2%) of the Corporation's Adjusted Annual Operating Revenues, will not transfer said amounts to the Special Redemption Account unless the Corporation will file with the Trustee a report of a Management Consultant showing that projected Net Income Available for Debt Service will be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt. In the event such report of a Management Consultant

shows that projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt, the Corporation will apply all amounts in the Insurance and Condemnation Proceeds Fund to the repair or replacement of the property damaged, destroyed or taken, unless the Corporation will file a further report of a Management Consultant showing that even after making such repair and replacement, projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three Fiscal Years immediately following such repair and replacement, in which event the Trustee will transfer all moneys in the Insurance and Condemnation Proceeds Fund to the Special Redemption Account and/or such other trust account for the retirement of Bonds and Parity Debt.

Certain Covenants Relating to Operation of the Facilities

Maintain License. The Corporation will at all times, where required by the laws of the jurisdiction, maintain in full force and effect the applicable licenses to operate the Facilities from the State and/or other licensing authority. The Corporation will notify the Office if any such licensing authority makes any determination which may adversely affect the licensing of the Facilities. The Corporation will at all times maintain in full force and effect all other governmental approvals, permits, qualifications and certificates necessary for the efficient functioning of the Facilities.

Equip the Facilities. The Corporation will, pursuant to applicable licensing regulations from time to time in effect, suitably equip the Facilities to facilitate its overall operations. The Corporation will perform all obligations of any chattel mortgage, conditional sale, lease or lease purchase agreement, or other type of financing arrangement designed to acquire equipment if failure to perform such obligations might have consequences that would materially and adversely affect the financial conditions, assets, properties or operations of the Corporation.

Indebtedness on Loan Default Event. During the continuance of a default under the Regulatory Agreement, a Loan Default Event under the Loan Agreement or an Event of Default under the Indenture, the Corporation will not incur any additional Indebtedness or make any additional capital acquisition without the prior written consent of the Office.

Lien on Future Acquired Real Property. If the Corporation acquires any real property to be used or usable in connection with the operation of the Corporation while the Regulatory Agreement is in effect, such acquired real property ("Acquired Property") will be deemed to fall within the definition of Facilities and therefore will be subject to the Regulatory Agreement. The Corporation will convey a security interest (which need not give the Office a first lien position) in the Acquired Property for the benefit of the Office under the Deed of Trust, unless such requirement is waived in writing by the Office.

Remedies Upon Default

Notice and Declaration of a Default under the Regulatory Agreement. Upon a violation of any of the provisions of the Regulatory Agreement by the Corporation, the Office may give written notice thereof to the Corporation by registered or certified mail, addressed to the address stated in the Regulatory Agreement, or such other address as may subsequently, upon appropriate written notice thereof to the Office, be designated by the Corporation as its legal business address. If such violation is not corrected to the satisfaction of the Office within thirty (30) days or, in the event the default is the result of the failure of the Corporation to make a payment required to be made to the Trustee or the result of the loss of or threatened loss of the license of the Corporation, five (5) days after the date such notice is mailed or within such further time as the Office determines in the Office's sole discretion is necessary to correct the violation, then without further notice the Office may declare a default under the Regulatory Agreement effective on the date of such declaration of default.

Office Directives to the Corporation. Upon an event of default under the Regulatory Agreement, the Deed of Trust, the Loan Agreement or the Indenture, the Office will have the remedies provided by California Health and Safety Code section 129173, which are incorporated in the Regulatory Agreement, as well as the following. The Office may conduct an evaluation of, and direct the Corporation with respect to, the management and operation of the Facilities and the expenses of the Office or any consultants associated with such evaluation and direction will be reimbursed by the Corporation. The Corporation will follow all such directives, which may at the option of the Office include immediately terminating and replacing any existing Management Agent with a new Management Agent selected by the Office at the expense of the Corporation. In the event of any such termination, the Management Agent will not be entitled to compensation for more than thirty (30) days from the date of such termination. The Office may retain attorneys and consultants to assist in such evaluation and the Corporation will pay the reasonable and documented fees and expenses of such attorneys and consultants and any other expenses incurred by the Office in that connection. These remedies are in addition to those provided under Insurance Law Section 129173. The Office reserves its rights to exercise all its remedies under Insurance Law Section 129173, including, but not limited to, subsection (b) wherein the Office may remove and appoint members of the governing body of the Corporation sufficient such that the new members constitute a voting majority of the governing body.

Payment from the Health Facility Construction Loan Insurance Fund. In any case in which an Event of Default under the Indenture will have occurred and the Trustee will have given notice to the Office at least 30 days prior to an interest payment date, or principal payment date: (a) that available moneys in the Principal and Interest Accounts held by the Trustee pursuant to the Indenture will be insufficient to pay in full the next succeeding payment of interest and/or principal when due to the Owners under the Indenture, and (b) the amount by which the obligation to make such payment exceeds the amount available (the "Shortfall"), then the Office will cause an amount equal to the Shortfall to be deposited into the Principal Account and/or Interest Account at least three (3) Business Days prior to the date on which said payment is due, as provided in the Regulatory Agreement.

Said deposit will be made by the Office directing the Trustee to transfer an amount equal to the Shortfall out of the Debt Service Reserve Account into the Principal Account and/or Interest Account. (However, if there are insufficient funds in the Debt Service Reserve Account at the time the Office receives such notice of the Shortfall from the Trustee, nothing contained in the Regulatory Agreement will prevent the Office from then determining pursuant to Insurance Law Section 129145 that the lender and borrower have exhausted all reasonable means of curing the Event of Default and that it would be in the best interest of the State, the borrower and the lender to pay a portion or all of the Shortfall from the Health Facility Construction Loan Insurance Fund instead of the Debt Service Reserve Account, and from paying such amount from the Health Facility Construction Loan Insurance Fund.)

If the Office, pursuant to Insurance Law Section 129145, determines, in the event the funds in the Debt Service Reserve Account are insufficient to meet the Shortfall as provided in the preceding paragraph, that (a) the lender and borrower will have exhausted all reasonable means of curing the Event of Default, and (b) a payment or payments from the Health Facility Construction Loan Insurance Fund to cure the Event of Default is now and will be at the time of the Event of Default in the best interest of the State, the borrower and the lender, then the Office may pay such amount required to meet the Shortfall from the Health Facility Construction Loan Insurance Fund to the Principal Account and/or Interest Account for the benefit of the lender within the time as provided in Regulatory Agreement.

Any payment made by the Office from the Health Facility Construction Loan Insurance Fund will be secured pursuant to Insurance Law Section 129145 by a pro rata share of the security held by the Trustee through the Deed of Trust and all applicable UCC-1s, and, upon such payment, the Corporation will become

liable for repayment of the amount thereof to the Office upon demand and will be liable for interest on the unpaid balance thereof at the rate of ten percent (10%) per annum.

If the principal of all Bonds at the time Outstanding, and the interest accrued thereon have been declared immediately due and payable pursuant to the terms of the Indenture, the Office will make payment from the Health Facility Construction Loan Insurance Fund, or, if the Health Facility Construction Loan Insurance Fund is insufficient to make such payment, or if the Office determines it to be in the best interest of the State, the City, the Corporation and the Office will request issuance of debentures as provided in Regulatory Agreement.

Issuance of Debentures. In any case in which (a) the Office will have directed the foreclosure and taking possession of the Facilities under the Deed of Trust and under applicable statutes, (b) the Office will have otherwise acquired the Facilities from the Corporation after default, (c) the Office will have received a satisfactory conveyance of title and transfer of possession of the Facilities directly from the Corporation, or other appropriate grantor, or (d) it has been determined that debentures should be issued pursuant to the Regulatory Agreement, then the Trustee will be entitled to receive the benefit of the insurance as provided in Insurance Law Sections 129125 through 129160, upon (x) the prompt conveyance to the Office of title to the Facilities or, with the consent of the Office, the security interest created by the Deed of Trust, (y) the assignment to the Office of all claims of the Trustee against the Corporation or others arising out of the sale of the Bonds, the loan transaction or the foreclosure proceedings, except such claims as may have been released with the consent of the Office, and (z) surrender to the Office of each Bond which has been surrendered to the Trustee, which Bond will be returned to the Trustee upon issuance of debentures and canceled by the Trustee.

Upon such conveyance, assignment and surrender, the Office will request the State Treasurer to issue to the Trustee for the benefit of the Owners so surrendered, a debenture or debentures having a total face value of and bearing interest at the rate on the respective surrendered Bonds which they replace and additional debentures equal to all additional amounts due under the Indenture as provided by Insurance Law Sections 129125 through 129160.

Additional Remedies Available to the Office. Notwithstanding any other provision in the Regulatory Agreement or provision of law relating to the acquisition, management or disposal of real property by the State, the Office will have the power to do any or all of the following: (a) possess, operate, complete, lease, rent, renovate, modernize, insure, or sell for cash or credit, in its sole discretion, any properties conveyed to it in exchange for debentures as provided in the Insurance Law; (b) pursue to final collection by way of compromise or otherwise all claims against the Corporation assigned by the Trustee to the Office; or (c) convey and execute in the name of the Office deeds of conveyance, deeds of release, assignments and satisfactions of the Deed of Trust, and any other written instrument relating to real or personal property or any interest therein acquired by the Office.

Remedies Not Exclusive; No Waiver of Rights. No remedy conferred upon or reserved to the Office is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, will be cumulative and will be in addition to every other remedy given under the Regulatory Agreement, Loan Agreement and the Deed of Trust, or now or hereafter existing at law or in equity or otherwise. In order to entitle the Office to exercise any remedy, to the extent permitted by law, reserved to it contained in the Regulatory Agreement, it will not be necessary to give any notice, other than such notice as may be herein expressly required.

No delay in exercising or omitting to exercise any right or power accruing upon any default will impair any such right or power or will be construed to be a waiver of any such default or an acquiescence therein. Furthermore, the waiver of any provision by the Office will not be construed as a waiver of any

subsequent default. Every such right and power may be exercised from time to time and as often as may be deemed expedient.

In the event a receiver is appointed for the Corporation at the request of the Office, such receiver, if so requested by the Office, will serve without bond.

Debt Coverage Ratio Reporting

Within forty-five (45) days after each March 31, June 30, September 30 and December 31, (each three-month period ending on each such date being referred to as a “Fiscal Quarter”), the Corporation will compute the Net Income Available for Debt Service for such Fiscal Quarter and for the twelve-month period ending on the last day of such Fiscal Quarter (“Running Twelve-Month Period”) and promptly furnish to the Office a Statement setting forth the results of such computation.

Environmental

The Corporation will exercise all due diligence in order to comply and cause all Persons on or occupying the Facilities to comply with all applicable Environmental Laws.

Amendments

The Regulatory Agreement may be amended, changed, modified or terminated by the written agreement of the Office and the Corporation without the necessity of obtaining the consent of the owners of the Bonds, the City in most instances or any other party.

DEED OF TRUST

Grant in Trust

Pursuant to the Deed of Trust the Corporation grants, conveys, assigns and transfers to Trustee, in trust, with power of sale and right of entry and possession, all of the Corporation’s estate, right, title, interest, property and claim, whether now owned or hereafter acquired or arising, in or to all of the Corporation’s right, title and interest in the Land, Facilities, Appurtenances, Equipment, Leases, Rents, Proceeds, Accounts and Inventory as defined thereunder and as collectively referred to therein as the “Property.”

Obligations Secured

The Corporation makes the foregoing grant for the purpose of securing:

(a) Payment of Loan Repayments and Additional Payments (as those terms are defined in the Indenture) pursuant to the Loan Agreement, in an amount sufficient to pay the debt service on the Bonds issued pursuant to the Indenture, and any Parity Debt (as that term is defined in the Regulatory Agreement) issued pursuant to the terms of the Loan Agreement and the Indenture;

(b) Performance of each and every obligation, covenant and agreement of the Corporation contained in the Loan Agreement;

(c) Performance of each and every obligation, covenant and agreement contained in the Deed of Trust; and

(d) Performance of each and every obligation, covenant and agreement of the Corporation under the Regulatory Agreement and the Contract of Insurance, and any regulatory agreements and contracts of insurance relating to Parity Debt.

Security Agreement and Fixture Filing

The Deed of Trust will also constitute a security agreement and the Corporation pledges and grants to the Beneficiary a security interest in and to all of the Property not constituting real property under the laws of the State of California ("Personal Property"), whether Corporation now or hereafter obtains an interest in such Personal Property and all the proceeds or products thereof. Upon any default of the Corporation under the Deed of Trust, the Beneficiary will be entitled to exercise with respect to all such collateral all of the rights and remedies set forth therein, in the Loan Agreement, in the Contract of Insurance, in the Regulatory Agreement or otherwise afforded to a secured party in default under the terms of Article 9 of the Uniform Commercial Code, as enacted in the State of California, or all of which may be pursued and exercised concurrently, consecutively, alternatively or otherwise. The Corporation will execute and/or file, as appropriate, one or more supplemental security agreements and financing statements as the Beneficiary may from time to time reasonably require, covering any property now or after constituting a portion of the Property and otherwise the collateral securing the indebtedness secured under the Deed of Trust and such financing statements and other and further assurances as the Beneficiary may reasonably request to perfect or evidence the security interest therein created (which will cover all proceeds and products of collateral), including, but not limited to, UCC-1 Financing Statements and UCC Continuation Statements.

Assignment of Leases and Rents

Subject to applicable law, the Corporation absolutely, unconditionally and irrevocably assigns to the Beneficiary the Leases and Rents which assignment constitutes a present, absolute and unconditional assignment and not an assignment for additional security only. The Beneficiary grants to the Corporation, prior to any default in the payment of any indebtedness secured hereby or in the performance of any covenant or obligation hereunder, without notice, a license to collect and use all such Rents as they become due and payable and to exercise all rights under the Leases if not otherwise restricted under the Loan Agreement, the Regulatory Agreement or Contract of Insurance; provided such license will automatically terminate upon any default, beyond any applicable notice and cure period, in the payment of any indebtedness secured hereby or in the performance of any covenant or obligation under the Deed of Trust and Corporation will thereafter pay to Beneficiary all Rents then held or subsequently collected by Corporation. The foregoing assignment will not impose upon the Beneficiary any duty to produce Rents from the Property or cause the Beneficiary to be a "mortgagee in possession" for any purpose.

Conveyance, Easements, Subordination, Releases

To the extent permitted under the Loan Agreement or the Regulatory Agreement, at any time, or from time to time, without liability therefor and without notice, upon written request by the Beneficiary or Corporation, upon presentation of the Deed of Trust, and without affecting the liability of any person for payment of the indebtedness secured thereby or the effect of the Deed of Trust upon the remainder of the Property, the Trustee will reconvey any part of the Property, consent in writing to the making of any map or plat thereof, execute releases, join in granting any easement thereon, or join in any extension agreement or any agreement subordinating the lien or charge thereof. The Corporation, the Beneficiary and the Trustee will execute and deliver any agreements subordinating the lien or charge thereof to the lien of any Permitted Encumbrance (as that term is defined in the Regulatory Agreement) and any releases and waivers of the lien of the Deed of Trust as is necessary to accommodate the requirements of the holders of Permitted Encumbrances.

Amendment

The Deed of Trust may be amended, changed, modified or terminated at any time by the written consent of the Office and the Corporation without the necessity of obtaining the consent of the Trustee, the City, the Indenture Trustee or the holders of the Bonds or of Parity Debt.

CONTRACT OF INSURANCE

Insurance

The Office agrees that the Bonds are eligible for the Insurance under the Insurance Law and that the payment to the Trustee of the principal of and the accrued and unpaid interest on the insured principal of the Bonds and such other costs and expenses required under the Insurance Law is insured. However, payments from the Trustee to the Bondowners are not insured.

Compliance with Law and Documents

The City and the Corporation will, to the extent they are respectively obligated thereunder, comply with the Insurance Law and the terms, conditions and covenants of the Bonds, the Indenture, the Loan Agreement, the Deed of Trust, the Regulatory Agreement and the Contract of Insurance.

Termination of Insurance

The Insurance provided in the Contract of Insurance may be terminated by the Office only upon the occurrence of any of the following:

(a) Upon the payment in full by the Office of the Insurance of the Bonds pursuant to the Insurance Law.

(b) Upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest payments that have or may come due under the Loan Agreement are paid.

(c) Upon the joint written request of the City, the Corporation and all the Bondowners as provided in Insurance Law Section 129185.

(d) If the Deed of Trust is judicially foreclosed as to such property or the City, the Trustee or the Bondowners non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the City and the Trustee do not execute and deliver to the Office a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Office within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the City and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

Amendment

The Contract of Insurance may be amended, changed or modified by the written agreement of the Office, the Corporation and the City, provided that such amendment, change or modification will not materially adversely affect the Owners.

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APPENDIX E

FORM OF OPINION OF BOND COUNSEL

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APPENDIX E

FORM OF BOND COUNSEL OPINION

[Closing Date]

City of Alhambra
111 South First Street
Alhambra, California 91801

Re: \$31,390,000 City of Alhambra Insured Refunding Revenue Bonds (Atherton Baptist Homes Project)
Series 2016

Ladies and Gentlemen:

We have acted as Bond Counsel in connection with the issuance by the City of Alhambra (the “City”) of its \$31,390,000 City of Alhambra, Insured Refunding Revenue Bonds (Atherton Baptist Homes Project) Series 2016 (the “Bonds”). The Bonds will be issued by the City pursuant to and secured by an Indenture, dated as of November 1, 2016 (the “Indenture”), by and between the City and Wells Fargo Bank, N.A., as trustee (the “Trustee”) and under the provisions of City of Alhambra Health Facilities Financing Law, being Chapter 3.42 of Title III of the Municipal Code of the City of Alhambra (the “Law”).

The Indenture provides that the City will lend the proceeds of the Bonds to Atherton Baptist Homes (the “Corporation”), a nonprofit public benefit corporation organized under the laws of the State of California, pursuant to a Loan Agreement, dated as of November 1, 2016 (the “Loan Agreement”), by and between the City and the Corporation, which the Corporation will use to: (i) refinance on an advance basis the City’s Revenue Bonds (Atherton Baptist Homes Project) Series 2010A, currently outstanding in the aggregate principal amount of \$28,230,000, (ii) fund a reserve fund for the Bonds, and (iii) pay certain costs of issuing the Bonds. The Bonds are limited obligations of the City secured under the Indenture by a pledge of Revenues and certain other moneys held under the Indenture. The Revenues consist primarily of loan payments to be made by the Corporation under the Loan Agreement. Capitalized terms used and not otherwise defined herein shall have the meanings ascribed thereto in the Indenture.

The Bonds are dated the date of their delivery and will be issued in fully registered form in denominations of \$5,000 or any integral multiple thereof. The Bonds are subject to redemption prior to their maturity in the manner and upon the terms set forth in the Indenture.

As Bond Counsel, we have examined copies certified to us as being true and complete copies of the proceedings of the City in connection with the issuance of the Bonds including, without limitation, the Indenture, the Loan Agreement, the Regulatory Agreement, the Deed of Trust, the Contract of Insurance, and the *Tax Certificate as to Arbitrage and the Provisions of Sections 103 and 141-150 of the Internal Revenue Code of 1986* executed and delivered by the City and the Corporation in connection with the execution and delivery of the Bonds (the “Tax Certificate”). We have also examined such certificates of officers of the City and others as we have considered necessary for the purposes of this opinion.

We have relied on the opinion of Hanson Bridgett LLP, counsel to the Corporation, regarding (i) the current qualification of the Corporation as an organization described in section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”) and (ii) the contemplated use of the facilities refinanced by the Bonds by the Corporation as other than in an “unrelated trade or business” of the Corporation within the meaning of section 513(a) of the Code. We note that such opinion is subject to a number of qualifications

and limitations. Current or future failure of the Corporation (i) to be organized and operated in accordance with the Internal Revenue Service's requirements for the maintenance of its status or otherwise to continue as an organization described in section 501(c)(3) of the Code or (ii) to cause the financed facilities (and any portion thereof) to activities that, as to the exempt purposes of the Corporation, do not constitute unrelated trades or businesses of the Corporation (within the meaning of section 513(a) of the Code), may result in interest on the Bonds being included in gross income for federal income tax purposes from the date of issuance of the Bonds.

We have assumed the genuineness of all documents and signatures presented to us (whether as originals or copies) and the due and legal execution and delivery thereof by, and against, any party other than the City. We have assumed, without undertaking to verify, the accuracy of factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the legal opinion referred to in preceding paragraph.

Based upon the foregoing, and subject to the limitations and qualifications herein specified, as of the date hereof, we are of the opinion that:

1. The Bonds have been duly authorized, executed and issued by the City in accordance with the Constitution, the Law and the Indenture. The Bonds constitute valid and binding limited obligations of the Authority as provided in the Indenture, and are entitled to the benefits of the Indenture.
2. The Indenture has been duly and validly authorized, executed and delivered by the City and, assuming the enforceability thereof against the Trustee, constitutes the legally valid and binding obligation of the City, enforceable against the City in accordance with its terms. The Indenture creates a valid pledge, to secure the payment of principal of and interest on the Bonds, of the Revenues and certain other amounts held by the Trustee in certain funds and accounts established pursuant to the Indenture, subject to the provisions of the Indenture permitting the application thereof for other purposes and on the terms and conditions set forth therein.
3. The Loan Agreement has been duly and validly authorized, executed and delivered by the City and, assuming the enforceability thereof against the Corporation, constitutes the legally valid and binding obligation of the City, enforceable against the City in accordance with its terms.
4. Under existing statutes, regulations, rulings and court decisions, and assuming compliance with the covenants mentioned herein, interest on the Bonds is excluded pursuant to section 103(a) of the Code from the gross income of the owners thereof for federal income tax purposes. We are further of the opinion that under existing statutes, regulations, rulings and court decisions, the Bonds are not "specified private activity bonds" within the meaning of section 57(a)(5) of the Code and, therefore, that interest on the Bonds will not be treated as an item of tax preference for purposes of computing the alternative minimum tax imposed by section 55 of the Code. Receipt or accrual of interest on Bonds owned by a corporation may affect the computation of the alternative minimum taxable income of that corporation. A corporation's alternative minimum taxable income is the basis on which the alternative minimum tax imposed by section 55 of the Code will be computed. We are further of the opinion that interest on the Bonds is exempt from personal income taxes of the State of California under present state law.

The Code imposes certain requirements that must be met subsequent to the issuance and delivery of the Bonds for interest thereon to be and remain excluded pursuant to section 103(a) of the Code from the gross income of the owners thereof for federal income tax purposes. Non-compliance with such requirements could cause the interest on the Bonds to fail to be excluded

from the gross income of the owners thereof retroactive to the date of issuance of the Bonds. Pursuant to the Indenture, the Loan Agreement and in the Tax Certificate, each of the City and the Corporation is making representations relevant to the determination of, and is undertaking certain covenants regarding or affecting, the exclusion of interest on the Bonds from the gross income of the owners thereof for federal income tax purposes. In reaching our opinions described in the immediately preceding paragraph, we have assumed the accuracy of such representations and the present and future compliance by each of the City and the Corporation with such covenants. Further, except as stated in the preceding paragraph, we express no opinion as to any federal or state tax consequence of the receipt of interest on, or the ownership or disposition of, the Bonds. Furthermore, we express no opinion as to any federal, state or local tax law consequence with respect to the Bonds, or the interest thereon, if any action is taken with respect to the Bonds or the proceeds thereof predicated or permitted upon the advice or approval of other counsel.

We have not examined title to any Facilities and express no opinion with respect thereto, nor do we express any opinion as to the priority of any liens or security interest created by any document or the State of California or quality of title to any of the real or personal property described in or subject to any lien of the Indenture, the Loan Agreement, the Regulatory Agreement, the Deed of Trust, the Contract of Insurance and the Tax Certificate or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property.

The opinions expressed in paragraphs 1 through 3 above are qualified to the extent the enforceability of the Bonds, the Indenture, the Loan Agreement and certain other documents pertaining to the Bonds may be limited by applicable bankruptcy, insolvency, debt adjustment, reorganization, moratorium or similar laws or equitable principles relating to or limiting creditors' rights generally or as to the availability of any particular remedy. The enforceability of the Bonds, the Indenture and the Loan Agreement is subject to the effect of general principles of equity, including, without limitation, concepts of materiality, reasonableness, good faith and fair dealing, to the possible unavailability of specific performance or injunctive relief, regardless of whether considered in a proceeding in equity or at law, and to the limitations on legal remedies against governmental entities in California. We express no opinion with respect to any indemnification, contribution, choice of law, choice of forum or waiver provisions contained in the foregoing documents. Further, no opinion is expressed herein on the accuracy, completeness or sufficiency of the Official Statement or other offering material relating to the Bonds.

Our opinions are based on existing law, which is subject to change. Such opinions are further based on our knowledge of facts as of the date hereof. We assume no duty to update or supplement our opinions to reflect any fact or circumstance that may hereafter come to our attention or to reflect any change in any law that may hereafter occur or become effective. Moreover, our opinions are not a guarantee of results and are not binding on the Internal Revenue Service; rather, such opinions represent our legal judgment based upon our review of existing law that we deem relevant to such opinions and in reliance upon the representations and covenants referenced above.

Respectfully submitted,

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APPENDIX F

FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (the “*Disclosure Agreement*”) is executed and delivered by Atherton Baptist Homes, a nonprofit public benefit corporation incorporated under the laws of the State of California (the “*Borrower*”), as of November 4, 2016. The Borrower covenants and agrees as follows:

Section 1. Definitions. Any capitalized terms used herein but not defined herein shall have the meanings assigned to them in the hereinafter described Regulatory Agreement, and the following capitalized terms shall have the following meanings:

“*Annual Budget*” shall mean the operating budget of the Borrower in the form required by Section XXIII of the Regulatory Agreement.

“*Annual Report*” shall mean any Annual Report provided by the Borrower pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Bondholders*” shall mean the owners and beneficial owners from time to time of the Series 2016 Bonds.

“*Borrower*” shall mean Atherton Baptist Homes, a nonprofit public benefit corporation incorporated under the laws of the State of California.

“*City*” shall mean the City of Alhambra, California.

“*Current Ratio*” shall have the meaning set forth in the Regulatory Agreement.

“*Days Cash on Hand*” shall have the meaning set forth in the Regulatory Agreement.

“*Debt Service Coverage Ratio*” shall have the meaning set forth in the Regulatory Agreement.

“*Disclosure Agreement*” shall mean this agreement.

“*Dissemination Agent*” shall mean (i) the Borrower or any Dissemination Agent designated in writing by the Borrower and which has filed with the Borrower a written acceptance of such designation, and (ii) initially, Digital Assurance Certification, LLC.

“*EMMA*” shall mean the Electronic Municipal Market Access system of the MSRB accessible at <http://emma.msrb.org> or such other information repository as may be determined by the SEC from time to time.

“*Indenture*” shall mean the Indenture dated as of November 1, 2016, between the City and the Trustee, pursuant to which the Series 2016 Bonds are issued.

“Listed Events” shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

“Loan Agreement” shall mean the Loan Agreement dated as of November 1, 2016, between the Borrower and the City relating to the Series 2016 Bonds.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any successor entity as described in the Rule.

“Obligated Person” shall have the meaning set forth in the Rule.

“Offering Document” shall mean the Official Statement dated October 19, 2016 describing the Series 2016 Bonds.

“Office” means the Office of Statewide Health Planning and Development of the State of California.

“Quarterly Report” shall mean any quarterly report provided by the Borrower pursuant to Sections 3 and 4 of this Disclosure Agreement.

“Regulatory Agreement” shall mean the Regulatory Agreement, dated as of November 1, 2016, among the Borrower, the City and the Office.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“SEC” shall mean the United States Securities and Exchange Commission.

“Series 2016 Bonds” means the City’s Insured Refunding Revenue Bonds (Atherton Baptist Homes Project), Series 2016.

“Trustee” shall mean Wells Fargo Bank, N.A., as trustee.

“Underwriter” shall mean B.C. Ziegler and Company, or any additional purchaser of the Series 2016 Bonds required to comply with the Rule in connection with an offering of the Series 2016 Bonds.

Section 2. Purpose of the Disclosure Agreement. The purpose of this Disclosure Agreement is to assist the Underwriter in complying with the Rule in connection with the Series 2016 Bonds. The Borrower represents that the Borrower is the only Obligated Person with respect to the Series 2016 Bonds at the time the Series 2016 Bonds are delivered to the Underwriter.

Section 3. Provision of Annual Reports, Annual Budgets and Quarterly Reports.
(a) The Borrower shall, or shall cause the Dissemination Agent to, not later than 150 days after the completion of each fiscal year of the Borrower (beginning with the fiscal year ending

December 31, 2016), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) an Annual Report that is consistent with the requirements of Section 4(a) of this Disclosure Agreement.

(b) The Borrower shall, or shall cause the Dissemination Agent to, not later than 45 days after the completion of each fiscal quarter of the Borrower (beginning with the fiscal quarter ending September 30, 2016), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) a Quarterly Report that is consistent with the requirements of Section 4(b) of this Disclosure Agreement.

(c) The Borrower shall, or shall cause the Dissemination Agent to, not later than 30 days after the approval of the Annual Budget for the ensuing fiscal year by the governing board of the Borrower, provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a copy of the Annual Budget for the ensuing fiscal year.

(d) In each case the Annual Report and the Quarterly Report may be submitted as a single document or as a package comprising separate documents. Any or all of the items constituting the Annual Report or the Quarterly Report may be incorporated by reference from other documents that have been submitted to the MSRB or the SEC. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The Borrower shall clearly identify each such other document so incorporated by reference.

(e) The Dissemination Agent shall (if the Dissemination Agent is other than the Borrower) file a report with the Borrower certifying that the Annual Report, the Quarterly Report or the Annual Budget, as applicable, has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB.

(f) With respect to each Annual Report, Quarterly Report or Annual Budget required to be submitted to the MSRB in this Section 3, the Borrower agrees to deliver such information or, alternatively, a notice of the Borrower's intent to act as its own Dissemination Agent with respect to such information, to the Dissemination Agent at least five (5) Business Days prior to the date required for dissemination to the MSRB. If the Dissemination Agent does not receive an Annual Report, Quarterly Report or Annual Budget or a notice of the Borrower's intent to act as Dissemination Agent with respect to such information on or before such required dissemination date, then the Dissemination Agent shall file with the MSRB a Notice of Failure to file. If the Borrower is unable to provide to the MSRB an Annual Report, Quarterly Report or Annual Budget by the dates required in this Section 3 and the Dissemination Agent has not filed with the MSRB a related Notice of Failure to file, the Borrower shall send or cause to be sent a notice of such fact to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB).

Section 4. Content of Annual Reports and Quarterly Reports. (a) The Annual Report to be delivered under Section 3(a) shall provide the following financial and operating data:

(1) Audited financial statements of the Borrower for the fiscal year immediately preceding the due date of the Annual Report. Such financial statements shall be prepared in accordance with generally accepted accounting principles and shall be audited by an independent certified public accountant, and shall include a statement of financial position as of the end of such fiscal year, and a statement of changes in net assets (deficit), a statement of operations, and a statement of cash flows for such fiscal year, showing in each case in comparative form the financial figures for the preceding fiscal year, prepared in accordance with generally accepted accounting principles; *provided, however*, that if such audited financial statements are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements shall be included in the Annual Report.

(2) To the extent not otherwise provided, an update of the financial and operating data included in the tables and charts under the headings “THE COMMUNITY — General,” “THE COMMUNITY — Entrance Fees, Monthly Fees and Daily Rates,” “THE COMMUNITY — Utilization,” “THE COMMUNITY — Sources of Revenue for Health Care Center,” “SUMMARY FINANCIAL INFORMATION” and “OPERATING INFORMATION.” contained in APPENDIX A to the Official Statement.

(3) (A) Borrower’s calculations of the Borrower’s Debt Service Coverage Ratio for such fiscal year, of the Borrower’s Current Ratio as of the last day of such fiscal year and of the Borrower’s Days Cash on Hand as of the last day of such fiscal year and (B) a statement from the independent certified public accountant that audited the financial statements described in subparagraph (1) above that such independent certified public accountant has no knowledge of any default under the Regulatory Agreement or the Loan Agreement, insofar as such default relates to accounting matters, or if such independent certified public accountant shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof, insofar as such default or defaults relate to accounting matters.

(b) The Quarterly Report to be delivered under Section 3(b) shall contain the following financial and operating data:

(1) Management-prepared financial statements, including a statement of operations and statement of cash flows of the Borrower during such period and a statement of financial position as of the end of each such fiscal quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Borrower.

(2) A calculation of the Days Cash on Hand, for each fiscal quarter, and a calculation of the Debt Service Coverage Ratio for each fiscal quarter.

(3) Information with respect to the occupancy levels of all of the facilities operated by the Borrower by level of care as of the end of each fiscal quarter.

(4) An Officer's Certificate of the Borrower stating that the Borrower is in compliance with all of the terms, provisions and conditions of the Regulatory Agreement and the Loan Agreement or, if not, specifying all such defaults and the nature thereof.

(5) A year-to-date comparison to the Borrower's budgeted performance.

Section 5. Reporting of Listed Events. (a) This Section 5 shall govern the giving of notices of the occurrence of any of the following events with respect to the Series 2016 Bonds:

- (1) principal and interest payment delinquencies;
- (2) non-payment related defaults, if material;
- (3) unscheduled draws on debt service reserves reflecting financial difficulties;
- (4) unscheduled draws on credit enhancements reflecting financial difficulties;
- (5) substitution of credit or liquidity providers, or their failure to perform;
- (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2016 Bonds, or other material events affecting the tax status of the Series 2016 Bonds;
- (7) modifications to rights of security holders, if material;
- (8) bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);
- (9) defeasances;
- (10) release, substitution, or sale of property securing repayment of the Series 2016 Bonds, if material;
- (11) rating changes;
- (12) bankruptcy, insolvency, receivership or similar event of the Borrower;

(13) the consummation of a merger, consolidation, or acquisition involving the Borrower or the sale of all or substantially all of the assets of the Borrower, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

(14) appointment of a successor or additional trustee or the change of name of a trustee, if material.

(b) In the occurrence of a Listed Event, the Borrower shall, or shall cause the Dissemination Agent to, promptly file a notice of such occurrence with the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB). Such notice shall be filed within 10 Business Days after the occurrence of the Listed Event. If the Borrower determines that it failed to give notice as required by this Section, it shall promptly file a notice of such occurrence in the same manner.

Section 6. Termination of Reporting Obligation. The Borrower's obligations under this Disclosure Agreement with respect to the Series 2016 Bonds shall terminate upon the defeasance, prior redemption or payment in full of all the Series 2016 Bonds or if the Rule shall be revoked or rescinded by the SEC or declared invalid by a final decision of a court of competent jurisdiction.

Section 7. Dissemination Agent. From time to time, the Borrower may appoint or engage a Dissemination Agent to assist the Borrower in carrying out its obligations under this Disclosure Agreement, and may discharge any such agent, with or without appointing a successor Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the Borrower shall be the Dissemination Agent. The initial Dissemination Agent shall be Digital Assurance Certification, LLC. The sole remedy of any party against the Dissemination Agent shall be nonmonetary and specific performance. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement. The Dissemination Agent's obligation to deliver the information at the times and with the contents described herein shall be limited to the extent the Borrower has provided such information to the Dissemination Agent as required by this Disclosure Agreement. The Dissemination Agent shall not be responsible for the form or content of any Annual Report, Quarterly Report, Annual Budget, notice of Listed Event, or other document furnished to the Dissemination Agent by the Borrower, nor shall it have any duty or obligation to review or verify any information, disclosures or notices provided to it by the Borrower. The Dissemination Agent shall have no responsibility for the Borrower's failure to report to the Dissemination Agent a notice of Listed Event or a duty to determine the materiality thereof. The Dissemination Agent shall have no duty to determine, or liability for failing to determine, whether the Borrower has complied with this Dissemination Agreement. The Dissemination Agent shall not be deemed to be acting in any fiduciary capacity for the Borrower, the City, any Bondholder, or any other party. The Dissemination Agent may conclusively rely upon certifications of the Borrower at all times.

THE BORROWER AGREES TO INDEMNIFY AND SAVE THE DISSEMINATION AGENT AND ITS RESPECTIVE OFFICERS, DIRECTORS,

EMPLOYEES AND AGENTS, HARMLESS AGAINST ANY LOSS, EXPENSE AND LIABILITIES WHICH THEY MAY INCUR ARISING OUT OF OR IN THE EXERCISE OR PERFORMANCE OF THEIR POWERS AND DUTIES HEREUNDER, INCLUDING THE REASONABLE COSTS AND EXPENSES (INCLUDING REASONABLE ATTORNEYS' FEES) OF DEFENDING AGAINST ANY CLAIM OF LIABILITY, BUT EXCLUDING LIABILITIES DUE TO THE DISSEMINATION AGENT'S NEGLIGENCE OR WILLFUL MISCONDUCT. The obligations of the Borrower under this paragraph of Section 7 shall survive resignation or removal of the Dissemination Agent and defeasance, redemption or payment of the Series 2016 Bonds.

The Dissemination Agent shall receive reasonable compensation for its services provided hereunder. The Dissemination Agent may resign at any time by providing at least 60 days' notice to the Borrower.

Section 8. Amendment; Waiver; Modification. The Borrower may amend or waive any provision of this Disclosure Agreement, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws, to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule or adjudication of the Rule by a final decision of a court of competent jurisdiction. The Borrower may modify from time to time the specific types of information provided in an Annual Report or Quarterly Report to the extent necessary as a result of a change in legal requirements, change in law or change in the nature of the Borrower or its businesses, *provided* that any such modification will be done in a manner consistent with the Rule and will not, in the opinion of Bond Counsel or another party unaffiliated with the City or the Borrower, materially impair the interests of the Bondholders. The Borrower shall provide any such amendment, waiver or modification to the Dissemination Agent. The Dissemination Agent may rely conclusively on any opinion delivered pursuant to the provisions of this Section 8, and shall have no duty to determine, or liability for failing to determine, whether any amendment, waiver or modification pursuant to this Section 8 is consistent with guidance provided by the SEC with regard to permitted amendments, or the manner of effecting such amendments, under the Rule.

Section 9. Additional Information. The Borrower may from time to time choose to disseminate other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or include other information in any Annual Report, Quarterly Report, or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If the Borrower chooses to include any information in any Annual Report, Quarterly Report, or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, such Member shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Quarterly Report or notice of occurrence of a Listed Event.

Section 10. Default. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Indenture, the Regulatory Agreement or the Loan Agreement, and the

sole remedy of Bondholders under this Disclosure Agreement in the event of any failure of the Borrower to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Borrower, the Underwriter and the Bondholders, and shall create no rights in any other person or entity.

Section 12. Responsible Officer. The Borrower's Chief Financial Officer shall be the officer, agency, or agent of the Borrower responsible for providing Annual Reports and Quarterly Reports and giving notice of Listed Events, to the extent required hereunder, and any inquiries regarding this Disclosure Agreement should be directed to the Borrower, to the attention of its Chief Financial Officer.

[Signature appears on the following page]

IN WITNESS WHEREOF, the Borrower caused this Disclosure Agreement to be executed by its duly authorized officer as of the date first set forth above.

ATHERTON BAPTIST HOMES

By: _____
Its: _____

The undersigned has reviewed this Disclosure Agreement and acknowledges and agrees to perform the duties of Dissemination Agent hereunder as of the date set forth above.

DIGITAL ASSURANCE CERTIFICATION, LLC,
as Dissemination Agent

By: _____
Authorized Signatory

APPENDIX G

FORM OF CONTRACT OF INSURANCE

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APPENDIX G

FORM OF CONTRACT OF INSURANCE

CONTRACT OF INSURANCE

LOAN NO. _____

STATE OF CALIFORNIA
OFFICE OF STATEWIDE HEALTH PLANNING AND DEVELOPMENT

This **CONTRACT OF INSURANCE**, dated as of November 1, 2016, and effective as of November 4, 2016, is by and among **ATHERTON BAPTIST HOMES** (the “Corporation”), a nonprofit public benefit corporation organized and existing under the laws of the State of California, **CITY OF ALHAMBRA** (the “City”), a charter city and municipal corporation organized and existing under the Constitution and the laws of the State of California, and the **OFFICE OF STATEWIDE HEALTH PLANNING AND DEVELOPMENT OF THE STATE OF CALIFORNIA** (the “Office”).

WHEREAS, the Office is authorized to enter into this Contract of Insurance pursuant to California Health and Safety Code sections 127045 and 129105;

WHEREAS, the Director of the Office is authorized to enter into this Contract of Insurance on behalf of the Office pursuant to California Health and Safety Code section 127010 and California Government Code section 11150, *et seq.*;

WHEREAS, the undersigned Deputy Director of the Office was appointed by the Director of the Office to act on the Director’s behalf pursuant to Delegation Order 16-03, effective April 25, 2016, and is so authorized by California Health and Safety Code section 7 and California Government Code sections 1194 and 18572;

WHEREAS, the Corporation is authorized to enter into this Contract of Insurance pursuant to the Corporation’s resolution dated September 29, 2016;

WHEREAS, the City is authorized to enter into this Contract of Insurance pursuant to a resolution adopted by the City on October 10, 2016;

WHEREAS, the City desires to issue its City of Alhambra Insured Refunding Revenue Bonds (Atherton Baptist Homes Project) Series 2016, in the principal amount of \$31,390,000 (the “**Bonds**”), pursuant to an Indenture, dated as of November 1, 2016 (the “**Indenture**”), by and between the City and Wells Fargo Bank, N.A., as trustee (the “**Trustee**”), and to lend the proceeds of the Bonds to the Corporation pursuant to a Loan Agreement, dated as of November 1, 2016 (the “**Loan Agreement**”), by and between the City and the Corporation, which shall be secured by a Deed of Trust, dated as of November 1, 2016, delivered by the Corporation (the “**Deed of Trust**”) on certain of the Corporation’s property, and by a pledge of the Corporation’s Gross Revenues (as such term is defined in the hereinafter defined Regulatory Agreement);

WHEREAS, the Corporation and the City desire to obtain the Health Facility Construction Loan Insurance (the “**Insurance**”) insuring the payment of the Bonds, and the Office is willing to extend the Insurance;

WHEREAS, the Office has reviewed the final form of the Bonds, the Indenture, the Deed of Trust, and the American Land Title Association title insurance policy issued by Commonwealth Land Title Company insuring the Corporation's fee title to that property which is subject to the Deed of Trust and naming the Trustee and the Office as beneficiaries, as their respective interests may appear;

WHEREAS, the Office has approved the Corporation's application for insurance of the Bonds; and

WHEREAS, in consideration of the Insurance and in order to comply with the requirements of Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State of California, cited as the "California Health Facility Construction Loan Insurance Law," as now in effect and as it may from time to time hereafter be amended or supplemented (the "**Insurance Law**"), the Corporation, the Office and the City have entered into a Regulatory Agreement, dated as of November 1, 2016, and effective as of November 4, 2016 (the "**Regulatory Agreement**"), regulating the terms and conditions of the Insurance of the Bonds;

NOW, THEREFORE, in consideration of these presents and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties hereto mutually agree, and agree for the benefit of the Owners of the Bonds from time to time and the Trustee, as follows:

1. **Definitions.** Unless the context clearly otherwise requires, all capitalized terms used herein shall have the meanings assigned to such terms in the Regulatory Agreement, or, if not defined therein, the Indenture.

2. **Insurance.** The Office hereby declares and agrees that the Bonds are eligible for the Insurance under the Insurance Law and that the payment to the Trustee of the principal of and the accrued and unpaid interest on the insured principal of the Bonds and such other costs and expenses required under the Insurance Law is insured. However, payments from the Trustee to the Bondowners are not insured.

3. **Incontestability.** Pursuant to Insurance Law Section 129110, such Insurance shall be incontestable from the date of the execution of this Contract of Insurance, except in case of fraud or misrepresentation on the part of the lender (as defined in Insurance Law Section 129010(j)).

4. **Approval of Documents.** The Office approves the execution and delivery of the Indenture and the Deed of Trust.

5. **Completion of Project.** The Corporation shall refinance the Project with all practical dispatch and in an economic manner.

6. **Disbursement of Proceeds.** Prior to each disbursement of funds to the Corporation pursuant to the provisions of the Indenture, the Corporation shall apply to the Office by submission of the Office's Form OSH-CM-134 and supporting documentation, for an authorization of the disbursement of funds to the Corporation pursuant to the Indenture, pursuant to Insurance Law Section 129030. Certification by the Office of the Form OSH-CM-134 submitted to the Office by the Corporation shall constitute the Office's authorization and consent to the disbursement of funds to the Corporation.

7. **Compliance with Law and Documents.** The City and the Corporation shall, to the extent they are respectively obligated thereunder, comply with the Insurance Law and the terms, conditions and covenants of the Bonds, the Indenture, the Loan Agreement, the Deed of Trust, the Regulatory Agreement and this Contract of Insurance.

8. **Premium Payment.** The Corporation has paid all premiums required for the Insurance on the effective date hereof. In addition, simultaneously with the execution and delivery of this Contract of Insurance, the Corporation has paid to the Office an upfront certification and inspection fee of \$125,560. Insurance of the Bonds shall not be cancelled or terminated for any reason, including any failure by the Corporation to comply with the provisions of the Regulatory Agreement or any other agreement or failure by the Trustee to enforce such compliance, except as provided in Section 9 hereof.

9. **Termination of Insurance.** The Insurance provided herein may be terminated by the Office only upon the occurrence of any of the following:

(a) **Payment of Insurance by the Office.** Upon the payment in full by the Office of the Insurance of the Bonds pursuant to the Insurance Law.

(b) **Payment of Bonds; Defeasance.** Upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest payments that have or may come due under the Loan Agreement are paid.

(c) **Joint Request.** Upon the joint written request of the City, the Corporation and all the Bondholders as provided in Insurance Law Section 129185.

(d) **Foreclosure or Conveyance; Surrender of Bonds.** If the Deed of Trust is judicially foreclosed as to such property, or the City, the Trustee or the Bondowners non-judicially foreclose or otherwise acquire such property after a Loan Event Default, and the City and the Trustee do not execute and deliver to the Office a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Office within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the City and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

10. **Successors Bound.** This Contract of Insurance shall bind, and the benefits shall inure to, the respective parties hereto, their legal representatives, successors in office or interest, and assigns, and shall be directly enforceable by the Trustee. The Office hereby consents to the City's assignment of its rights under this Contract of Insurance to the Trustee.

11. **Severability of Invalid Provisions.** The invalidity of any clause, part, or provision of this Contract of Insurance shall not affect the validity of the remaining portions hereof so long as the Insurance remains in effect.

12. **Agreement Represents Complete Agreement; Amendments.** Except as otherwise provided herein, this Contract of Insurance represents the entire contract among the parties. This Contract of Insurance may be amended, changed or modified by the written agreement of the Office, the Corporation and the City, provided that such amendment, change or modification shall not materially adversely affect the Owners.

13. **Headings and References.** The headings or titles of the several sections, subsections and subdivisions hereof shall be solely for convenience of reference and shall not affect the meaning, construction or effect of this Contract of Insurance. All references herein to "sections," "subsections" and other subdivisions are to the corresponding sections, subsections or subdivisions of this Contract of Insurance. The words "herein," "hereof," "hereby," "hereunder" and other words of similar import refer

to this Contract of Insurance as a whole and not to any particular section, subsection or subdivision hereof. Words of the masculine gender shall mean and include words of the feminine and neuter genders.

14. **Governing Law; Venue.** The laws of the State of California shall govern this Contract of Insurance, the interpretation hereof and any right or liability arising hereunder. Any action or proceeding to enforce or interpret any provision of this Contract of Insurance shall be brought, commenced or prosecuted in Sacramento County Superior Court, Sacramento County, California.

15. **Attorneys' Fees.** In the event of any action at law or in equity between the parties hereto to interpret or enforce any of the provisions of this Contract of Insurance, the nonprevailing party or parties to such litigation shall pay to the prevailing party or parties all costs and expenses, including actual attorneys' fees, incurred therein by such prevailing party or parties; and if such prevailing party or parties shall recover judgment in any such action or proceeding, such costs, expenses and attorneys' fees may be included in and as part of such judgment. The prevailing party shall be the party who is entitled to recover its costs of suit, whether or not the suit proceeds to final judgment. A party not entitled to recover its costs of suit shall not recover attorneys' fees.

16. **Execution in Counterparts.** This Contract of Insurance may be executed in any number of counterparts, each of which shall be deemed for all purposes to be an original and all of which shall together constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties hereto have duly executed this Contract of Insurance as of the day and year first above written.

CITY OF ALHAMBRA

By: _____
Mark Yokoyama
City Manager

ATHERTON BAPTIST HOMES

By: _____
Rev. J. Craig Statton
President/CEO

By: _____
Dr. Kirk Mackie
Chairman

OFFICE OF STATEWIDE HEALTH PLANNING
AND DEVELOPMENT OF THE STATE OF
CALIFORNIA

By: Robert P. David, Director

By: _____
Jeremy P. Marion
Deputy Director

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APPENDIX H

BOOK-ENTRY SYSTEM

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. The ownership of one fully-registered Bond for each maturity, each in the aggregate principal amount of such maturity, will be registered in the name of Cede & Co.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("*Direct Participants*") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("*DTCC*"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("*Indirect Participants*"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("*Beneficial Owner*") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them. Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an "Omnibus Proxy" to the Issuer as soon as possible after the Record Date. The "Omnibus Proxy" assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the Record Date (identified in a listing attached to the "*Omnibus Proxy*").

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Trustee or the Issuer, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as in the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Trustee or the Issuer. Disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Issuer and the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

THE INFORMATION PROVIDED ABOVE HAS BEEN PROVIDED BY DTC. NO REPRESENTATION IS MADE BY THE ISSUER, THE CORPORATION OR THE UNDERWRITER AS TO THE ACCURACY OR ADEQUACY OF SUCH INFORMATION PROVIDED BY DTC OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE HEREOF.

For so long as the Bonds are registered in the name of DTC or its nominee, Cede & Co., the Issuer and the Trustee will recognize only DTC or its nominee, Cede & Co., as the registered owner of the Bonds for all purposes, including payments, notices and voting.

Under the Indenture, payments made by the Trustee to DTC or its nominee will satisfy the Issuer's obligations under the Indenture and the Corporation's obligations under the Loan Agreement, to the extent of the payments so made.

None of the Issuer, the Underwriter, the Corporation or the Trustee will have any responsibility or obligation with respect to (i) the accuracy of the records of DTC, its nominee or any Direct Participant or Indirect Participant with respect to any beneficial ownership interest in any Bond, (ii) the delivery to any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any notice with respect to any Bond including, without limitation, any notice of redemption, tender, purchase or any event which would or could give rise to a tender or purchase right or option with respect to any Bond, (iii) the payment of any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any amount with respect to the principal of, premium, if any, or interest on, or the purchase price of, any Bond or (iv) any consent given by DTC as registered owner.

Prior to any discontinuation of the book-entry only system described above, the Issuer and the Trustee may treat DTC as, and deem DTC to be, the absolute owner of the Bonds for all purposes whatsoever, including, without limitation, (i) the payment of principal of, premium, if any, and interest on the Bonds, (ii) giving notices of redemption and other matters with respect to the Bonds, (iii) registering transfers with respect to the Bonds and (iv) the selection of Bonds for redemption.

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